

In the opinion of Orrick, Herrington & Sutcliffe LLP, Bond Counsel to the Authority, based upon an analysis of existing laws, regulations, rulings and court decisions and assuming, among other matters, the accuracy of certain representations and compliance with certain covenants, interest on the Bonds is excluded from gross income for federal income tax purposes under Section 103 of the Internal Revenue Code of 1986 and is exempt from State of California personal income taxes. In the further opinion of Bond Counsel, interest on the Bonds is not a specific preference item for purposes of the federal individual or corporate alternative minimum taxes, although Bond Counsel observes that such interest is included in adjusted current earnings when calculating corporate alternative minimum taxable income. Bond Counsel expresses no opinion regarding any other tax consequences relating to the ownership or disposition of, or the amount, accrual or receipt of interest on, the Bonds. See “TAX MATTERS” herein.

\$54,045,000**CALIFORNIA MUNICIPAL FINANCE AUTHORITY****Insured Revenue Refunding Bonds****(Channing House Project)****Series 2017A****Final CUSIP^{††}: 13048TZ63****Dated:** Date of Delivery**Due:** May 15, as shown on inside cover

The California Municipal Finance Authority Insured Revenue Refunding Bonds (Channing House Project), Series 2017A (the “Bonds”) will be issued as fully registered Bonds in denominations of \$5,000 or any integral multiple thereof and, when delivered, will be registered in the name of Cede & Co., as nominee for The Depository Trust Company, New York, New York (“DTC”). Beneficial owners of Bonds will not receive physical certificates representing the Bonds purchased but will receive a credit balance on the books of the nominees of such purchasers. So long as Cede & Co. is the registered owner of the Bonds, principal of and premium, if any, and interest on the Bonds will be paid by The Bank of New York Mellon Trust Company, N.A., as Trustee, to DTC, which, in turn, will remit such principal, premium, if any, and interest to its participants for subsequent disbursement to the beneficial owners of the Bonds, as described herein. See APPENDIX H—“BOOK-ENTRY SYSTEM” hereto. Interest on the Bonds is payable on May 15 and November 15 of each year, commencing November 15, 2017.

The Bonds are subject to optional, mandatory and special redemption prior to their maturity, as described herein.

The Bonds are limited obligations of the California Municipal Finance Authority (the “Authority”), secured under the provisions of the Indenture and the Loan Agreement (each as described herein), and will be payable from Loan Repayments (as defined herein) made by Channing House (the “Corporation”) under the Loan Agreement and from certain funds held under the Indenture. Pursuant to the Regulatory Agreement (as defined herein), the Corporation may incur additional indebtedness secured on a parity basis with the Bonds provided certain conditions are met. See “SECURITY AND SOURCE OF PAYMENT FOR THE BONDS—Parity Debt” herein.

Pursuant to the California Constitution Article XVI, Section 4, and California Health and Safety Code, Division 107, Part 6, Chapter 1, payment of the principal of and interest on the Bonds will be insured by the Office of Statewide Health Planning and Development of the State of California, and all debentures issued in payment of any claims under such insurance will be fully and unconditionally guaranteed by the State of California, all as more fully described herein. See “CALIFORNIA HEALTH FACILITY CONSTRUCTION LOAN INSURANCE PROGRAM” herein.

NONE OF THE AUTHORITY, ANY AUTHORITY MEMBER OR ANY PERSON EXECUTING THE BONDS IS LIABLE PERSONALLY ON THE BONDS OR SUBJECT TO ANY PERSONAL LIABILITY OR ACCOUNTABILITY BY REASON OF THEIR ISSUANCE. THE BONDS ARE LIMITED OBLIGATIONS OF THE AUTHORITY, PAYABLE SOLELY FROM AND SECURED BY THE PLEDGE OF CERTAIN REVENUES UNDER THE INDENTURE. NEITHER THE AUTHORITY, ITS MEMBERS, THE STATE OF CALIFORNIA, NOR ANY OF ITS POLITICAL SUBDIVISIONS SHALL BE DIRECTLY, INDIRECTLY, CONTINGENTLY OR MORALLY OBLIGATED TO USE ANY OTHER MONEYS OR ASSETS TO PAY ALL OR ANY PORTION OF THE DEBT SERVICE DUE ON THE BONDS, TO LEVY OR TO PLEDGE ANY FORM OF TAXATION WHATEVER THEREFOR OR TO MAKE ANY APPROPRIATION FOR THEIR PAYMENT (EXCEPT TO THE EXTENT EXPRESSLY PROVIDED THROUGH THE INSURANCE PROGRAM DESCRIBED HEREIN). THE BONDS ARE NOT A PLEDGE OF THE FAITH AND CREDIT OF THE AUTHORITY, ITS MEMBERS, THE STATE OF CALIFORNIA OR ANY OF ITS POLITICAL SUBDIVISIONS, NOR DO THEY CONSTITUTE INDEBTEDNESS WITHIN THE MEANING OF ANY CONSTITUTIONAL OR STATUTORY DEBT LIMITATION. THE AUTHORITY HAS NO TAXING POWER.

This cover page contains certain information for general reference only. It is not intended to be a summary of the security or terms of the Bonds. Investors should read the entire Official Statement to obtain information essential to the making of an informed investment decision.

SEE MATURITY SCHEDULE ON INSIDE FRONT COVER.

The Bonds are offered when, as and if received by the Underwriter, subject to prior sale, to withdrawal or modification of the offer without notice, and to the approval of the validity of the Bonds and certain other legal matters by Orrick, Herrington & Sutcliffe LLP, Bond Counsel to the Authority, the approval of certain matters for the Authority by its counsel, Jones Hall, A Professional Law Corporation, and the approval of certain matters for the Corporation by its counsel, Hanson Bridgett LLP. Certain legal matters will be passed upon for the Underwriter by Chapman and Cutler LLP. It is expected that the Bonds in book-entry form will be available for delivery through the facilities of DTC on or about April 18, 2017.



Date: April 4, 2017

† For an explanation of the rating, see “RATING” herein.

†† A registered trademark of The American Bankers Association. CUSIP data is provided by CUSIP Global Services (“CGS”) managed on behalf of the American Bankers Association by S&P Capital IQ. This data is not intended to create a database and does not serve in any way as a substitute for the CGS database. CUSIP numbers are provided for convenience of reference and none of the Authority, the Corporation or the Underwriter take responsibility for the accuracy of such data.

\$54,045,000
CALIFORNIA MUNICIPAL FINANCE AUTHORITY
Insured Revenue Refunding Bonds
(Channing House Project)
Series 2017A

MATURITY DATE (MAY 15)	PRINCIPAL AMOUNT	INTEREST RATE	YIELD	PRICE	CUSIP [†]
2018	\$285,000	4.00%	1.040%	103.155%	13048TX40
2019	480,000	4.00	1.230	105.657	13048TX57
2020	500,000	4.00	1.450	107.641	13048TX65
2021	505,000	4.00	1.670	109.140	13048TX73
2022	1,780,000	5.00	1.860	115.137	13048TX81
2023	1,865,000	5.00	2.060	116.705	13048TX99
2024	1,960,000	5.00	2.260	117.820	13048TY23
2025	2,055,000	5.00	2.450	118.577	13048TY31
2026	2,160,000	5.00	2.620	119.110	13048TY49
2027	2,260,000	5.00	2.790	119.291	13048TY56
2028	2,380,000	4.00	3.010	108.546 ^C	13048TY64
2029	2,480,000	4.00	3.150	107.287 ^C	13048TY72
2030	2,575,000	4.00	3.300	105.956 ^C	13048TY80
2031	2,675,000	4.00	3.430	104.818 ^C	13048TY98
2032	2,785,000	4.00	3.540	103.867 ^C	13048TZ22
2033	2,895,000	5.00	3.340	114.099 ^C	13048TZ30
2034	3,040,000	5.00	3.400	113.550 ^C	13048TZ48
2035	3,200,000	5.00	3.450	113.094 ^C	13048TZ55

\$18,165,000 4.00% Term Bonds due May 15, 2040 - Priced 100.409%^C to Yield 3.95% CUSIP[†] 13048TZ63

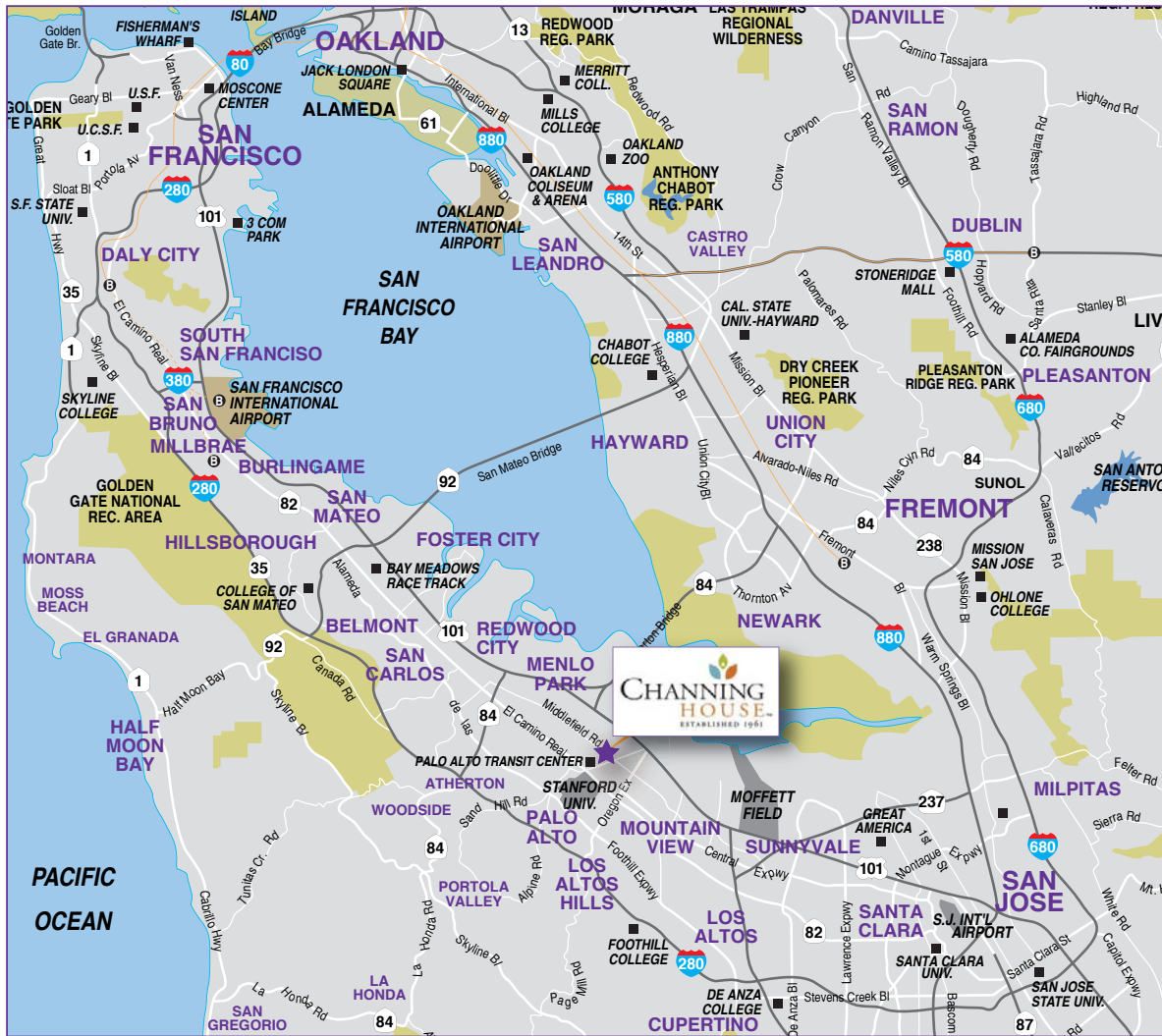
[†] A registered trademark of The American Bankers Association. CUSIP data is provided by CUSIP Global Services (“CGS”) managed on behalf of the American Bankers Association by S&P Capital IQ. This data is not intended to create a database and does not serve in any way as a substitute for the CGS database. CUSIP numbers are provided for convenience of reference and none of the Authority, the Corporation or the Underwriter take responsibility for the accuracy of such data.

^C Priced to first call date of May 15, 2027.



CHANNING HOUSE™

ESTABLISHED 1961



Main Lobby



Lee Center Dining Room



Interior Assisted Living Studio



Interior Apartment Living Room



Health Center



View from 11th Floor



This Official Statement does not constitute an offer to sell the Bonds or the solicitation of an offer to buy, nor shall there be any sale of the Bonds by any person in any state or other jurisdiction to any person to whom it is unlawful to make such offer, solicitation or sale in such state or jurisdiction. No dealer, salesperson or any other person has been authorized to give any information or to make any representation other than those contained herein in connection with the offering of the Bonds, and, if given or made, such information or representation must not be relied upon.

The information relating to the Authority set forth herein under the captions “THE AUTHORITY” and “LITIGATION—The Authority” has been furnished by the Authority. The Authority does not warrant the accuracy of the statements contained herein relating to the Corporation nor does it directly or indirectly guarantee, endorse or warrant (1) the creditworthiness or credit standing of the Corporation, (2) the sufficiency of the security for the Bonds or (3) the value or investment quality of the Bonds. The Authority makes no representations or warranties whatsoever with respect to any information contained therein except for the information under the sections entitled “THE AUTHORITY” and “LITIGATION—The Authority.” The information set forth herein under the caption “CALIFORNIA HEALTH FACILITY CONSTRUCTION LOAN INSURANCE PROGRAM” has been furnished by the Office of Statewide Health Planning and Development of the State of California (the “Office”), and the information relating to DTC and the book-entry system set forth herein under the captions “THE BONDS—General,” and “—Book-Entry System” and in APPENDIX H hereto has been furnished by DTC. Such information is believed to be reliable but is not guaranteed as to accuracy or completeness and is not to be construed as a representation by the Underwriter or the Corporation. All other information set forth herein has been obtained from the Corporation and other sources that are believed to be reliable, but the information herein, other than that described as being provided by the Authority in the first sentence of this paragraph, is not guaranteed as to accuracy or completeness and is not to be construed as a representation by the Underwriter or the Authority. The information and expressions of opinion herein are subject to change without notice, and neither the delivery of this Official Statement nor any sale of the Bonds made hereunder shall create under any circumstances any indication that there has been no change in the affairs of the Authority, the Office, the Corporation or DTC since the date hereof. The Underwriter has provided the following sentence for inclusion in this Official Statement. The Underwriter has reviewed the information in this Official Statement in accordance with and as part of its responsibilities to investors under the federal securities laws as applied to the facts and circumstances of this transaction, but the Underwriter does not guarantee the accuracy or completeness of such information. This Official Statement is submitted in connection with the issuance of securities referred to herein and may not be used, in whole or in part, for any other purpose. The Bonds are not anticipated to be registered or qualified for sale in the states of Washington or New Hampshire.

IN CONNECTION WITH THE OFFERING OF THE BONDS, THE UNDERWRITER MAY OVERALLOT OR EFFECT TRANSACTIONS THAT STABILIZE OR MAINTAIN THE MARKET PRICE OF THE BONDS OFFERED HEREBY AT LEVELS ABOVE THAT WHICH OTHERWISE MIGHT PREVAIL IN THE OPEN MARKET. SUCH STABILIZING, IF COMMENCED, MAY BE DISCONTINUED AT ANY TIME.

CAUTIONARY STATEMENTS REGARDING
FORWARD-LOOKING STATEMENTS IN
THIS OFFICIAL STATEMENT

Certain statements included or incorporated by reference in this Official Statement constitute “forward-looking statements.” Such statements generally are identifiable by the terminology used, such as “plan,” “expect,” “estimate,” “budget” or other similar words. Such forward-looking statements include but are not limited to certain statements contained in the information under the captions “PLAN OF FINANCING” and “BONDHOLDERS’ RISKS” in the forepart of this Official Statement and the statements contained under the caption “MANAGEMENT’S DISCUSSION AND ANALYSIS OF FINANCIAL PERFORMANCE” in APPENDIX A—“INFORMATION CONCERNING CHANNING HOUSE” and APPENDIX H—“BOOK-ENTRY SYSTEM” to this Official Statement.

The achievement of certain results or other expectations contained in such forward-looking statements involve known and unknown risks, uncertainties and other factors that may cause actual results, performance or achievements described to be materially different from any future results, performance or achievements expressed or implied by such forward-looking statements. The Corporation does not plan to issue any updates or revisions to those forward-looking statements if or when its expectations or events, conditions or circumstances on which such statements are based occur or do not occur.

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OFFICIAL STATEMENT

\$54,045,000

**CALIFORNIA MUNICIPAL FINANCE AUTHORITY
Insured Revenue Refunding Bonds
(Channing House Project)
Series 2017A**

INTRODUCTORY STATEMENT

The following introductory statement is subject in all respects to the more complete information set forth in this Official Statement. The descriptions and summaries of various documents hereinafter set forth do not purport to be comprehensive or definitive and are qualified in their entirety by reference to each document. All capitalized terms used in this Official Statement and not otherwise defined herein have the same meaning as in the Indenture or the Regulatory Agreement (each as defined herein). See APPENDIX D—“SUMMARY OF PRINCIPAL DOCUMENTS—DEFINITIONS OF CERTAIN TERMS.” This Official Statement speaks only as of its date, and the information contained herein is subject to change.

PURPOSE OF THIS OFFICIAL STATEMENT

This Official Statement, including the cover page and the appendices hereto, is provided to furnish information in connection with the sale and delivery of \$54,045,000 aggregate principal amount of California Municipal Finance Authority Insured Revenue Refunding Bonds (Channing House Project), Series 2017A (the “*Bonds*”). The Bonds will be issued under the JPA Act (as defined herein), and pursuant to and secured by an Indenture (the “*Indenture*”), between the California Municipal Finance Authority (the “*Authority*”) and The Bank of New York Mellon Trust Company, N.A., as trustee (the “*Trustee*”). The Authority will loan the proceeds of the Bonds to Channing House (the “*Corporation*”), which loan will be evidenced by a Loan Agreement (the “*Loan Agreement*”), between the Authority and the Corporation.

The Corporation will use the proceeds of the Bonds, together with other available funds, to (i) advance refund all of the outstanding ABAG Finance Authority for Nonprofit Corporations Insured Revenue Bonds (Channing House), Series 2010 (the “*Prior Bonds*”), \$52,250,000 of which are currently outstanding; (ii) fund a Bond Reserve Account for the benefit of the Bonds; (iii) pay the insurance premium to the Office (as defined herein); and (iv) pay certain of the costs of issuance of the Bonds. See “PLAN OF FINANCING” and “ESTIMATED SOURCES AND USES OF FUNDS” herein.

THE AUTHORITY

For a description of the Authority, see “THE AUTHORITY” herein.

THE CORPORATION

The Corporation is a California nonprofit public benefit corporation that owns and operates a continuing care retirement community known as Channing House, located in Palo Alto, California (the “*Community*”). The Community consists of 191 residential living units, 27 assisted living beds (in 24 rooms), and 26 skilled nursing beds.

The Corporation is exempt from federal income taxation under Section 501(a) of the Internal Revenue Code of 1986, as amended (the “*Code*”), as an organization described in Section 501(c)(3) of the Code. For additional information on the Corporation, see APPENDIX A—“INFORMATION CONCERNING CHANNING HOUSE” and APPENDIX B—“AUDITED FINANCIAL STATEMENTS OF CHANNING HOUSE AS OF AND FOR THE FISCAL YEARS ENDED FEBRUARY 29, 2016, FEBRUARY 28, 2015, AND FEBRUARY 28, 2014.”

INSURANCE OF THE BONDS BY THE OFFICE

In accordance with the California Health Facility Construction Loan Insurance Law, Chapter 1 of Part 6 of Division 107 of the California Health and Safety Code (the “*Insurance Law*”), the Authority and the Office of Statewide Health Planning and Development of the State of California (the “*Office*”) will enter into a Contract of Insurance (the “*Contract of Insurance*”), with the Corporation, pursuant to which the Office will insure the payment of principal of and interest on the Bonds in the event that amounts received by the Trustee pursuant to the Indenture are not sufficient to pay in full, when due, principal of and interest on the Bonds. If monies are not available to pay principal of and interest on the Bonds, the Office will be obligated to continue to make payments on the Bonds or will instruct the Trustee to declare the principal of all Bonds then outstanding and interest accrued thereon to be due and payable immediately and make payment of such principal and interest and, upon the occurrence of certain events, shall notify the Treasurer (“*Treasurer*”) of the State of California (hereinafter referred to as the “*State*” or “*California*”) and the Treasurer will issue debentures to the holders of the Bonds, fully and unconditionally guaranteed by the State, in an amount equal to the principal of and the accrued interest on the Bonds. In connection with the Contract of Insurance, the Corporation will enter into a Regulatory Agreement (the “*Regulatory Agreement*”), with the Authority and the Office.

For a more detailed description of the obligation of the Office to insure the payment of the principal of and interest on the Bonds, the procedures with respect to an insurance default, the obligations of the Corporation pursuant to the Regulatory Agreement and the financial condition of the California Health Facility Construction Loan Insurance Program (the “*Insurance Program*”) and the State, see “CALIFORNIA HEALTH FACILITY CONSTRUCTION LOAN INSURANCE PROGRAM,” “CERTAIN FINANCIAL INFORMATION REGARDING THE STATE,” “BONDHOLDERS’ RISKS—State Bond Insurance” and “RATING” herein and APPENDIX D—“SUMMARY OF PRINCIPAL DOCUMENTS—REGULATORY AGREEMENT” and APPENDIX E—“FORM OF CONTRACT OF INSURANCE” hereto.

SECURITY FOR THE BONDS

General. The Bonds are limited obligations of the Authority, secured under the provisions of the Indenture and the Loan Agreement and will be payable from payments made by the Corporation under the Loan Agreement (the “*Loan Repayments*,” and each a “*Loan Repayment*”) and from certain funds held under the Indenture. Pursuant to the Loan Agreement, the Corporation is required to make aggregate payments in an amount sufficient to enable the Authority to pay in full, when due, the principal of and premium, if any, and interest on the Bonds.

Deed of Trust. Under a Deed of Trust with Fixture Filing, Security Agreement and Assignment Agreement (the “*Deed of Trust*”), the Corporation will grant to the trustee under the Deed of Trust, for the benefit of the Office and the Trustee (as assignee of the Authority), as trustee for the holders of the Bonds, and any Parity Debt, and in order to secure the obligations of the Corporation under the Loan Agreement, the Regulatory Agreement and the Contract of Insurance and with respect to any Parity Debt, a first lien on and security interest in the Community, subject to Permitted Encumbrances. With the consent of the Office, the Deed of Trust may be amended, subordinated or terminated at any time without the necessity of obtaining the consent of the Trustee, the Authority, or the holders of the Bonds or any Parity Debt. See “SECURITY AND SOURCE OF PAYMENT FOR THE BONDS—Deed of Trust” herein.

Gross Revenues. Pursuant to the Loan Agreement, the Corporation will pledge its Gross Revenues and the Gross Revenue Fund to the Trustee and the Office, as security for its obligations, on a parity basis, with respect to the Bonds and any Parity Debt. See “SECURITY AND SOURCE OF PAYMENT FOR THE BONDS—Pledge of Gross Revenues” herein.

Bond Reserve Account. Payment of the principal of, and interest on, the Bonds will be additionally secured by moneys deposited to the credit of the Bond Reserve Account established under the Indenture. See “SECURITY AND SOURCE OF PAYMENT FOR THE BONDS—Bond Reserve Account” herein.

For a further description of the security of the Bonds, see “SECURITY AND SOURCE OF PAYMENT FOR THE BONDS” herein.

FINANCIAL COVENANTS

The Regulatory Agreement requires the Corporation to meet certain financial covenants, including a Debt Service Coverage Ratio covenant, a Current Ratio covenant and a Days Cash on Hand covenant, on an annual basis. See “SECURITY AND SOURCE OF PAYMENT FOR THE BONDS—Rate Covenant, Current Ratio Covenant and Days Cash on Hand Covenant” herein.

ADDITIONAL INDEBTEDNESS; PARITY DEBT

Subject to the satisfaction of the terms and conditions of the Regulatory Agreement, the Corporation may incur additional Long-term Indebtedness, including Parity Debt, which would be secured equally and ratably with the obligations of the Corporation under the Loan

Agreement. See APPENDIX D—“SUMMARY OF PRINCIPAL DOCUMENTS—REGULATORY AGREEMENT—Parity Debt.”

CONTINUING DISCLOSURE

The Corporation will enter into an undertaking (the “*Continuing Disclosure Agreement*”) for the benefit of the Bondholders to provide certain information and to provide notice of certain events to the Municipal Securities Rulemaking Board (the “*MSRB*”) on its Electronic Municipal Market Access system (“*EMMA*”). For further information, see “CONTINUING DISCLOSURE” herein. The Authority has not made and will not make any provision to provide any annual financial statements or other credit information of the Authority or the Corporation to investors on a periodic basis.

BONDHOLDERS’ RISKS

There are risks associated with the purchase of the Bonds. For a discussion of certain of these risks, see “BONDHOLDERS’ RISKS” herein. A prospective owner is advised to read this entire Official Statement for a discussion of certain Bondholders’ Risks which should be considered in connection with an investment in the Bonds. Among other things, careful evaluation should be made of certain factors that may adversely affect the ability of the Corporation to generate sufficient revenues to pay expenses of operation, including the principal of, premium, if any, and interest on the Bonds. Careful consideration should be given to these risks and other risks described elsewhere in this Official Statement.

THE AUTHORITY

Under Title 1, Division 7, Chapter 5 of the California Government Code (the “*JPA Act*”), certain California cities, counties and special districts have entered into a joint exercise of powers agreement (the “*JPA Agreement*”) forming the Authority for the purpose of exercising to powers common to the members and exercising the additional powers granted to the Authority by the JPA Act and any other applicable provisions of California law. Under the JPA Agreement, the Authority may issue bonds, notes or any other evidence of indebtedness, for any purpose or activity permitted under the JPA Act or any other applicable law.

The Authority may sell and deliver obligations other than the Bonds. These obligations will be secured by instruments separate and apart from the Indenture, the Loan Agreement, the Regulatory Agreement, and the Deed of Trust, and the holders of such other obligations of the Authority will have no claim on the security for the Bonds. Likewise, the Holders of the Bonds will have no claim on the security for such other obligations that may be issued by the Authority.

Neither the Authority nor its independent contractors has furnished, reviewed, investigated or verified the information contained in this Official Statement other than the information contained in this section and the section entitled “LITIGATION — The Authority.” The Authority does not and will not in the future monitor the financial condition of the Corporation or otherwise monitor payment of the Bonds or compliance with the documents

relating thereto. Any commitment or obligation for continuing disclosure with respect to the Bonds or the Corporation has been undertaken solely by the Corporation. See “CONTINUING DISCLOSURE” herein.

THE BONDS

The following is a summary of certain provisions of the Bonds. Reference is made to the Bonds for the complete text thereof and to the Indenture for all of the provisions relating to the Bonds. The discussion herein is qualified by such reference. Certain capitalized terms used herein that are taken from the Indenture have the meanings set forth in APPENDIX D—“SUMMARY OF PRINCIPAL DOCUMENTS—DEFINITIONS OF CERTAIN TERMS.”

GENERAL

The Bonds are being issued pursuant to the Indenture in the aggregate principal amount set forth on the cover of this Official Statement. The Bonds shall be issued as fully registered Bonds in denominations of \$5,000 or any integral multiple thereof. The Bonds will bear interest from their date of delivery at the rates set forth on the inside cover page hereof (based on a 360-day year comprised of 12 thirty-day months). Interest will be payable semiannually on May 15 and November 15 in each year (each, an “*Interest Payment Date*”), commencing November 15, 2017, to the person whose name appears on the bond registration books of the Trustee as the registered owner thereof as of the close of business on the Record Date (which will be the first day of the calendar month in which an Interest Payment Date falls, whether or not such day is a Business Day) for each Interest Payment Date (except with respect to defaulted interest, for which a Special Record Date shall be established by the Trustee).

The Bonds will be transferable and exchangeable as set forth in the Indenture and, when issued, will be registered in the name of Cede & Co., as nominee of The Depository Trust Company, New York, New York (“*DTC*”). So long as Cede & Co. is the registered owner of the Bonds, the principal and Redemption Price of and interest on the Bonds are payable by wire transfer by the Trustee to Cede & Co., as nominee for DTC, which, in turn, will remit such amounts to DTC Participants (as defined herein) for subsequent disbursement to the Beneficial Owners. See APPENDIX H—“BOOK-ENTRY SYSTEM.”

If the book-entry only system for the Bonds is discontinued, payment of interest on the Bonds will be made to the person whose name appears on the bond registration books of the Trustee as the registered owner thereof as of the close of business on the Record Date for each Interest Payment Date, such interest to be paid by check mailed by first class mail on each Interest Payment Date to the registered owner at such owner’s address as it appears on such registration books or at such address as such owner may have filed with the Trustee for that purpose prior to the Record Date; *provided* that at the written request of any Holder of Bonds in the aggregate principal amount of \$1,000,000 or more received by the Trustee prior to the Record Date, interest shall be paid to such Holder by wire transfer to an account within the United States. If the book-entry only system for the Bonds is discontinued, payment of the

principal or Redemption Price of the Bonds will be payable by check upon surrender or presentation thereof at the Corporate Trust Office of the Trustee.

REDEMPTION

Optional Redemption. The Bonds maturing on or before May 15, 2027, are not subject to optional redemption prior to their maturity. The Bonds maturing on or after May 15, 2028, are subject to redemption prior to their respective stated maturities, at the option of the Authority (which option shall be exercised upon Request of the Corporation), in whole or in part (in such maturities as are designated by the Corporation, or if the Corporation fails to so designate, in inverse order of maturity, and by lot within a maturity) on any date on or after May 15, 2027, from any available funds, at a Redemption Price equal to the principal amount of Bonds called for redemption, together with accrued interest thereon the date fixed for redemption, without premium.

Mandatory Sinking Account Redemption. The Bonds maturing on May 15, 2040, are also subject to redemption prior to their stated maturity in part, by lot, from Mandatory Sinking Account Payments on any May 15, on or after May 15, 2036, at the principal amount thereof, together with interest accrued thereon to the date fixed for redemption, without premium:

MANDATORY SINKING ACCOUNT PAYMENT DATES (MAY 15)	MANDATORY SINKING ACCOUNT PAYMENTS
2036	\$3,355,000
2037	3,485,000
2038	3,630,000
2039	3,775,000
2040 [†]	3,920,000

[†] Maturity

Special Redemption. The Bonds are also subject to redemption prior to their respective stated maturities, at the option of the Authority (which option shall be exercised upon Request of the Corporation), in whole or in part (in such maturities as are designated by the Corporation, or if the Corporation fails to designate such maturities, in inverse order of maturity, and by lot within a maturity) on any date from certain insurance or condemnation proceeds received with respect to the Facilities, in each case, under the circumstances prescribed in the Regulatory Agreement, at a Redemption Price equal to the principal amount thereof, together with interest accrued thereon to the date fixed for redemption, without premium.

Selection of Bonds for Redemption. If less than all of the outstanding Bonds are to be called for redemption, the Trustee shall select the Bonds to be redeemed, from all Bonds subject to redemption or such given portion thereof not previously called for redemption, by lot, in any manner which the Trustee in its sole discretion shall deem appropriate, but from the maturities

selected by the Corporation (provided such selection by the Corporation shall not apply to mandatory sinking account redemptions).

Notice of Redemption. Notice of redemption shall be given by first class mail, or if the Bonds are then book-entry Bonds, then by Electronic Means, by the Trustee, not less than 20 days and not more than 60 days prior to the redemption date to the respective Holders of any Bonds designated for redemption at the address appearing on the bond registration books of the Trustee. Each notice of redemption will state the redemption date, the place or places of redemption, the maturities, the date of issue of the Bonds, the CUSIP number (if any) of the maturity or maturities and, in case of Bonds to be redeemed in part only, the respective portions of the principal amount thereof to be redeemed. Neither the Authority nor the Trustee shall have any responsibility for any defect in the CUSIP number that appears on any Bond or in any redemption notice with respect thereto.

Failure of the Trustee to give notice to a Bondholder or any defect in such notice shall not affect the sufficiency of the proceedings for redemption with respect to the Bondholders to whom such notice was mailed.

With respect to any notice of optional redemption of Bonds, unless upon the giving of such notice such Bonds shall be deemed to have been paid pursuant to the provisions of the Indenture, such notice shall state that such redemption shall be conditioned upon the receipt by the Trustee on or prior to the date fixed for such redemption of amounts sufficient to pay the Redemption Price of the Bonds to be redeemed and that, if such amounts shall not have been so received, said notice shall be of no force and effect and the Authority shall not be required to redeem such Bonds. In the event that such notice of redemption contains such a condition and such amounts are not so received, the redemption shall not be made and the Trustee shall within a reasonable time thereafter give notice to the Persons and in the manner in which the notice of redemption was given that such amounts were not so received. Such failure to redeem Bonds shall not constitute an Event of Default or a Loan Default Event. Such notice may also state other conditions to the optional redemption and if any other conditions are so stated, shall state that if such conditions shall not have been satisfied on or prior to the date fixed for redemption, said notice shall be of no force and effect and the Authority shall not be required to redeem such Bonds and such failure to redeem such Bonds shall not constitute an Event of Default. In the event that such notice of optional redemption contains any such additional condition or conditions and such condition or conditions shall not have been satisfied on or prior to the date fixed for redemption, the redemption shall not be made and the Trustee shall within a reasonable time thereafter give notice to the Holders to the effect that such condition or conditions were not met and such redemption was not made, such notice to be given by the Trustee in the same manner and to the same parties, as notice of such redemption was given pursuant to the provisions of the Indenture.

Any notice of optional redemption given pursuant to the provisions of the Indenture, as described herein, may also be rescinded by written notice given to the Trustee by the Corporation no later than two (2) Business Days prior to the date specified for redemption. The Trustee shall give notice of such rescission as soon thereafter as practicable in the same manner and to the same Persons as notice of such redemption was given pursuant to the provisions of the Indenture.

Partial Redemption of Bonds. Upon surrender of any Bond for redemption in part only, the Authority shall execute and the Trustee shall authenticate and make available for delivery to the registered owner thereof, at the expense of the Corporation, a new Bond or Bonds of Authorized Denominations, and of the same maturity, equal in aggregate principal amount to the unredeemed portion of the Bond surrendered.

Effect of Redemption. Notice of redemption having been given in accordance with the Indenture and moneys for payment of the Redemption Price of, together with interest accrued to the redemption date on, the Bonds (or portions thereof) so called for redemption being held by the Trustee, the Bonds will become due and payable at the Redemption Price specified in such notice and interest accrued thereon to the redemption date, interest on the Bonds so called for redemption shall cease to accrue, said Bonds (or portions thereof) shall cease to be entitled to any benefit or security under the Indenture, and the Holders of said Bonds shall have no rights in respect thereof except to receive payment of said Redemption Price and accrued interest to the date fixed for redemption.

Mandatory Tender for Purchase in Lieu of Redemption. Each Holder or Beneficial Owner, by purchase and acceptance of any Bond, irrevocably grants to the Corporation the option to purchase such Bond, at any time such Bond is subject to optional redemption as provided in the Indenture and summarized above at a purchase price equal to 100% of the then applicable Redemption Price of such Bond. In order to exercise such option, the Corporation shall secure the written consent of the Office and shall deliver to the Trustee and the Authority such written consent of the Office and a Favorable Opinion of Bond Counsel to the effect that such purchase, will not, in and of itself, adversely affect any exclusion of interest on the Bonds from gross income for purposes of federal income taxation, and the Corporation shall direct the Trustee to provide notice of mandatory tender for purchase, such notice to be provided, as and to the extent applicable, in accordance with the provisions for redemption set forth in the Indenture and described herein. On the date fixed for mandatory purchase of any Bond in lieu of redemption pursuant to the provisions of the Indenture described herein, the Corporation shall pay the purchase price of such Bond to the Trustee in immediately available funds and the Trustee shall pay the same to the Holders of Bonds being purchased against delivery thereof. Following such purchase, the Trustee shall register such Bonds in accordance with the written instructions of the Corporation. No purchase of any Bond pursuant to the provisions of the Indenture described in this paragraph shall operate to extinguish the indebtedness evidenced by such Bond. No Holder or Beneficial Owner may elect to retain a Bond subject to mandatory tender for purchase pursuant to the provisions of the Indenture described in this paragraph. The Corporation may exercise its option to purchase the Bonds, in whole or in part, in accordance with the provisions of the Indenture, and may rescind any notice of mandatory tender for purchase by written notice given to the Trustee by the Corporation no later than two (2) Business days prior to the date specified for mandatory tender for purchase.

Defeasance. Upon the deposit with the Trustee, in trust, at or before maturity, of money or securities in the necessary amount (as provided in the Indenture) to pay or redeem any Outstanding Bond (whether upon or prior to its maturity or the redemption date of such Bond), *provided* that, if such Bond is to be redeemed prior to maturity, notice of such redemption shall have been given as provided above or provision satisfactory to the Trustee shall have been made

for the giving of such notice, then all liability of the Authority in respect of such Bond will cease, terminate and be completely discharged, except only that thereafter the Holder thereof will be entitled to payment of the principal of and interest on such Bond by the Authority and the Authority will remain liable for such payment, but only out of such money or securities deposited with the Trustee as aforesaid for their payment.

BOOK-ENTRY SYSTEM

The Bonds will be issued in book-entry form. DTC will act as securities depository for the Bonds. The Bonds will be issued as fully-registered securities registered in the name of Cede & Co. (DTC's partnership nominee). One fully-registered Bond will be issued for each maturity in the total aggregate principal amount due on such maturity date and will be deposited with or held at the direction of DTC. See APPENDIX H—"BOOK-ENTRY SYSTEM."

The Authority, the Trustee and the Corporation cannot and do not give any assurances that DTC will distribute to DTC Participants or that DTC Participants or others will distribute to the Beneficial Owners payments of principal and Redemption Price of and interest on the Bonds or any redemption or other notices or that they will do so on a timely basis or will serve and act in the manner described in this Official Statement. Neither the Authority, the Trustee nor the Corporation is responsible or liable for the failure of DTC or any DTC Participant or DTC Indirect Participant (as defined herein) to make any payments or give any notice to a Beneficial Owner with respect to the Bonds or any error or delay relating thereto.

ANNUAL DEBT SERVICE REQUIREMENTS

The following table sets forth, for each Bond Year ending May 15, the estimated amounts required to be made available for the payment of principal and interest due on the Bonds and for the total debt service on the Bonds. All amounts shown below have been rounded to the nearest whole dollar.

BOND YEAR ENDING MAY 15,	BONDS		TOTAL DEBT SERVICE
	PRINCIPAL	INTEREST	
2018	\$285,000	\$2,551,996	\$2,836,996
2019	480,000	2,362,550	2,842,550
2020	500,000	2,343,350	2,843,350
2021	505,000	2,323,350	2,828,350
2022	1,780,000	2,303,150	4,083,150
2023	1,865,000	2,214,150	4,079,150
2024	1,960,000	2,120,900	4,080,900
2025	2,055,000	2,022,900	4,077,900
2026	2,160,000	1,920,150	4,080,150
2027	2,260,000	1,812,150	4,072,150
2028	2,380,000	1,699,150	4,079,150
2029	2,480,000	1,603,950	4,083,950
2030	2,575,000	1,504,750	4,079,750
2031	2,675,000	1,401,750	4,076,750
2032	2,785,000	1,294,750	4,079,750
2033	2,895,000	1,183,350	4,078,350
2034	3,040,000	1,038,600	4,078,600
2035	3,200,000	886,600	4,086,600
2036	3,355,000	726,600	4,081,600
2037	3,485,000	592,400	4,077,400
2038	3,630,000	453,000	4,083,000
2039	3,775,000	307,800	4,082,800
2040	3,920,000	156,800	4,076,800
	<u>\$54,045,000</u>	<u>\$34,824,146</u>	<u>\$88,869,146</u>

SECURITY AND SOURCE OF PAYMENT FOR THE BONDS

GENERAL

The Bonds will be secured by the pledge of the Gross Revenue Fund and all of the Gross Revenues of the Corporation and the lien of the Deed of Trust. The Corporation may incur additional indebtedness secured on a parity basis with the Bonds, provided certain conditions are met. Except to the extent payable from Bond proceeds, investment earnings or proceeds of insurance or condemnation awards, the principal of and premium, if any, and the interest on the

Bonds are payable solely from Loan Repayments required to be paid by the Corporation to the Trustee under the Loan Agreement for deposit in the Revenue Fund, which in the aggregate are required to be in an amount sufficient for the payment in full of the Bonds, including interest, principal and any redemption premium, less any amounts available for such payment as provided in the Indenture.

INSURANCE

The principal of and interest on the Bonds will be insured by the Office. If moneys are not available to pay the principal of or interest on the Bonds, the Office will be obligated to continue to make payments on the Bonds or shall instruct the Trustee to declare the principal of all Bonds then Outstanding and interest accrued thereon to be due and payable immediately and make payment of such principal and interest. Upon the occurrence of certain events, the Office shall notify the Treasurer and the Treasurer shall issue debentures to the holders of the Bonds fully and unconditionally guaranteed by the State in an amount equal to the principal of and accrued interest on the Bonds. See “CALIFORNIA HEALTH FACILITY CONSTRUCTION LOAN INSURANCE PROGRAM” herein.

OFFICE DEEMED HOLDER OF BONDS AND OFFICE’S CONTROL OF REMEDIES

For as long as the Contract of Insurance is in effect and the Office is not in default thereunder, the Office is deemed to be the holder of the Bonds for purposes of (i) exercising all remedies and directing the Trustee to take actions or for any other purposes following an Event of Default under the Indenture, and (ii) granting any consent, direction or approval or taking any action permitted by or required under the Indenture or the Loan Agreement, as the case may be, to be granted or taken by the holders of such Bonds (including consenting to amendments to the Indenture or the Loan Agreement that materially adversely affect the interest of the holders of the Bonds). Anything in the Indenture or the Loan Agreement to the contrary notwithstanding, upon the occurrence and continuance of an Event of Default, the Office shall be entitled to control and direct the enforcement of all rights and remedies granted to the holders or the Trustee for the benefit of the holders of the Bonds. See APPENDIX D—“SUMMARY OF PRINCIPAL DOCUMENTS—INDENTURE—Events of Default under the Indenture and Remedies—Control Rights of the Office.”

PLEDGE OF GROSS REVENUES

Subject to the terms of the Loan Agreement and the Regulatory Agreement, the Gross Revenues of the Corporation are pledged to secure the payment of Loan Repayments and the performance by the Corporation of its obligations under the Contract of Insurance and the Regulatory Agreement and with respect to Parity Debt.

“Gross Revenues” is defined in the Regulatory Agreement as all revenues, income, receipts and money received in any period by the Corporation, including, but without limiting the generality of the foregoing, the following: (a) gross revenues derived from its operation and possession of and pertaining to its properties, (b) proceeds with respect to, arising from, or

relating to its properties and derived from (1) insurance (including business interruption insurance) or condemnation proceeds (except to the extent such proceeds are required by the terms of the Regulatory Agreement or other agreements with respect to the Indebtedness which the Corporation is permitted to incur pursuant to the terms of the Regulatory Agreement) to be used for purposes inconsistent with their use for the payment of Loan Repayments, Additional Payments or similar payments with respect to Parity Debt, (2) accounts, including but not limited to, accounts receivable, (3) securities and other investments, (4) inventory and intangible property, (5) payment/reimbursement programs and agreements, and (6) contract rights, accounts, instruments, claims for the payment of moneys and other rights and assets now or hereafter owned, held or possessed by or on behalf of the Corporation, and (c) rentals received from the lease of the Corporation's properties or space in the Facilities; provided, however, that there shall be excluded from Gross Revenues (i) any amounts received by the Corporation as a billing agent for another entity, except for fees received for serving as billing agent, (ii) gifts, grants, bequests, donations and contributions to the Corporation heretofore or hereafter made, and the income and gains derived therefrom, which are specifically restricted by the donor or grantor to a particular purpose which is inconsistent with their use for Loan Repayments, Additional Payments or similar payments with respect to Parity Debt, (iii) any moneys received by the Corporation from prospective residents or commercial tenants in order to pay for customized improvements to those residential living units or other areas of the Corporation's facilities to be occupied or leased to such residents or tenants, (iv) payments or deposits under a residency agreement that by its terms or applicable law are required to be held in escrow or trust for the benefit of a resident until the conditions for the release of such payment or deposit have been satisfied, and (v) all deposits and/or advance payments made in connection with any residency of the residential living units or other areas of the Corporation's facilities to be occupied by residents or tenants and received prior to receipt of such certificate and licenses for occupancy of such units.

Pursuant to the Loan Agreement, the Corporation agrees that, so long as any of the Loan Repayments or any Additional Payments remain unpaid, all Gross Revenues shall be deposited as soon as practicable upon receipt with a depository bank or banks (the "*Depository Bank(s)*") in a deposit account or accounts designated as the "Gross Revenue Fund." The Corporation pledges and assigns and grants a security interest (to the extent permitted by law) to the Trustee and to the Office in all its right, title and interest, whether owned at the time the Loan Agreement is executed or thereafter acquired, in and to the Gross Revenues, the Gross Revenue Fund and the proceeds thereof (collectively, the "*Collateral*") of the Corporation to secure the payment of the Loan Repayments, Additional Payments (consisting generally of fees and charges of the Trustee, taxes, accountants' fees and any fees and expenses of the Authority associated with the Bonds) and the performance by the Corporation of the other obligations under the Loan Agreement, the Contract of Insurance and the Regulatory Agreement and with respect to any Parity Debt.

Gross Revenues and amounts in the Gross Revenue Fund may be used and withdrawn by the Corporation at any time and for any lawful purpose, except as provided in the Loan Agreement. If the Corporation is delinquent for more than one Business Day in the payment of any Loan Repayment, Additional Payment or payment with respect to any Parity Debt, the Authority or the Trustee shall notify the Corporation, the Office and the Depository Bank(s) of

such delinquency in writing, and, unless such Loan Repayment, Additional Payment or any payment required with respect to any Parity Debt is paid within 10 days after receipt of such notice, exclusive control over the Gross Revenue Fund shall be exercised by the Office (provided the Contract of Insurance is in effect and the Office is not in default thereunder), for itself and as collateral agent for the Trustee, as provided in a deposit account control agreement to be entered into among the Depository Bank(s), the Corporation, the Office and the Trustee. All Gross Revenues of the Corporation shall continue to be deposited in the Gross Revenue Fund and the Office or the Trustee, as applicable, shall continue to exercise exclusive control over the Gross Revenue Fund until the amounts on deposit in said fund are sufficient to pay in full, or have been used to pay in full, all Loan Repayments, Additional Payments and payments with respect to any Parity Debt then in default and all other then-existing Loan Default Events and events of default with respect to any Parity Debt actually known to the Office or the Trustee, as applicable, shall have been made good or cured to the satisfaction of the Office or the Trustee, as applicable, or provision deemed by the Office or the Trustee, as applicable, to be adequate shall have been made therefor, pursuant to the terms of the Indenture and the Loan Agreement.

During any period that the Gross Revenue Fund is subject to the exclusive control of the Office or the Trustee, as applicable, the Trustee will use the withdrawn amounts in such fund from time to time to make Loan Repayments, Additional Payments, and other payments required of the Corporation by the Loan Agreement or with respect to any Parity Debt when due (whether by maturity, redemption, acceleration or otherwise), and, if such amounts shall not be sufficient to pay in full all such payments when due, then to the payment of Loan Repayments, Additional Payments and debt service on any Parity Debt ratably, without any discrimination or preference, and to such other payments in the order that the Office or the Trustee, as applicable, in its discretion, determines to be in the best interests of the holders of the Bonds and any Parity Debt, without discrimination or preference. During any period that the Gross Revenue Fund is subject to the exclusive control of the Office or the Trustee, as applicable, the Corporation shall not be entitled to use or withdraw any of the Gross Revenues unless and to the extent that the Office or the Trustee, as applicable, in its sole discretion so directs for the payment of current or past due operating expenses of the Corporation; *provided, however*, that the Corporation may submit requests to the Office or the Trustee, as applicable, as to which expenses to pay and in which order.

The foregoing pledge of the Collateral will be perfected to the extent that such security interests can be perfected by filing, notice or control under the Uniform Commercial Code of the State of California and may, in several instances, be subordinated to the interest and claims of others. Some examples of cases of subordination or prior claims are (i) statutory liens, (ii) rights arising in favor of the United States of America or any agency thereof, (iii) present or future prohibitions against assignment in any federal statutes or regulations, (iv) constructive trusts, equitable liens or other rights impressed or conferred by any state or federal court in the exercise of its equitable jurisdiction, (v) federal or State of California bankruptcy or insolvency laws that may affect the enforceability of the Loan Agreement or pledge of Gross Revenues and (vi) rights of third parties in Gross Revenues converted to cash and not in the possession of the Trustee or the Depository Bank(s). In addition, enforceable security interests in certain types of Gross Revenues (*e.g.*, restricted donations, certain insurance proceeds, payments from Medicare, and

other revenues derived from governmental programs) prior to actual receipt by the Corporation for deposit in the Gross Revenue Fund can be difficult to obtain.

DEED OF TRUST

Pursuant to the Deed of Trust, the Corporation will grant to the trustee thereunder, for the benefit of the Office and the Trustee (as assignee of the Authority), as trustee for the Holders of the Bonds, and any Parity Debt, a first lien on and security interest in the real property, rents and leases, personal property and fixtures relating to the Community (collectively, the “*Collateral Property*”), subject to Permitted Encumbrances, as security for the performance of the Corporation’s obligations under the Regulatory Agreement, the Loan Agreement and the Contract of Insurance. The total book value of the Collateral Property constituted approximately 100% of the book value of all property, plant and equipment of the Corporation as of December 31, 2016.

For as long as the Office is obligated under the Contract of Insurance, all rights and remedies under the Deed of Trust shall be exercised solely by the Office. With the consent of the Office and the Corporation, the Deed of Trust may be further amended, subordinated or terminated at any time without the consent of the Trustee, the holders of Bonds, holders of Parity Debt or the Authority. See APPENDIX D—“SUMMARY OF PRINCIPAL DOCUMENTS—DEED OF TRUST.”

For a further description of the provisions of the Loan Agreement, the Indenture and the Deed of Trust, see APPENDIX D—“SUMMARY OF PRINCIPAL DOCUMENTS” hereto.

TITLE INSURANCE

An ALTA insurance policy on the real property subject to the Deed of Trust in an aggregate amount not less than the aggregate principal amount of the Bonds will be delivered at the time of the issuance of the Bonds.

BOND RESERVE ACCOUNT

A Bond Reserve Account for the Bonds (the “*Bond Reserve Account*”) will be established and funded under the terms of the Indenture. Amounts on deposit in the Bond Reserve Account shall be used and withdrawn by the Trustee solely for the purpose of making up a deficiency in the Interest Account or Principal Account (but, in each case, only with the consent of the Office, provided the Office is not in default of its obligations under the Contract of Insurance) or (together with any other moneys available therefor) for the payment or redemption of all Bonds then Outstanding. The Bond Reserve Account shall be valued semi-annually on (or more frequently if requested in writing by the Corporation, but not more frequently than quarterly) by the Trustee. In the event the balance in the Bond Reserve Account shall be less than the Bond Reserve Account Requirement, the Corporation shall replenish such account, within 30 days of receiving notice of such deficiency, with the amount necessary to increase the balance in the Bond Reserve Account to an amount at least equal to the Bond Reserve Account

Requirement. See APPENDIX D—“SUMMARY OF PRINCIPAL DOCUMENTS—INDENTURE—Investment of Moneys in Funds and Accounts” and “—Allocation of Revenues.”

On the date of delivery of the Bonds, an amount equal to the Bond Reserve Account Requirement (\$2,043,300) will be deposited in the Bond Reserve Account. The “Bond Reserve Account Requirement” is defined in the Indenture to be, as of any date of calculation, an amount equal to the lesser of (a) 50% of Maximum Annual Debt Service on all Bonds then Outstanding, (b) 125% of average annual debt service on the Bonds then Outstanding and (c) 10% of the outstanding principal amount of the Bonds.

See APPENDIX D—“SUMMARY OF PRINCIPAL DOCUMENTS—INDENTURE—Allocation of Revenues” and “—Bond Reserve Account.”

NO FINANCIAL COVENANTS IN LOAN AGREEMENT

Due to the Contract of Insurance entered into by the Authority and the Office, the Loan Agreement does not contain financial or operational covenants relating to the operations of the Corporation, such as limitations on the ability of the Corporation to incur indebtedness, to dispose of property, or to create liens on property. Additionally, the Loan Agreement does not require the Corporation to maintain revenues at levels sufficient to provide coverage of debt service on the Bonds or any other indebtedness. The Regulatory Agreement contains such covenants, but such covenants may be waived or amended by the Office without the necessity of obtaining the consent of the Holders of the Bonds, the Authority or any other party. See APPENDIX D—“SUMMARY OF PRINCIPAL DOCUMENTS—LOAN AGREEMENT” and “—REGULATORY AGREEMENT.”

RATE COVENANT, CURRENT RATIO COVENANT AND DAYS CASH ON HAND COVENANT

Under the Regulatory Agreement, the Corporation is required to fix, charge and collect rates, fees and charges that, together with all other receipts and revenues of the Corporation and any other funds available therefor, are reasonably projected to be sufficient in each Fiscal Year to produce a Debt Service Coverage Ratio of at least 1.25 for such Fiscal Year, commencing with the Fiscal Year ending February 28, 2018. For purposes of this requirement, “*Debt Service Coverage Ratio*” means the ratio of Net Income Available for Debt Service to Maximum Aggregate Annual Debt Service.

The Regulatory Agreement also requires the Corporation to maintain, as of the end of each Fiscal Year, commencing with the Fiscal Year ending February 28, 2018, a Current Ratio of at least 1.50:1.0. For purposes of this requirement, “*Current Ratio*” shall mean a ratio of current assets to current liabilities, as determined in accordance with generally accepted accounting principles and as shown on the Corporation’s audited financial statements for such Fiscal Year.

In addition, the Regulatory Agreement requires the Corporation to maintain, as of the end of each Fiscal Year, commencing with the Fiscal Year ending February 28, 2018, not less than 120 Days Cash on Hand, as shown on the Corporation’s audited financial statements for such

Fiscal Year. For purposes of this requirement, “*Days Cash on Hand*” shall mean, for any Fiscal Year, the quotient obtained by dividing (1) the Corporation’s cash and cash equivalents, including board designated funds and funded depreciation, but excluding donor-restricted funds and proceeds of short-term debt, as of the end of such Fiscal Year by (2) the quotient of dividing (a) the Corporation’s operating expenses (excluding depreciation, amortization, allowance for bad debts, and any other noncash expenses) for such Fiscal Year by (b) the number of days in such Fiscal Year.

The Corporation covenants and agrees under the Regulatory Agreement that within one hundred twenty (120) days after the end of each Fiscal Year, the Corporation shall compute the Debt Service Coverage Ratio, the Current Ratio and the Days Cash on Hand for such Fiscal Year and promptly furnish to the Authority, the Trustee and the Office a Statement setting forth the results of such computation.

The Corporation further covenants and agrees under the Regulatory Agreement that if, at the end of such Fiscal Year, it has failed to maintain (i) the Debt Service Coverage Ratio, (ii) the Current Ratio, or (iii) the Days Cash on Hand, in the amounts required by the Regulatory Agreement described above under this subheading, it will promptly employ a Management Consultant to make recommendations as to a revision of the rates, fees and charges of the Corporation or the methods of operation of the Corporation which will result in producing (x) a Debt Service Coverage Ratio, (y) a Current Ratio and (z) Days Cash on Hand, as required by the provisions of the Regulatory Agreement described above by the end of the current Fiscal Year; *provided, however*, the Corporation need not so employ a Management Consultant if the Office consents, in writing, to a waiver of said covenant to employ a Management Consultant. The Corporation shall, to the extent feasible, promptly upon its receipt of such recommendations, subject to applicable requirements or restrictions imposed by law, revise its rates, fees and charges or its methods of operation or collections and shall take such other action as shall be in conformity with such recommendations; *provided, however*, the Corporation need not make such revisions or take such actions in conformity with such recommendations if (1) the Board of Directors of the Corporation makes a good faith determination that such recommendations, in whole or in part, are not in the best interests of the Corporation, and (2) the Office gives its written consent to the effect that the Corporation need not comply, in whole or in part, with such recommendations. In the event that the Corporation fails to comply with the recommendations of the Management Consultant, the Office may replace existing management with new management, which shall be chosen unilaterally by the Office.

If the Corporation complies in all material respects with the reasonable recommendations of the Management Consultant in respect to said rates, fees, charges and methods of operation or collection, the Corporation will be deemed to have complied with the foregoing covenants for such Fiscal Year, notwithstanding that the Debt Service Coverage Ratio, the Current Ratio or the Days Cash on Hand shall be less than the amount required by the provisions of the Regulatory Agreement described in the foregoing paragraphs; *provided*, that (1) this sentence shall not be construed as in any way excusing the Corporation from taking any action or performing any duty required under the Regulatory Agreement or be construed as constituting a waiver of any other event of default under the Regulatory Agreement and (2) Debt Service Coverage Ratio shall be at least equal to 1.0 times for such Fiscal Year.

The above-described covenants contained in the Regulatory Agreement may be waived or amended by the Office without the necessity of obtaining the consent of the owners of the Bonds, the Authority or any other party. For a further description of the Debt Service Coverage Ratio covenant, the Current Ratio covenant and the Days Cash on Hand covenant, *see* APPENDIX D—“SUMMARY OF PRINCIPAL DOCUMENTS—REGULATORY AGREEMENT—Rates and Charges; Debt Coverage; Current Ratio; Days Cash on Hand.”

PARITY DEBT; OTHER INDEBTEDNESS

In addition to its obligations with respect to the Bonds, the Corporation may incur other indebtedness that may be secured by a security interest in Gross Revenues and the lien of the Deed of Trust on a parity with the Corporation’s obligation to make Loan Repayments under the Loan Agreement, if issued for the purposes and subject to the conditions provided in the Regulatory Agreement. Parity Debt may not be incurred unless it is insured by the Office or, if the Parity Debt can be issued as such without being insured under the Insurance Law, it is issued with the consent of the Office. *See* APPENDIX D—“SUMMARY OF PRINCIPAL DOCUMENTS—REGULATORY AGREEMENT—Parity Debt.”

As noted under the heading “PLAN OF FINANCING” below, the Corporation intends to request the Authority to issue an additional series of bonds (the “*Project Bonds*”) subsequent to the issuance of the Bonds for the benefit of the Corporation. The proceeds of the Project Bonds will be used to finance the costs of certain capital improvements to the Community (collectively, the “*Project*”). For a description of the Project to be financed with the proceeds of the Project Bonds, *see* “THE PROJECT” herein. The Project Bonds are expected to be issued within six months of the issuance of the Bonds. The Project Bonds will constitute Parity Debt and will be secured by a security interest in Gross Revenues and the lien of the Deed of Trust on a parity with the Bonds.

LIMITED LIABILITY OF THE AUTHORITY

NONE OF THE AUTHORITY, ANY AUTHORITY MEMBER OR ANY PERSON EXECUTING THE BONDS IS LIABLE PERSONALLY ON THE BONDS OR SUBJECT TO ANY PERSONAL LIABILITY OR ACCOUNTABILITY BY REASON OF THEIR ISSUANCE. THE BONDS ARE LIMITED OBLIGATIONS OF THE AUTHORITY, PAYABLE SOLELY FROM AND SECURED BY THE PLEDGE OF CERTAIN REVENUES UNDER THE INDENTURE. NEITHER THE AUTHORITY, ITS MEMBERS, THE STATE OF CALIFORNIA, NOR ANY OF ITS POLITICAL SUBDIVISIONS SHALL BE DIRECTLY, INDIRECTLY, CONTINGENTLY OR MORALLY OBLIGATED TO USE ANY OTHER MONEYS OR ASSETS TO PAY ALL OR ANY PORTION OF THE DEBT SERVICE DUE ON THE BONDS, TO LEVY OR TO PLEDGE ANY FORM OF TAXATION WHATEVER THEREFOR OR TO MAKE ANY APPROPRIATION FOR THEIR PAYMENT (EXCEPT TO THE EXTENT EXPRESSLY PROVIDED THROUGH THE INSURANCE PROGRAM DESCRIBED HEREIN). THE BONDS ARE NOT A PLEDGE OF THE FAITH AND CREDIT OF THE AUTHORITY, ITS MEMBERS, THE STATE OF CALIFORNIA OR ANY OF ITS POLITICAL SUBDIVISIONS, NOR DO THEY CONSTITUTE INDEBTEDNESS WITHIN THE MEANING OF ANY CONSTITUTIONAL OR STATUTORY DEBT LIMITATION. THE AUTHORITY HAS NO TAXING POWER.

CALIFORNIA HEALTH FACILITY CONSTRUCTION LOAN INSURANCE PROGRAM

DESCRIPTION OF THE INSURANCE POLICY

General. The Corporation has received a conditional commitment from the Office for insurance of the Corporation's payment of the principal and interest with respect to the Bonds. Insurance of the full amount of the principal and interest with respect to the Bonds (but not any premium) is evidenced by the Contract of Insurance and the Regulatory Agreement, both of which will be entered into by the Office, the Authority and the Corporation, concurrently with the execution and delivery of the Bonds. See APPENDIX E—"FORM OF CONTRACT OF INSURANCE" for the form and terms of the insurance provided by the Office. The Regulatory Agreement sets out many of the financial covenants of the Corporation relating to, among other things, the maintenance of specified debt service coverage levels and the limitations on incurrence of additional indebtedness or disposition of assets by the Corporation. Prospective holders of the Bonds should note that the provisions of the Regulatory Agreement may be amended with the consent of the Office without the necessity of obtaining the consent of the owners of the Bonds or the holders of Parity Debt. See "CALIFORNIA HEALTH FACILITY CONSTRUCTION LOAN INSURANCE PROGRAM—Description of the Insurance Policy – Rights of the Office Under the Regulatory Agreement" herein and APPENDIX D—"SUMMARY OF PRINCIPAL DOCUMENTS—REGULATORY AGREEMENT."

Insurance Law Section 129050, subsection (a) requires that a loan must be secured by a first mortgage, first deed of trust or first priority lien on an interest of the borrower in real property and any other security agreement as the Office may require. For this purpose, the Corporation will grant a security interest in the Gross Revenue Fund and all of the Gross Revenues under the Loan Agreement and the Regulatory Agreement and the Corporation will enter into the Deed of Trust. Prospective holders of the Bonds should note that the provisions of the Deed of Trust may be amended, subordinated or terminated at any time with the consent of the Office without the necessity of obtaining the consent of the holders of the Bonds or the holders of Parity Debt.

Incontestability and Non-Cancellability. Under Insurance Law Section 129110, the Contract of Insurance is incontestable from the date of execution thereof, except in case of fraud or misrepresentation on the part of the lender. The Insurance Law and the Contract of Insurance impose certain continuing obligations on the Corporation as a condition of insuring the Bonds but specify that the remedies for breach of these obligations shall not include withdrawal or cancellation of the insurance. The insurance provided by the Contract of Insurance will terminate under certain circumstances, including payment in full by the Office of the insurance with respect to the Bonds or defeasance of the Bonds pursuant to the Indenture, as more fully described in APPENDIX E—"FORM OF CONTRACT OF INSURANCE."

Procedures upon Default. If there is an event of default as specified under the Indenture or the Loan Agreement, the Trustee must notify the Office. The Trustee also must notify the Office if 30 days prior to an Interest Payment Date or Principal Payment Date there are not sufficient available moneys held by the Trustee in the Revenue Fund (other than in the Bond Reserve Account) to make the next payment of principal or interest with respect to the Bonds.

Pursuant to the Regulatory Agreement and the Indenture, if there is an Event of Default under the Indenture and the Trustee has notified the Office that available moneys in the Principal and Interest Account will be insufficient to pay in full the next succeeding payment of interest and/or principal on the Bonds when due, the Office shall cause a sufficient amount to be deposited in the Principal Account and/or Interest Account at least three Business Days prior to the date on which such payment is due. The money will come from the Bond Reserve Account held under the Indenture or from the Health Facility Construction Loan Insurance Fund (the “HFCLIF”) that is established by the Insurance Law (Sections 129010, subsection (g) and 129200). The obligation of the Corporation to repay any money advanced from the HFCLIF is secured by the Deed of Trust.

Following an Event of Default, the Office may (i) continue to approve such transfers or make such payments described in the preceding paragraph as are necessary to provide for the timely payment of the principal of and interest with respect to the Bonds, (ii) accept title to the Facilities from the Trustee upon foreclosure pursuant to the Deed of Trust or otherwise, (iii) accept an assignment of the security interest created under the Deed of Trust and of all claims under the Indenture, or (iv) instruct the Trustee to declare the principal of the Bonds then Outstanding and the interest with respect thereto to be immediately due and payable and make such payment from the HFCLIF. If funds in the HFCLIF are not sufficient to make the required payments described above, the Office shall notify the Treasurer who is required to issue debentures in place of such Bonds. See “THE OFFICE, THE INSURANCE PROGRAM AND THE INSURANCE FUND—State Debentures” below.

Rights of the Office under the Regulatory Agreement. The Regulatory Agreement grants the Office extensive rights, including the right to attend and participate in all meetings of the Corporation’s Board of Directors. Additionally, the Regulatory Agreement prohibits the Corporation from taking certain actions without first obtaining the consent of the Office or meeting certain requirements in the Regulatory Agreement, including affiliating with, merging into, or consolidating with any entity; transferring cash or cash equivalents to any entity, including but not limited to a subsidiary or an affiliate of the Corporation; disposing of or acquiring property; and incurring indebtedness. Additionally, upon the occurrence of an event of default under the Regulatory Agreement, the Deed of Trust or the Indenture, the Office shall have the remedies provided in Insurance Law Section 129173. See APPENDIX D—“SUMMARY OF PRINCIPAL DOCUMENTS—REGULATORY AGREEMENT.”

Rate Covenant and Other Financial Covenants. Under the Regulatory Agreement and the Loan Agreement, the Corporation is required to fix, charge and collect, or cause to be fixed, charged and collected, subject to applicable requirements or restrictions imposed by law, such rates, fees and charges which, together with all other receipts and revenues of the Corporation and any other funds available therefor, are reasonably projected to be sufficient in each Fiscal Year, to produce a Debt Service Coverage Ratio equal to at least 1.25. The Regulatory Agreement also requires the Corporation to maintain, as of the end of each fiscal year, a Current Ratio of at least 1.50 to 1 and at least 120 Days Cash on Hand. The measurement of Days Cash on Hand is taken at the end of each particular fiscal year. Covenants contained in the Regulatory Agreement may be waived or amended by the Office without the necessity of obtaining the consent of the holders of the Bonds, the Authority or any other party. For more specific

information relating to these covenants, *see* APPENDIX D—“SUMMARY OF PRINCIPAL DOCUMENTS—REGULATORY AGREEMENT.” The Bonds will continue to be insured by the Office in the manner described above even if an Event of Default were to occur under financial or other covenants made by the Corporation.

THE OFFICE, THE INSURANCE PROGRAM AND THE INSURANCE FUND

General. The California Health Facility Construction Loan Insurance Program (the “*Insurance Program*”) is authorized by Article XVI, Section 4 of the California Constitution and is provided for in the Insurance Law. The Insurance Program is operated by the Office, which has adopted regulations implementing the Insurance Program. Under the Insurance Law, the Office is currently authorized to insure health facility construction, improvement and expansion loans, as specified in the Insurance Law. Entities which may obtain insurance for their facilities include both public agencies and nonprofit corporations, and authorized health facilities include a wide range from acute care facilities to local clinics, dependency centers and community mental health centers. The Insurance Law authorizes the Insurance Program to insure not more than \$3,000,000,000 principal amount of loans at any time. As of December 31, 2016, the principal amount of loans insured under the Insurance Program was approximately \$1,682,810,625 comprised of 89 loans.

Finances of the Insurance Program; Financial Reports. The Insurance Program is financed by an application fee of 0.5% of the loan applied for, but not to exceed \$500 (Insurance Law section 129090), an inspection fee not in excess of 0.4% of the loan that is insured (Insurance Law section 129035), and an insurance premium due in full at closing not in excess of 3.0% of the total amount of principal and interest payable over the term of the loan (Insurance Law section 129040). The fees and premiums charged are deposited in the HFCLIF and are used to defray administrative expenses of the Insurance Program, to cure defaults on loans and to pay principal of and interest on insured bonds and certificates of participation prior to issuance of debentures by the Treasurer.

Under the Insurance Law, payments of principal and interest with respect to the Bonds or payments on the debentures would be made by the Office from the HFCLIF. As of December 31, 2016, the cash balance of the HFCLIF was approximately \$167,439,076. The monies in the HFCLIF are continuously appropriated to pay obligations insured by the Office under the Insurance Law. Insurance Law section 129215 states: “The Health Facility Construction Loan Insurance Fund, established pursuant to Section 129200, shall be a trust fund and neither the fund nor the interest or other earnings generated by the fund shall be used for any purpose other than those purposes authorized by this chapter.” The moneys in the HFCLIF are invested in the State’s Pooled Money Investment Account.

The Office is required by law to submit certain reports to the Legislature, consisting of two Annual Reports, and a State Plan. The State Plan is prepared every two years, as of January 1 of each odd-numbered year. The 2013 State Plan is available at the website of the Office, <http://www.oshpd.ca.gov/CalMort>. The 2015 State Plan has not yet been released but is expected to be available in 2017. The Annual Reports to the Legislature for the year ended June 30, 2014 (the “*2014 Annual Reports*”), are available at the website of the Office. The

Office also prepares monthly reports containing limited financial data. The most recent monthly report available from the Office is available at the website of the Office.

The following table provides certain statistics for the Insurance Program as of the end of the last five fiscal years for which reports are available from the Office:

	FISCAL YEAR ENDED JUNE 30				
	2012	2013	2014	2015	2016
Number of Loans Insured	122	117	109	105	91
Principal Amount of Loans Insured	\$1,708,991,110	\$1,726,980,115	\$1,671,379,249	\$1,784,501,704	\$1,637,990,120
Cash Balance of HFCLIF	\$172,924,033	\$168,822,959	\$174,289,633	\$174,317,510	\$166,632,464

Insurance Program Loans; Status of Borrowers. The future financial status of the Insurance Program is directly affected by the financial performance of the borrowers in the Insurance Program and their current and projected ability to repay their loans. The Office has established a rating system to implement objective criteria and continues to monitor each borrower for compliance with loan covenants assigning a risk rating (A to F) to that borrower and all its loans.

The risk ratings have a corresponding relationship to the financial status of the borrower and risk to the HFCLIF:

A Rating—no material problems;

B Rating—minor problems such as one or more of the following: for more than one fiscal year, some of the borrower's covenant requirements have not been met; the borrower's financial trends indicate potential problems; the borrower is more than 6 months late in providing its financial and other reports as required by its Regulatory Agreement;

C Rating—serious problems, such as one or more of the following: the borrower's last insured loan payment was not paid within 30 days of the delinquency date defined in the borrower's Regulatory Agreement; the borrower's days cash on hand is low; the last calculation of the insured debt service coverage ratio was below 1.0 and the project does not have a substantial cash cushion either in days cash on hand or in relation to amount of insured debt; payables and receivables indicate inappropriate lag time; economic indicators locally, regionally or statewide are impacting the borrower; management turnover and/or board oversight is in question; borrower has filed for bankruptcy protection but is making full payments on insured debt;

D Rating—very serious problems such as one or more of the following: the debt service reserve fund has been invaded and the borrower is not making substantial progress in fully replenishing its debt service reserve fund, pursuant to the loan documents; financial trends have been escalating downward with no action plan in place to correct the problem; the borrower's days cash on hand is exceedingly low, such that it

does not appear that the borrower will be able to make its next payroll; payment(s) are not being made and HFCLIF may be used within the next 12 months;

E Rating— payments have been or are being made from the HFCLIF, but full recovery is expected. The Office has a work out plan with the borrower; and

F Rating—payments have been or are being made from the HFCLIF and loss of some magnitude is expected.

As of December 31, 2016, there was one borrower with two loans in the portfolio with D Ratings, two borrowers with a total of five loans with E Ratings, and no borrowers with an F Rating; the total outstanding principal balance of these D and E rated borrowers' loans was \$57,370,000.

Since the start of the Insurance Program in 1972, through December 31, 2016, 20 borrowers (with 28 loans) have defaulted with all required payments coming from the HFCLIF (without cost to the State General Fund). Kern Valley Healthcare District ("*Kern Valley*") defaulted on its loan in the fiscal year ended June 30, 2011, and required payments from the HFCLIF during calendar year 2016 of approximately \$570,000. As of December 31, 2016, the Office anticipates that Kern Valley will require advances from the HFCLIF of approximately \$3,328,000 through August, 2021. Kern Valley is making partial payments through a workout agreement with the Office and the shortfall is expected to be repaid with interest starting in August 2021 through August 2029. On October 17, 2012, Mendocino Coast Health Care District ("*Mendocino Coast*") entered Chapter IX bankruptcy. The Office was insuring three bond issues totaling \$9,205,000 and a bank line of credit of \$1,000,000 for Mendocino Coast at the time of the bankruptcy. When Mendocino Coast entered bankruptcy, the bank declared the line of credit in default and the Office paid on its insurance and asserted the claim in bankruptcy. The Office and Mendocino Coast reached a settlement agreement which restructured the line of credit loan, but results in no loss to the Office. Mendocino Coast continued to make bond payments, and on March 31, 2015, emerged from bankruptcy. In 2016, the Office insured a bond to refinance the three prior Mendocino Coast bond issues. As of December 31, 2016, Mendocino Coast continues to make payments on the restructured line of credit loan and the Office insured bond.

The largest defaulted loan in the Insurance Program was a loan to Triad Healthcare Corporation in the original amount of \$182.3 million. The project is no longer in existence and the Triad loan is carried as a long-term liability of the Insurance Program. In December 2013, a portion of the outstanding bonds were refunded so the Insurance Program could realize interest expense savings. As of June 30, 2016, the remaining principal balance of the Triad loan is \$48,665,000, and the payments from the HFCLIF (net of recoveries) for the Triad loan have been \$192,813,176. The HFCLIF will make payments for the Triad loan of approximately \$11.5 million each year until August 1, 2018, \$12.1 million in 2019 and 2020, and a final payment of \$8.2 million on August 1, 2021.

State Debentures. In the event the obligations of the HFCLIF to pay on an issue of defaulted bonds or certificates of participation exceeds the available balances in the HFCLIF,

and upon receipt by the Office of title to subject facilities or assignment of the security interest in a deed of trust and upon surrender of the defaulted bonds or certificates of participation to the Office, the Office shall notify the Treasurer and request the Treasurer to issue debentures to the holders of the defaulted bonds and certificates of participation so surrendered. Pursuant to Insurance Law section 129160, subsection (a), (1) the debentures shall bear interest at a rate equal to the insured loan or bonds, and shall be payable on a payment schedule identical to payments on the insured loan or bond; (2) the debentures are fully and unconditionally guaranteed as to principal and interest by the State; and (3) the amounts to be paid on the debentures will be continuously appropriated from the General Fund of the State Treasury. Insurance Law section 129160, subsection (b) provides, “Any debenture issued under this article shall be paid on par with general obligation bonds issued by the state.” See “CERTAIN FINANCIAL INFORMATION REGARDING THE STATE” and “RATING” herein.

While the Office has not requested the issuance of and the Treasurer has not issued any such debentures since the inception of the Insurance Program, the Office, the Treasurer and the State Department of Finance have entered into a memorandum of understanding in December 2016 establishing procedures for the issuance of debentures (the “*Memorandum of Understanding*”). A copy of the Memorandum of Understanding is available upon request to: Office of Statewide Health Planning and Development, Cal-Mortgage Loan Insurance Division, 400 R Street, Suite 470, Sacramento, CA 95811, Telephone: (916) 319-8800; e-mail: cminsure@oshpd.ca.gov. It is expected that, to the same extent as interest on the Bonds is not includable in the gross income of the holders thereof for purposes of federal income taxation, interest on the debentures would not be includable in the gross income of the holders, and that interest on debentures would be exempt under the law as in effect on the date hereof from State personal income taxes. Upon the occurrence of certain Events of Default under the Indenture, there is the possibility that the interest on the Bonds could become subject to federal income taxation. The Indenture provides that there shall be no acceleration of the principal and interest on the Bonds upon the occurrence of an Event of Default under the Indenture without the consent of the Office. If the Bonds were declared taxable by the IRS or another appropriate authority, thereby resulting in an Event of Default under the Indenture, and if the Office did not consent to an acceleration, the holders of the Bonds (and holders of any debentures exchanged for such Bonds) would continue to receive interest payments, but those interest payments would not be excludable from gross income for federal income tax purposes. See APPENDIX D—“SUMMARY OF PRINCIPAL DOCUMENTS—INDENTURE—Events of Default under the Indenture and Remedies.”

Actuarial Study. The Office obtains an independent actuarial review of the HFCLIF every two years. At the request of the Office, Oliver Wyman Actuarial Consulting, Inc. (“*Oliver Wyman*”) completed a study in July 2016 (the “*2014 Actuarial Study*”) to evaluate, among other matters, (1) the reserve sufficiency of the HFCLIF as of June 30, 2014; and (2) the risk to the State’s General Fund from the Insurance Program. Oliver Wyman compared the HFCLIF cash balance as of June 30, 2014 of \$174.29 million against the reserve and capital requirements standards set by the California Department of Insurance for private financial guaranty insurers; the 2014 Actuarial Study indicated that the Insurance Program’s assets were at least \$74.69 million below the level which would be required by the California Department of Insurance standards for private insurers (including reserves for projects which were anticipated to default in fiscal year 2014/15). As to the second subject, the 2014 Actuarial Study indicated that the

HFCLIF as of June 30, 2014 under the “expected scenario” (which scenario assumed, among other things, a 6.20% default rate) would maintain a positive balance until at least the forecast period of 2043/2044. Even under the “most pessimistic scenario” in which a 10% probability of catastrophic loss was used, the 2014 Actuarial Study indicated that there was a 70% likelihood that HFCLIF reserves as of June 30, 2014 would protect against any General Fund losses until at least 2022/23, and a 90% likelihood that HFCLIF reserves as of June 30, 2014 would protect against any General Fund losses until at least 2019/20.

The 2014 Actuarial Study is based on stated assumptions and estimates including, but not limited to, default rates, investment yields, termination rates, claim severities, catastrophic losses and payment patterns. Variation from such estimates or assumptions may cause actual results to vary from the analysis in the 2014 Actuarial Study and such variations could be material. A copy of the 2014 Actuarial Study is available upon request to: Office of Statewide Health Planning and Development, Cal-Mortgage Loan Insurance Division, 400 R Street, Suite 470, Sacramento, CA 95811, Telephone: (916) 319-8800; e-mail: cminsure@oshpd.ca.gov. The actuarial study as of June 30, 2016 (the “*2016 Actuarial Study*”) has not yet been completed. The 2016 Actuarial Study is expected to be available in 2017 and will be posted to the website of the Office.

See “BONDHOLDERS’ RISKS—State Bond Insurance” for a discussion of the risks related to the Insurance. See “RATING” in this Official Statement for a discussion of the rating the Bonds are expected to receive due to the insurance by the Office of the Bonds.

FOR A FURTHER DESCRIPTION OF THE REGULATORY AGREEMENT AND THE CONTRACT OF INSURANCE, SEE APPENDIX D—“SUMMARY OF PRINCIPAL DOCUMENTS” AND APPENDIX E—“FORM OF CONTRACT OF INSURANCE.”

CERTAIN FINANCIAL INFORMATION REGARDING THE STATE

Information about the financial condition of the State, including the State budget and State spending, is available at various State-maintained websites. Information concerning the current year State budget and the proposed Governor’s Budget for fiscal year 2017-18 (the “*Governor’s Budget*”) may be found at the website of the Department of Finance, www.dof.ca.gov, under the heading “California Budget.” Analyses of the current year budget and future budget proposals are posted from time to time by the independent Office of the Legislative Analyst at www.lao.ca.gov. Reference is made to the most recent preliminary official statement or official statement issued by the State in connection with general obligation bonds, lease revenue obligations or revenue anticipation notes, which can be accessed from the website of the State Treasurer’s office, www.treasurer.ca.gov, under the headings “Public Finance Division—Current Offerings” (for preliminary official statements) or through EMMA, a facility of the MSRB, at <http://emma.msrb.org> (for final official statements). All of such websites and other sources are provided for general informational purposes only and the material on such sites and from such resources is in no way incorporated into this Official Statement. Readers are cautioned that such information is not necessarily fully current and that the reported financial condition of the State may have changed since the date such information was published or posted. The next update of the State’s economic and financial condition will be included in

the May Revision of the 2017-18 Governor's Budget, which is scheduled to be released on or before May 14, 2017. It will be available on the Department of Finance website at www.dof.ca.gov.

PLAN OF FINANCING

General. The Corporation will use the proceeds of the Bonds, together with other available funds, to (i) advance refund all of the outstanding Prior Bonds; (ii) fund a Bond Reserve Account for the benefit of the Bonds; (iii) pay the premium to the Office in connection with the Contract of Insurance; and (iv) pay certain of the costs of issuance of the Bonds. See "ESTIMATED SOURCES AND USES OF FUNDS" herein.

Prior Bonds. On July 8, 2010, the ABAG Finance Authority for Nonprofit Corporations issued the Prior Bonds in the aggregate principal amount of \$64,020,000, of which \$52,250,000 is currently outstanding. A portion of the proceeds of the Bonds will be irrevocably deposited in an escrow fund. The funds deposited in such escrow fund will be sufficient to pay the principal of and interest on the Prior Bonds coming due on and prior to their date of redemption and to redeem the Prior Bonds on May 15, 2020 at a redemption price of 100% of the principal amount thereof. Upon such irrevocable deposit, the Prior Bonds will be deemed paid and no longer outstanding. The funds deposited in the escrow fund will not be available to make payments on the Bonds. The deposit of moneys into the escrow fund will constitute an irrevocable deposit for the benefit of the holders of the Prior Bonds. See "VERIFICATION OF MATHEMATICAL CALCULATIONS" herein.

Project Bonds. The Corporation intends to request the Authority to issue the Project Bonds subsequent to the issuance of the Bonds for the benefit of the Corporation. The proceeds of the Project Bonds will be used to finance the costs of the Project. For a description of the Project to be financed with the proceeds of the Project Bonds, see "THE PROJECT" herein. The Project Bonds are expected to be issued within six months of the issuance of the Bonds.

THE PROJECT

The City of Palo Alto approved the construction project financed with proceeds of the Prior Bonds on the condition that the Corporation update its fire alarm and sprinkler systems to meet current code requirements. Simultaneously with the fire sprinkler/alarm work, the Corporation will also replace its HVAC system and upgrade its telephone cabling and complete a series of smaller renovation projects. For more information, see "THE PROJECT" in APPENDIX A hereto.

The Corporation estimates total costs for the Project to be approximately \$40 million. The Project is expected to commence in October, 2017, and to take approximately three years to complete.

ESTIMATED SOURCES AND USES OF FUNDS

The following table sets forth the estimated sources and uses of funds related to the Bonds (with all amounts rounded to the nearest dollar).

ESTIMATED SOURCES OF FUNDS

Principal Amount of Bonds	\$54,045,000
Original Issue Premium	4,368,722
Trustee Held Funds	6,749,909
Total	<u>\$65,163,631</u>

ESTIMATED USES OF FUNDS

Refunding Costs	\$60,424,105
Bond Reserve Account	2,043,300
Costs of Issuance ⁽¹⁾	2,696,226
Total	<u>\$65,163,631</u>

⁽¹⁾ Includes legal, printing, rating agency and Authority's fees and expenses, Underwriter's discount, the premium paid to the Office for insurance under the Insurance Program and other miscellaneous issuance costs.

CONTINUING DISCLOSURE

THE AUTHORITY

Because the Bonds are limited obligations of the Authority, payable solely from amounts received from the Corporation, financial or operating data concerning the Authority is not material to an evaluation of the offering of the Bonds or to any decision to purchase, hold or sell the Bonds. Accordingly, the Authority is not providing any such information. The Corporation has undertaken all responsibilities for any continuing disclosure to holders of the Bonds, as described below, and the Authority shall have no liability to the holders of the Bonds or any other person with respect to Rule 15c2-12 promulgated by the Securities and Exchange Commission (the "*Rule*").

THE CORPORATION

In connection with the issuance of the Bonds, the Corporation will enter into the Continuing Disclosure Agreement in which it will covenant for the benefit of the Holders and Beneficial Owners of the Bonds, to provide each of the following: (i) certain financial information and operating data relating to the Corporation (each, an "*Annual Report*") by not later than 120 days following the end of the Corporation's fiscal year (which currently is February 28), commencing with the report for the Corporation's fiscal year ending February 28, 2017, (ii) certain unaudited financial information and operating data relating to the Corporation by not later than 45 days following the end of each fiscal quarter (each, a "*Quarterly Report*"), commencing with the Quarterly Report for the quarter ending August 31, 2017, (iii) the Corporation's annual budget by not later than 30 days following the end of each fiscal year, and

(iv) notices of the occurrence of certain enumerated events. The Annual Report, the Quarterly Report, the annual budget and notices of certain enumerated events will be filed by the Corporation with the MSRB through EMMA. These covenants have been made in order to assist B.C. Ziegler and Company (the “Underwriter”) in complying with the Rule. See APPENDIX F—“FORM OF CONTINUING DISCLOSURE AGREEMENT.”

In connection with the issuance of the Prior Bonds, the Corporation executed a continuing disclosure undertaking (the “*Prior Continuing Disclosure Agreement*”) similar to the Continuing Disclosure Agreement. During the past five years, the Corporation (i) failed to timely file its annual operating data for the fiscal year ended February 29, 2012 (filed 310 days late), (ii) failed to timely file its annual financial information and operating data for the fiscal year ended February 29, 2016 (filed 37 days late), and (iii) failed to file notifications relating to ratings upgrades of the Prior Bonds.

BONDHOLDERS’ RISKS

Set forth below are certain risk factors that should be considered before any investment in the Bonds is made. Certain risks are inherent in the successful operation of the Corporation’s facilities. This section focuses primarily on the general risks associated with senior living facility operations, whereas APPENDIX A describes the Corporation and the Community specifically. This section also describes risks related to the State and the Insurance Program. **This section discusses some of these risks but is not intended to be, and should not be considered, a comprehensive listing of all risks associated with the operation of the Corporation’s facilities or the payment of the Bonds.** These risks should be read together with the rest of the Official Statement.

GENERAL

As described herein under the caption “SECURITY AND SOURCES OF PAYMENT FOR THE BONDS,” the principal of and interest on the Bonds, except to the extent that the Bonds will be payable, under certain circumstances, from proceeds of insurance, sale or condemnation awards or net amounts by recourse to the Deed of Trust, are payable solely from amounts payable by the Corporation under the Loan Agreement and from certain funds held under the Indenture. No representation or assurance is given or can be made that revenues will be realized by the Corporation in amounts sufficient to pay debt service on the Bonds when due and other payments necessary to meet the obligations of the Corporation. The risk factors discussed below should be considered in evaluating the ability of the Corporation to make payments in amounts sufficient to provide for the payment of the principal of, the premium, if any, and interest on the Bonds.

The receipt of future revenues by the Corporation will be subject to, among other factors, federal and state policies affecting the senior care and housing and health care industries (including changes in reimbursement rates and policies), increased competition from other senior housing and health care providers, the capability of the management of the Corporation and future economic and other conditions that are impossible to predict. The extent of the ability of

the Corporation to generate future revenues has a direct effect upon the payment of principal of, premium and purchase price, if any, and interest on the Bonds. Neither the Underwriter nor the Authority has made any independent investigation of the extent to which any such factors may have an adverse effect on the revenues of the Corporation.

Payment of the principal of and interest on the Bonds will be insured by the Office. The Authority has no control, financial or otherwise, over the Office. If the Corporation defaults in making Loan Repayments and the Office defaults on its insurance obligations under the Contract of Insurance, there could be delay in payment to the Holders of the Bonds.

LIMITED OBLIGATIONS

NONE OF THE AUTHORITY, ANY AUTHORITY MEMBER OR ANY PERSON EXECUTING THE BONDS IS LIABLE PERSONALLY ON THE BONDS OR SUBJECT TO ANY PERSONAL LIABILITY OR ACCOUNTABILITY BY REASON OF THEIR ISSUANCE. THE BONDS ARE LIMITED OBLIGATIONS OF THE AUTHORITY, PAYABLE SOLELY FROM AND SECURED BY THE PLEDGE OF CERTAIN REVENUES UNDER THE INDENTURE. NEITHER THE AUTHORITY, ITS MEMBERS, THE STATE OF CALIFORNIA, NOR ANY OF ITS POLITICAL SUBDIVISIONS SHALL BE DIRECTLY, INDIRECTLY, CONTINGENTLY OR MORALLY OBLIGATED TO USE ANY OTHER MONEYS OR ASSETS TO PAY ALL OR ANY PORTION OF THE DEBT SERVICE DUE ON THE BONDS, TO LEVY OR TO PLEDGE ANY FORM OF TAXATION WHATEVER THEREFOR OR TO MAKE ANY APPROPRIATION FOR THEIR PAYMENT (EXCEPT TO THE EXTENT EXPRESSLY PROVIDED THROUGH THE INSURANCE PROGRAM DESCRIBED HEREIN). THE BONDS ARE NOT A PLEDGE OF THE FAITH AND CREDIT OF THE AUTHORITY, ITS MEMBERS, THE STATE OF CALIFORNIA OR ANY OF ITS POLITICAL SUBDIVISIONS, NOR DO THEY CONSTITUTE INDEBTEDNESS WITHIN THE MEANING OF ANY CONSTITUTIONAL OR STATUTORY DEBT LIMITATION. THE AUTHORITY HAS NO TAXING POWER.

STATE BOND INSURANCE

Because the principal and interest payments on the Bonds will be insured by the Office, if the principal and interest payments on the Bonds are not made by the Corporation, such payments would be made by the Office from the HFCLIF. The last actuarial study of HFCLIF obtained by the Office was as of June 30, 2014, and indicated that the HFCLIF could be depleted prior to the maturity date of the Bonds in the event a 10% probability of catastrophic loss was assumed. The 2014 Actuarial Study is available at the website of the Office. See "CALIFORNIA HEALTH FACILITY CONSTRUCTION LOAN INSURANCE PROGRAM—The Office, the Insurance Program and the Insurance Fund."

To the extent the HFCLIF reserves are depleted and subject to the requirements of the Insurance Law, the Office shall request the Treasurer to issue debentures which are fully and unconditionally guaranteed as to principal and interest by the State in an amount equal to the then outstanding principal amount of the Bonds. Accordingly, any decline in the State's fiscal condition could adversely affect the State's ability to make payment on debentures in the event of a claim on such insurance. See "CERTAIN FINANCIAL INFORMATION REGARDING THE STATE."

In addition, over certain time periods, deterioration in the State's budget and cash situation may cause the nationally recognized rating services to reduce the State's credit ratings. S&P Global Ratings, the rating agency for the Bonds, has indicated that it rates the Office's insured bonds on par with the rating of the State's general obligation bonds and that any rating action affecting the State will directly affect the rating on the Insurance Program. Therefore, any decline in the State's fiscal condition could adversely affect the rating on the Bonds. *See* "CALIFORNIA HEALTH FACILITY CONSTRUCTION LOAN INSURANCE PROGRAM—The Office, the Insurance Program and the Insurance Fund." *See also* "CERTAIN FINANCIAL INFORMATION REGARDING THE STATE" and "RATING."

IMPACT OF DISRUPTIONS IN THE CREDIT MARKETS AND GENERAL ECONOMIC FACTORS

A financial market disruption such as the economic recession that began in 2008 may have negative repercussions upon the national and global economies, including a scarcity of credit, lack of confidence in the financial sector, extreme volatility in the financial markets, increase in interest rates, reduced business activity, increased consumer bankruptcies and increased business failures and bankruptcies. The health care and senior care sectors were materially adversely affected by the 2008 recession and would likely be materially adversely affected by any future economic recession or financial market disruption. Consequences of the 2008 recession generally included realized and unrealized investment portfolio losses, reduced investment income, limitations on access to the credit markets, difficulties in extending existing or obtaining new liquidity facilities, difficulties in remarketing revenue bonds subject to tender, requiring the expenditure of internal liquidity to fund tenders of revenue bonds, and increased borrowing costs. Future financial market disruptions cannot be predicted and there can be no assurance that future financial disruptions will not materially or adversely affect the operations and financial condition of the Corporation.

MANAGEMENT'S FORECAST

Management's financial forecast contained in the Financial Feasibility Study included in APPENDIX C hereto is based upon assumptions made by the management of the Corporation. As stated in such financial forecast, there will usually be differences between the forecasted and actual results, because events and circumstances frequently do not occur as expected, and those differences may be material. In addition, the financial forecast is only for the six years ending February 28/29, 2018 through 2023, and consequently does not cover the whole period during which the Bonds may be outstanding. **The Financial Feasibility Study should be read in its entirety, including management's notes and assumptions set forth therein.** *See* APPENDIX C hereto.

BECAUSE THERE IS NO ASSURANCE THAT ACTUAL EVENTS WILL CORRESPOND WITH THE ASSUMPTIONS MADE, NO GUARANTEE CAN BE MADE THAT MANAGEMENT'S FINANCIAL FORECAST IN THE FINANCIAL FEASIBILITY STUDY WILL CORRESPOND WITH THE RESULTS ACTUALLY ACHIEVED IN THE FUTURE. ACTUAL OPERATING RESULTS MAY BE AFFECTED BY MANY UNCONTROLLABLE FACTORS, INCLUDING BUT NOT LIMITED TO INCREASED COSTS, LOWER THAN ANTICIPATED REVENUES, EMPLOYEE RELATIONS, TAXES, GOVERNMENTAL CONTROLS, CHANGES IN APPLICABLE GOVERNMENTAL REGULATION, CHANGES IN DEMOGRAPHIC TRENDS, CHANGES IN THE

RETIREMENT LIVING AND HEALTH CARE INDUSTRIES, HEALTH INSURANCE, AND GENERAL ECONOMIC CONDITIONS.

UNCERTAINTY OF REVENUES

Although the Corporation expects that revenues will be adequate to make all scheduled payments under the Loan Agreement (and corresponding payments on the Bonds), a number of factors could decrease revenues. Future economic and other conditions, including demand for senior housing, the ability of the Corporation to provide the living environment demanded by residents and potential residents, competition, changes in prevailing rates, costs, demographic changes, legislation, governmental regulations and litigation may adversely affect revenues and, consequently, the Corporation's ability to make payments under the Loan Agreement.

The principal and interest payments on the Bonds will be insured by the Office. The Authority has no control, financial or otherwise, over the Office. If the Corporation were to default in making Loan Repayments under the Loan Agreement and the Office were to default on its insurance obligations under the Contract of Insurance, there could be insufficient funds available to pay the Holders of the Bonds. See "CALIFORNIA HEALTH FACILITY CONSTRUCTION LOAN INSURANCE PROGRAM," "CERTAIN FINANCIAL INFORMATION REGARDING THE STATE," and "BONDHOLDERS' RISKS—State Bond Insurance."

Failure to Achieve and Maintain Occupancy and Turnover. The ability of the Corporation to generate sufficient revenues depends in large part on the Corporation's ability to attract sufficient numbers of residents to its facilities in order to maintain substantial occupancy and turnover of occupancy throughout the term of the Bonds. Because occupancy and turnover at the Corporation's facilities depends upon factors outside the Corporation's control, such as residents' rights to terminate their contracts with the Corporation, the Corporation must rely on various assumptions about the Corporation's residents and the market for its services. Where such assumptions prove to be wrong, the Corporation's revenue will be affected. For example, the Corporation's receipt of additional entrance fees could be impaired by the survival of a substantial number of residents beyond assumed life expectancies, fewer permanent transfers to the Corporation's assisted living or skilled nursing facility than anticipated, or a market-induced reduction in the amount or deferral of the entrance fees payable by new residents. Revenues would also be impaired if the Corporation is unable to remarket units as they become available. If the Corporation's operations fail to maintain occupancy levels and resell residential living units and assisted living units as they become available, or if there is a reduction in the amount of entrance fees received, the Corporation may lack sufficient funds to pay debt service on the Bonds.

Competition. Increased competition from a wide variety of potential sources, including but not limited to other assisted living and retirement communities, memory care communities, residential living communities, continuing care retirement communities, life care communities, life plan communities, skilled nursing facilities, nursing homes, inpatient and outpatient health care facilities, independent living communities, home health agencies, home care agencies and others could adversely affect the utilization and/or revenue of the Corporation. Existing and potential competitors may not be subject to various restrictions applicable to the Corporation,

and competition may, in the future, arise from new sources not currently anticipated or prevalent. Such competition could inhibit the extent to which the Corporation will be able to raise charges and maintain or increase admissions. There can be no assurance that additional competing facilities will not be constructed in the future. See APPENDIX A—“INFORMATION CONCERNING CHANNING HOUSE—SERVICE AREAS AND COMPETITION.”

Real Estate Markets/Sale of Personal Residences. During the term of the Bonds, prospective residents of the Corporation’s facility may have difficulty selling their current homes due to national and local economic conditions impairing the sale of residential real estate and, as a consequence, may not have sufficient assets to pay entrance fees and monthly service fees. This could cause a delay in scheduled occupancy of the Corporation’s community or the remarketing of vacated units, or a reduction in the amount or deferral of the entrance fees payable, all of which would have an adverse effect on the revenue of the Corporation.

Fixed Income of the Elderly. A large percentage of the monthly income of residents and prospective residents of the Corporation’s facilities is fixed income derived from pensions and Social Security. If, due to inflation or otherwise, substantial increases in fees are required to cover increases in operating costs, wages, benefits and other expenses, many residents may have difficulty paying or may be unable to pay such increased fees. Alternatively, any decrease in the amounts paid by a resident’s fixed income sources could affect such resident’s ability to meet financial obligations. The Corporation’s inability to collect the full amount of residents’ payment obligations may adversely affect the ability of the Corporation to make payments with respect to the Bonds.

Reduced Demand. Several factors could, if present, affect demand for services of the Corporation, including: (i) efforts by insurers and governmental agencies to reduce utilization of skilled nursing and long-term care facilities by means such as preventative medicine and home health programs; (ii) increased consumer demand for services at home; (iii) advances in scientific and medical technology; (iv) a decline in the population or a change in the age composition of the population; (v) a decline in the economic conditions of the service area of the Corporation’s facility; (vi) an increase in premiums or other disruption in the long-term care insurance market, causing fewer prospective residents to consider the Community as a retirement option; and (vii) general disruptions in the health care, long-term care or insurance markets resulting from health care reform efforts (including potential repeal and replacement of the Affordable Care Act discussed below under “FEDERAL AND STATE LEGISLATION – Health Care Reform”) or otherwise. See also the Financial Feasibility Study in APPENDIX C hereto. **The Financial Feasibility Study should be read in its entirety, including management’s notes and assumptions set forth therein.**

Long Term Care Insurance. Although the Community is currently a private-pay life plan community that does not accept Medicare, Medicaid or commercial insurance reimbursement for services, some Community residents may use long-term care insurance to help cover their costs of care. If long-term care insurance premiums rise, or residents otherwise lose their long-term care insurance coverage due to insurance market disruptions or reforms, such residents may have difficulty meeting their financial obligations. The Corporation’s inability to collect the full

amount of residents' payment obligations may adversely affect the ability of the Corporation to make payments with respect to the Bonds.

UNCERTAINTY OF INVESTMENT INCOME

The investment earnings of, and accumulations in, certain funds established pursuant to the Indenture have been estimated and are based on assumed interest rates. While these assumptions are believed to be reasonable in view of the rates of return presently and previously available on the types of securities in which the Trustee is permitted to invest under the Indenture, there can be no assurance that similar interest rates will be available on such securities in the future, nor can there be any assurance that the estimated earnings will actually be realized.

PHILANTHROPY

The Corporation derives income from unrestricted gifts and donations but does not depend on such income to finance operations and capital needs. See APPENDIX B—"AUDITED FINANCIAL STATEMENTS OF CHANNING HOUSE AS OF FOR THE FISCAL YEARS ENDED FEBRUARY 29, 2016, FEBRUARY 28, 2015, AND FEBRUARY 28, 2014." Although management of the Corporation expects gifts and donations to remain at least at current levels and to increase at a moderate rate, there can be no assurance that this revenue will not decrease.

INCREASES IN MEDICAL COSTS

Because the Corporation is obligated to provide its continuing care contract residents with the right to move to a higher level of care, a deviation from the anticipated mortality rate or medical care requirements of the resident population or substantial unanticipated increases in the cost of such care could have a negative impact on the operations of the Corporation's facilities. The undertaking to provide such care is a contractual obligation of the Corporation, and no assurance can be given that the Corporation will have sufficient funds to meet its anticipated obligations. In addition, the cost of providing health care services may increase due to increases in salaries paid to nurses and other health care personnel and due to shortages in such personnel which may require use of registries or employment agencies. Increases in third party therapy services and other ancillary costs such as drugs and medical supplies may also increase costs.

ADDITIONAL CAPITAL REQUIREMENTS

The Corporation's operations are capital intensive. Economic conditions such as credit market dysfunction and increased regulation of the financial industry could make it more difficult for the Corporation to access the capital markets or to otherwise fund capital expenses through borrowings on favorable terms and conditions. Any such limitation could result in delayed or deferred capital expenditures that could be integral to the operations of the Corporation.

LABOR COSTS AND RELATIONS

The Corporation cannot control the prevailing or required minimum wage rates in its service area and any increase in such rates will directly affect the costs of its operations. Effective January 1, 2017, California's minimum wage is \$10.50 per hour, among the highest in the country. Pursuant to state legislation passed in 2016, California's minimum wage will incrementally increase to \$15 per hour by 2022 for employees with 26 or more employees. Management has examined the effect of California's minimum wage law and does not anticipate that such minimum wage increases will have a material adverse effect on the financial condition of the Corporation.

The Corporation's workforce includes professional, quasi-professional, technical, clerical, housekeeping, maintenance, dietary and other types of workers. As with all employers, the Corporation bears a wide variety of risks in connection with these employees. These risks include strikes (if the Corporation's workforce is unionized in the future) and other related work actions, contract disputes, difficulties in recruitment, discrimination claims, personal tort actions, work-related injuries, exposure to hazardous materials, interpersonal torts, risks related to benefit plans, and other risks that may flow from the relationships between employer and employee or between residents and employees. Certain of these risks are not covered by insurance, and certain of them cannot be anticipated or prevented in advance. Such risks, alone or in combination, could have material adverse consequences to the financial condition or operations of the Corporation. Management is not aware of any current attempts by the Corporation's employees to unionize.

NURSING OR OTHER STAFF SHORTAGE

The health care industry occasionally experiences a shortage of nursing and other technical staff. Currently, nursing shortages continue in certain geographic areas. Such shortages have periodically resulted in increased costs and lost revenues due to the need to engage agency nursing personnel at higher rates or pay increased compensation to staff, and the inability to use otherwise available beds as a result of staffing shortages. Increased costs and lost revenues resulting from staff shortages could adversely affect the operations or financial condition of the Corporation.

PROFESSIONAL LIABILITY CLAIMS AND LIABILITY INSURANCE

In recent years, the number of professional and general liability suits and the dollar amounts of damage recoveries have increased nationwide in the health care industry, resulting in substantial increases in malpractice insurance premiums, higher deductibles and generally less coverage. Professional liability and other actions alleging wrongful conduct and seeking punitive damages are often filed against health care providers. Insurance does not provide coverage for judgments for punitive damages. Insurers are mandating lower amounts of coverage, requiring greater deductibles, and charging more in premiums. Policies issued may not be renewed or renewable. It is not possible at this time to determine either the extent to which malpractice coverage will continue to be available to the Corporation or the premiums at which such coverage can be obtained. Although the Corporation currently carries excess

malpractice and general liability insurance which management of the Corporation considers adequate, the Corporation is unable to predict the availability, cost or adequacy of such insurance in the future.

FEDERAL AND STATE REGULATIONS

General. Health care providers are subject to federal, state and local laws and regulations, and sanctions imposed under or changes to such laws or regulations could adversely affect the operations or financial results of the Corporation. Further reductions in federal and state funding of health care below levels authorized by present law can be expected. Although the Community is currently a private-pay life plan community that does not bill Medicare or Medicaid for services, to the extent management of the Corporation decides to accept Medicare or Medicaid in the future, reductions in federal or state funding for those health care programs could impact the financial condition of the Corporation. Corporation management currently has no plans to accept Medicare or Medicaid. However, management may change this plan in the future.

Skilled nursing facilities, including those owned by the Corporation, are subject to numerous licensing, certification, accreditation, and other governmental requirements. These include, but are not limited to, requirements relating to state licensing agencies, private payors and accreditation organizations. Continuing care retirement communities, residential care facilities and assisted living communities, including those owned by the Corporation, are also subject to licensing requirements. Renewal and continuance of certain of these licenses, certifications, approvals and accreditations are based upon inspections, surveys, audits, investigations or other review, some of which may require or include affirmative action or response by the Corporation. An adverse determination could result in a loss, fine or reduction in the Corporation's scope of licensure, certification or accreditation, could affect the ability to undertake certain expenditures or could reduce the payments received or require the repayment of the amounts previously remitted. See "STATE LICENSURE AND REGULATION OF SENIOR LIVING PROVIDERS" below for more information.

Federal and State Healthcare Program Reimbursement Cuts. The federal and state governments have in the past, and may in the future, make changes to their respective budgets, which budget reductions may include reductions to the Medicare or Medicaid programs. The reduction of Medicare or Medicaid spending may have a material adverse effect upon facilities that accept Medicare and Medicaid payments. Although the Community is currently a private-pay life plan community that does not bill Medicare or Medicaid for services, to the extent management of the Corporation decides to accept Medicare or Medicaid in the future, reductions in federal and state funding for those health care programs could impact the financial condition of the Corporation. Corporation management currently has no plans to accept Medicare or Medicaid. However, management may change this plan in the future.

Health Care Reform. The Patient Protection and Affordable Care Act of 2010 and the Health Care and Education Affordability Reconciliation Act of 2010 (the "*Affordable Care Act*") has significantly changed the United States health care delivery system, addressing almost all aspects of healthcare facility and provider operations, including the delivery of health care

services, the financing of health care costs, healthcare provider reimbursement and the legal obligations of healthcare providers, insurers, employers and consumers. Due to the controversial nature of health care reform generally, the future of the Affordable Care Act is uncertain. Since its enactment, the law has continually faced legal and political challenges, including repeal efforts. Recently, Congress unveiled a bill (referred to as the American Health Care Act) aimed at repealing and replacing the law. Although the American Health Care Act was pulled from consideration on March 24, 2017, future efforts to repeal, replace or amend the Affordable Care Act may be considered in the future. Although the Community is currently a private-pay life plan community that does not accept Medicare or Medicaid reimbursement for services, a repeal or replacement of the Affordable Care Act could directly affect the Community in various ways, including affecting (1) the health insurance coverage and costs provided by the Corporation to its employees, (2) the costs to residents of services provided by the Corporation, and (3) the willingness of prospective residents to consider the Community as a retirement option. Additionally, any legal, legislative or executive action that significantly disrupts the health care or senior care industries, generally, could have a material adverse effect on the Corporation's business or financial condition.

Federal and State Fraud and Abuse Laws. Certain federal laws, including the laws commonly known as the Anti-Kickback Statute, the Stark Law and the False Claims Act, seek to protect the federal health care programs from fraud and abuse (collectively, the “*Federal Healthcare Fraud Laws*”). The Federal Healthcare Fraud Laws are complex, heavily enforced and subject to frequent amendment. Violation of the Federal Healthcare Fraud Laws may result in significant financial penalties, fines, exclusion from the federal health care programs and/or criminal liability. Because the Community is currently a private-pay life plan community that does not bill the federal health care programs (i.e. – Medicare or Medicaid) for services, the Federal Healthcare Fraud Laws are not applicable to the Corporation. However, to the extent management of the Corporation decides to accept Medicare or Medicaid in the future, failure to comply with those laws could have a material adverse effect on the operations of Community. Corporation management currently has no plans to accept Medicare or Medicaid. However, management may change this plan in the future.

A number of states, including California, have passed healthcare fraud and abuse laws similar in scope to the Federal Healthcare Fraud Laws, but have expanded the prohibitions to private insurers. For example, the California Insurance Code provides that a person who submits a fraudulent claim to an insurance company (including private insurers) is subject to significant civil fines and penalties. Similar to the federal False Claims Act, actions under this California Insurance Code section may be initiated by private parties. Corporation management currently has no plans to accept private insurance. However, management may change this plan in the future.

At the present time, management is not aware of any pending or threatened claims, investigations or enforcement actions regarding any applicable federal or state statutes which, if determined adversely to the Corporation would have a material adverse effect on the financial condition of the Corporation.

Federal and State Privacy Laws. Specific state and federal laws govern the use and disclosure of confidential patient health information, as well as patients' rights to access and amend their own health information. The Administrative Simplification Requirements of the Health Insurance Portability and Accountability Act of 1996 ("*HIPAA*") established national standards to facilitate the electronic exchange of Protected Health Information ("*PHI*") and to maintain the privacy and security of the PHI. These standards have a major effect on health care providers which transmit PHI in electronic form in connection with HIPAA standard transactions (e.g., health care claims). In particular, HIPAA established standards governing: (1) electronic transactions and code sets; (2) privacy; (3) security; and (4) national identifiers. The Corporation has developed policies, procedures and practices that it believes comply with the HIPAA standards and requirements, but if it was determined that the Corporation was not in compliance there could be criminal and civil penalties imposed.

Title XIII of the American Recovery and Reinvestment Act of 2009, otherwise known as the Health Information Technology for Economic and Clinical Health Act (the "*HITECH Act*"), provides for an investment of almost \$20 billion in public monies for the development of a nationwide health information technology infrastructure ("*HITI*"). The HITI is intended to improve health care quality, reduce costs and facilitate access to certain information. The HITECH Act also expands the scope and application of the administrative simplification provisions of HIPAA, and its implementing regulation, (i) imposing a written notice obligation upon covered entities for security breaches involving "unsecured" protected health information, (ii) expanding the scope of a provider's electronic health record disclosure tracking obligations, (iii) substantially limiting the ability of health care providers to sell protected health information without patient authorization, (iv) increasing penalties for violations, and (v) providing for enforcement of violations by state attorneys general. While the effects of the HITECH Act cannot be predicted at this time, the obligations imposed thereunder could have a material adverse effect on the financial condition of the Corporation.

In California, two medical privacy laws that became effective January 1, 2009 expanded California's health care privacy standards and provided new oversight mechanisms and enforcement penalties. These state privacy laws, among other things, penalize unlawful access, use or disclosure of a patient's health care information. State consumer privacy laws may also provide the basis for legal action for privacy and security breaches and, unlike HIPAA, authorize a private right of action. The state privacy laws provide additional sources of potential legal liability for the Corporation and compliance with such laws may require the Corporation to incur additional costs.

STATE LICENSURE AND REGULATION OF SENIOR LIVING PROVIDERS

The operations of the Corporation are subject to numerous licensing, certification, accreditation and other governmental requirements that are administered by a variety of federal and state governmental agencies as well as by self-regulatory associations and commercial medical insurance reimbursement programs. These include, but are not limited to, requirements relating to payment and requirements relating to state licensing agencies, private payors and accreditation organizations. Renewal and continuance of certain of these licenses, certifications, approvals and accreditations are based upon inspections, surveys, audits, investigations or other

review, some of which may require or include affirmative action or response by the Corporation. An adverse determination could result in a loss, fine or reduction in the Corporation's scope of licensure, certification or accreditation, could affect the ability to undertake certain expenditures, or could reduce the payment received or require the repayment of the amounts previously remitted. The Corporation currently anticipates no difficulty in renewing or continuing currently-held licenses, certifications and accreditations. It is impossible, however, to predict the effect of future regulation on the operations or financial condition of the Corporation.

State Regulation of the Community. The Corporation operates its Community as a continuing care retirement community ("CCRC"), consisting of a residential portion licensed as a Residential Care Facility for the Elderly ("RCFE") by the California Department of Social Services ("DSS") and a health facility portion licensed as a skilled nursing facility ("SNF") by the California Department of Public Health ("CDPH"). If the Corporation fails to meet any of the below described state statutory or regulatory requirements with respect to CCRCs, SNFs or RCFEs, it could become unable to operate as described herein and, consequently, be unable to meet debt service requirements on the Bonds.

Generally, an agreement to provide one or more elements of care to an elderly resident for the duration of his or her life or for a term in excess of one year in exchange for the transfer of consideration for the purpose of assuring care or related services is regarded as a "continuing care contract" subject to rules and regulations under the California Health and Safety Code (the "*Health and Safety Code*"). Any person or organization agreeing to provide such care must first obtain: (i) where there is a skilled nursing facility on the premises, a license to operate a skilled nursing facility from the CDPH pursuant to Division 2, Chapter 2 of the Health and Safety Code; (ii) a license to operate a RCFE from the DSS pursuant to Division 2, Chapter 3.2 of the Health and Safety Code; and (iii) a certificate of authority ("*Certificate of Authority*") from DSS pursuant to Chapter 10, Division 2 of the Health and Safety Code, to enter into continuing care contracts with residents. For information regarding the types of services offered by the Corporation at the Community, see APPENDIX A—"INFORMATION CONCERNING CHANNING HOUSE—THE COMMUNITY AND SERVICES."

RCFE and SNF Licensure Requirements. RCFE licenses renew annually upon payment of renewal fees; however, the license is subject to suspension or revocation on any ground specified in Health and Safety Code Section 1569.50 (violation by the licensee of the RCFE law; aiding, abetting, or permitting violation of the RCFE law; conduct inimical to the health, morals, welfare, or safety of either an individual in or receiving services from the facility or the people of the State of California; the conviction of a licensee, or other person for whom criminal record clearance is required, any time before or during licensure, of a crime as defined in the RCFE law; and engaging in acts of financial malfeasance concerning operation of a facility, including, but not limited to, improper use or embezzlement of client monies and property or fraudulent appropriation for personal gain of facility monies and property, or willful or negligent failure to provide services for the care of clients). CDPH inspects nursing facilities approximately once a year, and facilities failing to meet the state or federal standards are subject to fines or other enforcement actions. The Continuing Care Contracts Branch of DSS reviews each CCRC in the state at least once every three years to augment the branch's assessment of the CCRC's financial soundness. The branch considers the condition of the CCRC, whether the CCRC is operating in

compliance with applicable state law, and whether the CCRC is performing the services specified in its continuing care contracts.

CDPH and DSS have the ability to deny licensing if either agency is not satisfied with the Corporation's compliance with requirements to operate as a SNF or RCFE, respectively, in the state. In addition, CDPH and DSS both have broad remedial powers to intervene in the operation of a provider who fails to comply with applicable regulatory requirements once the provider is licensed and in operation. Failure to maintain any required financial reserves or to comply with regulatory requirements may result in civil penalties or the suspension or revocation of a CCRC's Certificate of Authority (as discussed in more detail below). Upon certain failures to comply with regulatory requirements, including the CCRC becoming insolvent or unable to perform its contractual obligations, DSS is authorized to petition for the appointment of a court-appointed administrator to rehabilitate the CCRC. In this capacity, the administrator's powers include taking possession of the CCRC's assets and property, dealing with the property in the administrator's name, depositing and investing any of the CCRC's funds, and paying all expenses of the rehabilitation. In the event of a permanent relocation of residents from the Corporation's facilities is required due to termination or forfeiture of the Corporation's Certificate of Authority or licenses, certain procedures are required to be followed. These procedures include the establishment of a reserve, trust fund or performance bond in an amount sufficient to cover the cost and ensure the fulfillment the Corporation's statutory obligations, which include the cost of moving residents to other communities and may include additional monetary compensation to the affected residents in certain circumstances.

Certificate of Authority Requirement. In addition to the licenses described above, continuing care providers are required to obtain a Certificate of Authority prior to entering into continuing care contracts with residents. A Certificate of Authority may be suspended, conditioned or revoked by DSS if it finds that the continuing care provider has done any of the following: (i) violated the statutes, or the rules and regulations of the Health and Safety Code governing continuing care contracts (the "*Continuing Care Law*"); (ii) aided, abetted, or permitted the violation of the Continuing Care Law; (iii) had a license suspended or revoked; (iv) made a material misstatement, misrepresentation, or fraud in obtaining its licenses, permits or Certificate of Authority; (v) demonstrated a lack of fitness or trustworthiness; (vi) engaged in any fraudulent or dishonest practices or management in the conduct of business; (vii) misappropriated, converted, or withheld moneys; (viii) after request by DSS for an examination, access to records, or information, refused to be examined or otherwise to cooperate; (ix) manifested an unsound financial condition; (x) used methods and practices in the conduct of business so as to render further transactions by the provider hazardous or injurious to the public; (xi) failed to maintain at least the minimum statutory reserves required by the Continuing Care Law; (xii) failed to comply with the requirements of the Continuing Care Law for maintaining escrow accounts for funds; (xiii) failed to file its annual report; (xiv) violated a condition of its permit to accept deposits or Certificate of Authority; (xv) failed to comply with its approved financial and marketing plan or to secure approval of a modified plan; (xvi) materially changed or deviated from an approved plan of operation without the prior consent of DSS; (xvii) failed to fulfill its obligations under continuing care contracts; (xviii) made material misrepresentations to depositors, prospective residents or residents of a continuing care retirement community; (xix) failed to submit proposed changes to continuing care contracts prior to use, or is using a

continuing care contract that has not been previously approved by DSS; or (xx) failed to diligently submit materials requested by DSS or required by the Continuing Care Law. The suspension or revocation of a Certificate of Authority by DSS, or the voluntary return of such a Certificate by a continuing care provider, does not release such provider from the obligations assumed at the time continuing care contracts were executed.

As a provider offering a continuing care contract, the Corporation is required by the Continuing Care Law to maintain at all times qualifying assets ("*Qualifying Assets*") as a liquid reserve in an amount at least equal to the sum of (a) the amount the provider is required to hold as a debt service reserve under Section 1792.3 of the Health and Safety Code - described below (the "*Debt Service Reserve Amount*") and (b) the amount the continuing care provider is required to hold as an operating expense reserve under Section 1792.4 of the Health and Safety Code - described below (the "*Operating Expense Reserve Amount*"). The Debt Service Reserve Amount is the amount equal to the sum of (i) all regular principal and interest payments, and credit enhancement premiums, paid by the Corporation during the immediately preceding fiscal year on account of any fully amortizing long-term debt owed by the Corporation; (ii) facility rental or leasehold payments, and any related payments, paid by the Corporation during the immediately preceding fiscal year; and (iii) all payments paid by the Corporation during the immediately preceding fiscal year on account of any debt that provides for a balloon payment. The Operating Expense Reserve Amount is an amount that equals or exceeds 75 days' net operating expenses, which includes all expenses of the Corporation except (w) interest and credit enhancement expenses factored into the Debt Service Reserve Amount described above, (x) depreciation or amortization expenses, (y) an amount equal to the reimbursement paid to the Corporation during the past 12 months for services to residents other than residents holding continuing care contracts, and (z) extraordinary expenses that DSS determines may be excluded by the Corporation. Qualifying Assets are: (1) cash; (2) certificates of deposit and United States Treasury securities with a maturity of five years or less; (3) certain investment securities (as defined in Section 1771(i)(2) of the Health and Safety Code); (4) certain equity securities, including mutual funds (as defined in Section 1771(e)(7) of the Health and Safety Code); and (5) certain lines of credit and letters of credit meeting the requirements of Section 1792.2(a)(5) of the Health and Safety Code. The Corporation is not required to set aside, deposit into escrow, or otherwise restrict the assets it holds as its liquid reserve, unless DSS expressly requires it to do so because DSS has reason to believe the Corporation is insolvent, in imminent danger of becoming insolvent, in a financially unsound or unsafe condition, or in a condition such that it may otherwise be unable fully to perform its obligations pursuant to continuing care contracts. As of February 29, 2016, the Corporation was in compliance with the liquidity reserve obligations described above.

In addition to suspending, limiting or revoking a Certificate of Authority, if a continuing care provider fails to establish or depletes the reserves or escrow account required under the Continuing Care Law, is insolvent or in imminent danger of becoming insolvent, is in a financially unsound or unsafe condition, fails to submit a plan or to obtain DSS' approval of a plan submitted, is unable fully to perform its obligations under continuing care contracts or residents are otherwise placed in serious jeopardy, DSS may petition the superior court in the county in which such community is located for an order appointing a qualified administrator to operate the community and its assets.

On July 25, 2016, Governor Brown signed a bill (the “*Monning Bill*”) which aims to protect CCRC residents and their estates against significant delays in the repayment of residents’ entrance fees when contracts condition the repayment on the resale of CCRC units (“*Repayable Contracts*”). The Monning Bill amended the Continuing Care Law to require unpaid entrance fee repayments outstanding: (i) 180 days after termination of the Repayable Contract to accrue simple interest at a rate of 4%, (ii) 240 days after termination of the Repayable Contract to accrue simple interest at a rate of 6% and (iii) one-year after the 240-day period to accrue interest at a rate of 6%, compounded annually. It also requires CCRCs to disclose the average and longest length of time for entrance fee repayment. The requirements of the Monning Bill amendments are effective for repayable contracts entered into on or after January 1, 2017. Management has examined the Monning Bill and does not anticipate that its requirements will have a material adverse effect on the financial condition of the Corporation. See also “APPENDIX A—“INFORMATION CONCERNING CHANNING HOUSE— THE RESIDENCY AGREEMENTS — Terminations of Residency Agreements and Refunds.”

In the case of any violation or threatened violation of the Continuing Care Law, DSS may institute a proceeding or may request the Attorney General of the State to institute a proceeding to obtain injunctive or other equitable relief in the superior court in and for the county in which the violation has occurred or will occur, or in which the principal place of business of the continuing care provider is located. If at any time DSS determines that further efforts to rehabilitate the continuing care provider would not be in the best interest of the CCRC residents or prospective residents, or would not be economically feasible, DSS may apply to the court for an order of liquidation and dissolution or may apply for other appropriate relief for dissolving the property and bringing to conclusion its business affairs. Upon issuance of an order directing the liquidation or dissolution of the provider, DSS shall revoke the continuing care provider’s Certificate of Authority.

The Corporation has obtained the necessary licenses and Certificate of Authority from DSS and CDPH in order to operate its Community and in the opinion of management, operates its Community in a manner consistent with the Health and Safety Code. To date the Corporation’s existing skilled nursing facility license, RCFE license and Certificate of Authority have never been suspended, conditioned or revoked. There is no guarantee that the Corporation’s Certificate of Authority and licenses to operate the Community will not be suspended, conditioned or revoked in the future. Further, there is no assurance that future legislation in California will not have an adverse impact on the ability of the Corporation to operate the Community as now operated.

Pursuant to Sections 1773 and 1789.4 of the Health and Safety Code, a provider may not sell or transfer ownership of a CCRC without the approval of DSS, including the granting of any interest in the community, such as a mortgage or deed of trust. Pursuant to Health and Safety Code Section 1779.4, as a condition to the receipt of a Certificate of Authority to operate as a CCRC, a provider must also record a “Notice of Statutory Limitation of Transfer” with respect to the real property on which the community is located, indicating that use and transfer of the property is subject to the conditions and limitations imposed by the Health and Safety Code, which Notice is required to be recorded prior to encumbering the CCRC property with a proposed encumbrance securing financing. The limitations on transfer imposed by the Health

and Safety Code Section 1789.4 include approval by DSS following review of an application that identifies the purchaser, the terms of the sale, a plan for ensuring performance of the existing continuing care contract obligations and notice to and acknowledgment by the residents. Further, unless a new provider assumes all of the continuing care obligations of the selling provider at the close of the sale or transfer, the selling provider must set up a trust fund or secure a performance bond to ensure the fulfillment of all of its continuing care contract obligations. The purchaser must also make application for and obtain the appropriate licenses and certificate of authority before executing any continuing care contracts or assuming the selling provider's continuing care contracts. The Corporation's Community is subject to the foregoing statutory limitations on transfer.

State Penalties for Significant Patient Care Events. In California, CDPH is authorized to issue citations to and impose administrative remedies on SNFs that experience certain significant patient care events that violate State or federal law. In accordance with Sections 1424 and 1424.5 of the California Health and Safety Code, a violation is assigned one of several citation classes based on the scope and impact of the incident on patient health and safety. Depending on the citation class, the administrative penalty for such incidents ranges from \$100 to \$100,000.

SNF Quality Assurance Fees. Certain SNFs in California are subject to "quality assurance fees" on skilled nursing services. State law, however, includes a waiver which exempts certain types of SNFs, such as SNFs that are components of CCRCs and SNFs operated by the state or another public entity, from the obligation to pay such quality assurance fees. There can be no assurance that such exemption (which, as presently in effect exempts the Corporation) will continue in whole or in part, and legislative proposals that contemplate modifying or terminating the scope of the quality assurance fee exemption have been discussed from time to time.

State Fraud and Abuse Laws. As discussed above, states including California have anti-kickback, fee-splitting, physician self-referral and false claims prohibitions similar or more broad in scope to the Federal Healthcare Fraud Laws. Violation of these state laws may result in criminal and civil penalties. See "FEDERAL AND STATE FRAUD AND ABUSE LAWS" above for more information.

RISKS RELATED TO TAX-EXEMPT STATUS

Tax-Exempt Status of the Bonds. The Code imposes a number of requirements that must be satisfied for interest on state and local obligations, such as the Bonds, to be excludable from gross income for federal income tax purposes. These requirements include, among other things, limitations on the use of bond proceeds and facilities financed with bond proceeds, limitations on the investment earnings of bond proceeds prior to expenditure, a requirement that certain investment earnings on bond proceeds be paid periodically to the United States, and a requirement that the Authority file an information report with the IRS. The Authority, the Corporation and the Trustee have covenanted to comply with these requirements to the extent applicable. Failure to comply with the requirements stated in the Code and related regulations, rulings and policies may result in the treatment of the interest on the Bonds as taxable. Such adverse treatment may be retroactive to the date of issuance. See also, "TAX MATTERS."

IRS officials have recently indicated that more resources will be invested in audits of tax-exempt bonds in the charitable organization sector. The Bonds may be, from time to time, subject to audits by the IRS. Bond Counsel will render an opinion with respect to the tax-exempt status of the Bonds, as described under the caption “TAX MATTERS” below. The opinion of Bond Counsel is not binding on the IRS. There is no assurance that an IRS examination on the Bonds will not adversely affect the market value of the Bonds. See “TAX MATTERS” below.

Proposed Legislation Regarding Limitations or Elimination of Tax-exempt Status of Bonds. Tax legislation, administrative actions taken by tax authorities, or court decisions, whether at the Federal or state level, may adversely affect the tax-exempt status of interest on the Bonds under Federal or state law or otherwise prevent beneficial owners of the Bonds from realizing the full current benefit of the tax status of such interest. In addition, such legislation or actions (whether currently proposed, proposed in the future, or enacted) and such decisions could affect the market price or marketability of the Bonds.

Prospective investors should consult with their tax advisors on the foregoing matters as they consider an investment in the Bonds.

Tax-Exempt Status of the Corporation. The tax-exempt status of the Bonds depends, among other things, upon maintenance by the Corporation of its status as an organization described in Section 501(c)(3) of the Code. The maintenance of such status is contingent on compliance with general rules promulgated in the Code and related regulations regarding the organization and operation of tax-exempt entities, including their operation for charitable and other permissible purposes and their avoidance of transactions that may cause their earnings or assets to inure to the benefit of private individuals. As these general principles were developed primarily for public charities that do not conduct large-scale technical operations and business activities, they often do not adequately address the myriad operations and transactions entered into by a modern senior living organization. Although traditional activities of senior living providers have been the subject of interpretations by the IRS in the form of Private Letter Rulings, many activities or categories of activities have not been fully addressed in any official opinion, interpretation or policy of the IRS.

The IRS has issued Revenue Rulings dealing specifically with the manner in which a facility providing residential services to the elderly must operate in order to maintain its exemption under Section 501(c)(3) of the Code. Revenue Ruling 72-124 states that an otherwise qualified organization will qualify for charitable status for purposes of the Code if it operates in a manner designed to satisfy the needs of elderly persons for housing, health care and financial security. The need for housing is generally met if the organization provides residential facilities specifically designed to meet some combination of the physical, emotional, recreational, social, religious and similar needs of elderly persons. The need for health care is generally met if the organization directly provides some form of health care or, in the alternative, makes such care available through continuing arrangements with other organizations, facilities or health personnel. The need for financial security is generally met if two conditions are satisfied: (1) the organization must be committed to an established policy of maintaining in residence any persons who become unable to pay their regular charges, and (2) the organization operates so as to provide its services to the elderly at the lowest feasible cost, taking into account such expenses

as the payment of indebtedness, maintenance of adequate reserves, and reserves for physical expansion. Revenue Ruling 79-18 states that a charitable organization providing residential services to the elderly may admit only those tenants who are able to pay full rental charges, *provided* that those charges are set at a level that is within the financial reach of a significant segment of the community's elderly persons.

If the IRS were to find that the Corporation has participated in activities in violation of certain regulations or rulings, the Corporation's tax-exempt status could be in jeopardy. Although the IRS has not frequently revoked the Section 501(c)(3) tax-exempt status of nonprofit senior living corporations, it could do so in the future. Loss of tax-exempt status by the Corporation potentially could result in loss of tax exemption of all or a portion of the Bonds, and defaults in covenants regarding the Bonds and other outstanding tax-exempt debt and obligations likely would be triggered. Loss of the Corporation's tax-exempt status also could result in substantial tax liabilities on the income of the Corporation.

In lieu of revocation of exempt status, the IRS may impose penalty excise taxes on certain "excess benefit transactions" involving Section 501(c)(3) organizations and "disqualified persons." An excess benefit transaction is one in which a disqualified person receives more than fair market value from the exempt organization or pays the exempt organization less than fair market value for property or services, or shares the net revenues of the tax-exempt entity. A disqualified person is a person (or a certain kind of entity) who is in a position to exercise substantial influence over the affairs of the exempt organization during the five years preceding an excess benefit transaction. The statute imposes excise taxes on the disqualified person and any "organization manager" who knowingly participates in an excess benefit transaction. These rules do not penalize the exempt organization itself, so there would be no direct impact on the Corporation or the tax status of the Bonds if an excess benefit transaction were subject to IRS enforcement.

It is not possible to predict the scope or effect of future legislative or regulatory actions with respect to taxation of nonprofit corporations. There can be, however, no assurance that future changes in the laws and regulations of the federal, state or local governments, or the interpretation of existing or future laws and regulations will not materially and adversely affect the operations and revenues of the Corporation by requiring them to pay income taxes.

Intermediate Sanctions. On July 31, 1996, the Taxpayers Bill of Rights 2 (the "Taxpayers Act") was signed into law. The Taxpayers Act provides the IRS with an "intermediate" tax enforcement tool to combat violations by tax-exempt organizations of the private inurement prohibition of the Code. Prior to the "intermediate sanctions law," the IRS could punish such violations only through revocation of an entity's tax-exempt status.

Intermediate sanctions may be imposed where there is an "Excess Benefit Transaction," defined to include a disqualified person (*i.e.*, an insider) (1) engaging in a non-fair market value transaction with the tax-exempt organization; (2) receiving unreasonable compensation from the tax-exempt organization; or (3) receiving payment in an arrangement that violates the private inurement proscription.

A disqualified person who benefits from an excess benefit transaction will be subject to a “*first tier*” penalty excise tax equal to 25% of the amount of the excess benefit. Organizational managers who participate in an excess benefit transaction knowing it to be improper are subject to a first-tier penalty excise tax of 10% of the amount of the excess benefit, subject to a maximum penalty of \$20,000. A “*second tier*” penalty excise tax of 200% of the amount of the excess benefit may be imposed on the disqualified person (but not the organizational manager) if the excess benefit transaction is not corrected in a specified time period.

AMENDMENTS TO THE DOCUMENTS

Certain amendments to the Indenture and the Loan Agreement may be made without the consent of the owners of the outstanding Bonds under the Indenture and certain amendments may be made with the consent of the owners of a majority of the outstanding Bonds. Certain amendments to the Deed of Trust may be made with the consent of the Office and the Corporation, but without the consent of the Trustee, the Bondholders, holders of Parity Debt or the Authority. Such amendments may adversely affect the security of the Bondholders. *See* APPENDIX D—“SUMMARY OF PRINCIPAL DOCUMENTS—INDENTURE—Amendment of Indenture.”

ADDITIONAL INDEBTEDNESS

In addition to its obligations with respect to the Bonds, the Corporation may incur other indebtedness that may be secured by a security interest in Gross Revenues and the lien of the Deed of Trust on a parity with the Corporation’s obligation to make Loan Repayments under the Loan Agreement, if issued for the purposes and subject to the conditions provided in the Regulatory Agreement. Parity Debt may not be incurred unless it is insured by the Office or, if the Parity Debt can be issued as such without being insured under the Insurance Law, it is issued with the consent of the Office. *See* APPENDIX D—“SUMMARY OF PRINCIPAL DOCUMENTS—REGULATORY AGREEMENT—Parity Debt.”

BANKRUPTCY

In the event of bankruptcy of the Corporation, the rights and remedies of the holders of the Bonds are subject to various provisions of the federal Bankruptcy Code. If the Corporation were to file a petition in bankruptcy, payments made by the Corporation during the 90-day (or perhaps one-year) period immediately preceding the filing of such petition may be voidable as preferential transfers to the extent such payments allow the recipients thereof to receive more than they would have received in the event of the Corporation’s liquidation. Security interests and other liens granted to the Trustee and perfected during such preference period also may be voided as preferential transfers to the extent such security interest or other lien secures obligations that arose prior to the date of such perfection. Such a bankruptcy filing would operate as an automatic stay of the commencement or continuation of any judicial or other proceeding against the Corporation and its property and as an automatic stay of any act or proceeding to enforce a lien upon or to otherwise exercise control over its property as well as various other actions to enforce, maintain or enhance the rights of the Trustee. If the bankruptcy court so ordered, the property of the Corporation, including accounts receivable and proceeds

thereof, could be used for the financial rehabilitation of the Corporation despite any security interest of the Trustee therein. The rights of the Trustee to enforce its security interests and other liens it may have could be delayed during the pendency of the rehabilitation proceeding.

The Corporation could file a plan for the adjustment of its debts in any such proceeding, which plan could include provisions modifying or altering the rights of creditors generally or any class of creditors, secured or unsecured. The plan, when confirmed by a court, binds all creditors who had notice or knowledge of the plan and, with certain exceptions, discharges all claims against the debtor to the extent provided for in the plan. No plan may be confirmed unless certain conditions are met, among which conditions are that the plan be feasible and that it shall have been accepted by each class of claims impaired thereunder. Each class of claims has accepted the plan if at least two thirds in dollar amount and more than one-half in number of the class cast votes in its favor. Even if the plan is not so accepted, it may be confirmed if the court finds that the plan is fair and equitable with respect to each class of non-accepting creditors impaired thereunder and does not discriminate unfairly.

Pursuant to the Indenture, the Office will have the right to vote in the place and stead of all owners of Bonds with respect to any plan of reorganization on any agreement for composition of creditors and on any assignment for the benefit of creditors.

In the event of bankruptcy of the Corporation, there is no assurance that certain covenants, including tax covenants, contained in the Loan Agreement or other documents would survive. Accordingly, a bankruptcy trustee could take action that would adversely affect the exclusion of interest on the Bonds from gross income for federal income tax purposes.

CERTAIN MATTERS RELATING TO ENFORCEABILITY

The effectiveness of the security interests in the Corporation's Gross Revenues granted in the Loan Agreement and the Regulatory Agreement may be limited by a number of factors, including: (i) the absence of an express provision permitting assignment of receivables owed to the Corporation under its contracts, and present or future prohibitions against assignment contained in any applicable statutes or regulations; (ii) commingling of the proceeds of Gross Revenues with other moneys not subject to the security interest in the Gross Revenues; (iii) statutory liens; (iv) rights arising in favor of the United States of America or any agency thereof; (v) constructive trusts, equitable or other rights impressed or conferred by a federal or state court in the exercise of its equitable jurisdiction; (vi) federal bankruptcy laws or state insolvency laws which may affect the enforceability of the Deed of Trust or the security interest in the Gross Revenues of the Corporation which are earned by the Corporation within 90 days preceding or, in certain circumstances with respect to related corporations, within one year preceding and after any effectual institution of bankruptcy proceedings by or against the Corporation; (vii) rights of third parties in Gross Revenues converted to cash and not in the possession of the Trustee; and (viii) claims that might arise if appropriate financing or continuation statements are not filed or other documents are not executed in accordance with the California Uniform Commercial Code as from time to time in effect. Under the Uniform Commercial Code, such security interest ceases to attach to proceeds of Gross Revenues, *e.g.*, collections of accounts receivable which cannot be traced to a specific account of the

Corporation other than the Gross Revenue Fund created under the Loan Agreement and the Regulatory Agreement or otherwise have ceased to be “identifiable cash proceeds.”

There exists, in addition to the foregoing, common law authority and authority under California statutes pursuant to which the California courts may terminate the existence of a nonprofit corporation or undertake supervision of its affairs on various grounds, including a finding that such corporation has insufficient assets to carry out its stated charitable purposes or has taken some action which renders it unable to carry out such purposes. Such court action may arise on the court’s own motion pursuant to a petition of the California Attorney General or such other persons who have interests different from those of the general public, pursuant to the common law and statutory power to enforce charitable trusts and to see to the application of their funds to their intended charitable uses.

CERTAIN RISKS ASSOCIATED WITH THE DEED OF TRUST

Valuation. The Community is located in a region that has experienced real property market volatility throughout the past few years. There can be no assurance that, if the Corporation were to default in making the payments under the Loan Agreement, (i) any part or all of the Community could be foreclosed upon and sold for an amount sufficient to fully pay the outstanding principal of and interest on the Bonds or (ii) any bid would be received for the Community and, if received, that such bid would be sufficient to fully pay the outstanding principal of and interest on the Bonds.

Seismic Activity. Much of California is seismically active and contains numerous faults that could be earthquake sources. The Corporation currently does not carry earthquake insurance, but earthquake insurance periodically may be required by the Office. If seismic activity caused significant damage to the Community, the value of the Community could be adversely affected and the security for the Bonds could be impaired. In addition, seismic activity in the general vicinity of the Community could adversely affect real estate prices generally and/or the rate at which real estate sales occur, thus adversely impacting the security for the Bonds by generally reducing real estate values. Management of the Corporation is not able to predict whether or to what extent these results might occur.

Priority of the Liens. The lien created under the Deed of Trust delivered by the Corporation constitutes a first lien on and security interest in the Collateral Property. The liens are subordinate to and independent of liens for general property taxes, special taxes and assessments. Additional special taxes or assessments may be imposed on the Community by other public agencies that have jurisdiction over the Collateral Property. Such future special taxes or assessments would have priority over the liens created under the Deed of Trust. Additionally, the Corporation may create Permitted Encumbrances which have priority over the liens created under the Deed of Trust.

Hazardous Substances. While governmental taxes, assessments and charges are common claims against the value of property, other less common claims may be relevant. One of the most serious in terms of the potential reduction in the value that may be realized is a claim with regard to hazardous substances. In general, the Corporation may be required by law to remedy

conditions of the Community relating to release of hazardous substances. The federal Comprehensive Environmental Response, Compensation and Liability Act of 1980, sometimes referred to as “CERCLA” or the “Superfund Act,” is the most well-known and widely applicable of these laws. California laws with regard to hazardous substances are stringent and similar to the federal acts. Under many of these laws, the owner (or operator) is obligated to remedy a hazardous substance condition on property, whether or not the owner (or operator) had or has anything to do with the creation or handling of the hazardous substance. Consequently, if any part of the Community is affected by a hazardous substance, the marketability and value of the parcel may be reduced by the cost of remedying the condition. Further, such liabilities may arise not simply from the existence of a hazardous substance but from the method of handling the hazardous substance. Any of these circumstances could significantly affect the value of the Collateral Property that would be realized upon a delinquency and foreclosure.

Foreclosure. There are two methods of foreclosing on a deed of trust under California law: by nonjudicial sale and by judicial sale. Foreclosure under a deed of trust may be accomplished by a nonjudicial trustee’s sale under the power of sale provision in the deed of trust. Prior to such sale, the trustee must record a notice of default and election to sell and must send a copy to the trustor, any person who has recorded a request for a copy of the notice of default and notice of sale, any successor in interest of the trustor and the beneficiary of any junior deed of trust. Following the lapse of three months after recording the notice of default and election to sell, the trustee may give notice of sale. The notice of sale must be posted in a public place and published once each week throughout a 20-day period prior to the trustee’s sale. Such notice of sale must be posted on the property and must be sent to the trustor, to each person who has requested a copy, to any successor in interest of the trustor and to the beneficiary of any junior deed of trust at least 20 days prior to the sale. The trustor, any successor in interest of the trustor, or any person having a junior lien or encumbrance of record may cure the default during the statutory reinstatement period by paying the entire amount of the debt then due under the terms of the deed of trust and the obligations secured thereby (exclusive of principal due by virtue of acceleration upon default) plus costs and expenses actually incurred in enforcing the obligation and certain statutorily limited attorneys’ and trustee’s fees. In addition, the notice of sale must be recorded with the county recorder at least 14 days prior to the date of sale. Following the sale, neither the trustor nor any junior lien holder has any right of redemption, and the beneficiary may not ordinarily obtain a deficiency judgment against the trustor.

If foreclosure under a deed of trust is sought in the form of a judicial foreclosure, it generally is subject to most of the delays and expenses that occur with other lawsuits. Judicial foreclosure sometimes requires up to several years to complete. The primary advantage of a judicial foreclosure is that the beneficiary is entitled, subject to other limitations, to obtain a deficiency judgment against the trustor to the extent that the amount of the debt is in excess of the fair market value of the property. Following a judicial foreclosure sale, the trustor or its successors in interest may redeem the property for a period of one year (or a period of three months if the entire amount of the debt is bid at the foreclosure sale).

Antideficiency Legislation and Other Limitations on Lenders. The State of California has four principal statutory prohibitions limiting the remedies of a beneficiary under a deed of trust. Two of these prohibitions limit the beneficiary’s right to obtain a deficiency judgment, one being

based on the method of foreclosure and the other on the type of debt secured. Under the former, a deficiency judgment ordinarily is barred when the foreclosure is accomplished by means of a nonjudicial trustee's sale, except where the deed of trust is given to secure the payment of bonds authorized or permitted to be issued by the California Commissioner of Corporation. Under the latter (not intended to be applicable in this situation), a deficiency judgment is barred where a foreclosed deed of trust secures certain purchase money obligations.

Another California statute, commonly known as the "one form of action" rule, requires the beneficiary to exhaust the security under a deed of trust by foreclosure before bringing a personal action against the trustor on the indebtedness. If a court were to hold that this rule were applicable to the Deed of Trust and the Authority or the Trustee were to file suit to collect the debt under the Loan Agreement without seeking first to enforce their remedies under the Deed of Trust, they might be precluded from thereafter proceeding under the Deed of Trust to foreclose on the Collateral Property.

Another statutory provision limits any deficiency judgment obtained by a beneficiary following a judicial sale to the excess of the outstanding debt above the fair market value of the property at the time of sale. This prevents a beneficiary from obtaining a large deficiency judgment against the debtor as the result of low bids at a judicial sale.

Other statutory provisions (such as the federal bankruptcy laws) may have the effect of delaying enforcement of the lien of the Deed of Trust in the event of a default by the Corporation.

RIGHTS OF RESIDENTS

The Corporation enters into residency agreements with its residents. Although these agreements give to each resident a contractual right to use space and do not grant any ownership rights in the Corporation's Community, in the event that either the Trustee or the holders of the Bonds seek to enforce any of the remedies provided by the Indenture upon the occurrence of a default, management is unable to predict the resolution that a court might make of competing claims between the Trustee, the Authority or the holders of the Bonds and the residents of the Corporation's Community who have fully complied with all the terms and conditions of their Residency Agreements.

The Corporation may, from time to time, be subject to pressure from organized groups of residents seeking, among other things, to raise the level of services or to maintain the level of facility service fees or other charges without increase. Moreover, the Corporation may be subject to conflicting pressures from different groups of residents, some of whom may seek an increase in the level of services while others wish to hold down monthly service fees and other charges. No assurance can be given that the Corporation will be able to satisfy such resident groups.

ENVIRONMENTAL MATTERS

Retirement communities are subject to a wide variety of federal, state and local environmental and occupational health and safety laws and regulations. Among the types of regulatory requirements faced by such facilities, and by their owners and operators, are: air and water quality control requirements; waste management requirements; specific regulatory requirements applicable to asbestos, medical waste and polychlorinated biphenyls; requirements for providing notice to employees and members of the public about hazardous materials handled by or located at such facilities; requirements for training employees in the proper handling and management of hazardous materials and wastes; and other requirements. Owners and operators of such facilities may be subject to liability for investigating and remedying any hazardous substances that have come to be located on the property, including any such substances that may have migrated off of the property. Typical operations include, to some extent and in various combinations, the handling, use, storage, transportation, disposal and discharge of infectious, toxic, flammable and other hazardous materials, wastes, pollutants or contaminants. For this reason, the operations of the Corporation is particularly susceptible to the practical financial and legal risks associated with compliance with such laws and regulations. Such risks may result in damage to individuals, property or the environment; may interrupt operations or increase their cost or both; may result in legal liability, damages, injunctions or fines; or may trigger investigations, administrative proceedings, penalties or other government agency actions. There can be no assurance that the Corporation will not encounter such risks in the future, and such risks may result in material consequences to the operations or financial condition of the Corporation.

Under the federal Comprehensive Environmental Response, Compensation and Liability Act and under comparable California State law, a secured party which takes a deed in lieu of foreclosure, purchases a mortgaged property at a foreclosure sale or operates a mortgaged property may become liable in certain circumstances for the cost of remedial action if hazardous waste or hazardous substances have been released or disposed of on the property. Such remedial action costs could subject the Collateral Property to a lien and reduce or eliminate the amounts otherwise available to pay the owners of the Bonds if such remedial action costs were incurred.

NATURAL DISASTERS

The occurrence of natural disasters, including floods, earthquakes and volcanic activity, may damage part or all of the Community, interrupt utility service to part or all of the Community or otherwise impair the operation of part or all of the Community or the generation of revenues from part or all of the Community beyond existing insurance coverage. No assurance is given as to the continuation of such insurance coverage, which, among other things, may not be available at a reasonable cost in the future.

POSSIBLE FUTURE CHANGES TO ACCOUNTING POLICIES AND PROCEDURES

From time to time, accounting policies and procedures change as accounting principles that are generally accepted in the United States change. Such changes may cause a variation in the presentation of the financial information of the Corporation. There can be no assurance that

any such changes would not have a material adverse impact on the Corporation's compliance with certain covenants contained in the Regulatory Agreement.

The most significant accounting standard that may impact the Corporation is the adoption of Accounting Standards Codification 606, *Revenue from Contracts with Customers*. This standard is expected to impact the manner in which entrance fees are amortized and is effective for the Corporation for its fiscal year ending February 28, 2018. The Corporation is currently assessing the impact of this standard on its financial statements; however, since the change would impact non-cash amortization, the Corporation does not expect the adoption of this standard to have a significant impact on covenant compliance.

THE OFFICE'S CONTROL OF REMEDIES

For as long as the Contract of Insurance is in effect and the Office is not in default thereunder, the Office is deemed to be the Holder of the Bonds for purposes of (i) exercising all remedies and directing the Trustee to take actions or for any other purposes following an Event of Default, and (ii) granting any consent, direction or approval or taking any action permitted by or required under the Indenture or the Loan Agreement, as the case may be, to be granted or taken by the Holders of such Bonds (including consenting to amendments to the Indenture or the Loan Agreement that materially adversely affect the interest of the Holders of the Bonds). Anything in the Indenture or the Loan Agreement to the contrary notwithstanding, upon the occurrence and continuance of an Event of Default, the Office shall be entitled to control and direct the enforcement of all rights and remedies granted to the Holders or the Trustee for the benefit of the Holders. See APPENDIX D—"SUMMARY OF PRINCIPAL DOCUMENTS."

LACK OF MARKETABILITY FOR THE BONDS

Although the Underwriter intends, but is not obligated, to make a market for the Bonds, there can be no assurance that there will be a secondary market for the Bonds, and the absence of such a market for the Bonds could result in investors not being able to resell the Bonds should they need to or wish to do so.

OTHER POSSIBLE RISK FACTORS

Potential purchasers should also consider the following factors prior to purchasing the Bonds. This list is not, and is not intended to be, all inclusive.

Inflation or Other Adverse Economic Conditions. Inflation or other adverse economic conditions could cause an inability to control increases in operating costs, which in turn, could adversely affect the operations of the Corporation.

Reduced Demand for Corporation's Programs and Services. A decline in the population, a change in the age composition of the population, a decline in the economic conditions of the Corporation's market areas, unanticipated competition, or medical and technological advances could reduce demand for the Corporation's programs and services.

Energy. Changes to the cost and availability of energy could, among other things, affect the cost of utilities of the Corporation's facilities and thereby adversely affect the operations of the Corporation.

Changes to Federal, State or Local Laws or Regulations. Changes to the laws and regulations affecting the Corporation's operations such as reinstatement or establishment of mandatory governmental wage, rent or price controls, or changes in tax, pension, social security or other laws and regulations affecting the provisions of health care, retirement benefits and other services to the elderly, could have an adverse effect on the future operating or financial performance of the Corporation.

Early Redemption. Purchasers of Bonds, including those who purchase Bonds at prices in excess of their principal amount or who hold Bonds trading at prices in excess of their principal amount, should consider that the Bonds are subject to redemption prior to maturity at a redemption price that may be less than the prices at which such Bonds were purchased or are trading. See "THE BONDS—Redemption of the Bonds."

Forward-Looking Statements. Certain statements contained in this Official Statement do not reflect historical facts but instead are forecasts and "Forward-Looking Statements." No assurance can be given that the future results discussed herein will be achieved, and actual results may differ materially from the forecasts described herein. In this respect, the words "estimate," "forecast," "project," "anticipate," "expect," "intend," "believe" and other similar expressions are intended to identify forward-looking statements. All projections, forecasts, assumptions and other forward-looking statements are expressly qualified in their entirety by the cautionary statements set forth in this Official Statement.

The information and expressions of opinions herein are subject to change without notice, and neither the delivery of this Official Statement nor any sale made hereunder shall, under any circumstances, create any implication that there has been no change in the affairs of the Corporation or any other person described herein since the date thereof.

LITIGATION

THE CORPORATION

There is no controversy or litigation of any nature now pending against the Corporation or, to the knowledge of its officers, threatened, restraining or enjoining the issuance of the Bonds or in any way contesting or affecting (i) the validity of the Bonds, or (ii) any proceedings of the Corporation taken concerning the issuance or sale thereof or the collection of Revenues pledged under the Indenture.

As with most senior care providers, the Corporation is subject to certain legal actions that, in whole or in part, are not or may not be covered by insurance because of the type of action or amount or types of damages requested (e.g., punitive damages), because of a reservation of

rights by an insurance carrier, or because the action has not proceeded to a stage that permits full evaluation.

There is no litigation of any nature now pending against the Corporation or, to the knowledge of the Corporation's officers, threatened, which, if successful, would materially adversely affect the operations or financial condition of the Corporation.

THE AUTHORITY

To the knowledge of the Authority, there is no material litigation pending or threatened against the Authority concerning the validity of the Bonds or any proceedings of the Authority taken with respect to the issuance thereof.

TAX MATTERS

In the opinion of Orrick, Herrington & Sutcliffe LLP ("*Bond Counsel*"), based upon an analysis of existing laws, regulations, rulings and court decisions, and assuming, among other matters, the accuracy of certain representations and compliance with certain covenants, interest on the Bonds is excluded from gross income for federal income tax purposes under Section 103 of the Code and is exempt from State of California personal income taxes. In the further opinion of Bond Counsel, interest on the Bonds is not a specific preference item for purposes of the federal individual or corporate alternative minimum taxes, although Bond Counsel observes that such interest is included in adjusted current earnings when calculating corporate alternative minimum taxable income. Bond Counsel expresses no opinion regarding any other tax consequences related to the ownership or disposition of, or the amount, accrual or receipt of interest on, the Bonds. A complete copy of the proposed form of opinion of Bond Counsel is set forth in APPENDIX G hereto.

To the extent the issue price of any maturity of the Bonds is less than the amount to be paid at maturity of such Bonds (excluding amounts stated to be interest and payable at least annually over the term of such Bonds), the difference constitutes "original issue discount," the accrual of which, to the extent properly allocable to each Beneficial Owner thereof, is treated as interest on the Bonds which is excluded from gross income for federal income tax purposes and State of California personal income taxes. For this purpose, the issue price of a particular maturity of the Bonds is the first price at which a substantial amount of such maturity of the Bonds is sold to the public (excluding bond houses, brokers, or similar persons or organizations acting in the capacity of underwriters, placement agents or wholesalers). The original issue discount with respect to any maturity of the Bonds accrues daily over the term to maturity of such Bonds on the basis of a constant interest rate compounded semiannually (with straight-line interpolations between compounding dates). The accruing original issue discount is added to the adjusted basis of such Bonds to determine taxable gain or loss upon disposition (including sale, redemption, or payment on maturity) of such Bonds. Beneficial Owners of the Bonds should consult their own tax advisors with respect to the tax consequences of ownership of Bonds with original issue discount, including the treatment of Beneficial Owners who do not purchase such

Bonds in the original offering to the public at the first price at which a substantial amount of such Bonds is sold to the public.

Bonds purchased, whether at original issuance or otherwise, for an amount higher than their principal amount payable at maturity (or, in some cases, at their earlier call date) ("*Premium Bonds*") will be treated as having amortizable bond premium. No deduction is allowable for the amortizable bond premium in the case of bonds, like the Premium Bonds, the interest on which is excluded from gross income for federal income tax purposes. However, the amount of tax-exempt interest received, and a Beneficial Owner's basis in a Premium Bond, will be reduced by the amount of amortizable bond premium properly allocable to such Beneficial Owner. Beneficial Owners of Premium Bonds should consult their own tax advisors with respect to the proper treatment of amortizable bond premium in their particular circumstances.

The Code imposes various restrictions, conditions and requirements relating to the exclusion from gross income for federal income tax purposes of interest on obligations such as the Bonds. The Authority and the Corporation have made certain representations and covenanted to comply with certain restrictions, conditions and requirements designed to ensure that interest on the Bonds will not be included in federal gross income. Inaccuracy of these representations or failure to comply with these covenants may result in interest on the Bonds being included in gross income for federal income tax purposes, possibly from the date of original issuance of the Bonds. The opinion of Bond Counsel assumes the accuracy of these representations and compliance with these covenants. Bond Counsel has not undertaken to determine (or to inform any person) whether any actions taken (or not taken), or events occurring (or not occurring), or any other matters coming to Bond Counsel's attention after the date of issuance of the Bonds may adversely affect the value of, or the tax status of interest on, the Bonds. Accordingly, the opinion of Bond Counsel is not intended to, and may not, be relied upon in connection with any such actions, events or matters.

In addition, Bond Counsel has relied, among other things, on the opinion of Hanson Bridgett LLP, Counsel to the Corporation, regarding the current qualification of the Corporation as an organization described in Section 501(c)(3) of the Code and the intended operation of the facilities to be financed by the Bonds as substantially related to the Corporation's charitable purpose under Section 513(a) of the Code. Such opinion is subject to a number of qualifications, limitations and assumptions. For example, presidential budget proposals in previous years have proposed legislation that would limit the exclusion from gross income of interest on the Bonds to some extent for high-income individuals. Furthermore, Counsel to the Corporation cannot give and has not given any opinion or assurance about the future activities of the Corporation, or about the effect of future changes in the Code, the applicable regulations, the interpretation thereof or changes in enforcement thereof by the IRS. Failure of the Corporation to be organized and operated in accordance with the IRS's requirements for the maintenance of its status as an organization described in Section 501(c)(3) of the Code, or to operate the facilities financed by the Bonds in a manner that is substantially related to the Corporation's charitable purpose under Section 513(a) of the Code, may result in interest payable with respect to the Bonds being included in federal gross income, possibly from the date of the original issuance of the Bonds.

Although Bond Counsel is of the opinion that interest on the Bonds is excluded from gross income for federal income tax purposes and is exempt from State of California personal income taxes, the ownership or disposition of, or the accrual or receipt of interest on, the Bonds may otherwise affect a Beneficial Owner's federal, state or local tax liability. The nature and extent of these other tax consequences depends upon the particular tax status of the Beneficial Owner or the Beneficial Owner's other items of income or deduction. Bond Counsel expresses no opinion regarding any such other tax consequences.

Current and future legislative proposals, if enacted into law, clarification of the Code or court decisions may cause interest on the Bonds to be subject, directly or indirectly, in whole or in part, to federal income taxation or to be subject to or exempted from state income taxation, or otherwise prevent Beneficial Owners from realizing the full current benefit of the tax status of such interest. The introduction or enactment of any such legislative proposals or clarification of the Code or court decisions may also affect, perhaps significantly, the market price for, or marketability of, the Bonds. Prospective purchasers of the Bonds should consult their own tax advisors regarding the potential impact of any pending or proposed federal or state tax legislation, regulations or litigation, as to which Bond Counsel is expected to express no opinion.

The opinion of Bond Counsel is based on current legal authority, covers certain matters not directly addressed by such authorities, and represents Bond Counsel's judgment as to the proper treatment of the Bonds for federal income tax purposes. It is not binding on the IRS or the courts. Furthermore, Bond Counsel cannot give and has not given any opinion or assurance about the future activities of the Authority or the Corporation, or about the effect of future changes in the Code, the applicable regulations, the interpretation thereof or the enforcement thereof by the IRS. The Authority and the Corporation covenanted, however, to comply with the requirements of the Code.

Bond Counsel's engagement with respect to the Bonds ends with the issuance of the Bonds, and, unless separately engaged, Bond Counsel is not obligated to defend the Authority, the Corporation or the Beneficial Owners regarding the tax-exempt status of the Bonds in the event of an audit examination by the IRS. Under current procedures, parties other than the Authority, the Corporation and their appointed counsel, including the Beneficial Owners, would have little, if any, right to participate in the audit examination process. Moreover, because achieving judicial review in connection with an audit examination of tax-exempt bonds is difficult, obtaining an independent review of IRS positions with which the Authority or the Corporation legitimately disagrees, may not be practicable. Any action of the IRS, including but not limited to selection of the Bonds for audit, or the course or result of such audit, or an audit of bonds presenting similar tax issues may affect the market price for, or the marketability of, the Bonds, and may cause the Authority, the Corporation or the Beneficial Owners to incur significant expense.

LEGALITY

The validity of the Bonds and certain other legal matters are subject to the approving opinion of Orrick, Herrington & Sutcliffe LLP, Bond Counsel to the Authority. A complete copy of the proposed form of Bond Counsel opinion is contained in APPENDIX G hereto. Certain

legal matters will be passed upon for the Corporation by its counsel, Hanson Bridgett LLP, and for the Authority by its counsel, Jones Hall, A Professional Law Corporation. Certain legal matters will be passed upon for the Underwriter by Chapman and Cutler LLP. None of the counsel mentioned above undertakes any responsibility for the accuracy, completeness or fairness of this Official Statement.

UNDERWRITING

Pursuant to a Bond Purchase Contract among the Underwriter, the Authority and the Corporation (the “*Purchase Contract*”), the Underwriter has agreed to purchase the Bonds at an aggregate purchase price of \$57,954,339.40 (representing the aggregate principal amount of the Bonds, plus original issue premium of \$4,368,721.90 and less an Underwriter’s discount of \$459,382.50). Pursuant to the Purchase Contract, the Corporation has agreed to indemnify the Underwriter and the Authority against certain liabilities. The Underwriter reserves the right to join with dealers and other underwriters in offering the Bonds to the public. The obligation of the Underwriter to accept delivery of the Bonds is subject to the various conditions of the Purchase Contract.

In connection with this financing, the Corporation has established certain funds and accounts. Under the terms of the Indenture, the Corporation may direct the Trustee to invest some or all of the funds within the investment parameters established in the Indenture.

FINANCIAL STATEMENTS

The financial statements of the Corporation as of and for the fiscal years ended February 29, 2016, February 28, 2015, and February 28, 2014 included in APPENDIX B to this Official Statement have been audited by Moss Adams LLP, independent certified public accountants as stated in its reports appearing therein. Moss Adams LLP has not been engaged to perform, and has not performed, since the date of its latest report included in APPENDIX B, any procedures on the financial statements addressed in these reports.

Certain unaudited summarized financial information of the Corporation as of and for the ten-month periods ended December 31, 2015 and 2016 is included in APPENDIX A hereto. Such unaudited summarized financial information for the ten-month period ended December 31, 2016 is not necessarily indicative of the financial results of the Corporation for the fiscal year ending February 28, 2017.

VERIFICATION OF MATHEMATICAL COMPUTATIONS

Concurrently with the issuance of the Bonds, Chris D. Berens, CPA, P.C. will deliver a report with respect to the mathematical accuracy of (1) certain computations, contained in schedules provided to them, which were prepared by the Underwriter, relative to the sufficiency of moneys and securities deposited into the escrow fund established pursuant to an escrow agreement to pay, when due, the principal and interest requirements and the redemption price of the Prior Bonds and (2) the computations of yield on both the securities and the Bonds contained

in such schedules to support Bond Counsel's opinion that interest on the Bonds will be excluded from gross income for federal income tax purposes. The report of Chris D. Berens, CPA, P.C. will include the statement that the scope of its engagement is limited to verifying the mathematical accuracy of the aforesaid computations and that it has no obligation to update its report because of events occurring, or data or information coming to its attention, subsequent to the date of the report.

FINANCIAL FEASIBILITY STUDY

Management's financial forecast for the six years ending February 28/29, 2018 through 2023, included as part of the Financial Feasibility Study included in APPENDIX C hereto, has been examined by Hendrickson Consulting, independent certified public accountants, as stated in their report dated March 21, 2017 appearing in APPENDIX C. As stated in the Financial Feasibility Study, there will usually be differences between the forecasted data and actual results because events and circumstances frequently do not occur as expected, and those differences may be material. The Financial Feasibility Study should be read in its entirety, including Management's notes and assumptions set forth therein.

RATING

Standard & Poor's Ratings Services, a division of The McGraw-Hill Companies, Inc., has assigned its municipal bond rating of "AA-" to the Bonds with the understanding that, upon delivery of the Bonds, payment of the principal of and interest on the Bonds will be insured by the Office. The rating reflects the rating agency's current assessment of the creditworthiness of the Office and its ability to pay claims under the Insurance Program.

The rating and an explanation of its significance may be obtained from the rating agency furnishing such rating. Such rating reflects only the view of the rating agency. The Corporation has furnished the rating agency with certain information and materials relating to the Bonds that have not been included in this Official Statement. Generally, rating agencies base their ratings on the information and materials so furnished and on investigations, studies, and assumptions by the rating agencies. There is no assurance that a particular rating will be maintained for any given period of time or that it will not be lowered or withdrawn entirely if, in the judgment of the agency originally establishing the rating, circumstances so warrant. Any such change in or withdrawal of such rating could have an adverse effect on the market price of the Bonds.

MISCELLANEOUS

The foregoing and subsequent summaries or descriptions of provisions of the Bonds, the Contract of Insurance, the Indenture, the Loan Agreement, the Regulatory Agreement and the Deed of Trust and all references to other materials not purporting to be quoted in full are only general outlines of some of the provisions thereof and do not purport to summarize or describe all of the provisions thereof. Reference is made to said documents for full and complete

statements of the provisions of such documents. The appendices attached hereto are a part of this Official Statement. Copies, in reasonable quantity, of the Indenture, the Loan Agreement, the Contract of Insurance, the Regulatory Agreement and the Deed of Trust may be obtained during the offering period upon request to the Underwriter and thereafter upon request to the principal corporate trust office of the Trustee.

So far as any statements made in this Official Statement involve matters of opinion or estimates, whether or not expressly stated, they are set forth as such and not as representations of fact, and no representation is made that any of such statements will be realized. Neither this Official Statement nor any statement which may have been made orally or in writing is to be construed as a contract with the owners of the Bonds.

It is anticipated that CUSIP identification numbers will be printed on the Bonds, but neither the failure to print such numbers nor any error in the printing of such numbers shall constitute grounds for a failure or refusal by any purchaser thereof to accept delivery of and payment for any Bonds.

The attached Appendices are integral parts of this Official Statement and must be read together with all of the foregoing statements.

The Corporation has reviewed the information contained herein which relates to it and its property and operations, and has approved all such information for use within this Official Statement.

The Authority furnished only the information in this Official Statement contained under the captions "THE AUTHORITY" and "LITIGATION—The Authority" and, except for such information, makes no representation or warranty as to the adequacy, completeness or accuracy of this Official Statement.

This Official Statement has been delivered by the Corporation. This Official Statement is not to be construed as a contract or agreement among any of the Authority, the Corporation or the purchasers or holders of any of the Bonds.

CHANNING HOUSE, a California
nonprofit public benefit corporation

By: /s/ Melvin Matsumoto
Executive Director

APPENDIX A

**INFORMATION CONCERNING
CHANNING HOUSE**

*The information contained herein as APPENDIX A
to this Official Statement has been obtained from
Channing House*

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INTRODUCTION

GENERAL

Channing House (the “*Corporation*” or “*Channing House*”) is a California nonprofit public benefit corporation and an organization described under Section 501(c)(3) of the Internal Revenue Code of 1986, as amended (the “*Code*”).

Channing House owns and operates a continuing care retirement community (the “*Community*”) located on one acre of real property in Palo Alto, California, approximately 25 miles south of San Francisco. The Community consists of 191 residential living units, 27 assisted living beds (in 24 rooms) and 26 skilled nursing beds.

For a complete description of the Community, see “INTRODUCTION—The Community” below and “THE COMMUNITY AND SERVICES” herein.

The Corporation will use the proceeds of the California Municipal Finance Authority Insured Revenue and Refunding Bonds (Channing House Project), Series 2017A (the “*Bonds*”), together with other available funds, to (i) advance refund all of the outstanding ABAG Finance Authority for Nonprofit Corporations Insured Revenue Bonds (Channing House), Series 2010 (the “*Prior Bonds*”); (ii) fund a Bond Reserve Account for the benefit of the Bonds; (iii) pay the insurance premium to the Office (as defined in the front part of this Official Statement); and (iv) pay certain of the costs of issuance of the Bonds.

The Corporation intends to request the California Municipal Finance Authority to issue an additional series of bonds (the “*Project Bonds*”) subsequent to the issuance of the Bonds for the benefit of the Corporation. The proceeds of the Project Bonds will be used to finance the costs of certain capital improvements to the Community (collectively, the “*Project*”). For a description of the Project to be financed with the proceeds of the Project Bonds, see “THE PROJECT” herein. The Project Bonds are expected to be issued within six months of the issuance of the Bonds.

This Appendix A is intended to provide information about the Corporation and the Project that is not presented elsewhere in this Official Statement. For additional information about the Corporation, potential investors should refer to the audited financial statements of the Corporation for the fiscal years ended February 28/29, 2014, 2015 and 2016, which are included in this Official Statement as Appendix B. The materials included in this Appendix A and the other appendices to this Official Statement should be read in their entirety.

Capitalized terms used and not otherwise defined herein have the meanings assigned to such terms in Appendix D—“SUMMARY OF PRINCIPAL DOCUMENTS—DEFINITIONS OF CERTAIN TERMS.”

THE COMMUNITY

The Community is located within two miles of Stanford University and just southeast of the Palo Alto downtown business district. The neighborhood surrounding the Community contains a wide variety of generally older, medium- to high-density apartments and condominium projects, single-family homes and some buildings converted to office use.

The mission of Channing House is to provide a continuing care retirement community (“CCRC”) that enhances each resident’s independence, well-being, needed care and security; and to develop and strengthen Channing House’s capacity to remain a stable, high-quality and forward-looking life care community for future generations.

The Community consists of (i) an 11-story, approximately 330,000 square foot building (the “*RL Building*”) that houses 191 residential living (“*RL*”) units and (ii) a two-story approximately 48,000 square foot building (the “*Health Care Building*”) located adjacent to the RL Building, which contains 27 assisted living (“*AL*”) beds (in 24 rooms) and a 26-bed skilled nursing facility (the “*SNF*”). The RL and AL portions of the Community are licensed by the State of California Department of Social Services (“*DSS*”) Community Care Licensing Division as a Residential Care Facility for the Elderly (“*RCFE*”). The SNF is licensed by the State of California Department of Public Health. The Corporation has a certificate of authority from the DSS Continuing Care Contracts Branch (the “*Branch*”) to enter into continuing care contracts with residents.

The Community also includes a number of community facilities that provide the opportunity for residents to engage in numerous activities. These facilities include a pool, fitness center, dining room, auditorium, library, conference rooms, guest rooms, lobby, activity rooms, seating areas and underground parking.

HISTORY

Channing House was founded in 1960 by Dr. Russel V.A. Lee, one of the creators of the Palo Alto Medical Foundation and its first president. Through his medical practice, Dr. Lee recognized the need to find new approaches to providing care for the nation’s aging population. In 1964, the Corporation completed construction of the Community and the first residents moved in.

In 2002, Channing House completed a three-year seismic strengthening project undertaken to enhance the Community’s ability to withstand a major earthquake. Also in 2002, Channing House added a fourth elevator, as well as an indoor swimming pool and fully equipped fitness center, to the Community to provide recreational amenities for current and future residents.

In 2010, Channing House undertook a major renovation of the Community (the “*2010 Project*”). The first phase of the 2010 Project included the construction of the Health Care Building, which opened in December 2014. The second phase of the 2010 Project included the conversion of vacated AL/SNF space on the second floor of the RL Building to 14 new RL units

as well as updated therapy, activity, meeting and training rooms, and clinic areas in the RL Building. The new RL units opened in March 2016. Several smaller projects (e.g., garden terrace, landscaping) are still under construction and scheduled to be completed in mid-2017.

GOVERNANCE AND MANAGEMENT

BOARD OF TRUSTEES

Channing House currently is governed by a Board of Trustees (the “*Board*”) consisting of 13 voting members who serve without compensation. Pursuant to the Corporation’s by-laws, individual trustees are eligible to serve up to three consecutive three-year terms. Trustees also serve on various Board committees including Finance, Governance, Audit and Fund Development. Channing House currently has two residents serving as resident trustees.

The Board currently consists of the following members:

NAME	BOARD POSITION	PROFESSIONAL AFFILIATION	YEARS ON BOARD	END OF CURRENT TERM (FEBRUARY 28/29)
Jean McCown	Chair	Public Relations Officer	3	2019
Andy Coe	Vice Chair	Government Affairs Officer	3	2019
Patty Fisher	Secretary	Retired Journalist	1	2019
Helene Butler	Treasurer	Institutional Analyst	2	2020
John Boggs, MD	Trustee	Physician	3	2019
Tony Carrasco	Trustee	Architect	less than 1	2019
David Golden*	Trustee	Retired Engineer/Resident	1	2018
Tom Hofstedt	Trustee	Business School Professor and Management Consultant	less than 1	2019
Gloria Hom	Trustee	Retired Educator	5	2020
Patty Irish*	Trustee	Retired Nonprofit Executive/Resident	7	2018
John Schniedwind	Trustee	Retired Investment Company Executive	7	2018
David G. Thornton	Trustee	Retired Nonprofit Executive	7	2018
Pamela D. Von Wiegand	Trustee	Retired Nonprofit Executive	less than 1	2019

*Denotes Resident of Channing House

MANAGEMENT

The daily operations of the Community have been delegated by the Board to a management team (“*Management*”), including an Executive Director, a Director of Finance & Technology, an Administrator and a Director of Health Services. Summary biographical information for these positions is set forth below.

Mel Matsumoto, Executive Director (64) - Mr. Matsumoto joined the Corporation in November 2012. For over 38 years, he has held numerous executive and volunteer leadership positions in the field of aging/elder services. Prior to joining Channing House, he was Executive Vice President of Masonic Homes of California, which operates CCRCs. Previously, he was Executive Director of The Redwoods, a multi-level retirement community in Mill Valley, and Vice President of Operations for Northern California Presbyterian Homes & Services where he oversaw three CCRCs, three affordable housing communities and an active adult community. He received his bachelor's degree from Yale University.

Rhonda Bekkedahl, Director of Finance & Technology (50) - Ms. Bekkedahl joined the Corporation in November 2011. Ms. Bekkedahl's previous positions have included Auditor (Deloitte & Touche and Kaiser Permanente), Controller, and CFO (in healthcare and technology). Immediately prior to joining Channing House, she was co-owner of an international technology company. In this role, she supervised marketing, sales, customer service, and finance. She is a licensed Nursing Home Administrator and a Certified Public Accountant. She received a bachelor's degree in Business Administration with an emphasis in Accounting from Colorado State University.

Julie Jones, Administrator (61) - Ms. Jones joined the Corporation in 2006. She is a licensed Nursing Home Administrator and has been the Channing House Administrator since 2012. Prior to 2012, she was the Director of Finance & IT for the Community. She has a bachelor's degree in Accounting from San Jose State University and a master's of business administration degree from Golden Gate University.

Araceli Antonio, RN, Director of Health Services (70) - Ms. Antonio has been the Director of Health Services at the Community since 2002. She has more than 45 years of experience in administration, management and consulting positions with emphasis in the operations of long term care facilities, retirement communities and vocational nursing schools. Her experience includes private consulting to health care facilities in staff development, clinical operations and personnel management from 1999 to 2002. Previously, she served as Vice President of Operations for Guardian Health Group from 1991 to 1999 and Chief of Operations for Bay Area Recovery Centers from 1985 to 1991. Her educational background includes a bachelor's degree in Nursing from Far Eastern University in Manila, the Philippines and a master's degree in Nursing from the University of California, San Francisco. She is currently the Executive Director of the Philippine Nurses Association of America and the Past President of the Philippine Nurses Association of America Foundation, as well as the past President of the Association of Rehabilitation Nurses of Northern California Chapter. She is licensed as a Registered Nurse and certified as Public Health Nurse in the State of California.

THE PROJECT

The City of Palo Alto approved the 2010 Project on the condition that Channing House update its fire alarm and sprinkler systems in the RL Building to meet current code requirements. These upgrades require Channing House to open the ceilings on each of floors three through ten of the RL Building to add alarm cabling and plumbing to tie into sprinklers, warning horns and strobes that will be placed in each of the RL units as well as common areas and offices.

The new Project will require the residents of approximately 20 RL units at a time to relocate to one of 20 temporary apartments for a period of approximately four to five months. Channing House is converting eight offices on the first floor and two guest rooms on the third floor to serve as temporary studio apartments for the displaced residents. Channing House will use approximately ten of the existing vacant RL units as temporary apartments (approximately five studios and five one-bedroom units).

Simultaneously with the fire sprinkler/alarm work, Channing House will also replace its HVAC system and upgrade its telephone cabling.

Finally, Channing House will complete a series of smaller projects during the upgrade period. These include common bathroom upgrades to comply with *Americans with Disabilities Act* requirements, new apartment entry doors that are fire resistant and accessible, wireless network extensions to each floor and window replacements.

Channing House estimates total costs for the Project to be approximately \$40 million. The Project is expected to commence in October, 2017, and to take approximately three years to complete.

THE COMMUNITY AND SERVICES

RESIDENTIAL LIVING

Residents of the RL units receive three daily meals and nutritious snacks, weekly housekeeping and linen services, utilities, continuing health supervision, assistance with medications and emergency medical attention, as well as social, recreational, and fitness activities. If a resident living in an RL unit requires consistently more than minimal assistance with personal care services, the resident may be moved to either an AL unit or the SNF depending on his or her care needs.

The Community is a “Type A” CCRC, as defined by the Branch. Residents are provided assisted living and nursing care, as needed, at no additional monthly service fee (subject to some exclusions).

Entrance Fee. The Corporation charges a one-time entrance fee at the time of admission to the Community (the “*Resident Entrance Fee*”). The Resident Entrance Fee for the RL units ranges from \$178,500 to \$1,006,250 for “traditional” entrance fee contracts and from \$321,300 to \$1,811,250 for 80% repayable entrance fee contracts (as more specifically shown in the chart below) based on size and location, with larger units and units on higher floors commanding higher fees. The Resident Entrance Fee is for single occupancy. For double occupancy, an additional entrance fee of \$51,000 to \$55,000 is charged depending on size and location of the unit.

Channing House offers a “traditional” amortized or declining balance Resident Entrance Fee, which amortizes to \$0 over a 72-month period. This fee is non-refundable if the resident

passes away during that period. After a resident has occupied an apartment for more than 72 months, there is no refund of the Resident Entrance Fee. In addition, Channing House offers an 80% repayable Resident Entrance Fee. See “THE RESIDENCY AGREEMENTS” herein. Of the current residency agreements, 216 are “traditional” entrance fee contracts and two are 80% repayable entrance fee contracts.

Monthly Service Fee. Monthly service fees range from \$3,411 to \$10,249 for a single occupant and from \$7,143 to \$10,249 for double occupancy, depending on the RL unit selected. Larger units command higher monthly service fees. The monthly service fee charged for a particular unit is the same regardless of the type of residency agreement selected by the resident.

ASSISTED LIVING

The Community has 21 single-occupancy AL rooms and 3 double-occupancy AL rooms, for a total of 24 AL rooms and 27 AL units.

Residents of the AL units receive personal assistance with daily activities, such as bathing, dressing, grooming, and medication management. Residents receive three daily meals and nutritious snacks, with accommodation of special diets as needed; daily housekeeping and linen services; utilities; medical supervision provided by licensed nurses and certified nursing assistants; full time social and cultural activities and outings; security and call systems and transportation to medical appointments. Physicians from the Palo Alto Medical Foundation are available for on-site appointments.

Medical and non-medical care in the AL units are included in the resident’s monthly service fee, which does not increase, despite the level of care offered, from the monthly service fee paid by the resident while residing in an RL unit. After the resident permanently transfers to a higher level of care, the resident’s living unit is vacated and available for re-occupancy by a newly admitted resident.

The Corporation does not accept direct admissions to the AL units from outside the Community. All residents of the AL units must be internal transfers from the Community’s RL units.

SKILLED NURSING FACILITY

The SNF consists of 18 single-occupancy rooms and four double-occupancy rooms, for a total of 22 SNF rooms and 26 SNF beds.

Residents in the SNF require nursing care on a 24-hour basis for the treatment of chronic, long-term health conditions. The SNF residents are under the care of physicians and Channing House’s nursing staff.

All amenities described under the heading “Assisted Living” above are also available to the SNF residents.

Medical and non-medical care in the SNF facilities are included in the resident's monthly service fee, which does not increase, despite the level of care offered, from the monthly service fee paid by the resident while residing in an RL unit. After the resident permanently transfers to a higher level of care, the resident's living unit is vacated and available for re-occupancy by a newly admitted resident.

The Corporation is not certified for and does not provide Medicare or Medicaid reimbursed services to its residents. The Corporation does not accept private insurance.

The Corporation does not accept direct admissions to the SNF from outside the Community. All residents of the SNF must be internal transfers from the Community's RL or AL units.

RESIDENT ENTRANCE FEES AND MONTHLY SERVICE FEES

The Resident Entrance Fees and monthly service fees as of March 1, 2017 are as follows:

	NUMBER OF UNITS	AVG. SQUARE FOOTAGE	RESIDENT ENTRANCE FEE FOR "TRADITIONAL" CONTRACTS		RESIDENT ENTRANCE FEE FOR 80% REPAYABLE CONTRACTS		MONTHLY SERVICE FEE	
			FLOORS 3-5	FLOORS 6-10	FLOORS 3-5	FLOORS 6-10	FLOORS 3-5	FLOORS 6-10
Small Studio	24	346	\$178,500	\$194,250	\$321,300	\$349,650	\$3,411	\$3,582
Medium Studio	16	376	\$194,250	\$204,750	\$349,650	\$368,550	\$3,945	\$4,142
Large Studio	7	425	\$208,950	\$229,950	\$376,110	\$413,910	\$4,051	\$4,254
Alcove	21	545	\$307,650	\$334,950	\$553,770	\$602,910	\$4,477	\$4,701
Small 1BR/1BA	6	548	\$393,750	\$425,250	\$708,750	\$765,450	\$4,744	\$4,982
Med 1BR/1BA	21	624	\$462,000	\$493,500	\$831,600	\$888,300	\$5,011	\$5,261
			\$509,250*	\$540,750*	\$916,650*	\$973,350*	\$7,143*	\$7,766*
1 BR on 2nd Floor	2	680	\$612,250	N/A	\$963,000	N/A	\$6,026	N/A
			\$667,000*	N/A	\$1,044,000*	N/A	\$8,086*	N/A
Large 1BR/1BA	42	690	\$579,600	\$633,650	\$1,043,280	\$1,140,570	\$5,543	\$5,821
			\$631,350*	\$685,400*	\$1,136,430*	\$1,233,720*	\$7,676*	\$8,060*
1 BR	2	730	\$626,750	\$684,250	\$1,128,150	\$1,231,650	\$5,552	\$5,903
			\$678,500*	\$736,000*	\$1,221,300*	\$1,324,800*	\$8,090*	\$8,440*
Largest 1BR/1BA	16	835	\$710,700	\$768,200	\$1,279,260	\$1,382,760	\$6,610	\$6,940
			\$762,450*	\$819,950*	\$1,372,410*	\$1,475,910*	\$8,742*	\$9,178*
2 BR	2	894	\$799,250*	\$856,750*	\$1,438,650*	\$1,542,150*	\$8,793*	\$8,793*
Medium 2BR/2BA	11	970	\$891,250**	\$948,750**	\$1,604,250**	\$1,707,750**	\$9,168**	\$9,626**
Large 2BR/2BA	8	994	\$914,250**	\$941,750**	\$1,645,650**	\$1,749,150**	\$9,594**	\$10,074**
2nd Floor Apts.	12	1050	\$989,000**	N/A	\$1,780,200**	N/A	\$10,146**	N/A
Largest 2 BR/2 BA	1	1180	N/A	\$1,006,250**	N/A	\$1,811,250**	N/A	\$10,249**
TOTAL	191							

*Double occupancy

** One fee for single or double occupancy

OCCUPANCY AND TURNOVER

The table below highlights the occupancy for the Community as of February 28/29 for each of the three most recent fiscal years and as of December 31, 2016:

LEVEL OF CARE	HISTORICAL OCCUPANCY BY LEVEL OF CARE						As of	
	Fiscal Year Ended February 28/29						December 31, 2016	
	2014		2015		2016			
	UNITS OCCUPIED	PERCENTAGE OCCUPANCY (%)	UNITS OCCUPIED	PERCENTAGE OCCUPANCY (%)	UNITS OCCUPIED	PERCENTAGE OCCUPANCY (%)	UNITS OCCUPIED	PERCENTAGE OCCUPANCY (%)
Residential Living	174	96%	167	93%	173	97%	180	94%
Assisted Living	26	54%	24	89%	21	78%	23	85%
Skilled Nursing	12	57%	18	69%	13	50%	17	65%
Overall	212	85%	209	90%	207	90%	220	90%

The table below highlights turnovers for the Community for the three most recent fiscal years and the ten months ended December 31, 2015 and 2016:

	TURNOVER				
	FISCAL YEAR ENDED FEBRUARY 28/29,			TEN MONTHS ENDED DECEMBER 31,	
	2014	2015	2016	2015	2016
Total Move ins	20	18	22	19	20
Total Vacated Units	21	23	18	15	11
Turnover Percentage	12%	13%	9%	8%	6%
Entrance Fees					
Received - Turnover	\$6,476,818	\$5,028,170	\$7,606,424	\$6,127,710	\$2,576,680
Entrance Fees					
Received - New Units	-	-	2,449,400	-	7,132,600
Entrance Fees					
Refunded	-	-	-	-	(306,000)
Net Entrance Fees	<u>\$6,476,818</u>	<u>\$5,028,170</u>	<u>\$10,055,824</u>	<u>\$6,127,710</u>	<u>\$9,403,280</u>

THE RESIDENCY AGREEMENTS

The Community is a life care or “Type A” community. As a resident moves through the continuum of care, his or her monthly service fee does not change, except for cost of living increases. See “FINANCIAL INFORMATION—Sources of Revenue” below for more information regarding Channing House’s historical annual increase in monthly service fees.

It is the policy of Channing House that a residency agreement will not be terminated by Channing House solely because of financial inability of the resident to pay the monthly service fee, provided the resident has applied to Channing House for reduction or elimination of the monthly service fees and has established facts that justify subsidization.

For residents who signed the traditional entrance fee agreement, any refund of the Resident Entrance Fee is amortized over a 72-month period. This fee is non-refundable if the resident passes away during that period. After a resident has occupied an apartment for more than 72 months, there is no refund of the Resident Entrance Fee. Channing House also offers an 80% repayable Resident Entrance Fee under which at least 80% of the Entrance Fee is repayable upon termination at any time. Of the current residency agreements, 216 are “traditional” entrance fee contracts and two are 80% repayable entrance fee contracts. See “—Terminations of Residency Agreements and Refunds” below.

The monthly service fee is paid by the residents in return for the residency, care and services provided to the residents by the Corporation. Monthly service fees may be adjusted by the Corporation upon 30 days’ advance written notice to residents, and after a meeting at which management presents to residents the reasons for the adjustment.

Residency in the Community entitles residents to occupancy and services as specified. However, residents have no estate, leasehold, or other real property interest in the unit or the Community, no ownership or management interest in the Community, and no security interest in any land, buildings, or other property owned or managed by the Community. Each resident must agree to comply with provisions of the residency agreement and the Community’s policies and procedures.

ADMISSION CRITERIA

Successful applicants for residency must be at least 65 years of age, meet the Corporation’s financial criteria, and have needs consistent with the Corporation’s licensing requirements and underwriting criteria.

TERMINATIONS OF RESIDENCY AGREEMENTS AND REFUNDS

Under California law, if a resident or Channing House terminates a residency agreement within the first 90 days of residency, the resident is entitled to a refund of the amounts (including the Resident Entrance Fee and monthly service fee) paid under the residency agreement, minus a reasonable processing fee to cover costs and the reasonable value of the services rendered during the resident’s occupancy at the Community. The refund must be made within fourteen (14) days after the unit is released to Channing House.

The resident may terminate the residency agreement at any time after the cancellation period for any reason by giving Channing House ninety (90) days’ written notice. The amount and timing of the refund or repayment will vary, however, depending on whether the resident signed the traditional entrance fee contract or the 80% repayable contract.

Under the traditional contract, within fourteen (14) days after releasing the unit to Channing House or within ninety (90) days after receipt of the notice of termination, whichever is later, Channing House shall refund the amount paid as a Resident Entrance Fee, less an amount to be retained by Channing House equal to one seventy-second (1/72nd) of the Resident Entrance Fee multiplied by the number of months of the resident’s actual occupancy, provided

that, in all cases of termination after the 90-day cancellation period, Channing House shall retain a minimum charge of ten percent (10%) of the Resident Entrance Fee, plus a one thousand dollar (\$1,000) termination processing fee. After seventy-two months of occupancy, there shall be no Resident Entrance Fee refund. Channing House also shall withhold from any Resident Entrance Fee refund an amount sufficient to cover any unpaid monthly service fees, optional service fees, late fees, accrued interest, and other charges. If the resident terminates the residency agreement, he/she shall not be entitled to a refund of any payments made for any special features, modifications or conversions of the unit.

Under the 80% repayable contract, Channing House does not repay the repayable portion of the entrance fee until after the unit is relet to another resident and he or she enters into a continuing care contract with Channing House and pays an entrance fee. The other terms of the traditional contract, such as the termination processing fee, the treatment of upgrade fees, and the deduction from the repayment of any unpaid fees, late fees, interest, or other charges, also apply to the 80% repayable contract.

Under California law, repayable continuing care contracts entered into on or after January 1, 2017 are subject to the following provisions: (i) any entrance fee repayment that is outstanding 180 days after termination of a repayable contract will thereafter accrue simple interest at a rate of 4% until the full amount is repaid; (ii) any entrance fee repayment that is outstanding 240 days after termination of a repayable contract will thereafter accrue simple interest at a rate of 6% until the full amount owed is repaid; and (iii) any entrance fee repayment that is outstanding one year after the 240-day period will thereafter accrue interest, compounded annually, at a rate of 6% until the full amount owed is repaid. See “BONDHOLDERS’ RISKS — State Licensure and Regulation of Senior Living Providers” in the front part of this Official Statement for more information.

Channing House may terminate either type of the residency agreement at any time after the cancellation period for good cause, upon giving ninety (90) days’ written notice. Good cause includes, but is not limited to, failure to pay monthly service fees, failure to abide by the rules of Channing House, conduct that creates a disturbance or is detrimental to others’ health, safety, or peaceful lodging, material omissions or misstatements in the application documents, or permanent transfer to an outside facility.

If Channing House terminates either type of residency agreement, the resident will be entitled to a refund of his/her Resident Entrance Fee, minus the costs to Channing House of providing care and services under the residency agreement. The refund shall be made within ninety (90) days after the date of the notice of cancellation or within fourteen (14) days after release of the unit, whichever is later.

Upon death of the resident under the traditional contract, whether during the cancellation period or afterwards, the entire Resident Entrance Fee shall be nonrefundable and shall remain the property of Channing House, and shall not be transferable by the will of the resident, nor subject to claim by his or her estate or heirs. Upon the death of the resident under the repayable contract, whether during the cancellation period or afterwards, eighty percent (80%) of the Resident Entrance Fee will be refundable but may be reduced by any unpaid fees, late fees,

interest, or other charges. Under both contract types, if the resident at the time of death was the sole occupant of the unit, the monthly service fee shall be charged to the decedent's estate until the unit is released to Channing House.

SERVICE AREA AND COMPETITION

The Corporation's service area includes Palo Alto and the immediate mid-peninsula area, including Atherton, Stanford, Los Altos, Mountain View and Portola Valley. Management of the Corporation has identified the following communities as its primary competitors:

	Channing House	Webster House Lytton Gardens⁽¹⁾	Vi at Palo Alto⁽²⁾	Moldaw Residences⁽³⁾	The Terraces at Los Altos⁽⁴⁾
Location	Palo Alto	Palo Alto	Palo Alto	Palo Alto	Los Altos
Miles from Community	--	0.4 miles	2.3 miles	4.6 miles	5.5 miles
For Profit/Nonprofit	Nonprofit	Nonprofit	For Profit	Nonprofit	Nonprofit
Unit Configuration					
Residential Living	191	37	388	170	105
Assisted/Memory Care	27	0	62	22	46
Skilled Nursing	26	145	44	0	30
	244	182	494	192	181
Residential Living Pricing					
Entrance Fee Range	\$178,500-\$1,811,250	\$410,000-\$1,510,000	\$641,000-\$6,160,300	\$514,000-\$1,242,200	\$314,000-\$1,400,000
Monthly Service Fee	\$3,411-\$10,249 0%/80% shown	\$3,785-\$6,043 75% shown	\$4,470-\$10,140 0%/70% shown	\$3,158-\$6,522 90% shown	\$4,900-\$5,300 0%/50%/80% shown
Residential Living Occupancy Rate	94%	97%	Unknown	99%	85%

⁽¹⁾ Data provided by Episcopal Senior Communities.

⁽²⁾ Unit configuration information derived from information posted on the Municipal Securities Rulemaking Board's Electronic Municipal Market Access system ("EMMA"). Pricing information derived from Vi at Palo Alto website. Occupancy information unknown.

⁽³⁾ Pricing information derived from information posted to EMMA in 2014. Occupancy information as of December 31, 2016 derived from information posted to EMMA. Unit configuration information derived from information posted on EMMA.

⁽⁴⁾ Data provided by American Baptist Homes of the West ("ABHOW"). According to ABHOW, The Terraces at Los Altos is in a ramp-up period following a significant redevelopment project.

FINANCIAL INFORMATION

The following summary financial information for Channing House as of and for the three fiscal years ended February 28 or 29, 2014, 2015 and 2016 has been derived by management from the Corporation's audited financial statements for the same periods. These audited financial statements are included (and should be read) in their entirety as Appendix B to this Official Statement. The summary financial information for Channing House as of and for the ten months ended December 31, 2015 and 2016 was derived from unaudited financial statements for the Corporation for the same periods and was prepared by management of the Corporation. The unaudited financial information set forth in this Appendix A that was derived from such unaudited financial statements is not necessarily indicative of the results of the Corporation for the fiscal year ended February 28, 2017.

STATEMENT OF FINANCIAL POSITION

	As of February 28/29,			As of December 31,	
	<u>2014</u>	<u>2015</u>	<u>2016</u>	<u>2015</u>	<u>2016</u>
Assets					
Cash and equivalents	\$1,507,650	\$1,257,021	\$4,387,568	\$3,285,613	\$239,636
Accounts receivable	8,972	55,080	12,555	58,606	(5,662)
Notes receivable	-	119,504	-	-	-
Inventory	2,625	2,625	2,625	2,625	2,625
Prepaid expenses	187,258	225,055	234,332	295,499	287,053
Investments, at fair value	20,112,469	19,423,617	11,233,776	12,164,314	17,055,332
Assets limited as to use, at fair value	18,896,891	15,715,052	15,912,021	16,128,493	5,694,424
Property and equipment, net	75,917,302	81,627,631	89,863,059	86,441,462	92,931,660
Total Assets	\$116,633,167	\$118,425,585	\$121,645,936	\$118,376,612	\$116,205,068
Liabilities					
Accts. payable / accrued expenses	\$3,597,451	\$3,046,408	\$4,860,620	\$4,124,635	\$3,073,411
Liabilities from split interest agreements	54,215	45,453	36,691	36,691	27,929
Entrance fees repayable upon reoccupancy	-	368,800	368,800	368,800	1,470,399
Deferred revenue from entrance fees	26,652,023	26,689,279	31,705,162	29,009,923	35,551,928
Refundable deposits	759,220	830,425	975,214	975,190	-
Debt	58,164,436	57,676,021	57,152,605	57,126,508	48,573,093
Total Liabilities	\$89,227,345	\$88,656,386	\$95,099,092	\$91,641,747	\$88,696,760
Net Assets					
Unrestricted					
Undesignated	\$25,540,550	\$27,724,717	\$23,880,374	\$24,043,984	\$23,859,387
Board designated	1,061,075	1,167,420	1,645,110	1,662,738	2,537,079
Temporarily restricted	804,197	877,062	1,021,360	1,028,143	1,111,842
Total Net Assets	\$27,405,822	\$29,769,199	\$26,546,844	\$26,734,865	\$27,508,308
Total Liabilities and Net Assets	\$116,633,167	\$118,425,585	\$121,645,936	\$118,376,612	\$116,205,068

STATEMENT OF ACTIVITIES¹

	Fiscal Year Ended February 28/29,			Ten-Months Ended December 31,	
	<u>2014</u>	<u>2015</u>	<u>2016</u>	<u>2015</u>	<u>2016</u>
Revenues, Gains and Other Support					
Monthly care fees	\$9,955,719	\$10,475,620	\$10,933,655	\$9,123,332	\$10,701,738
Resident entrance fees earned	3,968,662	4,622,114	5,039,941	3,710,780	4,454,914
Interest on escrow funds	157,402	3,610	-	-	-
Interest and dividend income	414,110	515,346	483,478	425,497	451,003
Other services	377,032	384,863	331,404	181,894	320,382
Donations and other	41,618	90,752	413,199	378,085	762,160
Operating revenues	<u>\$14,914,543</u>	<u>\$16,092,305</u>	<u>\$17,201,677</u>	<u>\$13,819,588</u>	<u>\$16,690,197</u>
Net assets released from restrictions from operations	48,624	31,482	9,471	7,749	8,669
Total unrestricted revenues	<u>\$14,963,167</u>	<u>\$16,123,787</u>	<u>\$17,211,148</u>	<u>\$13,827,337</u>	<u>\$16,698,866</u>
Expenses					
Medical	\$2,775,196	\$2,946,431	\$3,088,330	\$2,646,832	\$2,859,898
Food services	2,521,352	2,567,535	2,645,422	2,215,214	2,200,186
Operating and maintenance	1,884,443	1,804,121	1,933,444	1,619,013	1,479,426
Administrative	2,413,728	2,925,054	3,266,141	2,573,872	2,444,611
Housekeeping & Transportation	881,782	872,617	947,483	781,012	943,717
Depreciation and amortization	2,402,308	2,690,655	3,551,631	2,926,208	3,536,970
Loss on disposal of assets	173,885	126,265	128,673	-	-
Interest expense	-	586,948	3,494,328	2,913,140	2,683,364
Total expenses	<u>\$13,052,694</u>	<u>\$14,519,626</u>	<u>\$19,055,452</u>	<u>\$15,675,291</u>	<u>\$16,148,172</u>
(Loss) Income before investment Gain (Loss) and Unrealized (Loss) Gain on Investments	\$1,910,473	\$1,604,161	(\$1,844,304)	(\$1,847,954)	\$550,694
Investment Gain (Loss)					
Net realized gain (loss) on investments	\$27,325	(\$76,219)	\$336,678	\$222,011	\$73,784
Net (Loss) Income	<u>\$1,937,798</u>	<u>\$1,527,942</u>	<u>(\$1,507,626)</u>	<u>(\$1,625,943)</u>	<u>\$624,478</u>
Net unrealized (loss) gain on investments	\$91,452	\$702,954	(\$1,462,944)	(\$1,345,888)	\$471,097
Change in value of split interest gift	(1,970)	(1,920)	(1,979)	(1,651)	(786)
(Decrease) increase in unrecognized pension obligation	51,064	61,536	(394,104)	(60,854)	(133,333)
Net (decrease) increase in unrestricted net assets	<u>\$2,078,344</u>	<u>\$2,290,512</u>	<u>(\$3,366,653)</u>	<u>(\$3,034,336)</u>	<u>\$961,456</u>

¹ The Statement of Activities included herein is a partial presentation of the Corporation's activities. It presents the net (decrease) increase in unrestricted net assets, and excludes the net (decrease) increase in temporarily restricted net assets and total net assets.

SOURCES OF REVENUE

The Corporation has two major revenue sources, monthly service fees and the Resident Entrance Fees. The Corporation also has miscellaneous revenues, interest, dividends and gains (or losses) from investments, and donations. Revenue is used in three principal ways: (i) to cover monthly expenses (*i.e.*, day-to-day operations), (ii) capital expenses (*i.e.*, major repair, replacements, and improvements to the Community), and (iii) debt repayment. The Corporation is not certified for, and does not provide Medicare or Medicaid reimbursement services to, its residents. The Corporation does not accept private insurance.

The following table shows Channing House's historical annual increases in monthly service fees and Resident Entrance Fees for residents.

	Fiscal Year Ended February 28/29				
	2013	2014	2015	2016	2017
RL Unit Resident Entrance Fee	2.0 – 5.2%	3.0 - 4.0%	0.0 - 11.0%	3.5 - 10.2%	0.0 - 15.4%
RL Unit Monthly Service Fee	3.8	3.8	3.5	3.5	3.5
AL Unit Monthly Service Fee	3.8	3.8	3.5	3.5	3.5
Skilled Nursing – Monthly Service Fee	3.8	3.8	3.5	3.5	3.5

DEBT SERVICE COVERAGE

The following table sets forth actual historical debt service coverage for the Corporation's three most recent fiscal years and for the ten months ended December 31, 2015 and 2016.

	FISCAL YEAR ENDED FEBRUARY 28/29,			TEN MONTHS ENDED DECEMBER 31,	
	2014	2015	2016	2015	2016
Revenues					
Total Revenue	\$14,914,543	\$16,092,305	\$17,201,677	\$13,819,588	\$16,690,197
Plus: Net Realized Gains (Losses)	27,325	(76,219)	336,678	222,011	73,784
Plus: Entrance fees received - turnover	6,476,818	5,028,170	7,606,424	6,127,710	2,576,680
Less: Refund or repayment turnover entrance fees	-	-	-	-	(306,000)
Less: Amortization of entrance fees	(3,968,662)	(4,622,114)	(5,039,941)	(3,710,780)	(4,454,914)
Plus: Net assets released from restriction for operations	48,624	31,482	9,471	7,749	8,669
(A) Total Revenues available for debt service	\$17,498,648	\$16,453,624	\$20,114,309	\$16,466,278	\$14,588,416
Expenses					
Total Expenses	\$13,052,694	\$14,519,626	\$19,055,452	\$15,675,291	\$16,148,172
Less: Depreciation and Amortization	(2,402,308)	(2,690,655)	(3,551,631)	(2,926,208)	(3,536,970)
Less: Interest Expense	-	(586,948)	(3,494,328)	(2,913,140)	(2,683,364)
Plus: Loss on disposal of assets	(173,885)	(126,265)	(128,673)	-	-
(B) Total Operating Expenses	\$10,476,501	\$11,115,758	\$11,880,820	\$9,835,943	\$9,927,838
(C) Income Available for Debt Service (A)-(B)	\$7,022,147	\$5,337,866	\$8,233,489	\$6,630,335	\$4,660,578
(D) Maximum Annual Debt Service	\$4,201,006	\$4,201,006	\$4,201,006	\$3,500,838	\$3,500,838
Debt Service Coverage (C)/(D)⁽¹⁾	1.67x	1.27x	1.96x	1.89x	1.33x

⁽¹⁾ Calculated in accordance with the provisions of the Regulatory Agreement.

DAYS CASH ON HAND

The following table presents Days Cash on Hand of the Corporation, calculated in accordance with the Regulatory Agreement, as of February 28/29, 2014, 2015 and 2016 and as of December 31, 2015 and 2016.

	FISCAL YEAR ENDED FEBRUARY 28/29,			TEN MONTHS ENDED DECEMBER 31,	
	2014	2015	2016	2015	2016
Unrestricted Cash and Investments					
Cash	\$ 1,507,650	\$ 1,257,021	\$ 4,387,568	\$ 3,285,613	\$ 239,636
Investments	20,112,469	19,423,617	11,233,776	12,164,314	17,055,332
Less: Temporarily Restricted Net Assets	(804,197)	(877,062)	(1,021,360)	(1,028,143)	(1,111,842)
(A) Total Unrestricted Cash and Investments	\$20,815,922	\$19,803,576	\$14,599,984	\$14,421,784	\$16,183,126
Cash Operating Expenses					
Total Expenses	\$13,052,694	\$14,519,626	\$19,055,452	\$15,675,291	\$16,148,172
Less: Depreciation and Amortization	(2,402,308)	(2,690,655)	(3,551,631)	(2,926,208)	(3,536,970)
Less: Loss on disposal of assets	(173,885)	(126,265)	(128,673)	-	-
(B) Total Cash Operating Expenses	\$10,476,501	\$11,702,706	\$15,375,148	\$12,749,083	\$12,611,202
(C) Number of Days in Year	365	366	365	306	306
Daily Cash Expenses	\$28,703	\$31,975	\$42,124	\$41,664	\$41,213
Days Cash on Hand ⁽¹⁾	725	619	347	346	393

(1) Calculated in accordance with the provisions of the Regulatory Agreement.

MANAGEMENT'S DISCUSSION AND ANALYSIS OF FINANCIAL PERFORMANCE

COMPARISON OF RESULTS OF OPERATIONS FOR THE TEN MONTH PERIODS ENDED DECEMBER 31, 2015 AND DECEMBER 31, 2016

Revenues

For the ten months ended December 31, 2016, total operating revenues increased from \$13,819,588 to \$16,690,197, an increase of \$2,870,609 or 21% over the ten months ended December 31, 2015. A breakdown of revenue components follows.

Monthly care fees increased 17% from \$9,123,332 to \$10,701,738 for the ten months ended December 31, 2016. A rate increase of 3.5% along with monthly service fees for 14 new RL units resulted in this increase.

Entrance fees earned increased 20% from \$3,710,780 to \$4,454,914 due to amortization of Resident Entrance Fees for the 14 new RL units in addition to increased rates for Resident Entrance Fees.

Entrance fees collected for the ten months ended December 31, 2016 were \$2,576,680 for the six existing RL units and \$7,132,600 for the 14 new RL units.

Interest and dividend income increased 6% from \$425,497 for the ten months ended December 31, 2015 to \$451,003 for the ten months ended December 31, 2016.

Donations increased from \$378,085 for the ten months ended December 31, 2015 to \$762,160 for the ten months ended December 31, 2016, an increase of 102%. Channing House was the beneficiary of two unusually generous bequests in 2016.

Expenses

Expenses for the ten months ended December 31, 2016 increased 3% from \$15,675,291 to \$16,148,172, a difference of \$472,881. A summary of changes in expenses follows.

Medical expenses increased 8% or \$213,066 from \$2,646,832 for the ten months ended December 31, 2015 to \$2,859,898 for the ten months ended December 31, 2016. This increase reflects market adjustments to CNA wages in early 2016.

Operating and maintenance expenses decreased 9% for the ten months ended December 31, 2016 due to vacancies in various positions in the maintenance department.

Administrative costs were 5% less for the ten months ended December 31, 2016 compared to the same time period in 2015. This decrease was due to successful completion of a mediation in late 2016 resulting in decreased litigation and consulting costs related thereto.

Housekeeping and transportation costs increased 21% to \$943,717 for the ten months ended December 31, 2016 from \$781,012 for the ten months ended December 31, 2015. This is the result of market adjustments to all wages in this department, which assisted in filling vacant positions.

COMPARISON OF RESULTS OF OPERATIONS FOR THE FISCAL YEAR ENDED FEBRUARY 28, 2015 TO THE FISCAL YEAR ENDED FEBRUARY 29, 2016

Revenues

Total operating revenues increased 7% from \$16,092,305 in fiscal year 2015 to \$17,201,677 in fiscal year 2016. Additional information on the revenue components follows.

Monthly services fees increased 4% from \$10,475,620 for fiscal year 2015 to \$10,933,655 for fiscal year 2016. These fees increased due to an overall fee increase of 3.5%

and the mix of resident agreements. Monthly service fees are tiered based on the move-in date of the resident.

Entrance fees earned increased 9% from \$4,622,114 in fiscal year 2015 to \$5,039,941 in fiscal year 2016 due to increased rates of newer entrance fees and the mix of apartments sold.

Interest and dividend income decreased 7% from \$518,956 in fiscal year 2015 to \$483,478 in fiscal year 2016.

Expenses

Expenses increased 31% from \$14,519,626 in fiscal year 2015 to \$19,055,452 in fiscal year 2016. The majority of this increase was due to the recognition of interest expense and depreciation expense, as a result of occupancy of the Health Care Building in December 2014. A summary of other changes in expenses follows:

Medical expense increased 5% from \$2,946,431 in fiscal year 2015 to \$3,088,330 in fiscal year 2016. This increase is due mainly to wage increases and additional FTEs for staffing in the Health Care Building.

Food service expenses increased 3% from \$2,567,535 in fiscal year 2015 to \$2,645,422 in fiscal year 2016 due mainly to wage increases.

Operating and maintenance costs increased 7% from \$1,804,121 in fiscal year 2015 to \$1,933,444 in fiscal year 2016 due to a full year of utilities costs related to the new Health Care Building.

Administrative expenses increased 12% from \$2,925,054 in fiscal year 2015 to \$3,266,141 in fiscal year 2016 due mainly to costs associated with mediation proceedings that reached a favorable conclusion in late 2016.

Cash Flow

In fiscal year 2016, the new entrance fees were \$10,055,824 compared to \$5,028,170 in fiscal year 2015. Entrance fees totaling \$2,449,400 related to four new RL units were prepaid in February 2016 (fiscal year 2016) for apartments that were occupied in March 2016 (fiscal year 2017). The remaining increase was due to the increases in entrance fee rates and the mix of apartment move-ins in fiscal year 2016.

Ratio Discussion

For fiscal year 2016, the debt service coverage ratio was 1.96 compared to 1.27 for fiscal year 2015. The increased entrance fees discussed above contributed to this increase.

Days cash on hand declined by 272 days in fiscal year 2016 from 619 to 347 days due to transfers from operating funds to the debt service fund to pay the \$8,710,000 balloon principal

payment on the Prior Bonds that was due in May 2016. Operating cash was replenished with Resident Entrance Fees of \$9,582,000 on the 14 new RL units collected in February and March 2016.

COMPARISON OF RESULTS OF OPERATIONS FOR THE FISCAL YEAR ENDED FEBRUARY 28, 2014 TO THE FISCAL YEAR ENDED FEBRUARY 28, 2015

Revenues

Total operating revenues increased from \$14,914,543 in fiscal year 2014 to \$16,092,305 in fiscal year 2015, an 8% increase over fiscal year 2014. A breakdown of revenue components follows.

Monthly service fees increased 5% from \$9,955,719 for fiscal year 2014 to \$10,475,620 for fiscal year 2015. These fees increased due to a fee increase of 3.5% and the mix of resident agreements. Monthly service fees are tiered based on the move-in date of the resident.

Earned entrance fees increased 16% from \$3,968,662 in fiscal year 2014 to \$4,622,114 in fiscal year 2015 due to increased rates of newer entrance fees and the mix of apartments sold.

Interest and dividend income decreased 9% from \$571,512 in fiscal year 2014 to \$518,956 in fiscal year 2015. This decrease is due to a decrease in the cash and investments balances.

Expenses

Expenses increased 11% from \$13,052,694 in fiscal year 2014 to \$14,519,626 in fiscal year 2015. The move into the newly constructed Health Care Building occurred in December 2014. Increased expenses, as a result of that move, included depreciation expense on the new Health Care Building and recognition of interest expense related to the financing that had been previously capitalized during construction.

Medical expenses increased 6% from \$2,775,196 in fiscal year 2014 to \$2,946,431 in fiscal year 2015. This increase is due to increases in salaries, wages, and benefits.

Food service expenses increased 2% from \$2,521,352 in fiscal year 2014 to \$2,567,535 in fiscal year 2015. The increase was a result of wage increases.

Operating and maintenance expense decreased 4% from \$1,884,443 in fiscal year 2014 to \$1,804,121 in fiscal year 2015 due to decreased utilities cost.

Administrative expenses increased 21% from \$2,413,728 in fiscal year 2014 to \$2,925,054 in fiscal year 2015. This increase was due mainly to expenditures related to mediation proceedings that reached a favorable conclusion in 2016.

Housekeeping remained relatively flat in fiscal year 2015 from \$881,782 in fiscal year 2014 to \$872,617 in fiscal year 2015 due to various open positions.

Cash Flow

In fiscal year 2015, new Resident Entrance Fees were \$5,028,170 compared to \$6,476,818 in fiscal year 2014. Two Resident Entrance Fees were prepaid in 2014 for units that were actually 2015 move-ins.

Ratio discussion

For fiscal year 2015, the debt service coverage ratio was 1.27 compared to 1.67 for fiscal year 2014. Two Resident Entrance Fees were prepaid in 2014 for 2015 sales. This improved the coverage ratio in 2014.

Days cash on hand in fiscal year 2015 was 619, a decrease of 106 days from 725 in fiscal year 2014. Administrative and medical expenses discussed above contributed to this decrease.

OTHER

LICENSURE AND GOVERNMENT REGULATION

As of the date of this Official Statement, the Corporation holds a Certificate of Authority, RCFE license and SNF license.

See “BONDHOLDERS’ RISKS – State Licensure and Regulation of Senior Living Providers” in this Official Statement.

RETIREMENT PLANS

Channing House offers a 403(b) defined contribution retirement plan for substantially all employees. Participants may contribute a percentage of compensation up to the maximum permitted by the Code. Employer contributions and costs are based on a percentage of covered employees’ salaries. Channing House currently matches the first 3% of employee contributions and also contributes an additional 2% discretionary match.

Key management staff also participate in a 457(b) plan. This plan is intended to constitute an unfunded, eligible deferred compensation plan as described in Section 457(b) of the Code. The plan calls for discretionary contributions as approved each year by the Board. Participants may contribute a percentage of compensation up to the maximum permitted by the Code. Channing House currently contributes 5% of each key management staff’s salary.

Channing House maintains a deferred benefit pension plan that was effectively frozen on December 31, 2001. No new participants are permitted into the plan and no future benefits will accrue for participants in the plan on or before December 31, 2001.

INVESTMENTS AND INVESTMENT POLICY

The Corporation's investment policy provides that the Board is responsible for management and investment of the Corporation's assets and that the Board's Finance Committee is responsible for reviewing investments and making investment policy recommendations to the Board. The primary long-term investment objectives for the Corporation's reserves are a combination of capital appreciation and income from the portfolio within reasonable levels of risk and preserving and enhancing the long-term inflation-adjusted (real) value of the corpus. The Corporation's investment portfolio is in compliance with its adopted investment policies.

INSURANCE

Channing House maintains the required insurance coverage for Commercial Property, General & Professional Liability, Business Automobile, Commercial Crime & Fiduciary Liability, Directors & Officers Liability & Employment Practices Liability, and Workers' Compensation.

Insurance limits are as follows: General & Professional \$1 million/\$3 million with excess at \$10 million; Business Automobile \$1 million; Commercial Crime \$5 million; Fiduciary \$5 million; Directors & Officers' \$5 million; and Workers' Compensation \$1 million.

MEMBERSHIPS

Channing House is a member of LeadingAge, the national trade association for nonprofit providers of care and housing to seniors, its state affiliate, LeadingAge California, the California Culture Change Coalition and the American Society on Aging.

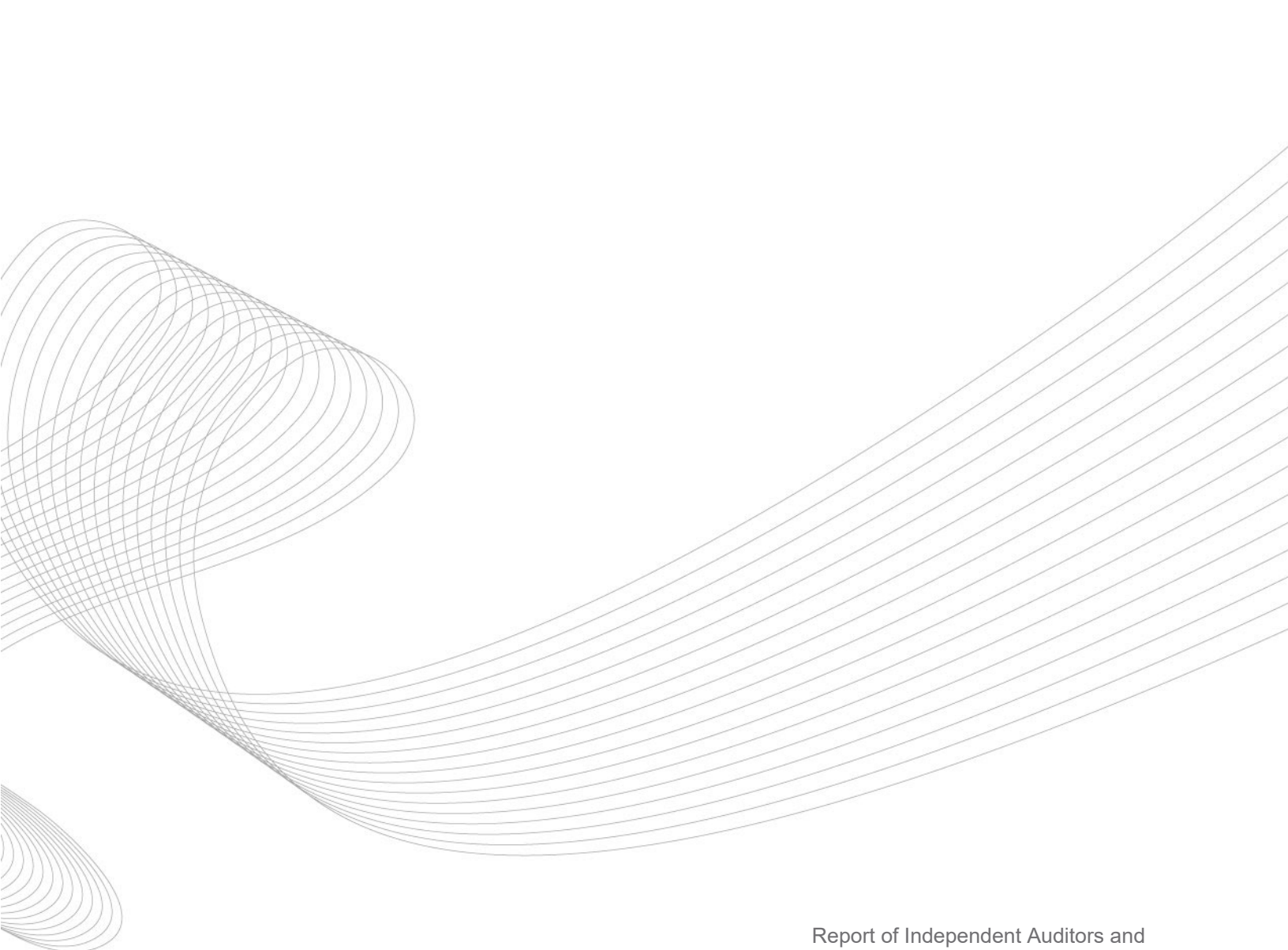
EMPLOYEES

The Corporation employs 100 full-time equivalents. Employees of the Corporation are not represented by any labor union. Management believes that it enjoys a good working relationship with the Corporation's employees.

APPENDIX B

**AUDITED FINANCIAL STATEMENTS OF
CHANNING HOUSE
AS OF AND FOR THE FISCAL YEARS ENDED
FEBRUARY 29, 2016, FEBRUARY 28, 2015, AND FEBRUARY 28, 2014**

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Report of Independent Auditors and
Financial Statements



February 28, 2015 and 2014

MOSS ADAMS LLP

Certified Public Accountants | Business Consultants

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REPORT OF INDEPENDENT AUDITORS

Board of Trustees
Channing House (a Nonprofit Corporation)
Palo Alto, California

Report on Financial Statements

We have audited the accompanying financial statements of Channing House, which comprise the statements of financial position as of February 28, 2015 and 2014, and the related statements of activities and changes in net assets, and cash flows for the years then ended, and the related notes to the financial statements.

Management's Responsibility for the Financial Statements

Management is responsible for the preparation and fair presentation of these financial statements in accordance with accounting principles generally accepted in the United States of America; this includes the design, implementation, and maintenance of internal control relevant to the preparation and fair presentation of financial statements that are free from material misstatement, whether due to fraud or error.

Auditor's Responsibility

Our responsibility is to express an opinion on these financial statements based on our audits. We conducted our audits in accordance with auditing standards generally accepted in the United States of America. Those standards require that we plan and perform the audits to obtain reasonable assurance about whether the financial statements are free from material misstatement.

An audit involves performing procedures to obtain audit evidence about the amounts and disclosures in the financial statements. The procedures selected depend on the auditor's judgment, including the assessment of the risks of material misstatement of the financial statements, whether due to fraud or error. In making those risk assessments, the auditor considers internal control relevant to the entity's preparation and fair presentation of the financial statements in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the entity's internal control. Accordingly, we express no such opinion. An audit also includes evaluating the appropriateness of accounting policies used and the reasonableness of significant accounting estimates made by management, as well as evaluating the overall presentation of the financial statements.

We believe that the audit evidence obtained is sufficient and appropriate to provide a basis for our audit opinion.

Opinion

In our opinion, the financial statements referred to above present fairly, in all material respects, the financial position of Channing House as of February 28, 2015 and 2014, and the results of its operations and its cash flows for the years then ended in accordance with accounting principles generally accepted in the United States of America.



San Francisco, California
June 23, 2015

FINANCIAL STATEMENTS

CHANNING HOUSE
STATEMENTS OF FINANCIAL POSITION
February 28, 2015 and 2014

	<u>2015</u>	<u>2014</u>
ASSETS		
Cash and cash equivalents	\$ 1,257,021	\$ 1,507,650
Accounts receivable	55,080	8,972
Notes receivable	119,504	-
Inventory	2,625	2,625
Prepaid expenses	225,055	187,258
Investments, at fair value	19,423,617	20,112,469
Assets limited as to use, at fair value	15,715,052	18,896,891
Property and equipment, net	81,627,631	75,917,302
Debt issuance costs, net	3,476,460	3,613,689
Total assets	<u>\$ 121,902,045</u>	<u>\$ 120,246,856</u>
LIABILITIES AND NET ASSETS		
Liabilities		
Accounts payable and accrued expenses	\$ 3,046,408	\$ 3,597,451
Liabilities from split interest gifts	45,453	54,215
Entrance fees refundable upon reoccupancy	368,800	-
Deferred revenue from entrance fees	26,689,279	26,652,023
Refundable deposits	830,425	759,220
Debt	61,152,481	61,778,125
Total liabilities	<u>92,132,846</u>	<u>92,841,034</u>
Net assets		
Unrestricted		
Undesignated	27,724,717	25,540,550
Board designated	1,167,420	1,061,075
Temporarily restricted	877,062	804,197
Total net assets	<u>29,769,199</u>	<u>27,405,822</u>
Total liabilities and net assets	<u>\$ 121,902,045</u>	<u>\$ 120,246,856</u>

See accompanying notes.

CHANNING HOUSE
STATEMENTS OF ACTIVITIES AND CHANGES IN NET ASSETS
Years Ended February 28, 2015 and 2014

	<u>2015</u>	<u>2014</u>
REVENUES, GAINS, AND OTHER SUPPORT		
Monthly care fees	\$ 10,475,620	\$ 9,955,719
Resident entrance fees earned	4,622,114	3,968,662
Interest on escrow funds	3,610	157,402
Interest and dividend income	515,346	414,110
Other services	384,863	377,032
Donations and other	90,752	41,618
Net realized loss on abandonment of property and equipment	<u>(126,265)</u>	<u>(173,885)</u>
Operating revenues	15,966,040	14,740,658
Net assets released from restriction for operations	<u>31,482</u>	<u>48,624</u>
Total revenues	<u>15,997,522</u>	<u>14,789,282</u>
EXPENSES		
Medical	2,946,431	2,775,196
Food services	2,567,535	2,521,352
Operating and maintenance	1,804,121	1,884,443
Administrative	2,925,054	2,413,728
Housekeeping	872,617	881,782
Depreciation and amortization	2,690,655	2,402,308
Interest expense	<u>586,948</u>	<u>-</u>
Total expenses	<u>14,393,361</u>	<u>12,878,809</u>
INCOME BEFORE INVESTMENT (LOSS) GAIN INCOME AND UNREALIZED GAINS ON INVESTMENTS	1,604,161	1,930,473
INVESTMENT (LOSS) GAIN INCOME		
Net realized (loss) gain income on investments	<u>(76,219)</u>	<u>27,325</u>
Total investment loss	<u>(76,219)</u>	<u>27,325</u>
NET INCOME	1,527,942	1,957,798
Net unrealized gain on investments	702,954	91,452
Change in value of split interest gifts	(1,920)	(1,970)
Increase in unrecognized pension obligation	<u>61,536</u>	<u>51,064</u>
Net increase in unrestricted net assets	<u>2,290,512</u>	<u>2,098,344</u>
Temporarily restricted		
Donations	37,000	30,750
Other	<u>67,347</u>	<u>88,070</u>
Total temporarily restricted revenues	<u>104,347</u>	<u>118,820</u>
Net assets released from restriction for operations	<u>(31,482)</u>	<u>(48,624)</u>
Net increase in temporarily restricted net assets	72,865	70,196
Change in net assets	2,363,377	2,168,540
NET ASSETS		
Beginning of year	27,405,822	25,237,282
End of year	<u><u>\$ 29,769,199</u></u>	<u><u>\$ 27,405,822</u></u>

See accompanying notes.

CHANNING HOUSE
STATEMENTS OF CASH FLOWS
Years Ended February 28, 2015 and 2014

	<u>2015</u>	<u>2014</u>
CASH FLOWS FROM OPERATING ACTIVITIES		
Monthly care fees	\$ 10,429,512	\$ 9,981,586
Entrance fee proceeds	4,908,666	6,842,303
Other receipts from operations	384,863	377,032
Investment income received	518,956	571,512
Donations and miscellaneous revenues	127,752	72,368
Cash paid to employees and suppliers	(11,586,377)	(10,206,514)
Interest paid, net of amount capitalized	<u>(581,299)</u>	<u>5,471</u>
Net cash from operating activities	<u>4,202,073</u>	<u>7,643,758</u>
CASH FLOWS USED IN FROM INVESTING ACTIVITIES		
Realized (loss) gain on investments	76,219	(27,325)
Proceeds from sales of investments	46,351,452	14,941,325
Cost of purchases of investments	(41,854,026)	(11,072,099)
Purchases of property and equipment	<u>(8,370,665)</u>	<u>(10,369,817)</u>
Net cash used in investing activities	<u>(3,797,020)</u>	<u>(6,527,916)</u>
CASH FLOWS USED IN FINANCING ACTIVITIES		
Payments on long-term debt	(645,000)	(625,000)
Entrance fee refunds	-	19,182
Split interest gifts		
Payments to beneficiaries	<u>(10,682)</u>	<u>(10,732)</u>
Net cash used in financing activities	<u>(655,682)</u>	<u>(616,550)</u>
NET CHANGE IN CASH AND CASH EQUIVALENTS	(250,629)	499,292
CASH AND CASH EQUIVALENTS, beginning of year	<u>1,507,650</u>	<u>1,008,358</u>
CASH AND CASH EQUIVALENTS, end of year	<u><u>\$ 1,257,021</u></u>	<u><u>\$ 1,507,650</u></u>
CASH FLOWS FROM OPERATING ACTIVITIES		
Change in net assets	\$ 2,363,377	\$ 2,168,540
Adjustments to reconcile net assets to net cash from operating activities		
Depreciation	2,534,071	2,245,724
Amortization of debt issuance costs	137,229	137,228
Amortization of bond discount	19,356	19,356
Amortization of deferred revenue from entrance fees	(4,622,114)	(3,968,662)
Change in fair value of split interest gifts	1,920	1,970
Unrealized (gain) on investments	(702,954)	(91,452)
Loss on abandonment of property and equipment	126,265	173,885
Proceeds from entrance fees	5,028,170	6,476,818
Changes in operating assets and liabilities		
Accounts receivable	(46,108)	25,867
Notes receivable	(119,504)	365,485
Inventory	-	765
Prepaid expenses	(37,797)	(2,453)
Accounts payable and accrued liabilities	(551,043)	71,505
Refundable deposits	<u>71,205</u>	<u>19,182</u>
Net cash from operating activities	<u><u>\$ 4,202,073</u></u>	<u><u>\$ 7,643,758</u></u>

See accompanying notes.

NOTE 1 – SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES

History and organization – Channing House is a nonprofit public benefit corporation licensed by the State of California Department of Public Health and California Department of Social Services to provide housing, related facilities and health services for elderly persons. Channing House was incorporated in 1960 under the laws of the State of California. The facility it operates has 184 apartments, 27 assisted living beds, and 26 skilled nursing beds.

Upon entering Channing House, residents pay an entrance fee, which varies by resident depending upon the size and location of the apartment. Monthly care fees vary based on apartment size. Residents are provided housing, meals, and nursing care for their stays at Channing House. A decreasing portion of the entrance fee is refundable by cancellation or termination of the care agreement during the first six years of occupancy, subject to a 10% minimum retention by Channing House. Entrance fees subject to refund at February 28, 2015 and 2014, were \$15,513,573 and \$14,941,475, respectively.

Channing House is subject to statutory reserve requirements. At February 28, 2015 and 2014, Channing House's reserves, as calculated in accordance with the continuing care contract statutes of the California Health and Safety Code, were in excess of such requirements.

Channing House is exempt from property taxes; however, it makes an "in-lieu-of" payment to the City of Palo Alto based upon the assessed valuation of land, improvements, and unsecured property.

Net asset classifications – The accompanying financial statements have been prepared in accordance with the standards set forth in Financial Accounting Standards Board (the "FASB") Accounting Standards Codification (the "ASC") Topic 715, *Compensation – Retirement Benefits* and FASB ASC Topic 958, *Not-for-Profit Entities* and the guidelines set forth in the industry audit and accounting guide "Health Care Organizations" issued by the American Institute of Certified Public Accountants. Under these guidelines, contributions of cash and other assets are classified as one of the following three categories:

Unrestricted – Unconditional promises to give by donors without any use or time restrictions. Included within unrestricted are board designated funds of \$1,167,420 and \$1,061,075 at February 28, 2015 and 2014, respectively, subject to board approval. Of these totals, \$942,068 and \$852,904 at February 28, 2015 and 2014, respectively, provide funding for goods and services which enhance the well-being of residents. The balance, to provide on-going support for the charitable needs of Channing House and its residents, at February 28, 2015 and 2014, was \$225,352 and \$208,171, respectively. The Board of Trustees of Channing House is authorized to spend the income and appreciation of these funds as it shall deem reasonable, in order to further the mission and purpose of Channing House.

Temporarily restricted – Unconditional promises to give by donors that specify a specific use or the occurrence of a certain future event. Donor restrictions released in the year received are recorded as unrestricted contributions.

Permanently restricted – Represent net assets, subject to donor imposed stipulations that they be maintained by the organization in perpetuity. Channing House had no permanently restricted net assets as of February 28, 2015 and 2014. Contribution revenue is recognized in the appropriate net asset classification when the gift is unconditionally promised.

Cash and cash equivalents – Channing House considers all highly liquid investments purchased with an original maturity of 90 days or less to be cash equivalents. Cash equivalents will include restricted cash and cash designated for specific projects.

Concentration of credit risk – Financial instruments potentially subjecting Channing House to concentrations of credit risk consist primarily of bank demand deposits in excess of the Federal Deposit Insurance Corporation insurance thresholds and cash held in money market accounts in excess of the amounts insured by the U.S. Treasury insurance for money market funds. Demand deposits are placed with local financial institutions, and management has not experienced any loss related to these demand deposits in the past. Investment securities are exposed to various risks, such as interest rate, market, and credit risks. It is at least reasonably possible, given the level of risk associated with investment securities, that changes in the near term could materially affect the amount reported in the financial statements. The risk associated with the investments is mitigated through diversification.

Inventory – Inventory is stated at cost, which is determined on the first-in, first-out method of accounting. Inventory consisted of gift shop supplies as of February 28, 2015 and 2014.

CHANNING HOUSE

NOTES TO FINANCIAL STATEMENTS

Investments – Investments are carried at fair value based on quoted market prices. The cost of investments sold is determined on an average cost basis. Realized and unrealized gains and losses are included in unrestricted net assets as the investments are considered trading securities.

Assets limited as to use – Assets limited as to use consist of cash and investments that are restricted in its use by regulatory or other agreements. These accounts are primarily escrow funds in U.S. government securities, which were established pursuant to the trust agreement executed in connection with the issuance of the 2010 Revenue Bonds (see Note 4). Assets limited as to use are carried at fair value based on quoted market prices.

Accounts receivable – Channing House extends credit to its residents for the payment of the monthly care fee, since each resident is directly responsible to pay Channing House. Management asserts that collection of monthly care fees are not considered an issue; therefore, no allowance for doubtful accounts has been recorded.

Property and equipment – Property and equipment are stated at cost. The cost basis includes any interest, finance charges, and other related costs capitalized during construction. Depreciation is based upon the straight-line method over the estimated useful lives of the various classes of property, which range from 3 to 50 years. Channing House records assets acquired by donation at the estimated fair-market value at the date of donation.

Asset impairment – Channing House periodically evaluates the carrying value of their long-lived assets for impairment. The evaluations address the estimated recoverability of the assets' carrying value, which is principally determined based on projected undiscounted cash flows generated by the underlying tangible assets. When the carrying value of an asset exceeds estimated recoverability, an asset impairment is recognized.

Liabilities from split interest gifts – In conjunction with certain giving arrangements, Channing House is required to pay a certain sum of money to the donor or a designated beneficiary, and consequently, a liability is reflected in obligations under annuity agreements in the accompanying statements of financial position.

Debt issuance costs – The cost of issuing Series 2010 Revenue Bonds (see Note 4) totaled \$4,116,861, and is being amortized using the straight line method over the term of the bond. Accumulated amortization was \$640,401 and \$503,172 for 2015 and 2014, respectively.

Resident entrance fees – Resident entrance fees are recorded as deferred revenue and are amortized on a straight-line basis over the actuarially determined life expectancy of the resident. There are two contract types in use. The Non-Refundable Contract, in which the entrance fee is refundable by cancellation or termination of the care agreement during the first six years of occupancy, subject to a 10% minimum retention by Channing House. There are no re-occupancy requirements on the Non-Refundable contract. Channing House also offers a Returnable Contract, whereby 80% of the entrance fee is refunded at move-out or termination of the contract, upon re-occupancy of the apartment. There was one such contract entered into as of February 28, 2015 and recorded as entrance fees due upon re-occupancy.

Malpractice insurance coverage – Channing House is covered for malpractice insurance under an occurrence basis policy with coverage of \$1,000,000 each occurrence and \$3,000,000 in the aggregate. Accounting principles generally accepted in the United States of America require that a healthcare organization disclose the estimated costs of claims in the period of the incident, if it is reasonably possible that liabilities may be incurred and losses can be reasonably estimated. Management is unable to reasonably estimate the range of future costs, if any, of unasserted claims arising from incidents in current and prior periods. Management believes that any unreported liability will not have a material adverse effect on Channing House's financial position or results of operations.

Income taxes – Channing House has been granted tax-exempt status under Section 501(c)(3) of the Internal Revenue Code and Section 23701(d) of the California Revenue and Taxation Code. Accordingly, no provision for income taxes is included in the financial statements. Channing House adopted the provisions of FASB ASC Topic 740-10, *Income Taxes*, relating to accounting for uncertain tax positions on March 1, 2008. They had no unrecognized tax benefits which would require an adjustment to the March 1, 2014, beginning balance of net assets and had no unrecognized tax benefits at February 28, 2015. Channing House files federal and California exempt organization returns. They are no longer subject to income tax examinations by taxing authorities for years before 2006 for its federal and 2005 for its state tax filings.

Use of estimates – The preparation of financial statements in conformity with accounting principles generally accepted in the United States of America requires management to make estimates and assumptions that affect the reported amounts of assets and liabilities and disclosure of contingent assets and liabilities at the date of the financial statements and the reported amounts of revenues and expenses during the reporting period. Such management estimates include deferred revenue and pension costs. Actual results could differ from those estimates.

Fair value of financial instruments – Unless otherwise indicated, the fair value of all reported assets and liabilities that represent financial instruments approximate their carrying values. Channing House’s policy is to recognize transfers in and transfers out of Level 1 and Level 2 as of the end of the reporting period. Please see Note 8 for fair value hierarchy disclosures of investments and long-term debt.

New accounting pronouncements – In October 2012, the FASB issued ASU No. 2012-05, *Classification of the Sale Proceeds of Donated Financial Assets in the Statement of Cash Flows* (“ASU 2012-05”) to classify cash receipts from the sale of donated financial assets consistently with cash donations received in the statement of cash flows if those cash receipts were from the sale of donated financial assets that upon receipt were directed without any NFP-imposed limitations for sale and were converted nearly immediately into cash. Accordingly, the cash receipts from the sale of those financial assets should be classified as cash inflows from operating activities, unless the donor restricted the use of the contributed resources to long-term purposes, in which case those cash receipts should be classified as cash flows from financing activities. Otherwise, cash receipts from the sale of donated financial assets should be classified as cash flows from investing activities by the NFP. Channing House implemented this guidance in 2015. The adoption did not have a material impact on Channing House’s financial statements.

In April 2013, the FASB issued ASU No. 2013-06, *Services Received from Personnel of an Affiliate* (“ASU 2013-06”) to recognize all services received from personnel of an affiliate that directly benefit the recipient not-for-profit entity. Those services should be measured at the cost recognized by the affiliate for the personnel providing those services. However, if measuring a service received from personnel of an affiliate at cost will significantly overstate or understate the value of the service received, the recipient not-for-profit entity may elect to recognize that service received at either (1) the cost recognized by the affiliate for the personnel providing that service or (2) the fair value of that service. The adoption of ASU 2013-06 is effective for Channing House March 1, 2015. The adoption of ASU 2013-06 is not expected to have a material impact on Channing House’s financial statements.

Reclassifications – Certain 2014 amounts have been reclassified to conform to the 2015 presentation.

NOTE 2 – INVESTMENTS

Investments and assets limited as to use, at fair value, consisted of the following at February 28, 2015 and 2014, respectively:

	2015	2014
U.S. government securities	\$ 15,715,052	\$ 18,896,891
Fixed income mutual funds	12,749,051	15,963,332
International stock funds	821,204	381,273
Large blend mutual funds	2,943,551	2,580,590
Equity mutual funds	2,869,920	1,136,701
Other	39,891	50,573
	<u>\$ 35,138,669</u>	<u>\$ 39,009,360</u>

Investment securities include funds established pursuant to reserve requirements relating to split interest gifts of \$39,891 and \$50,573 at February 28, 2015 and 2014, respectively, as set forth by the State Insurance Commission.

CHANNING HOUSE

NOTES TO FINANCIAL STATEMENTS

Escrow funds are included in U.S. government securities. Such funds were established pursuant to the trust agreement executed in connection with the issuance of the 2010 Revenue Bonds (see Note 4). The escrow funds consisted of the following at February 28, 2015 and 2014, respectively:

	2015	2014
Reserve account	\$ 4,203,934	\$ 4,206,409
Principal/interest account	1,788,495	1,760,845
Health center project fund	9,722,623	12,929,637
	<u>\$ 15,715,052</u>	<u>\$ 18,896,891</u>

Channing House is required to maintain \$4,200,000 in the reserve account.

Additional disclosures about fair value measurement are included in Note 8.

NOTE 3 – PROPERTY AND EQUIPMENT

Property and equipment at February 28, 2015 and 2014, respectively:

	2015	2014
Land and improvements	\$ 1,504,245	\$ 1,506,496
Building and improvements	100,785,947	53,388,734
Equipment and furnishings	5,752,354	5,975,122
Construction in progress	1,060,896	40,391,983
Total	109,103,442	101,262,335
Less accumulated depreciation	(27,475,811)	(25,345,033)
Property and equipment, net	<u>\$ 81,627,631</u>	<u>\$ 75,917,302</u>

Depreciation expense was \$2,534,071 and \$2,245,724 for 2015 and 2014, respectively.

NOTE 4 – LONG-TERM DEBT

In July 2010, Channing House issued \$64,020,000 of Insured Revenue Bonds ("Series 2010"), net of bond discount of \$577,847, which are due in varying annual principal installments through May 2040. The stated interest ranges from 3.00% to 6.125% with an average coupon of 5.95%. Principal payments commenced in fiscal year ending February 29, 2012. Payment of the obligations is secured by gross revenues from the facility and is insured with the Office of Statewide Health Planning and Development of the State of California. Proceeds from the Series 2010 bond were used to refund Series 1999 Certificates of Participation, fund the construction of a new two-story health center, and remodel an existing floor with 14 new apartment units. Construction on the new health center building was completed in December 2014 and the 14 new apartments estimated for completion in December 2015. Interest payments are made semi-annually. Principal payments are made annually.

Channing House is subject to certain financial covenants related to its Series 2010 debt. Management represents that Channing House was in compliance with these covenants as of February 28, 2015 and 2014, respectively.

Capitalized interest expense was \$2,949,125 and \$3,544,948 for 2015 and 2014, respectively.

CHANNING HOUSE
NOTES TO FINANCIAL STATEMENTS

Maturities of the Series 2010 bond during each of the next five years and thereafter are as follows:

<u>Year Ending February</u>	
2016	\$ 680,000
2017	8,710,000
2018	1,070,000
2019	1,120,000
2020	1,180,000
Thereafter	48,392,481
Total	<u>\$ 61,152,481</u>

NOTE 5 – PENSION PLAN

Channing House has a noncontributory defined benefit pension plan (the “Plan”) which covers all employees who had completed one year of service and who had attained the age of 21 as of December 31, 2001. Benefits are computed by a formula based upon years of service and the employee’s average compensation over the final five years of employment, subject to a minimum benefit. Channing House’s funding policy for the Plan is to contribute an amount for each plan year that is no less than the minimum amount required by law under ERISA and the Internal Revenue Code using the Unit Credit actuarial cost method. At Channing House’s discretion, additional amounts may be contributed in excess of the minimum required contribution. Total benefits and expenses paid amounted to \$185,031 and \$373,494, respectively, for the years ended February 28, 2015 and 2014.

The broad-based investment goals of the Plan are to: (1) at a minimum, preserve the inflation-adjustment value of the Pension assets after administrative costs and benefit payments; (2) prudently invest assets in high-quality, diversified manner; (3) achieve the optimal return possible within the specified risk parameters; (4) achieve the actuarial earnings assumptions; and (5) adhere to the established guidelines.

The following table sets forth the changes in benefit obligations, changes in plan assets and components of net periodic benefit costs for the pension plan for the years ended February 28, 2015 and 2014:

	<u>2015</u>	<u>2014</u>
Change in benefit obligation:		
Benefit obligation at beginning of year	\$ 1,640,894	\$ 1,900,940
Service cost	21,928	23,448
Interest cost	106,643	115,217
Liability (gain) / loss	96,675	(25,217)
Expenses and benefits paid	<u>(185,031)</u>	<u>(373,494)</u>
Benefit obligation at end of year	<u>\$ 1,681,109</u>	<u>\$ 1,640,894</u>
Change in plan assets:		
Plan assets beginning of year	\$ 1,609,038	\$ 1,744,999
Employer contributions	113,908	137,004
Actual return	78,712	100,529
Expenses and benefits paid	<u>(185,031)</u>	<u>(373,494)</u>
Plan assets end of year	<u>1,616,627</u>	<u>1,609,038</u>
Funded status	(64,482)	(31,856)
Effect of adoption of FASB ASC Topic 715	<u>653,059</u>	<u>578,155</u>
Prepaid pension cost	<u>\$ 588,577</u>	<u>\$ 546,299</u>

CHANNING HOUSE
NOTES TO FINANCIAL STATEMENTS

The net periodic pension expense included the following components for the years ended February 28, 2015 and 2014:

	2015	2014
Service cost	\$ 21,928	\$ 23,448
Interest cost	106,643	115,217
Actual return on asset - gain	(78,712)	(100,529)
Amortization of net loss from earlier periods	45,803	36,741
Amortization of net gain (loss) during the period	(24,032)	(10,894)
Total	<u>\$ 71,630</u>	<u>\$ 63,983</u>

The following weighted-average assumptions were used to determine the plan's benefit obligation at February 28, 2015 and 2014:

	2015	2014
Discount rates	6.5%	6.5%
Expected return on plan assets	6.5%	6.5%

The composition of plan assets was as follows at February 28, 2015 and 2014:

	2015	2014
Insurance company general account	75%	72%
Equity funds	0%	0%
Money market funds	25%	28%
Total	<u>100%</u>	<u>100%</u>

The fair values of Channing House's pension plan assets by asset category were as follows at February 28, 2015 and 2014, pursuant to FASB ASC Topic 820 as more fully described in Note 8:

	Total 2015	Level 1	Level 2	Level 3
Investment contract with insurance company	\$ 1,181,417	\$ -	\$ -	\$ 1,181,417
Equity funds	410,698	-	410,698	-
Total investments	<u>\$ 1,592,115</u>	<u>\$ -</u>	<u>\$ 410,698</u>	<u>\$ 1,181,417</u>
	Total 2014	Level 1	Level 2	Level 3
Investment contract with insurance company	\$ 1,159,550	\$ -	\$ -	\$ 1,159,550
Equity funds	449,488	-	449,488	-
Total investments	<u>\$ 1,609,038</u>	<u>\$ -</u>	<u>\$ 449,488</u>	<u>\$ 1,159,550</u>

The investment contract with insurance company is valued at contract value as estimated by the Pension Plan Administrator. Contract value approximates fair value.

CHANNING HOUSE
NOTES TO FINANCIAL STATEMENTS

The following table reconciles the beginning and ending balances of recurring fair value measurements recognized in the accompanying financial statements using significant unobservable (Level 3) inputs:

	Investment Contract with Insurance Company
Beginning balance at February 28, 2014	\$ 1,159,550
Actual return on plan assets:	
Relating to assets still held at the reporting date	48,228
Relating to assets sold during the period	-
Purchases, sales, and settlements	(26,361)
Transfers in and/or out of Level 3	-
Ending balance at February 28, 2015	<u>\$ 1,181,417</u>
	Investment Contract with Insurance Company
Beginning balance at February 29, 2013	\$ 1,247,330
Actual return on plan assets:	
Relating to assets still held at the reporting date	47,701
Relating to assets sold during the period	-
Purchases, sales, and settlements	(135,481)
Transfers in and/or out of Level 3	-
Ending balance at February 28, 2014	<u>\$ 1,159,550</u>

The effect of the adoption of FASB ASC Topic 715, *Compensation - Retirement Benefits*, was to decrease the liability of the pension plan by \$185,031 in 2015 and decrease the liability by \$124,085 in 2014, which is included in Accrued Liabilities. There was also a corresponding increase to unrestricted net assets of \$74,904 in 2015 and decrease to unrestricted net assets of \$51,064 in 2014.

Estimated future benefit payments – Expected benefits to be paid in the next ten years as calculated by consulting the actuary are:

<u>Fiscal Year</u>	<u>Expected Payment</u>
2016	\$ 182,200
2017	\$ 182,300
2018	\$ 205,000
2019	\$ 213,800
2020	\$ 216,300
2021-2023	\$ 1,094,000

Plan amendment – At December 31, 2001, the Board of Trustees approved changes to the defined benefit pension plan that effectively froze the plan. No new participants are permitted into the plan and no future benefits will accrue for participants in the plan on or before December 31, 2001. The effect of the change was a curtailment gain of \$177,087, which reduced the projected benefit obligation in accordance with FASB ASC Topic 715, *Compensation - Retirement Benefits*. Also in accordance with FASB ASC Topic 715, the previously unrecognized prior service cost of \$17,581 was accelerated in prior years.

Defined contribution plan – Effective January 1, 2002, Channing House established a 403(b) plan for substantially all employees. Participants may contribute a percentage of compensation up to the maximum permitted by the Internal Revenue Code. Employer contributions and costs are based on a percentage of covered employees' salaries. Employer contributions were \$164,524 and \$144,051 for the years ended February 28, 2015 and 2014, respectively.

CHANNING HOUSE

NOTES TO FINANCIAL STATEMENTS

Deferred compensation plan – Effective November 1, 2008, Channing House established a 457(b) plan for key management staff. This plan is intended to constitute an unfunded, eligible deferred compensation plan as described in IRC Section 457(b). The Plan calls for discretionary contributions as approved each year by the Board of Trustees. Participants may contribute a percentage of compensation up to the maximum permitted by the Internal Revenue Code. Employer contributions were \$44,188 and \$43,217 for the year ended February 28, 2015 and 2014, respectively.

NOTE 6 – FUTURE SERVICE OBLIGATION

Channing House is obligated to provide its residents continuous care throughout the residents' stay at the facility. Management's estimate of the liability for "future service obligation" represents the excess of the discounted net care expenses over the deferred revenue from entrance fees. The obligation is discounted at 5% for both February 28, 2015 and 2014. The obligations were \$0 for both February 28, 2015 and 2014.

NOTE 7 – TEMPORARILY RESTRICTED NET ASSETS

Temporarily restricted net assets consisted of the following at February 28, 2015 and 2014:

	2015	2014
Healthcare center	\$ 609,642	\$ 539,688
Residents' assistance	267,420	264,509
	<u>\$ 877,062</u>	<u>\$ 804,197</u>

Temporarily restricted net assets were released for the following as of February 28, 2015 and 2014:

	2015	2014
Residents' assistance	\$ 31,482	\$ 48,624
	<u>\$ 31,482</u>	<u>\$ 48,624</u>

NOTE 8 – FAIR VALUE OF FINANCIAL INSTRUMENTS

FASB ASC Topic 820 defines fair value as the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date. FASB ASC Topic 820 also establishes a fair value hierarchy which requires an entity to maximize the use of observable inputs and minimize the use of unobservable inputs when measuring fair value. The standard describes three levels of inputs that may be used to measure fair value:

Level 1 – Quoted prices in active markets for identical assets or liabilities.

Level 2 – Observable inputs other than Level 1 prices, such as quoted prices for similar assets or liabilities; quoted prices in active markets that are not active; or other inputs that are observable or can be corroborated by observable market data for substantially the full term of the assets or liabilities; or net asset value per share (or its equivalent) with the ability to redeem the investments in the near term.

Level 3 – Unobservable inputs that are supported by little or no market activity and that are significant to the fair value of the assets or liabilities.

Following is a description of the valuation methodology used for instruments measured at fair value on a recurring basis and recognized in the accompanying financial statements, as well as the general classification of such instruments pursuant to the valuation hierarchy:

Investments: Fair values, which are the amounts reported in the statement of financial position, are based on quoted market prices, if available, or estimated using quoted market prices for similar securities.

CHANNING HOUSE
NOTES TO FINANCIAL STATEMENTS

The following table presents the fair value measurements of investments recognized in the accompanying financial statements measured at fair value on a recurring basis and the level within the FASB ASC Topic 820 fair value hierarchy in which the fair value measurements fall at February 28, 2015 and 2014:

	Total 2015	Level 1	Level 2	Level 3
U.S. Government securities	\$ 15,715,052	\$ 15,715,052	\$ -	\$ -
Fixed income mutual fund	12,749,051	12,749,051	-	-
International stock funds	821,204	821,204	-	-
Large blend mutual funds	2,943,551	2,943,551	-	-
Equity mutual funds	2,869,920	2,869,920	-	-
Charitable gift annuities	39,891	39,891	-	-
Total investments	\$ 35,138,669	\$ 35,138,669	\$ -	\$ -

	Total 2014	Level 1	Level 2	Level 3
U.S. Government securities	\$ 18,896,891	\$ 18,896,891	\$ -	\$ -
Fixed income mutual fund	15,963,332	15,963,332	-	-
International stock funds	381,273	381,273	-	-
Large blend mutual funds	2,580,590	2,580,590	-	-
Equity mutual funds	1,136,701	1,136,701	-	-
Charitable gift annuities	50,573	50,573	-	-
Total investments	\$ 39,009,360	\$ 39,009,360	\$ -	\$ -

As required by FASB ASC Topic 820, the investments are classified within the level of the lowest significant input considered in determining fair value. In evaluating the level at which Channing House's investments have been classified, Channing House has assessed factors including, but not limited to, the ability to redeem at net asset value ("NAV") at the measurement date and the existence or absence of certain restrictions at the measurement date. In accordance with this guidance, if Channing House has the ability to redeem from the investment at the measurement date or in the near-term at NAV, the investment would be classified as a Level 2 fair value measurement. Alternatively, if Channing House will never have the ability to redeem from the investment or is restricted from redeeming for an uncertain or extended period of time from the measurement date, the investment would be classified as a Level 3 fair value measurement.

Debt – The fair value of long-term debt is based on quoted market prices in an active market (Level 1).

The carrying amounts and fair values of Channing House's financial instruments at February 28, 2015 and 2014, were as follows:

	2015		2014	
	Carrying Amount	Fair Value	Carrying Amount	Fair Value
Cash and equivalents	\$ 1,257,021	\$ 1,257,021	\$ 1,507,650	\$ 1,507,650
Investments	\$ 19,423,617	\$ 19,423,617	\$ 20,112,469	\$ 20,112,469
Assets limited as to use	\$ 15,715,052	\$ 15,715,052	\$ 18,896,891	\$ 18,896,891
Accounts payable and accrued expenses	\$ 3,046,408	\$ 3,046,408	\$ 3,597,451	\$ 3,597,451
Liabilities from split interest gifts	\$ 45,453	\$ 45,453	\$ 54,215	\$ 54,215
Debt	\$ 61,152,481	\$ 68,837,299	\$ 61,778,125	\$ 65,693,180

Considerable judgment is required to develop estimates of fair value, and the estimates presented are not necessarily indicative of the amounts that Channing House would realize in a current market exchange. The use of different market assumptions and/or estimation methods could have a material effect on the estimated fair values. The estimates presented are based on pertinent information available to management as of February 2015 and 2014. Current estimates of fair value may differ significantly from the amounts presented.

CHANNING HOUSE

NOTES TO FINANCIAL STATEMENTS

NOTE 9 – HEALTH AND SAFETY CODE SECTION 1790(A)(3) DISCLOSURE

The Board of Trustees of Channing House in 2010 established a Capital Reserve Fund to be used to pay for future board-approved capital improvements. These improvements are necessary and consistent with Channing House's tax exempt purpose to maintain and provide facilities essential to meet the housing, nursing care, and other needs of its elderly residents. The amount of this fund was \$9,047,000 and \$5,931,000 at February 28, 2015 and 2014, respectively.

Improvements made during the year included: a) Upgrades to Health Center related systems of \$257,100; b) Apartment renovations of \$304,330; and c) Other Building Equipment & Furnishings of \$413,451.

In order to provide up-to-date health care facilities for Channing House's continuum of care, the Board of Trustees in 2010 issued \$64,020,000 of Insured Revenue Bonds. Consistent with Channing House's nonprofit status, these bonds were used in the following manner: a) Withdrawals for construction costs of \$3,208,086 and \$5,597,388 for fiscal years ending February 28, 2015 and 2014, respectively; and b) the Bond Reserve Account was maintained and ended the years with a balance of \$4,203,933 and \$4,206,409 as of February 28, 2015 and 2014, respectively.

NOTE 10 – CONTINGENCIES

Litigation – Channing House is party to claims and legal actions in the normal course of business. In the opinion of management, and based on current facts and circumstances, the resolution of such matters is not expected to have a material adverse effect on the financial position of Channing House.

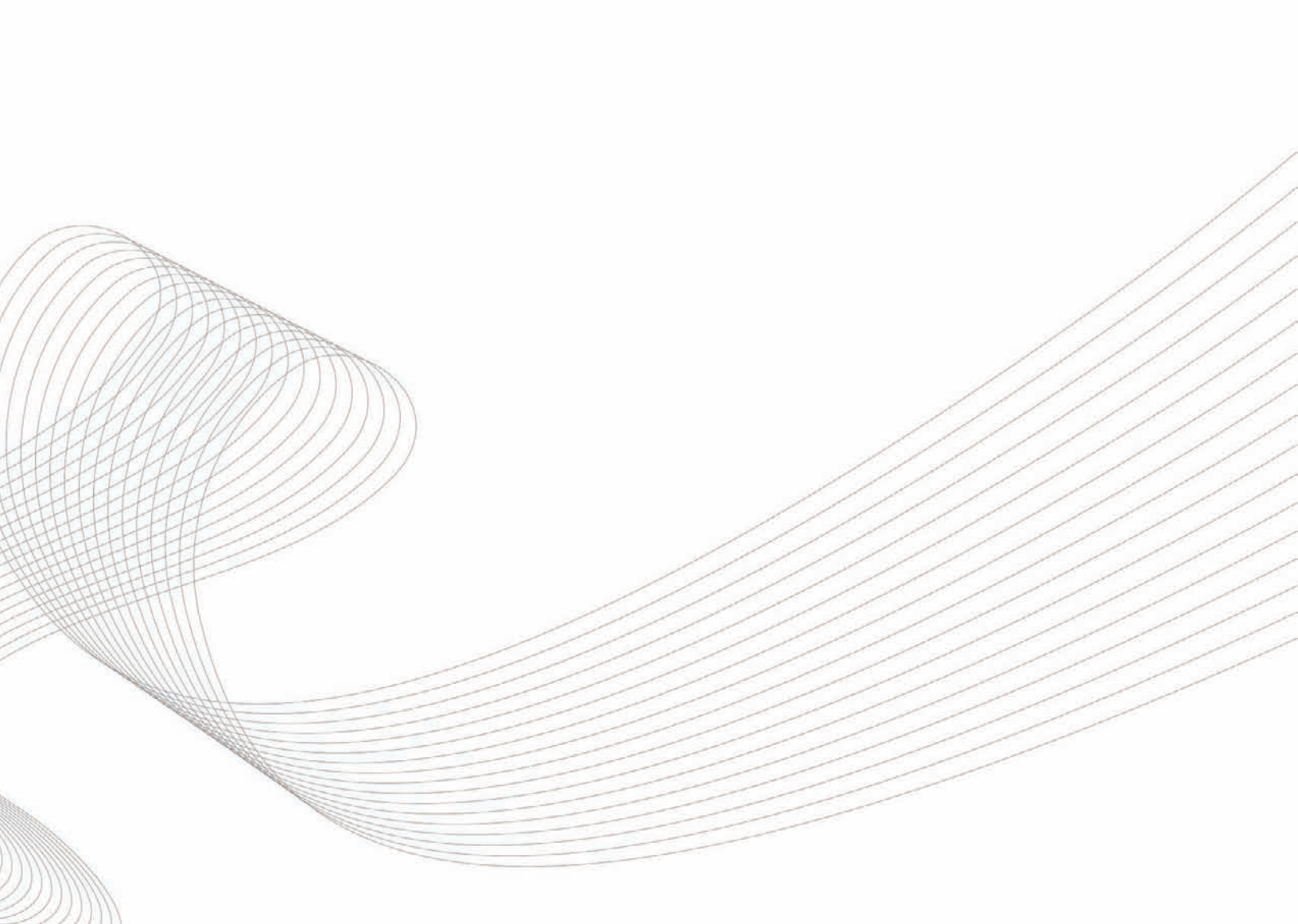
Health care reform – In March 2010, President Obama signed the Health Care Reform Legislation into law. The new law will result in sweeping changes across the health care industry. The primary goal of this comprehensive legislation is to extend coverage to approximately 32 million uninsured legal U.S. residents through a combination of public program expansion and private sector health insurance reforms. To fund the expansion of insurance coverage, the legislation contains measures designed to promote quality and cost efficiency in health care delivery and to generate budgetary savings in the Medicare and Medicaid programs. Channing House is unable to predict the full impact of the Health Care Reform Legislation at this time due to the law's complexity and current lack of implementing regulations or interpretive guidance. However, Channing House expects that provisions of the Health Care Reform Legislation will have some effect on its business.

NOTE 11 – SUBSEQUENT EVENTS

Subsequent events are events or transactions that occur after the balance sheet date but before financial statements are available to be issued. Channing House recognizes in the financial statements the effects of all subsequent events that provide additional evidence about conditions that existed at the date of the balance sheet, including the estimates inherent in the process of preparing the financial statements. Channing House's financial statements do not recognize subsequent events that provide evidence about conditions that did not exist at the date of the balance sheet but arose after the balance sheet date and before financial statements are available to be issued. Channing House will review effects of the Health Care Reform Legislation as discussed in Note 10 and disclose impacts accordingly.

Channing House has evaluated subsequent events through June 23, 2015, which is the date the financial statements were issued.

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Report of Independent Auditors and
Financial Statements



February 29, 2016 and February 28, 2015

MOSS-ADAMS LLP

Certified Public Accountants | Business Consultants

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FINANCIAL STATEMENTS AS OF AND FOR THE YEARS ENDED FEBRUARY 29, 2016 AND FEBRUARY 28, 2015

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REPORT OF INDEPENDENT AUDITORS

Board of Trustees
Channing House (a Nonprofit Corporation)
Palo Alto, California

Report on Financial Statements

We have audited the accompanying financial statements of Channing House, which comprise the statements of financial position as of February 29, 2016 and February 28, 2015, and the related statements of activities and changes in net assets, and cash flows for the years then ended, and the related notes to the financial statements.

Management's Responsibility for the Financial Statements

Management is responsible for the preparation and fair presentation of these financial statements in accordance with accounting principles generally accepted in the United States of America; this includes the design, implementation, and maintenance of internal control relevant to the preparation and fair presentation of financial statements that are free from material misstatement, whether due to fraud or error.

Auditor's Responsibility

Our responsibility is to express an opinion on these financial statements based on our audits. We conducted our audits in accordance with auditing standards generally accepted in the United States of America. Those standards require that we plan and perform the audits to obtain reasonable assurance about whether the financial statements are free from material misstatement.

An audit involves performing procedures to obtain audit evidence about the amounts and disclosures in the financial statements. The procedures selected depend on the auditor's judgment, including the assessment of the risks of material misstatement of the financial statements, whether due to fraud or error. In making those risk assessments, the auditor considers internal control relevant to the entity's preparation and fair presentation of the financial statements in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the entity's internal control. Accordingly, we express no such opinion. An audit also includes evaluating the appropriateness of accounting policies used and the reasonableness of significant accounting estimates made by management, as well as evaluating the overall presentation of the financial statements.

We believe that the audit evidence obtained is sufficient and appropriate to provide a basis for our audit opinions.

Opinion

In our opinion, the financial statements referred to above present fairly, in all material respects, the financial position of Channing House as of February 29, 2016 and February 28, 2015, and the results of its operations and its cash flows for the years then ended in accordance with accounting principles generally accepted in the United States of America.



San Francisco, California
June 28, 2016

FINANCIAL STATEMENTS

CHANNING HOUSE
STATEMENTS OF FINANCIAL POSITION
February 29, 2016 and February 28, 2015

	2016	2015
ASSETS		
Cash and cash equivalents	\$ 4,387,568	\$ 1,257,021
Accounts receivable	12,555	55,080
Notes receivable	-	119,504
Inventory	2,625	2,625
Prepaid expenses	234,332	225,055
Investments, at fair value	11,233,776	19,423,617
Assets limited as to use, at fair value	15,912,021	15,715,052
Property and equipment, net	89,863,059	81,627,631
Debt issuance costs, net	3,339,232	3,476,460
Total assets	<u>\$ 124,985,168</u>	<u>\$ 121,902,045</u>
LIABILITIES AND NET ASSETS		
Liabilities		
Accounts payable and accrued expenses	\$ 4,860,620	\$ 3,046,408
Liabilities from split interest gifts	36,691	45,453
Entrance fees refundable upon reoccupancy	368,800	368,800
Deferred revenue from entrance fees	31,705,162	26,689,279
Refundable deposits	975,214	830,425
Debt	60,491,837	61,152,481
Total liabilities	<u>98,438,324</u>	<u>92,132,846</u>
Net assets		
Unrestricted		
Undesignated	23,880,374	27,724,717
Board designated	1,645,110	1,167,420
Temporarily restricted	1,021,360	877,062
Total net assets	<u>26,546,844</u>	<u>29,769,199</u>
Total liabilities and net assets	<u>\$ 124,985,168</u>	<u>\$ 121,902,045</u>

See accompanying notes.

CHANNING HOUSE
STATEMENTS OF ACTIVITIES AND CHANGES IN NET ASSETS
Years Ended February 29, 2016 and February 28, 2015

	<u>2016</u>	<u>2015</u>
REVENUES, GAINS, AND OTHER SUPPORT		
Monthly care fees	\$ 10,933,655	\$ 10,475,620
Resident entrance fees earned	5,039,941	4,622,114
Interest on escrow funds	-	3,610
Interest and dividend income	483,478	515,346
Other services	331,404	384,863
Donations and other	413,199	90,752
Operating revenues	17,201,677	16,092,305
Net assets released from restriction for operations	9,471	31,482
Total revenues	<u>17,211,148</u>	<u>16,123,787</u>
EXPENSES		
Medical	3,088,330	2,946,431
Food services	2,645,422	2,567,535
Operating and maintenance	1,933,444	1,804,121
Administrative	3,266,141	2,925,054
Housekeeping & Transportation	947,483	872,617
Depreciation and amortization	3,551,631	2,690,655
Loss on disposal of assets	128,673	126,265
Interest expense	3,494,328	586,948
Total expenses	<u>19,055,452</u>	<u>14,519,626</u>
(LOSS) INCOME BEFORE INVESTMENT GAIN (LOSS) AND UNREALIZED (LOSS) GAIN ON INVESTMENTS	(1,844,304)	1,604,161
INVESTMENT GAIN (LOSS)		
Net realized gain (loss) on investments	336,678	(76,219)
Total investment gain (loss)	<u>336,678</u>	<u>(76,219)</u>
NET (LOSS) INCOME	(1,507,626)	1,527,942
Net unrealized (loss) gain on investments	(1,462,944)	702,954
Change in value of split interest gift	(1,979)	(1,920)
(Decrease) increase in unrecognized pension obligation	(394,104)	61,536
Net (decrease) increase in unrestricted net assets	<u>(3,366,653)</u>	<u>2,290,512</u>
Temporarily restricted		
Donations	70,200	37,000
Other	83,569	67,347
Total temporarily restricted revenues	<u>153,769</u>	<u>104,347</u>
Net assets released from restriction for operations	<u>(9,471)</u>	<u>(31,482)</u>
Net increase in temporarily restricted net assets	144,298	72,865
Change in net assets	(3,222,355)	2,363,377
NET ASSETS		
Beginning of year	29,769,199	27,405,822
End of year	<u>\$ 26,546,844</u>	<u>\$ 29,769,199</u>

See accompanying notes.

CHANNING HOUSE
STATEMENTS OF CASH FLOWS
Years Ended February 29, 2016 and February 28, 2015

	<u>2016</u>	<u>2015</u>
CASH FLOWS FROM OPERATING ACTIVITIES		
Monthly care fees	\$ 10,976,180	\$ 10,429,512
Entrance fee proceeds	10,175,328	4,908,666
Other receipts from operations	331,404	384,863
Investment income received	820,156	518,956
Donations and miscellaneous revenues	483,399	127,752
Cash paid to employees and suppliers	(10,231,547)	(11,586,377)
Interest paid, net of amount capitalized	<u>(3,504,412)</u>	<u>(581,299)</u>
Net cash from operating activities	<u>9,050,508</u>	<u>4,202,073</u>
CASH FLOWS USED IN INVESTING ACTIVITIES		
Realized (loss) gain on investments	(336,678)	76,219
Proceeds from sales of investments	28,416,186	46,351,452
Cost of purchases of investments	(21,549,580)	(41,854,026)
Purchases of property and equipment	<u>(11,759,148)</u>	<u>(8,370,665)</u>
Net cash used in investing activities	<u>(5,229,220)</u>	<u>(3,797,020)</u>
CASH FLOWS USED IN FINANCING ACTIVITIES		
Payments on long-term debt	(680,000)	(645,000)
Payments to beneficiaries	<u>(10,741)</u>	<u>(10,682)</u>
Net cash used in financing activities	<u>(690,741)</u>	<u>(655,682)</u>
NET CHANGE IN CASH AND CASH EQUIVALENTS	3,130,547	(250,629)
CASH AND CASH EQUIVALENTS, beginning of year	<u>1,257,021</u>	<u>1,507,650</u>
CASH AND CASH EQUIVALENTS, end of year	<u><u>\$ 4,387,568</u></u>	<u><u>\$ 1,257,021</u></u>
CASH FLOWS FROM OPERATING ACTIVITIES		
Change in net assets	\$ (3,222,355)	\$ 2,363,377
Adjustments to reconcile net assets to net cash from operating activities		
Depreciation	3,395,047	2,534,071
Amortization of debt issuance costs	137,228	137,229
Amortization of bond discount	19,356	19,356
Amortization of deferred revenue from entrance fees	(5,039,941)	(4,622,114)
Change in fair value of split interest gifts	1,979	1,920
Unrealized loss (gain) on investments	1,462,944	(702,954)
Loss on disposal of assets	128,673	126,265
Proceeds from entrance fees	10,055,824	5,028,170
Changes in operating assets and liabilities		
Accounts receivable	42,525	(46,108)
Notes receivable	119,504	(119,504)
Prepaid expenses	(9,277)	(37,797)
Accounts payable and accrued liabilities	1,814,212	(551,043)
Refundable deposits	<u>144,789</u>	<u>71,205</u>
Net cash from operating activities	<u><u>\$ 9,050,508</u></u>	<u><u>\$ 4,202,073</u></u>

See accompanying notes.

NOTE 1 – SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES

History and organization – Channing House is a nonprofit public benefit corporation licensed by the State of California Department of Public Health and the California Department of Social Services to provide housing, related facilities and health services for elderly persons. Channing House was incorporated in 1960 under the laws of the State of California. The facility it operates has 184 apartments, 27 assisted living beds, and 26 skilled nursing beds.

Upon entering Channing House, residents pay an entrance fee, which varies by resident depending upon the size and location of the apartment. Monthly care fees vary based on apartment size. Residents are provided housing, meals, and nursing care for their stays at Channing House. For Non-Refundable contracts, a decreasing portion of the entrance fee is refundable by cancellation or termination of the care agreement during the first six years of occupancy, subject to a 10% minimum retention by Channing House. For Refundable contracts, 80% of the entrance fee is refunded at move out or contract termination. Entrance fees subject to refund at February 29, 2016 and February 28, 2015, were \$18,191,084 and \$15,882,373, respectively.

Channing House is subject to statutory reserve requirements. At February 29, 2016 and February 28, 2015, Channing House's reserves, as calculated in accordance with the continuing care contract statutes of the California Health and Safety Code, were in excess of such requirements.

Channing House is exempt from property taxes; however, it makes an "in-lieu-of" payment to the City of Palo Alto based upon the assessed valuation of land, improvements, and unsecured property.

Net asset classifications – The accompanying financial statements have been prepared in accordance with the standards set forth by the Financial Accounting Standards Board ("FASB") Accounting Standards Codification ("ASC") Topic 958, *Not-for-Profit Entities* and the guidelines set forth in the industry audit and accounting guide "*Health Care Organizations*" issued by the American Institute of Certified Public Accountants. Under these guidelines, contributions of cash and other assets are classified as one of the following three categories:

Unrestricted – Represents unconditional promises to give by donors without any use or time restrictions. Included within unrestricted are board designated funds of \$1,645,110 and \$1,167,420 at February 29, 2016 and February 28, 2015, respectively, subject to board approval. The Board of Trustees of Channing House is authorized to spend the principal, income and appreciation of these funds as it shall deem reasonable, in order to further the mission and purpose of Channing House.

	2016	2015
Heritage Circle	\$ 1,394,435	\$ 942,068
Endowment and Other	250,675	225,352
	<u>\$ 1,645,110</u>	<u>\$ 1,167,420</u>

Temporarily restricted – Represents unconditional promises to give by donors that specify a specific use or the occurrence of a certain future event. Donor restrictions released in the year received are recorded as unrestricted contributions.

Permanently restricted – Represent net assets, subject to donor imposed stipulations that they be maintained by the organization in perpetuity. Channing House had no permanently restricted net assets as of February 29, 2016 and February 28, 2015. Contribution revenue is recognized in the appropriate net asset classification when the gift is unconditionally promised.

Cash and cash equivalents – Channing House considers all highly liquid investments purchased with an original maturity of 90 days or less to be cash equivalents. Cash equivalents will include restricted cash and cash designated for specific projects.

Concentration of credit risk – Financial instruments potentially subjecting Channing House to concentrations of credit risk consist primarily of bank demand deposits in excess of the Federal Deposit Insurance Corporation insurance thresholds and cash held in money market accounts in excess of the amounts insured by the U.S. Treasury insurance for money market funds. Demand deposits are placed with local financial institutions, and management has not experienced any loss related to these demand deposits in the past. Investment securities are exposed to various risks, such as interest rate, market, and credit risks. It is at least reasonably possible, given the level of risk associated with investment securities, that changes in the near term could materially affect the amount reported in the financial statements. The risk associated with the investments is mitigated through diversification.

CHANNING HOUSE

NOTES TO FINANCIAL STATEMENTS

Inventory – Inventory is stated at cost, which is determined on the first-in, first-out method of accounting. Inventory consisted of gift shop supplies as of February 29, 2016 and February 28, 2015.

Investments – Investments are carried at fair value based on quoted market prices. The cost of investments sold is determined on an average cost basis. Realized and unrealized gains and losses are included in unrestricted net assets as the investments are considered trading securities.

Assets limited as to use – Assets limited as to use consist of cash and investments that are restricted in its use by regulatory or other agreements. These accounts are primarily escrow funds in U.S. government securities, which were established pursuant to the trust agreement executed in connection with the issuance of the Series 2010 Revenue Bonds (see Note 4). Assets limited as to use are carried at fair value based on quoted market prices.

Accounts receivable – Channing House extends credit to its residents for the payment of the monthly care fee, since each resident is directly responsible to pay Channing House. Management asserts that collection of monthly care fees are not considered an issue; therefore, no allowance for doubtful accounts has been recorded.

Property and equipment – Property and equipment are stated at cost. The cost basis includes any interest, finance charges, and other related costs capitalized during construction. Depreciation is based upon the straight-line method over the estimated useful lives of the various classes of property, which range from 3 to 50 years. Channing House records assets acquired by donation at the estimated fair-market value at the date of donation.

Asset impairment – Channing House periodically evaluates the carrying value of their long-lived assets for impairment. The evaluations address the estimated recoverability of the assets' carrying value, which is principally determined based on projected undiscounted cash flows generated by the underlying tangible assets. When the carrying value of an asset exceeds estimated recoverability, an asset impairment is recognized.

Liabilities from split interest gifts – In conjunction with certain giving arrangements, Channing House is required to pay a certain sum of money to the donor or a designated beneficiary, and consequently, a liability is reflected in obligations under annuity agreements in the accompanying statements of financial position.

Debt issuance costs – The cost of issuing the Series 2010 Revenue Bonds (see Note 4) totaled \$4,116,861, and is being amortized using the straight line method over the term of the bond. Accumulated amortization was \$777,629 and \$640,401 for 2016 and 2015, respectively.

Resident entrance fees – Resident entrance fees are recorded as deferred revenue and are amortized on a straight-line basis over the actuarially determined life expectancy of the resident. There are two contract types in use. The Non-Refundable Contract, in which the entrance fee is refundable by cancellation or termination of the care agreement during the first six years of occupancy, subject to a 10% minimum retention by Channing House. There are no re-occupancy requirements on the Non-Refundable contract. Channing House also offers a Returnable Contract, whereby 80% of the entrance fee is refunded at move-out or termination of the contract, upon re-occupancy of the apartment. There was one such contract entered into as of February 29, 2016, and February 28, 2015, and recorded as entrance fees due upon re-occupancy.

Malpractice insurance coverage – Channing House is covered for malpractice insurance under an occurrence basis policy with coverage of \$1,000,000 for each occurrence and \$3,000,000 in the aggregate. Accounting principles generally accepted in the United States of America require that a healthcare organization disclose the estimated costs of claims in the period of the incident, if it is reasonably possible that liabilities may be incurred and losses can be reasonably estimated. Management is unable to reasonably estimate the range of future costs, if any, of unasserted claims arising from incidents in current and prior periods. Management believes that any unreported liability will not have a material adverse effect on Channing House's financial position or results of operations.

Income taxes – Channing House has been granted tax-exempt status under Section 501(c)(3) of the Internal Revenue Code and Section 23701(d) of the California Revenue and Taxation Code. Accordingly, no provision for income taxes is included in the financial statements. Channing House adopted the provisions of FASB ASC Topic 740-10, *Income Taxes*, relating to accounting for uncertain tax positions on March 1, 2008. They had no unrecognized tax benefits which would require an adjustment to the March 1, 2015, beginning balance of net assets and had no unrecognized tax benefits at February 29, 2016. Channing House files federal and California exempt organization returns. They are no longer subject to income tax examinations by taxing authorities for years before 2007 for its federal tax filings and 2006 for its state tax filings.

Use of estimates – The preparation of financial statements in conformity with accounting principles generally accepted in the United States of America requires management to make estimates and assumptions that affect the reported amounts of assets and liabilities and disclosure of contingent assets and liabilities at the date of the financial statements and the reported amounts of revenues and expenses during the reporting period. Such management estimates include fair value of investments, future service obligation, depreciation, deferred revenue from entrance fees, and pension costs. Actual results could differ from those estimates.

Fair value of financial instruments – Unless otherwise indicated, the fair value of all reported assets and liabilities that represent financial instruments approximate their carrying values. Channing House’s policy is to recognize transfers in and transfers out of Level 1 and Level 2 as of the end of the reporting period. Please see Note 8 for fair value hierarchy disclosures of investments and long-term debt.

New accounting pronouncements – In April 2015, the FASB issued Accounting Standards Update (“ASU”) No. 2015-03, *Interest-Imputation of Interest (Subtopic 835-30): Simplifying the Presentation of Debt Issuance Costs* (“ASU 2015-03”). The amendment in this update require that debt issuance costs related to a recognized debt liability be presented in the statement of financial position as a direct deduction from the carrying amount of that debt liability, consistent with debt discounts. The recognition and measurement guidance for debt issuance costs are not affected by the amendments in this update. For all nonpublic entities, the amendments in this update are effective for financial statements issued for fiscal years beginning after December 15, 2015, and interim periods within fiscal years beginning after December 15, 2016. Channing House is currently evaluating the impact of ASU 2015-03 on Channing House’s financial statements.

In May 2015, the FASB issued ASU No. 2015-07, *Fair Value Measurement (Topic 820): Disclosures for Investments in Certain Entities That Calculate Net Asset Value per Share (or Its Equivalent)* (“ASU 2015-07”), a consensus of the Emerging Issue Task Force. Pursuant to ASU 2015-07, investments for which fair value is measured at net asset value, or its equivalent, using the practical expedient will no longer be categorized in the fair value hierarchy. Removing such investments from the fair value hierarchy thereby ensures that all investments categorized in the fair value hierarchy are classified using a consistent approach. ASU 2015-07 also removes the requirement that make certain disclosures for all investments that are eligible to be measured at fair value using the net asset value practical expedient. Instead, such disclosures are limited to investments for which the entity has elected to estimate the fair value using the practical expedient. ASU 2015-07 is effective in the annual periods beginning after December 15, 2016, with earlier adoption permitted. ASU 2015-07 should be applied retrospectively to all prior periods presented. Channing House is currently evaluating the impact of ASU 2015-07 on Channing House’s financial statements.

Reclassifications – Certain 2015 amounts have been reclassified to conform to the 2016 presentation.

NOTE 2 – INVESTMENTS

Investments and assets limited as to use, at fair value, consisted of the following at February 29, 2016 and February 28, 2015, respectively:

	2016	2015
U.S. government securities	\$ 15,912,021	\$ 15,715,052
Fixed income mutual funds	7,122,779	12,749,051
International stock funds	236,888	821,204
Large blend mutual funds	1,547,193	2,943,551
Equity mutual funds	2,297,766	2,869,920
Other	29,150	39,891
	<u>\$ 27,145,797</u>	<u>\$ 35,138,669</u>

Investment securities include funds established pursuant to reserve requirements relating to split interest gifts of \$29,150 and \$39,891 at February 29, 2016 and February 28, 2015, respectively, as set forth by the State Insurance Commission.

CHANNING HOUSE

NOTES TO FINANCIAL STATEMENTS

Escrow funds are included in U.S. government securities. Such funds were established pursuant to the trust agreement executed in connection with the issuance of the Series 2010 Revenue Bonds (see Note 4). The escrow funds consisted of the following at February 29, 2016 and February 28, 2015, respectively:

	2016	2015
Reserve account	\$ 4,202,629	\$ 4,203,934
Principal/interest account	8,472,581	1,788,495
Health center project fund	3,236,811	9,722,623
	<u>\$ 15,912,021</u>	<u>\$ 15,715,052</u>

Channing House is required to maintain \$4,200,000 in the reserve account.

Additional disclosures about fair value measurement are included in Note 8.

NOTE 3 – PROPERTY AND EQUIPMENT

Property and equipment at February 29, 2016 and February 28, 2015, respectively:

	2016	2015
Land and improvements	\$ 936,951	\$ 936,951
Building and improvements	102,431,085	101,353,241
Equipment and furnishings	2,645,435	5,752,354
Construction in progress	11,522,237	1,060,896
Total	117,535,708	109,103,442
Less accumulated depreciation	<u>(27,672,649)</u>	<u>(27,475,811)</u>
Property and equipment, net	<u>\$ 89,863,059</u>	<u>\$ 81,627,631</u>

Depreciation expense was \$3,395,047 and \$2,534,071 for 2016 and 2015, respectively.

NOTE 4 – LONG-TERM DEBT

In July 2010, Channing House issued \$64,020,000 of Insured Revenue Bonds ("Series 2010"), net of bond discount of \$577,847, which are due in varying annual principal installments through May 2040. The stated interest ranges from 3.00% to 6.125% with an average coupon of 5.95%. Principal payments commenced in fiscal year ending February 29, 2012. Payment of the obligations is secured by gross revenues from the facility and is insured with the Office of Statewide Health Planning and Development of the State of California. Proceeds from the Series 2010 bond were used to refund the Series 1999 Certificates of Participation, fund the construction of a new two-story health center, and remodel an existing floor with 14 new apartment units. Construction on the new health center building was completed in December 2014 and the 14 new apartments were completed in February 2016. Interest payments are made semi-annually. Principal payments are made annually.

Channing House is subject to certain financial covenants related to its Series 2010 debt. Management represents that Channing House was in compliance with these covenants as of February 29, 2016 and February 28, 2015, respectively.

Capitalized interest expense was \$0 and \$2,949,125 for 2016 and 2015, respectively.

CHANNING HOUSE
NOTES TO FINANCIAL STATEMENTS

Maturities of the Series 2010 bond during each of the next five years and thereafter are as follows:

Year Ending February

2017	\$ 8,710,000
2018	1,070,000
2019	1,120,000
2020	1,180,000
2021	1,240,000
Thereafter	<u>47,171,837</u>
Total	<u><u>\$ 60,491,837</u></u>

NOTE 5 – PENSION PLAN

Channing House has a noncontributory defined benefit pension plan (the “Plan”) which covers all employees who had completed one year of service and who had attained the age of 21 as of December 31, 2001. Benefits are computed by a formula based upon years of service and the employee’s average compensation over the final five years of employment, subject to a minimum benefit. Channing House’s funding policy for the Plan is to contribute an amount for each plan year that is no less than the minimum amount required by law under ERISA and the Internal Revenue Code using the Unit Credit actuarial cost method. At Channing House’s discretion, additional amounts may be contributed in excess of the minimum required contribution. Total benefits and expenses paid amounted to \$353,977 and \$185,031, respectively, for the years ended February 29, 2016 and February 28, 2015.

The broad-based investment goals of the Plan are to: (1) at a minimum, preserve the inflation-adjustment value of the Pension assets after administrative costs and benefit payments; (2) prudently invest assets in high-quality, diversified manner; (3) achieve the optimal return possible within the specified risk parameters; (4) achieve the actuarial earnings assumptions; and (5) adhere to the established guidelines.

The following table sets forth the changes in benefit obligations, changes in plan assets and components of net periodic benefit costs for the pension plan for the years ended February 29, 2016 and February 28, 2015:

	<u>2016</u>	<u>2015</u>
Change in benefit obligation:		
Benefit obligation at beginning of year	\$ 1,681,109	\$ 1,640,894
Service cost	21,113	21,928
Interest cost	106,145	106,643
Liability loss	341,390	96,675
Expenses and benefits paid	<u>(353,977)</u>	<u>(185,031)</u>
Benefit obligation at end of year	<u><u>\$ 1,795,780</u></u>	<u><u>\$ 1,681,109</u></u>
Change in plan assets:		
Plan assets beginning of year	\$ 1,616,627	\$ 1,609,038
Employer contributions	57,879	113,908
Actual return	74,544	78,712
Expenses and benefits paid	<u>(353,977)</u>	<u>(185,031)</u>
Plan assets end of year	<u><u>1,395,073</u></u>	<u><u>1,616,627</u></u>
Funded status	(400,707)	(64,482)
Total recognized in accumulated other comprehensive income	<u><u>968,789</u></u>	<u><u>653,059</u></u>
Prepaid pension cost	<u><u>\$ 568,082</u></u>	<u><u>\$ 588,577</u></u>

CHANNING HOUSE
NOTES TO FINANCIAL STATEMENTS

The net periodic pension expense included the following components for the years ended February 29, 2016 and February 28, 2015:

	2016	2015
Service cost	\$ 21,113	\$ 21,928
Interest cost	106,145	106,643
Actual return on asset - gain	(74,544)	(78,712)
Amortization of net loss from earlier periods	-	45,803
Amortization of net gain during the period	(35,391)	(24,032)
Total	<u>\$ 17,323</u>	<u>\$ 71,630</u>

The following weighted-average assumptions were used to determine the plan's benefit obligation at February 29, 2016 and February 28, 2015:

	2016	2015
Discount rates	4.5%	6.5%
Expected return on plan assets	6.5%	6.5%

The composition of plan assets was as follows at February 29, 2016 and February 28, 2015:

	2016	2015
Insurance company general account	86%	75%
Money market funds	14%	25%
Total	<u>100%</u>	<u>100%</u>

The fair values of Channing House's pension plan assets by asset category were as follows at February 29, 2016 and February 28, 2015, pursuant to FASB ASC Topic 820 as more fully described in Note 8:

	Total 2016	Level 1	Level 2	Level 3
Investment contract with insurance company	\$ 1,168,512	\$ -	\$ -	\$ 1,168,512
Money market funds	190,339	-	190,339	-
Total investments	<u>\$ 1,358,851</u>	<u>\$ -</u>	<u>\$ 190,339</u>	<u>\$ 1,168,512</u>
	Total 2015	Level 1	Level 2	Level 3
Investment contract with insurance company	\$ 1,181,417	\$ -	\$ -	\$ 1,181,417
Money market funds	410,698	-	410,698	-
Total investments	<u>\$ 1,592,115</u>	<u>\$ -</u>	<u>\$ 410,698</u>	<u>\$ 1,181,417</u>

The investment contract with insurance company is valued at contract value as estimated by the Pension Plan Administrator. Contract value approximates fair value.

CHANNING HOUSE
NOTES TO FINANCIAL STATEMENTS

The following table reconciles the beginning and ending balances of recurring fair value measurements recognized in the accompanying financial statements using significant unobservable (Level 3) inputs:

	Investment Contract with Insurance Company
Beginning balance at February 28, 2015	\$ 1,181,417
Actual return on plan assets:	
Relating to assets still held at the reporting date	44,460
Purchases, sales, and settlements	(57,365)
Ending balance at February 29, 2016	<u>\$ 1,168,512</u>
	Investment Contract with Insurance Company
Beginning balance at February 28, 2014	\$ 1,159,550
Actual return on plan assets:	
Relating to assets still held at the reporting date	48,228
Purchases, sales, and settlements	(26,361)
Ending balance at February 28, 2015	<u>\$ 1,181,417</u>

Estimated future benefit payments – Expected benefits to be paid in the next ten years as calculated by consulting the actuary are:

Fiscal Year	Expected Payment
2017	\$ 178,000
2018	\$ 182,000
2019	\$ 181,000
2020	\$ 168,000
2021	\$ 157,000
2022-2026	\$ 644,000

Plan amendment – At December 31, 2001, the Board of Trustees approved changes to the defined benefit pension plan that effectively froze the plan. No new participants are permitted into the plan and no future benefits will accrue for participants in the plan on or before December 31, 2001. The effect of the change was a curtailment gain of \$177,087, which reduced the projected benefit obligation in accordance with FASB ASC Topic 715, *Compensation - Retirement Benefits*. Also in accordance with FASB ASC Topic 715, the previously unrecognized prior service cost of \$17,581 was accelerated in prior years.

Defined contribution plan – Effective January 1, 2002, Channing House established a 403(b) plan for substantially all employees. Participants may contribute a percentage of compensation up to the maximum permitted by the Internal Revenue Code. Employer contributions and costs are based on a percentage of covered employees' salaries. Employer contributions were \$133,360 and \$164,524 for the years ended February 29, 2016 and February 28, 2015 respectively.

Deferred compensation plan – Effective November 1, 2008, Channing House established a 457(b) plan for key management staff. This plan is intended to constitute an unfunded, eligible deferred compensation plan as described in IRC Section 457(b). The Plan calls for discretionary contributions as approved each year by the Board of Trustees. Participants may contribute a percentage of compensation up to the maximum permitted by the Internal Revenue Code. Employer contributions were \$61,122 and \$44,188 for the year ended February 29, 2016 and February 28, 2015, respectively.

CHANNING HOUSE
NOTES TO FINANCIAL STATEMENTS

NOTE 6 – FUTURE SERVICE OBLIGATION

Channing House is obligated to provide its residents continuous care throughout the residents' stay at the facility. Management's estimate of the liability for "future service obligation" represents the excess of the discounted net care expenses over the deferred revenue from entrance fees. The obligation is discounted at 5% for both February 29, 2016 and February 28, 2015. The obligations were \$0 for both February 29, 2016 and February 28, 2015.

NOTE 7 – TEMPORARILY RESTRICTED NET ASSETS

Temporarily restricted net assets consisted of the following at February 29, 2016 and February 28, 2015:

	2016	2015
Healthcare center	\$ 739,819	\$ 609,642
Residents' assistance	281,541	267,420
	<u>\$ 1,021,360</u>	<u>\$ 877,062</u>

Temporarily restricted net assets were released for the following as of February 29, 2016 and February 28, 2015:

	2016	2015
Residents' assistance	\$ 9,471	\$ 31,482
	<u>\$ 9,471</u>	<u>\$ 31,482</u>

NOTE 8 – FAIR VALUE OF FINANCIAL INSTRUMENTS

FASB ASC Topic 820 defines fair value as the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date. FASB ASC Topic 820 also establishes a fair value hierarchy which requires an entity to maximize the use of observable inputs and minimize the use of unobservable inputs when measuring fair value. The standard describes three levels of inputs that may be used to measure fair value:

Level 1 – Quoted prices in active markets for identical assets or liabilities.

Level 2 – Observable inputs other than Level 1 prices, such as quoted prices for similar assets or liabilities; quoted prices in active markets that are not active; or other inputs that are observable or can be corroborated by observable market data for substantially the full term of the assets or liabilities; or net asset value per share (or its equivalent) with the ability to redeem the investments in the near term.

Level 3 – Unobservable inputs that are supported by little or no market activity and that are significant to the fair value of the assets or liabilities.

Following is a description of the valuation methodology used for instruments measured at fair value on a recurring basis and recognized in the accompanying financial statements, as well as the general classification of such instruments pursuant to the valuation hierarchy:

Investments: Fair values, which are the amounts reported in the statement of financial position, are based on quoted market prices, if available, or estimated using quoted market prices for similar securities.

CHANNING HOUSE
NOTES TO FINANCIAL STATEMENTS

The following table presents the fair value measurements of investments recognized in the accompanying financial statements measured at fair value on a recurring basis and the level within the FASB ASC Topic 820 fair value hierarchy in which the fair value measurements fall at February 29, 2016 and February 28, 2015:

	Total 2016	Level 1	Level 2	Level 3
U.S. Government securities	\$ 15,912,021	\$ 15,912,021	\$ -	\$ -
Fixed income mutual fund	7,122,779	7,122,779	-	-
International stock funds	236,888	236,888	-	-
Large blend mutual funds	1,547,193	1,547,193	-	-
Equity mutual funds	2,297,766	2,297,766	-	-
Charitable gift annuities	29,150	29,150	-	-
Total investments	<u>\$ 27,145,797</u>	<u>\$ 27,145,797</u>	<u>\$ -</u>	<u>\$ -</u>
	Total 2015	Level 1	Level 2	Level 3
U.S. Government securities	\$ 15,715,052	\$ 15,715,052	\$ -	\$ -
Fixed income mutual fund	12,749,051	12,749,051	-	-
International stock funds	821,204	821,204	-	-
Large blend mutual funds	2,943,551	2,943,551	-	-
Equity mutual funds	2,869,920	2,869,920	-	-
Charitable gift annuities	39,891	39,891	-	-
Total investments	<u>\$ 35,138,669</u>	<u>\$ 35,138,669</u>	<u>\$ -</u>	<u>\$ -</u>

As required by FASB ASC Topic 820, the investments are classified within the level of the lowest significant input considered in determining fair value. In evaluating the level at which Channing House's investments have been classified, Channing House has assessed factors including, but not limited to, the ability to redeem at net asset value ("NAV") at the measurement date and the existence or absence of certain restrictions at the measurement date. In accordance with this guidance, if Channing House has the ability to redeem from the investment at the measurement date or in the near-term at NAV, the investment would be classified as a Level 2 fair value measurement. Alternatively, if Channing House will never have the ability to redeem from the investment or is restricted from redeeming for an uncertain or extended period of time from the measurement date, the investment would be classified as a Level 3 fair value measurement.

Debt: The fair value of long-term debt is based on quoted market prices in an active market (Level 1).

The carrying amounts and fair values of Channing House's financial instruments at February 29, 2016 and February 28, 2015, were as follows:

	2016		2015	
	Carrying Amount	Fair Value	Carrying Amount	Fair Value
Cash and equivalents	\$ 4,387,568	\$ 4,387,568	\$ 1,257,021	\$ 1,257,021
Investments	\$ 11,233,776	\$ 11,233,776	\$ 19,423,617	\$ 19,423,617
Assets limited as to use	\$ 15,912,021	\$ 15,912,021	\$ 15,715,052	\$ 15,715,052
Accounts payable and accrued expenses	\$ 4,860,620	\$ 4,860,620	\$ 3,046,408	\$ 3,046,408
Liabilities from split interest gifts	\$ 36,691	\$ 36,691	\$ 45,453	\$ 45,453
Debt	\$ 60,491,837	\$ 69,903,356	\$ 61,152,481	\$ 68,837,299

Considerable judgment is required to develop estimates of fair value, and the estimates presented are not necessarily indicative of the amounts that Channing House would realize in a current market exchange. The use of different market assumptions and/or estimation methods could have a material effect on the estimated fair values. The estimates presented are based on pertinent information available to management as of February 2016 and 2015. Current estimates of fair value may differ significantly from the amounts presented.

CHANNING HOUSE

NOTES TO FINANCIAL STATEMENTS

NOTE 9 – HEALTH AND SAFETY CODE SECTION 1790(A)(3) DISCLOSURE

The Board of Trustees of Channing House in 2010 established a Capital Reserve Fund to be used to pay for future board-approved capital improvements. These improvements are necessary and consistent with Channing House's tax exempt purpose to maintain and provide facilities essential to meet the housing, nursing care, and other needs of its elderly residents. The amount of this fund was \$14,328,000 and \$9,047,000 at February 29, 2016 and February 28, 2015, respectively.

Improvements made during the year included: a) Dining Room and 1st floor renovation of \$2,275,000; b) Health Center architecture, project management, and other final invoicing of \$1,237,000; c) Apartment renovations including a portion of the 2nd floor cost not covered by bond funds of \$997,000; d) A 27-passenger bus and an ambulatory van totaling \$282,000; and e) Other building equipment and furnishings of \$481,000.

In order to provide up-to-date health care facilities for Channing House's continuum of care, the Board of Trustees in 2010 issued \$64,020,000 of Insured Revenue Bonds. Consistent with Channing House's nonprofit status, these bonds were used in the following manner: a) Withdrawals for construction costs of \$6,487,790 and \$3,208,086 for fiscal years ending February 29, 2016 and February 28, 2015, respectively; and b) the Bond Reserve Account was maintained and ended the years with a balance of \$4,202,629 and \$4,203,933 as of February 29, 2016 and February 28, 2015, respectively.

NOTE 10 – CONTINGENCIES

Litigation – Channing House is party to claims and legal actions in the normal course of business. In the opinion of management, and based on current facts and circumstances, the resolution of such matters is not expected to have a material adverse effect on the financial position of Channing House.

During the year ended February 29, 2016, Channing House entered into mediation with certain contractors, subcontractors, and designers related to claims filed from and against Channing House pertaining to the construction of the Health Center. In March 2016, all parties unanimously approved the economic terms of the settlement and after the court ruled that the settlement was made in good faith in May 2016, it was made final and all payments made. The settlement amount is not considered to have a material impact on Channing House.

Health care reform – On March 23, 2010, the Patient Protection and Affordable Care Act ("PPACA") was signed into law. On March 30, 2010, the Health Care and Education Reconciliation Act of 2010 was signed, amending the PPACA (collectively the "Affordable Care Act"). The Affordable Care Act addresses a broad range of topics affecting the healthcare industry, including a significant expansion of healthcare coverage. The expansion is accomplished primarily through incentives to individuals to obtain and employers to provide healthcare coverage and an expansion in Medicaid eligibility. The Affordable Care Act also includes incentives for medical research and the use of electronic health records, changes designed to curb fraud, waste and abuse, and creates new agencies and demonstration projects to promote the innovation and efficiency in the healthcare delivery system. Some provisions of the healthcare reform legislation were effective immediately; others will be phased in through 2016. Further legislative policies are required for several provisions that will be effective in future years. The impact of this legislation will likely affect Channing House. The effects of the changes that will be required in future years are not determinable at this time.

NOTE 11 – SUBSEQUENT EVENTS

Subsequent events are events or transactions that occur after the balance sheet date but before financial statements are available to be issued. Channing House recognizes in the financial statements the effects of all subsequent events that provide additional evidence about conditions that existed at the date of the balance sheet, including the estimates inherent in the process of preparing the financial statements. Channing House's financial statements do not recognize subsequent events that provide evidence about conditions that did not exist at the date of the balance sheet but arose after the balance sheet date and before financial statements are available to be issued. Channing House will review effects of the Health Care Reform Legislation as discussed in Note 10 and disclose impacts accordingly.

Channing House has evaluated subsequent events through June 28, 2016, which is the date the financial statements were issued.

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APPENDIX C

FINANCIAL FEASIBILITY STUDY

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HENDRICKSON CONSULTING

1505 Bridgeway – Suite 101, Sausalito, California 94965 - (415) 332-7169 – Bill.Hendrickson@SBCGlobal.net

March 21, 2017

Rhonda Bekkedahl
Director of Finance
Channing House
850 Webster Street
Palo Alto, CA 94301

Dear Rhonda:

Attached please find financial statement and ratio forecasts for Channing House (CH), reflecting the \$58.59 million Insured Revenue and Refunding Bonds Series 2017 provided by Ziegler. Other key inputs include the January 31, 2017 financial statements, the fiscal year (FY) ending February 28, 2018 budget, and input from CH management. These forecasts reflect the refinancing only. Neither new project debt payments nor expected reduced revenues during the new project construction period are included.

Table 1 shows the Sources and Uses of the Series 2017 Bonds and the estimated annual debt payments. The maximum coupons are estimated at 5.00% and the all-in true interest cost (TIC) is 4.33%. The final payment is due on May 15, 2040. The maximum annual debt service (MADS) is estimated at \$4.14 million. The actual annual debt payments average \$3.15 million per year through May 15, 2021. This is in anticipation of the expected \$43.2 million bonds to be issued later in 2017 to fund approximately \$40.0 million in campus upgrades through FY 2021. The annual debt payments on this second Series 2017 Bonds are estimated at \$1.3 million per year through FY 2021 and \$2.1 million per year thereafter.

Tables 2-4 show financial statement forecasts for CH through FY 2023. Key assumptions include a continuation of independent living (IL), assisted living (AL), and skilled nursing (SN) occupancy at recent levels (95% of 191 IL units, 81% of 27 AL units, and 54% of 26 SN beds). CH is a lifecare CCRC and does not accept direct admits to its AL or SN facilities. Other key assumptions include a 3.5% annual monthly fee and entrance fee increase from the estimated FY 2018 rates, an average re-sale of 18 IL units per year, and a 3.5% increase in annual expenses. Unrestricted cash and investments are estimated to earn 3.0% per year.

Table 5 shows a summary of historical and forecast debt service coverage (DSC) and days cash on hand (DCOH) ratios. As shown, the DSC based on MADS is projected to exceed 1.60x and the actual DSC exceeds 2.0x. The DCOH is expected to exceed 430 days.

Please call me with any questions.

Sincerely,
William D. Hendrickson
William D. Hendrickson

TABLE 1
CHANNING HOUSE
SOURCES/USES OF FUNDS
(\$000s)

Fiscal Year Ending 2/28	TOTAL	2017	2018	2019	2020	2021	2022	2023
<u>SOURCES</u>								
2017 Bonds	\$52,440	\$0	\$52,440	\$0	\$0	\$0	\$0	\$0
Premium	\$6,150	0	6,150	0	0	0	0	0
Cash Equity	\$0	0	0	0	0	0	0	0
2010 Bond Reserves	\$6,400	0	6,400	0	0	0	0	0
TOTAL SOURCES	\$64,990	\$0	\$64,990	\$0	\$0	\$0	\$0	\$0
<u>USES</u>								
Cap Interest	\$0	\$0	\$0	\$0	\$0	\$0	\$0	\$0
Project	\$0	0	0	0	0	0	0	0
SLGS Purchase	\$60,193	0	60,193	0	0	0	0	0
Debt Reserve	\$2,070	0	2,070	0	0	0	0	0
Cal Mortgage Fees	\$1,778	0	1,778	0	0	0	0	0
Discount/Issuance Costs	\$949	0	949	0	0	0	0	0
TOTAL USES	\$64,990	\$0	\$64,990	\$0	\$0	\$0	\$0	\$0
BALANCE	\$0	\$0	\$0	\$0	\$0	\$0	\$0	\$0
<u>2017 BONDS</u>								
Interest			\$2,107	\$2,558	\$2,516	\$2,497	\$2,472	\$2,414
Principal			0	495	625	645	650	1,670
Total			\$2,107	\$3,053	\$3,141	\$3,142	\$3,122	\$4,084
Balance			\$52,440	\$51,945	\$51,320	\$50,675	\$50,025	\$48,355

TABLE 2
CHANNING HOUSE
STATEMENTS OF ACTIVITIES
(\$000s)

Fiscal Year Ending 2/28	2015	2016	2017	2018	2019	2020	2021	2022	2023
REVENUE									
Independent Living	\$9,072	\$9,593	\$11,310	\$11,446	\$11,847	\$12,262	\$12,691	\$13,135	\$13,595
Assisted Living/Memory Care	968	805	880	884	915	947	981	1,015	1,050
Skilled Nursing	486	571	650	638	661	684	708	733	758
Other	335	296	360	260	269	279	288	298	309
Amortized Entrance Fees	4,622	5,040	5,582	5,626	5,687	5,764	5,856	5,962	6,083
Contributions	91	413	740	200	200	200	200	200	200
Interest/Realized Gains	443	820	469	539	590	650	716	792	878
Net Released Assets	31	10	10	20	20	20	20	20	20
Total Revenue	\$16,048	\$17,548	\$20,001	\$19,614	\$20,190	\$20,805	\$21,459	\$22,155	\$22,893
EXPENSES									
Medical	\$2,946	\$3,088	\$3,350	\$3,530	\$3,654	\$3,781	\$3,914	\$4,051	\$4,193
Food Services	2,568	2,646	2,750	3,090	3,198	3,310	3,426	3,546	3,670
Operating & Maintenance	1,804	1,934	1,800	1,960	2,029	2,100	2,173	2,249	2,328
Administrative & Other	2,925	3,266	3,020	3,290	3,405	3,524	3,648	3,775	3,907
Housekeeping & Transportation	873	948	1,130	1,360	1,408	1,457	1,508	1,561	1,615
Depreciation/Amortization	2,817	3,680	3,726	3,711	3,740	3,877	4,023	4,177	4,137
Interest	587	3,494	3,205	2,761	2,558	2,516	2,497	2,472	2,414
Total Expenses	\$14,520	\$19,056	\$18,981	\$19,702	\$19,991	\$20,566	\$21,188	\$21,831	\$22,264
Income from Operations	\$1,528	(\$1,508)	\$1,020	(\$87)	\$198	\$239	\$271	\$324	\$629
Unrealized Gains (Losses)	\$703	(\$1,463)	\$700	\$0	\$0	\$0	\$0	\$0	\$0
Other	59	(396)	0	(9,481)	0	0	0	0	0
Change in Unrestr. Net Assets	\$2,290	(\$3,367)	\$1,720	(\$9,568)	\$198	\$239	\$271	\$324	\$629
Contributions	\$37	\$70	\$20	\$50	\$50	\$50	\$50	\$50	\$50
Net Released Assets	(31)	(9)	(10)	(20)	(20)	(20)	(20)	(20)	(20)
Other	67	83	80	80	80	80	80	80	80
Change in T.Restr. Net Assets	\$73	\$144	\$90	\$110	\$110	\$110	\$110	\$110	\$110
CHANGE IN NET ASSETS	\$2,363	(\$3,223)	\$1,810	(\$9,458)	\$308	\$349	\$381	\$434	\$739
BALANCE (DEFICIT)	\$29,769	\$26,547	\$28,357	\$18,899	\$19,207	\$19,556	\$19,937	\$20,372	\$21,110

TABLE 3
CHANNING HOUSE
STATEMENTS OF FINANCIAL POSITION
(\$000s)

Fiscal Year Ending 2/28	2015	2016	2017	2018	2019	2020	2021	2022	2023
ASSETS									
Cash & Equivalents - Unrestr.	\$1,257	\$4,388	\$7,284	\$8,992	\$10,966	\$13,182	\$15,707	\$18,572	\$20,810
Investments - Unrestricted/Designated	19,423	11,233	10,000	10,000	10,000	10,000	10,000	10,000	10,000
Notes Receivable	120	0	0	0	0	0	0	0	0
Accounts Receivable	55	13	13	13	13	13	13	13	13
Other Current Assets	228	237	244	251	259	267	275	283	291
Total Current Assets	\$21,083	\$15,871	\$17,541	\$19,256	\$21,238	\$23,462	\$25,995	\$28,868	\$31,114
Investments - Restricted 2010 Bonds	\$15,715	\$15,912	\$6,876	\$0	\$0	\$0	\$0	\$0	\$0
Investments - Restricted 2017 Bonds	0	0	0	2,070	2,070	2,070	2,070	2,070	2,070
Net PPE/Financing	85,104	93,202	96,476	97,492	95,752	93,875	91,852	89,675	87,538
TOTAL ASSETS	\$121,902	\$124,985	\$120,892	\$118,819	\$119,060	\$119,406	\$119,916	\$120,613	\$120,722
LIABILITIES									
Accts. Payable/Accr. Exp.	\$3,048	\$4,860	\$3,762	\$3,943	\$4,007	\$4,115	\$4,233	\$4,353	\$4,470
Other Current Liabilities	45	37	38	39	40	42	43	44	46
Current Debt - Bonds	680	8,710	1,070	495	625	645	650	1,670	1,735
Total Current Liabilities	\$3,773	\$13,607	\$4,870	\$4,477	\$4,673	\$4,802	\$4,925	\$6,067	\$6,250
Unamortized Entrance Fees	\$27,058	\$32,074	\$36,954	\$37,348	\$37,895	\$38,587	\$39,416	\$40,375	\$41,461
Refundable Deposits	830	975	0	0	0	0	0	0	0
Long-term Debt	60,472	51,782	50,712	51,945	51,320	50,675	50,025	48,355	46,620
Premium	0	0	0	6,150	5,966	5,787	5,613	5,445	5,281
TOTAL LIABILITIES	\$92,133	\$98,438	\$92,535	\$99,920	\$99,853	\$99,850	\$99,979	\$100,242	\$99,612
NET ASSETS	\$29,769	\$26,547	\$28,357	\$18,899	\$19,207	\$19,556	\$19,937	\$20,372	\$21,110
TOTAL NET ASSETS/LIAB.	\$121,902	\$124,985	\$120,892	\$118,819	\$119,060	\$119,406	\$119,916	\$120,613	\$120,722

TABLE 4
CHANNING HOUSE
STATEMENTS OF CASH FLOWS
(\$000s)

Fiscal Year Ending 2/28	2015	2016	2017	2018	2019	2020	2021	2022	2023
<u>OPERATING ACTIVITIES</u>									
Change in Net Assets	\$2,363	(\$3,223)	\$1,810	(\$9,458)	\$308	\$349	\$381	\$434	\$739
Depreciation and Amortization	2,817	3,680	3,726	3,711	3,740	3,877	4,023	4,177	4,137
Amortized Entrance Fees	(4,622)	(5,040)	(5,582)	(5,626)	(5,687)	(5,764)	(5,856)	(5,962)	(6,083)
Net Entrance Fees	5,028	10,056	10,462	6,020	6,234	6,456	6,684	6,922	7,168
Other Adjustments	0	0	0	9,481	(185)	(179)	(174)	(168)	(163)
Changes in Assets/Liabilities	(681)	2,115	(2,079)	175	58	101	111	114	109
Cash From Operating Act.	\$4,905	\$7,588	\$8,336	\$4,303	\$4,469	\$4,841	\$5,170	\$5,516	\$5,908
<u>INVESTING ACTIVITIES</u>									
Project Expenditures	\$0	\$0	\$0	\$0	\$0	\$0	\$0	\$0	\$0
Capital Expenditures	(8,371)	(11,759)	(7,000)	(2,000)	(2,000)	(2,000)	(2,000)	(2,000)	(2,000)
Other	0	0	0	0	0	0	0	0	0
Cash From Investing Act.	(\$8,371)	(\$11,759)	(\$7,000)	(\$2,000)	(\$2,000)	(\$2,000)	(\$2,000)	(\$2,000)	(\$2,000)
<u>FINANCING ACTIVITIES</u>									
2017 Bonds/Premium	\$0	\$0	\$0	\$58,590	\$0	\$0	\$0	\$0	\$0
Discount/Issuance/Fees	0	0	0	(2,727)	0	0	0	0	0
2010 Bond Repayment	0	0	0	(60,193)	0	0	0	0	0
Debt Principal Payments	(645)	(680)	(8,710)	(1,070)	(495)	(625)	(645)	(650)	(1,670)
Other	0	(11)	0	0	0	0	0	0	0
Cash From Financing Act.	(\$645)	(\$691)	(\$8,710)	(\$5,400)	(\$495)	(\$625)	(\$645)	(\$650)	(\$1,670)
Net Change in Cash/Inv.	(\$4,111)	(\$4,862)	(\$7,374)	(\$3,097)	\$1,974	\$2,216	\$2,525	\$2,866	\$2,238
Cash & Investments	\$36,395	\$31,533	\$24,159	\$21,062	\$23,036	\$25,252	\$27,777	\$30,642	\$32,880
Unrestricted/Designated	20,680	15,621	17,284	18,992	20,966	23,182	25,707	28,572	30,810
Restricted - Bonds	15,715	15,912	6,876	2,070	2,070	2,070	2,070	2,070	2,070

TABLE 5
CHANNING HOUSE
DEBT COVERAGE AND OTHER KEY RATIOS
(\$000s)

Fiscal Year Ending 2/28	2015	2016	2017	2018	2019	2020	2021	2022	2023
<u>CASH AVAILABLE FOR DEBT SERVICE</u>									
Net Income	\$1,528	(\$1,508)	\$1,020	(\$87)	\$198	\$239	\$271	\$324	\$629
Depreciation and Amortization	2,817	3,680	3,726	3,711	3,740	3,877	4,023	4,177	4,137
Amortized Entrance Fees	(4,622)	(5,040)	(5,582)	(5,626)	(5,687)	(5,764)	(5,856)	(5,962)	(6,083)
Net Entrance Fees - Resales	5,028	7,606	3,330	6,020	6,234	6,456	6,684	6,922	7,168
Net Entrance Fees - New	0	2,450	7,132	0	0	0	0	0	0
Interest Expensed	587	3,494	3,205	2,761	2,558	2,516	2,497	2,472	2,414
Net Cash for Debt Service	\$5,338	\$10,682	\$12,831	\$6,778	\$7,044	\$7,324	\$7,620	\$7,933	\$8,265
<u>DEBT SERVICE</u>									
Interest Paid	\$3,536	\$3,494	\$3,205	\$2,107	\$2,558	\$2,516	\$2,497	\$2,472	\$2,414
Principal	645	680	8,710	1,070	495	625	645	650	1,670
Total Payments	\$4,181	\$4,174	\$11,915	\$3,177	\$3,053	\$3,141	\$3,142	\$3,122	\$4,084
Unrestricted Cash and Equiv.	\$20,680	\$15,621	\$17,284	\$18,992	\$20,966	\$23,182	\$25,707	\$28,572	\$30,810
Long-term Debt	\$60,472	\$51,782	\$50,712	\$51,945	\$51,320	\$50,675	\$50,025	\$48,355	\$46,620
Operating Expenses w/Interest	\$11,703	\$15,376	\$15,255	\$15,991	\$16,251	\$16,688	\$17,165	\$17,654	\$18,127
MADS	\$4,190	\$4,190	\$4,190	\$4,140	\$4,140	\$4,140	\$4,140	\$4,140	\$4,140
<u>KEY RATIOS</u>									
Debt Coverage Ratio - MADS	1.27	1.96	1.36	1.64	1.70	1.77	1.84	1.92	2.00
Debt Coverage Ratio - Actual	1.28	1.97	1.46	2.13	2.31	2.33	2.43	2.54	2.02
Unrestr. Days Cash on Hand	645	371	414	434	471	507	547	591	620
Current Ratio	5.59	1.17	3.60	4.30	4.55	4.89	5.28	4.76	4.98

APPENDIX D

SUMMARY OF PRINCIPAL DOCUMENTS

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APPENDIX D

SUMMARY OF PRINCIPAL DOCUMENTS

The following is a summary of certain provisions of the Indenture, the Loan Agreement, the Regulatory Agreement and the Deed of Trust, which are not described elsewhere in this Official Statement. *These summaries do not purport to be complete or definitive and are qualified in their entirety by reference to the full terms of the Indenture, the Loan Agreement, the Regulatory Agreement and the Deed of Trust.* All capitalized terms not defined in this Official Statement have the meaning set forth in the Indenture or in the Regulatory Agreement. The definitions set forth below are derived from the Indenture and the Regulatory Agreement. Certain terms defined for purposes of the Indenture are defined differently in the Regulatory Agreement. Reference should be made to the Regulatory Agreement for definitions of terms used therein.

DEFINITIONS OF CERTAIN TERMS

“Accountant” means any Independent certified public accountant or firm of such accountants with a national or regional reputation selected by the Corporation, so long as such Accountant is acceptable to the Office. The initial Accountant of Moss Adams LLP is acceptable to the Office.

“Act” means the Joint Exercise of Powers Act, comprising Articles 1, 2, 3 and 4 of Chapter 5 of Division 7 of Title 1 (commencing with Section 6500) of the Government Code of the State of California, as now in effect and as it may from time to time hereafter be amended or supplemented.

“Additional Payments” means payments so designated and required to be made by the Corporation pursuant to the Loan Agreement.

“Adjusted Annual Operating Revenues” means operating revenue and investment income of the Corporation, less contractual allowances, allowance for bad debts and free services for any Fiscal Year, all as determined in accordance with generally accepted accounting principles.

“Administrative Fees and Expenses” means any application, commitment, financing or similar fee charged, or reimbursement for administrative or other expenses incurred by the Authority or the Trustee.

“Affiliate” means a Person which, directly or indirectly through one or more intermediaries, controls, is controlled by or is under common control with the Corporation.

“Aggregate Debt Service” means, as of any date of calculation and with respect to any period, the sum of amounts of Debt Service for all Long-Term Indebtedness for such period.

“Authority” means the California Municipal Finance Authority, or its successors and assigns, a joint exercise of powers authority formed by the Joint Powers Agreement, pursuant to the Act.

“Authority Representative” means with respect to the Authority, any member of the Board of Directors of the Authority or the Executive Director of the Authority, or any other person designated as an Authority Representative by a certificate signed by a member of the Board or such Executive Director and filed with the Trustee.

“Authorized Denomination” means \$5,000 or any integral multiple thereof.

“Authorized Representative” means (1) with respect to the Corporation, its president or chair, vice president or vice chair, chief executive officer, chief financial officer or any other person designated as an Authorized Representative of the Corporation by a Certificate of the Corporation signed by its chair, vice-chair, chief executive officer or chief financial officer and filed with the Trustee, and (2) with respect to the Office, the Director of the Office or the Deputy Director of the Cal-Mortgage Loan Insurance Division or any other person designated as an Authorized Representative of the Office by a Statement of the Office signed by its Director or the Deputy Director of the Cal Mortgage Loan Insurance Division and filed with the Trustee. Such authorization shall remain in effect until the Trustee has received written notice to the contrary accompanied by a new designation.

“Beneficial Owner” means any person which has or shares the power, directly or indirectly, to make investment decisions concerning ownership of any Bonds (including Persons holding Bonds through nominees, depositories or other intermediaries).

“Board” means the Board of Directors of the Corporation.

“Bond Counsel” means Independent counsel of recognized national standing in the field of obligations the interest on which is excluded from gross income for federal income tax purposes, selected by the Corporation and acceptable to the Authority and the Office.

“Bond Reserve Account” means the account by that name in the Revenue Fund established pursuant to the Indenture.

“Bond Reserve Account Requirement” means, as of any date of calculation, an amount equal to the lesser of (i) Fifty percent (50%) of Maximum Annual Debt Service on all Bonds, then Outstanding, (ii) 125 percent of average annual debt service on the Bonds then Outstanding and (iii) 10 percent of the outstanding principal amount of the Bonds.

“Bondholder” or **“Holder,”** whenever used with respect to a Bond, means the Person in whose name such Bond is registered.

“Bonds” or **“2017 Bonds”** mean the California Municipal Finance Authority Insured Revenue Refunding Bonds (Channing House Project), Series 2017A issued under the Indenture.

“Business Day” means any day other than a Saturday, Sunday, or a day on which banking institutions in the city in which the Corporate Trust Office of the Trustee is located are authorized or obligated by law or executive order to be closed or a day on which the Federal Reserve System is closed.

“Certificate,” “Statement,” “Request,” “Requisition” and **“Order”** of the Authority, the Office or the Corporation mean, respectively, a written certificate, statement, request, requisition or order signed in the name of the Authority by an Authority Representative or such other person as may be designated and authorized to sign for the Authority, in the name of the Corporation by an Authorized Representative of the Corporation and in the name of the Office by an Authorized Representative of the Office.

“Code” means the Internal Revenue Code of 1986, or any successor statute thereto, and any regulations promulgated thereunder. Reference to any particular Code section shall, in the event of such a successor Code, be deemed to be a reference to the successor to such Code section.

“Continuing Disclosure Agreement” means that certain Continuing Disclosure Agreement, dated the date of issuance and delivery of the Bonds, executed and delivered by the Corporation, as originally executed and as it may be amended from time to time in accordance with the terms thereof.

“Contract of Insurance” means that certain Contract of Insurance, dated as of April 1, 2017, among the Office, the Corporation and the Authority relating to the Bonds, as amended, modified and supplemented from time to time.

“Corporate Trust Office” means the corporate trust office of the Trustee, which at the date of the execution of the Indenture is located at The Bank of New York Mellon Trust Company, N.A., 400 South Hope Street, Suite 500, Los Angeles, California 90071, Attention: Corporate Trust Services, provided that for purposes of exchange, transfer, cancellation, payment, redemption and surrender of Bonds such term means the office or agency of the Trustee at which, at any particular time, its corporate trust agency business shall be conducted.

“Corporation” means Channing House, a California nonprofit public benefit corporation duly organized and existing under the laws of the State, its successors and assigns, or any corporation which is the surviving, resulting or transferee corporation in any merger, consolidation or transfer of assets permitted under the Regulatory Agreement.

“Costs of Issuance” means all items of expense directly or indirectly payable by or reimbursable to the Corporation and related to the authorization, issuance, sale and delivery of the Bonds, including but not limited to advertising and printing costs, costs of preparation and reproduction of documents, filing and recording fees, initial fees and charges of the Trustee (including legal fees and charges of its counsel), legal fees and charges, fees and disbursements of consultants and professionals, rating agency fees, fees and charges for preparation, execution, transportation and safekeeping of Bonds, and any other cost, charge or fee in connection with the original issuance of Bonds.

“Costs of Issuance Fund” means the fund by that name established pursuant to the Indenture.

“Current Ratio” means a ratio of current assets to current liabilities, as determined in accordance with generally accepted accounting principles and as shown on the Corporation’s audited financial statements.

“Days Cash on Hand” means, for any Fiscal Year, the quotient obtained by dividing (a) the Corporation’s cash and cash equivalents (including board designated funds and funded depreciation but excluding donor-restricted funds and proceeds of short term debt) as of the end of such Fiscal Year by (b) the quotient of dividing (i) the Corporation’s operating expenses, including interest expense (excluding depreciation, amortization, allowance for bad debts, and any other noncash expenses), for such Fiscal Year by (ii) the number of days in such Fiscal Year.

“Debt Service,” when used with respect to any Long-Term Indebtedness, means, as of any date of calculation and with respect to any period, the sum of (a) The interest falling due on such Long-Term Indebtedness during such period (except to the extent that such interest is payable from the proceeds of such Long-Term Indebtedness set aside for such purpose), and (b) The scheduled principal (or mandatory sinking fund or installment purchase price or lease rental or similar) payments or deposits required with respect to such Long-Term Indebtedness during such period (except to the extent such principal is payable from the proceeds of such Long-Term Indebtedness set aside for such purpose), computed on the assumption that no portion of such Long-Term Indebtedness shall cease to be outstanding during such period except by reason of the application of such scheduled payments, provided, however, that for purposes of such computation:

- (1) if Long-Term Indebtedness is

(a) secured by an irrevocable letter of credit or irrevocable line of credit issued by a financial institution having a combined capital and surplus of at least fifty million dollars (\$50,000,000) and whose unsecured securities are rated in one of the two highest short-term or long-term rating categories (without regard to numerical or other modifier) by each rating agency then rating the Bonds, or

(b) insured by an insurance policy or surety bond issued by an insurance company rated at least A+ by Alfred M. Best Company in Best's Insurance Reports,

principal payments or deposits with respect to such Long-Term Indebtedness nominally due in the last Fiscal Year in which such Long-Term Indebtedness matures may, at the option of the Corporation, be treated as if they were due as specified in any loan agreement or installment sale/purchase agreement issued in connection with such letter of credit, line of credit, insurance policy or surety bond or pursuant to the repayment provisions of such letter of credit, line of credit, insurance policy or surety bond (or, if such loan agreement or installment sale/purchase agreement or repayment provisions provide for repayment over less than 20 years and the Trustee receives a Statement of the Corporation to the effect that the Corporation intends to refinance such Long-Term Indebtedness prior to maturity, as if they were amortized over a 20-year period with substantially level debt service) and interest on such Long-Term Indebtedness after such Fiscal Year shall be assumed to be payable at an interest rate equal to a rate per annum equal to the 25-year revenue bond index most recently published preceding the date of calculation in The Bond Buyer (subject to any adjustment for errors therein which may be acknowledged by the publishers thereof);

(2) if interest on Long-Term Indebtedness is payable pursuant to a variable interest rate formula, the interest rate on such Long-Term Indebtedness for periods when the actual interest rate cannot yet be determined shall be assumed to be equal to the greater of

(a) the average rate of interest borne (or which would have been borne) by such Long-Term Indebtedness during the Fiscal Year immediately preceding the date of calculation, plus 1%, or

(b) the average rate of interest borne by such Long-Term Indebtedness during the three full calendar months immediately preceding the date of calculation, plus 1%;

(3) if interest is capitalized with respect to Long-Term Indebtedness, Debt Service on such Long-Term Indebtedness shall be included in computations of Maximum Aggregate Annual Debt Service under the Regulatory Agreement only in proportion to the amount of interest payable in the then-current Fiscal Year from sources other than amounts funded to pay such capitalized interest;

(4) with respect to a Guarantee, there shall be included in the Debt Service of the Corporation:

(a) 25% of the Corporation's maximum possible monetary liability under the Guarantee in any Fiscal Year unless the Guarantee is drawn upon, in which case, then:

(b) 100% of the Corporation's monetary liability under the Guarantee which has been drawn upon, until such time as all amounts drawn upon the Guarantee have been repaid to the Corporation, and for two Fiscal Years thereafter; and

(5) if moneys or Investment Securities described in subsections (a), (b), (e) or (f) of the definition thereof set forth below and contained in the Indenture (not callable by the issuer thereof prior to maturity) have been deposited with a trustee or escrow agent in an amount, together with earnings thereon, sufficient to pay the principal of or interest on Long-Term Indebtedness as it comes due, such principal or interest, as the case may be, shall not be included in computations of Debt Service.

“Debt Service Coverage Ratio” means, for any period of time, the ratio determined by dividing Net Income Available for Debt Service by Maximum Aggregate Annual Debt Service.

“Deed of Trust” means, collectively, that certain Deed of Trust with Fixture Filing, Security Agreement and Assignment Agreement, dated as of April 1, 2017 but effective the date of recording, executed by the Corporation, as trustor, in favor of Commonwealth Land Title Insurance Company, as trustee for the benefit of the Office and the Trustee (as assignee of the Authority), the holders of the Bonds and the holders of Parity Debt, as beneficiaries, as amended, modified and supplemented from time to time.

“Deed Trustee” means the Person at the time serving as such under the Deed of Trust.

“Deposit Account Control Agreement” means a deposit account control agreement among the Corporation, the Office, the Trustee and a Depository Bank.

“Depository” means The Depository Trust Company and its successors and assigns, or any other Securities Depository selected as set forth in the Indenture, which agrees to follow the procedures required to be followed by such depository in connection with the Bonds.

“Depository Bank” means a financial institution which has entered into a Deposit Account Control Agreement with the Corporation, the Office and the Trustee.

“Electronic Means” shall mean the following communication methods: e-mail, facsimile transmission, secure electronic transmission containing applicable authorization codes, passwords and/or authentication keys issued by the Trustee, or another method or system specified by the Trustee as available for use in connection with its services under the Indenture.

“Entrance Fees” means fees, other than security deposits, monthly rentals or monthly service charges, paid to the Corporation by residents of living units for the purpose of obtaining the right to reside in those living units or to obtain a parking space as described in any lease, residency agreement or similar agreement (“Entry Contract”) with respect to those living units or parking spaces. Entrance Fees shall not include any such amounts held in escrow or otherwise set aside pursuant to the requirements of any Entry Contract prior to the occupancy of the living unit or parking space covered by such Entry Contract (which amounts shall be included if and when occupancy occurs). Entrance Fees paid upon first occupancy of a living unit or parking space are referred to herein as “Initial Entrance Fees.”

“Environmental Laws” means any federal, state or local law, statute, code, ordinance, regulation, requirement or rule relating to dangerous, toxic or hazardous pollutants, Hazardous Materials, chemical waste, materials or substances.

“Event of Default” means any of the events specified in the Indenture and described below under the subheading “INDENTURE—Events of Default under the Indenture and Remedies—Events of Default.”

“Facilities” means: (i) the real property described in an exhibit to the Deed of Trust and the Regulatory Agreement and all real property added, from time to time, to the definition of Facilities pursuant to the Regulatory Agreement; (ii) all buildings and structures thereon and fixtures and improvements thereto, whether now existing or hereafter constructed, installed or acquired; and (iii) all tangible personal property owned by the Corporation, whether now existing or hereafter constructed, installed or acquired, and used in, around or about the aforesaid real property, including but not limited to the personal property described in an exhibit to the Regulatory Agreement.

“Favorable Opinion of Bond Counsel” means an opinion of Bond Counsel, addressed to the Trustee to the effect that the action proposed to be taken will not, in and of itself, adversely affect any exclusion of interest on the Bonds from gross income for purposes of federal income taxation.

“Fiscal Year” means the period beginning on March 1 of each year and ending on the next succeeding February 28 or any other twelve-month period hereafter selected and designated as the official fiscal year period of the Corporation.

“Governmental Unit” shall have the meaning set forth in Section 150 of the Code.

“Gross Revenue Fund” means the fund by that name established pursuant to the Loan Agreement.

“Gross Revenues” means all revenues, income, receipts and money received in any period by the Corporation, including, but without limiting the generality of the foregoing, the following: (a) gross revenues derived from its operation and possession of and pertaining to its properties; (b) proceeds with respect to, arising from, or relating to its properties and derived from (1) insurance (including business interruption insurance) or condemnation proceeds (except to the extent such proceeds are required by the terms of the Regulatory Agreement or other agreements with respect to the Indebtedness which the Corporation is permitted to incur pursuant to the terms of the Regulatory Agreement) to be used for purposes inconsistent with their use for the payment of Loan Repayments, Additional Payments or similar payments with respect to Parity Debt, (2) accounts, including but not limited to, accounts receivable, (3) securities and other investments, (4) inventory and intangible property, (5) payment/reimbursement programs and agreements, and (6) contract rights, accounts, instruments, claims for the payment of moneys and other rights and assets now or hereafter owned, held or possessed by or on behalf of the Corporation, and (c) rentals received from the lease of the Corporation’s properties or space in the Facilities; provided, however, that there shall be excluded from Gross Revenues (i) any amounts received by the Corporation as a billing agent for another entity, except for fees received for serving as billing agent, (ii) gifts, grants, bequests, donations and contributions to the Corporation heretofore or hereafter made, and the income and gains derived therefrom, which are specifically restricted by the donor or grantor to a particular purpose which is inconsistent with their use for Loan Repayments, Additional Payments or similar payments with respect to Parity Debt, (iii) any moneys received by the Corporation from prospective residents or commercial tenants in order to pay for customized improvements to those residential living units or other areas of the Corporation’s facilities to be occupied or leased to such residents or tenants, (iv) payments or deposits under a residency agreement that by its terms or applicable law are required to be held in escrow or trust for the benefit of a resident until the conditions for the release of such payment or deposit have been satisfied, and (v) all deposits and/or advance payments made in connection with any residency of the residential living units or other areas of the Corporation’s facilities to be occupied by residents or tenants and received prior to receipt of such certificate and licenses for occupancy of such units.

“Guarantee” means any obligation of the Corporation guaranteeing in any manner, whether directly or indirectly, any obligation of any Persons which would, if such Persons were the Corporation, constitute Long-Term Indebtedness.

“Hazardous Material” means: (a) any oil, flammable substance, explosives, radioactive materials, hazardous wastes or substances, toxic wastes or substances or any other wastes, materials or pollutants which (i) pose a hazard to the Project or to persons on or about the Project or (ii) cause the Project to be in violation of any Environmental Laws; (b) asbestos in any form which is or could become friable, urea formaldehyde foam insulation, transformers or other equipment which contain dielectric fluid containing levels of polychlorinated biphenyls, or radon gas; (c) any chemical, material or substance defined as or included in the definition of “waste,” “hazardous substances,” “hazardous wastes,” “hazardous materials,” “extremely hazardous waste,” “restricted hazardous waste,” or “toxic substances” or words of similar import under any Environmental Laws including, but not limited to, the Comprehensive Environmental Response, Compensation and Liability Act (“CERCLA”), 42 USC §§ 9601 et seq.; the Resource Conservation and Recovery Act (“RCRA”), 42 USC §§ 6901 et seq.; the Hazardous Materials Transportation Act, 49 USC §§ 1801 et seq.; the Federal Water Pollution Control Act, 33 USC §§ 1251 et seq.; the California Hazardous Waste Control Law (“HWCL”), Cal. Health & Safety Code §§ 25100 et seq.; the Hazardous Substance Account Act (“HSAA”), Cal. Health & Safety Code §§ 25300 et seq.; the Underground Storage of Hazardous Substances Act, Cal. Health & Safety Code §§ 25280 et seq.; the Porter-Cologne Water Quality Control Act (the “Porter-Cologne Act”), Cal. Water Code §§ 13000 et seq., the Safe Drinking Water and Toxic Enforcement Act of 1986 (Proposition 65); and Title 22 of the California Code of Regulations, Division 4, Chapter 30; (d) any other chemical, material or substance, exposure to which is prohibited, limited or regulated by any governmental authority or agency or may or could pose a hazard to the health and safety of the occupants of the Project or the owners and/or occupants of property adjacent to or surrounding the Project, or any other person coming upon the Project or adjacent property; or (e) any other chemical, materials or substance which may or could pose a hazard to the environment.

“Indebtedness” means any Guarantee and any indebtedness or obligation of the Corporation (other than accounts payable and accruals), as determined in accordance with generally accepted accounting principles, including obligations under conditional sales contracts or other title retention contracts, and rental obligations under leases which are considered capital leases under generally accepted accounting principles. Indebtedness shall not include Non-recourse Indebtedness.

“Indenture” means the Indenture relating to the Bonds, between the Authority and the Trustee, dated as of April 1, 2017, as originally executed or as it may from time to time be supplemented, modified or amended by any Supplemental Indenture.

“Independent,” when referring to an Accountant, counsel, Management Consultant or a Person, means an Accountant, counsel, Management Consultant or Person who is independent of and not under the control of the Corporation, does not have any substantial interest, direct or indirect, in the Corporation, and in the case of an individual, is not connected, including through a spouse, with the Corporation as a director, officer or employee of the Corporation, and in the case of a firm, is not connected with the Corporation as a partner, director, officer or employee of the Corporation, but who may be regularly retained by the Corporation.

“Information Services” means, initially, the Electronic Municipal Market Access system (EMMA), or any successor designated by the Securities and Exchange Commission.

“Insurance and Condemnation Proceeds Fund” means the fund by that name established pursuant to the Indenture.

“Insurance Law” means Chapter 1, Part 6, Division 107 of the Health and Safety Code of the State, cited as the “California Health Facility Construction Loan Insurance Law,” as now in effect and as it may from time to time hereafter be amended or supplemented.

“Insurance Premium” means the premium charged for insurance by the Office pursuant to Insurance Law Section 129040.

“Interest Account” means the account by that name in the Revenue Fund established pursuant to the Indenture.

“Interest Payment Date” means May 15 and November 15 of each year, commencing November 15, 2017.

“Investment Securities” means any of the following:

(a) Direct obligations of the United States of America (including obligations issued or held in book-entry form on the books of the Department of the Treasury of the United States of America) or obligations the timely payment of the principal of and interest on which are fully guaranteed by the United States of America, including instruments evidencing an ownership interest in securities described in this clause (a) such as CATS, TIGRs, Treasury Receipts and Stripped Treasury Coupons;

(b) Obligations of any of the following federal agencies which obligations represent the full faith and credit of the United States of America (including stripped securities if the agency has stripped them itself)

- (i) U.S. Export-Import Bank;
- (ii) Farmers Home Administration;
- (iii) Federal Financing Bank;
- (iv) Federal Housing Administration;
- (v) General Services Administration;
- (vi) Government National Mortgage Association (“GNMA”) (including guaranteed mortgage-backed bonds and guaranteed pass-through obligations);
- (vii) Rural Economic Community Development Administration
- (viii) Small Business Administration
- (ix) U.S. Maritime Administration (guaranteed Title XI financing); and
- (x) U.S. Department of Housing and Urban Development (including project notes, local authority bonds, new communities debentures, U.S. government guaranteed debentures, U.S. Public Housing Notes and Bonds and U.S. government guaranteed public housing notes and bonds;

(c) Debentures, bonds, notes or other evidence of indebtedness issued or guaranteed by any of the following U.S. government agencies which obligations are not fully guaranteed by the full faith and

credit of the United States of America (including stripped securities if the agency has stripped them itself):

- (i) Federal Home Loan Bank System (senior debt obligations);
- (ii) Resolution Funding Corporation (REFCORP) obligations;
- (iii) Federal Home Loan Mortgage Corporation (FHLMC or “Freddie Mac”) senior debt obligations or participation certificates;
- (iv) Federal National Mortgage Association (FNMA or “Fannie Mae”) mortgage-backed securities and senior debt obligations;
- (v) Senior debt obligations of other government sponsored agencies approved by the Office.

(d) Investments in money market funds registered under the Federal Investment Company Act of 1940, whose shares are registered under the Federal Securities Act of 1933, and having a rating by S&P of AA-Am-G, AA-Am or better (including such funds for which the Trustee, its affiliates or subsidiaries provide investment advisory or other management services or for which the Trustee or an affiliate of the Trustee serves as investment administrator, shareholder servicing agent, and/or custodian or subcustodian, notwithstanding that (i) the Trustee or an affiliate of the Trustee receives and retains a fee for services provided to the fund, (ii) the Trustee collects fees for services rendered pursuant to this Indenture, which fees are separate from the fees received from such funds, and (iii) services performed for such funds and pursuant to this Indenture may at times duplicate those provided to such funds by the Trustee or an affiliate of the Trustee);

(e) Pre-refunded municipal obligations defined as follows: any bonds or other obligations of any state of the United States of America or of any agency, instrumentality or local governmental unit of any such state which are not callable at the option of the obligor prior to maturity or as to which irrevocable instructions have been given by the obligor to call on the date specified in the notice; and

(i) which are rated, based on an irrevocable escrow account or fund (the “Escrow”), in the highest rating category of Moody’s or S&P or any successors thereto; or

(ii) (A) which are fully secured as to principal, interest and redemption premium, if any, by an Escrow consisting only of cash or obligations described in paragraph (a) above, which Escrow may be applied only to the payment of such principal of and interest and redemption premium, if any, on such bonds or other obligations on the maturity date or dates thereof or the specified redemption date or dates pursuant to such irrevocable instructions, as appropriate, and (B) which Escrow is sufficient, as verified by a nationally recognized independent certified public accountant, to pay principal of and interest and redemption premium, if any on the bonds or other obligations described in this paragraph on the maturity date or dates specified in the irrevocable instructions referred to above, as appropriate;

(f) Repurchase agreements fully secured by collateral security described in clauses (a), (b), (c), or (h) of this definition, which collateral (i) is held by the Trustee or a third party agent during the term of such repurchase agreement, (ii) is not, pursuant to the terms of such agreement, subject to liens or claims of third parties and (iii) has a market value (determined at least once every 14 days) at least equal to the amount so invested;

(g) Demand deposits, including trust accounts, trust funds, interest bearing money market accounts, overnight bank deposits, interest bearing deposits, banker's acceptances or certificates of deposit of, or time deposits in, any bank (including the Trustee or any of its affiliates) or savings and loan association (i) which certificates of deposit or time deposits are fully insured by the Federal Deposit Insurance Corporation or (ii) which certificates of deposit (including those placed by a third party pursuant to an agreement between the Trustee and the Corporation) or time deposits are secured at all times, in the manner and to the extent provided by law, by collateral security (described in clauses (a), (b), (c), or (h) of this definition) with a market value (valued at least quarterly) of no less than the original amount of moneys so invested;

(h) Municipal obligations rated "Aaa/AAA" on the basis of insurance or credit enhancement, provided the underlying rating of the municipal obligation must be at least "Baa/BBB," uninsured, or unenhanced municipal obligations rated at least "Aa2/AA" or general obligations of states with a rating of "A2/A" by Moody's or S&P;

(i) U.S. dollar denominated deposit accounts, federal funds or bankers acceptances with domestic commercial banks which may include the Trustee and its affiliates which have a rating on their short term certificates of deposit on the date of purchase of "P-1" by Moody's and "A-1" or "A-1+" by S&P (for purposes of rating, ratings on holding companies are not considered as the rating of the bank) and maturing not more than 360 calendar days after the date of purchase;

(j) The Local Agency Investment Fund of the State, created pursuant to Section 16429.1 of the California Government Code, to the extent the Trustee is authorized to register such investment in its name;

(k) Direct obligations of the State (including obligations issued or held in book-entry form on the books of the Office of the Treasurer of the State) or obligations the timely payment of the principal of and interest on which are fully guaranteed by the State; and

(l) Other forms of investments approved in writing by the Office.

"Joint Powers Agreement" means a Joint Exercise of Powers Agreement, dated as of January 1, 2004 by and among certain California cities, counties and special districts, as may be amended from time to time.

"Loan Agreement" means that certain Loan Agreement, dated as of April 1, 2017, between the Corporation and the Authority, as amended, modified and supplemented from time to time in accordance with the terms thereof and of the Indenture.

"Loan Default Event" means any of the events specified in the Loan Agreement and described below under the subheading "LOAN AGREEMENT—Loan Default Events."

"Loan Repayments" means the payments so designated and required to be made by the Corporation pursuant to the Loan Agreement.

"Long-Term Indebtedness" means Indebtedness having an original maturity greater than one year or renewable at the option of the Corporation for a period greater than one year from the date of original incurrence or issuance thereof unless, by the terms of such Indebtedness, no Indebtedness is permitted to be outstanding thereunder for a period of at least 30 consecutive days during each calendar year.

“Management Consultant” means an Independent Person of national or regional reputation qualified to report on questions relating to the financial condition and projections of continuing care retirement communities, selected by the Corporation and so long as such Management Consultant is acceptable to the Office.

“Mandatory Sinking Account Payment” means the amount required to be paid on any single date for the retirement of Bonds.

“Maximum Aggregate Annual Debt Service” means, as of any date of calculation, the Aggregate Debt Service as computed for the then current or any future Fiscal Year in which such sum shall be largest.

“Maximum Annual Debt Service” means, as of any date of calculation, the sum of (1) the interest falling due on then Outstanding Bonds (assuming that all then Outstanding Bonds are retired on their respective maturity dates), and (2) the principal amount of then Outstanding Bonds falling due by their terms, all as computed for the Fiscal Year in which such sum shall be the largest.

“Moody’s” means Moody’s Investors Service, Inc., a corporation organized and existing under the laws of the State of Delaware, its successors and their assigns, or, if such corporation shall be dissolved or liquidated or shall no longer perform the functions of a securities rating agency, any other nationally recognized securities rating agency designated by the Corporation by notice to the Authority and the Trustee.

“Net Income Available for Debt Service” means, with respect to any period, the excess of revenues (including non-operating revenues and Entrance Fees other than Initial Entrance Fees and net of any refunds or repayments of Entrance Fees due under Residency Agreements) over expenses from operations of the Corporation for such period, determined in accordance with generally accepted accounting principles, to which shall be added interest, amortization, depreciation expense and other non-cash charges, each item determined in accordance with generally accepted accounting principles, and excluding (a) any profits or losses on the sale or other disposition, not in the ordinary course of business, of investments or fixed or capital assets or resulting from the early extinguishment of debt or any other extraordinary non-recurring items, (b) gifts, grants, bequests, donations and contributions, to the extent specifically restricted by the donor to a particular purpose inconsistent with their use for the payment of Debt Service or operating expenses, (c) the net proceeds of insurance (other than business interruption insurance) and condemnation awards, (d) changes in net unrealized gain (loss) on investments, (e) non-cash revenues, including Entrance Fee amortization, and (f) Initial Entrance Fees.

“Non-recourse Indebtedness” means any indebtedness of the Corporation, which is not a general obligation of the Corporation and is secured by a lien on property of the Corporation, liability for which is effectively limited to the property subject to such lien (which property is not integral to the operation of the Facilities) with no recourse, directly or indirectly, to any other property of the Corporation.

“Office” means the Office of Statewide Health Planning and Development of the Health and Human Services Agency of the State, or its successors and assigns.

“Office Documents” means the Contract of Insurance, the Deed of Trust and the Regulatory Agreement.

“Opinion of Counsel” means a written opinion of counsel (including, without limitation, counsel for the Authority, the Trustee or the Corporation) selected by the Corporation and acceptable to the Authority.

“Outstanding,” when used as of any particular time with reference to Bonds, means (subject to the provisions of the Indenture relating to unclaimed Bonds) all Bonds theretofore, or thereupon being, authenticated and delivered by the Trustee under the Indenture except: (1) Bonds theretofore cancelled by the Trustee or surrendered to the Trustee for cancellation; (2) Bonds with respect to which all liability of the Authority shall have been discharged in accordance with the Indenture; and (3) Bonds for the transfer or exchange of or in lieu of or in substitution for which other Bonds shall have been authenticated and delivered by the Trustee pursuant to the Indenture.

“Parity Debt” means Long-Term Indebtedness which is incurred by the Corporation in accordance with the provisions of the Regulatory Agreement and secured equally and ratably with the obligations of the Corporation under the Loan Agreement by a lien on and security interest in the Gross Revenues and the Deed of Trust.

“Participating Underwriter” means the original underwriter of the Bonds required to comply with the Rule in connection with offering of the Bonds.

“Permitted Encumbrances” means and includes:

(a) undetermined liens and charges incident to construction or maintenance, and liens and charges incident to construction or maintenance now or hereafter filed of record which are being contested in good faith and have not proceeded to final judgment (and for which all applicable periods for appeal or review have not expired), provided that the Corporation shall have set aside reserves with respect thereto which, in the opinion of the Office, are adequate;

(b) notices of *lis pendens* or other notices of or liens with respect to pending actions which are being contested in good faith and have not proceeded to final judgment (and for which all applicable periods for appeal or review have not expired), provided that the Corporation shall have set aside reserves with respect thereto which, in the opinion of the Office, are adequate;

(c) the lien of taxes and assessments which are not delinquent, or, if delinquent, are being contested in good faith, provided that the Corporation shall have set aside reserves with respect thereto which, in the opinion of the Board, are adequate;

(d) minor defects and irregularities in title to the Facilities which in the aggregate do not materially adversely affect the value or operation of the Facilities for the purposes for which they are or may reasonably be expected to be used;

(e) easements, exceptions or reservations for the purpose of ingress and egress, parking, pipelines, telephone lines, telegraph lines, power lines and substations, roads, streets, alleys, highways, railroad purposes, drainage and sewerage purposes, dikes, canals, laterals, ditches, the removal of oil, gas, coal or other minerals, and other like purposes, or for the joint or common use of real property, facilities and equipment, which in the aggregate do not materially interfere with or impair the operation of the Facilities for the purposes for which they are or may reasonably be expected to be used;

(f) rights reserved to or vested in any municipality or governmental or other public authority to control or regulate or use in any manner any portion of the Facilities which do not materially impair the operation of the Facilities for the purposes for which they are or may reasonably be expected to be used;

(g) present or future valid zoning laws and ordinances;

(h) the rights of the Authority, the Corporation, the Office, the Trustee and holders of the Bonds and Parity Debt incurred in accordance with the Loan Agreement, the Indenture, the Regulatory Agreement and the Deed of Trust, and the lien and charge of the Indenture, the Regulatory Agreement and the Deed of Trust;

(i) liens securing indebtedness for the payment, redemption or satisfaction of which money (or evidences of indebtedness) in the necessary amount shall have been deposited in trust with a trustee or other holder of such indebtedness;

(j) purchase money security interests and security interests either (i) existing on any personal property prior to the time of its acquisition by the Corporation through purchase, merger, consolidation or otherwise, whether or not assumed by the Corporation, or (ii) placed upon property being acquired by the Corporation to secure a portion of the purchase price thereof, or lessor's interests in leases required to be capitalized in accordance with generally accepted accounting principles;

(k) statutory liens arising in the ordinary course of business which are not delinquent or are being contested in good faith by the Corporation;

(l) the lease or license of the use of a part of the Facilities for use in performing professional or other services necessary for the proper and economical operation of the Facilities in accordance with customary business practices in the senior care and housing industries;

(m) liens or encumbrances existing as of the date of initial execution and delivery of the Bonds as listed on an exhibit to the Regulatory Agreement;

(n) liens securing Parity Debt on a parity with the obligations of the Corporation under the Regulatory Agreement;

(o) statutory rights of the United States of America to recover against the Corporation by reason of federal funds made available under 42 U.S.C. § 291 et seq., and similar rights under other federal and state statutes;

(p) a security interest in the Corporation's accounts receivable to provide short term borrowing as permitted under the Regulatory Agreement, subject to the prior consent of the Office;

(q) any liens arising from or in connection with assistance provided by the Federal Emergency Management Agency; and

(r) other liens and encumbrances specifically approved in writing by the Office.

"Person" means a person, individual, company, firm, association, organization, partnership, trust, corporation or other legal entity or group of entities, including a governmental entity or any agency or political subdivision thereof.

"Principal Account" means the account by that name in the Revenue Fund established pursuant to the Indenture.

"Prior Bonds" means the ABAG Finance Authority for Nonprofit Corporations Insured Revenue Bonds (Channing House), Series 2010, to be refunded with a portion of the proceeds of the Bonds.

"Project" has the meaning given in the Official Statement.

“Rating Category” means (i) with respect to any long term Rating Category, all ratings designated by a particular letter or combination of letters, without regard to any numerical modifier, plus or minus sign or other modifier and (ii) with respect to any short term or commercial paper Rating Category, all ratings designated by a particular letter or combination of letters and taking into account any numerical modifier, but not any plus or minus sign or other modifier.

“Rebate Fund” means the fund by that name established pursuant to the Indenture.

“Rebate Requirement” means the Rebate Requirement as defined in the Tax Agreement.

“Record Date” means, with respect to any Interest Payment Date for the Bonds, the 1st day of the calendar month in which such Interest Payment Date falls, whether or not such day is a Business Day.

“Redemption Fund” means the fund by that name established pursuant to the Indenture.

“Redemption Price” means, with respect to any Bond (or portion thereof), the principal amount of such Bond (or portion thereof), payable upon redemption thereof pursuant to the provisions of such Bond and the Indenture.

“Regulations” means the federal income tax regulations, as the same may be amended from time to time.

“Regulatory Agreement” means that certain Regulatory Agreement, dated as of April 1, 2017, by and among the Corporation, the Office and the Authority, as originally executed and as amended or supplemented from time to time in accordance with its terms.

“Revenue Fund” means the fund by that name established pursuant to the Indenture.

“Revenues” means all amounts received by the Authority or the Trustee pursuant or with respect to the Loan Agreement, including, without limiting the generality of the foregoing, Loan Repayments (including both timely and delinquent payments and any late charges, and regardless of source), prepayments, insurance proceeds, payments received pursuant to the Insurance Law, condemnation proceeds, and all interest, profits or other income derived from the investment of amounts in any fund or account established pursuant to the Indenture (except the Rebate Fund), but not including (1) any Additional Payments or Administrative Fees and Expenses, (2) any amounts paid to the Authority or the Trustee pursuant to rights of indemnification, or (3) any moneys required to be deposited in the Rebate Fund.

“Risk Management Consultant” means an Independent Person having experience and a favorable reputation in consulting on the insurance requirements of continuing care retirement communities in the State of the general size and character of the Facilities, selected by the Corporation, and so long as such Risk Management Consultant is acceptable to the Office.

“Rule” means Rule 15c2-12(b)(5) adopted by the Securities and Exchange Commission under the Securities Exchange Act of 1934, as the same may be amended from time to time.

“S&P” means S&P Global Ratings, a corporation organized and existing under the laws of the State of Delaware, its successors and assigns or, if such corporation shall be dissolved or liquidated or shall no longer perform the functions of a securities rating agency, any other nationally recognized securities rating agency designated by the Corporation by notice to the Authority and the Trustee.

“Short-Term Indebtedness” means Indebtedness having an original maturity less than or equal to one year and not renewable at the option of the Corporation for a term greater than one year from the date of original incurrence or issuance unless, by the terms of such Indebtedness, no Short-Term Indebtedness is permitted to be outstanding thereunder for a period of at least 30 consecutive days during each Fiscal Year.

“Special Record Date” means the date established by the Trustee pursuant to the provisions of the Indenture as a record date for the payment of defaulted interest on Bonds.

“State” means the State of California.

“Supplemental Indenture” means any indenture hereafter duly authorized and entered into between the Authority and the Trustee, supplementing, modifying or amending the Indenture; but only if and to the extent that such Supplemental Indenture is specifically authorized under the Indenture.

“Tax Agreement” means the Tax Certificate and Agreement, delivered by the Authority and the Corporation at the time of issuance of the Bonds, as the same may from time to time be amended or supplemented in accordance with the terms thereof.

“Term Bonds” means the Bonds subject to Mandatory Sinking Account Payments as described in the Official Statement.

“Trustee” means The Bank of New York Mellon Trust Company, N.A., a national banking association duly organized and existing under and by virtue of the laws of the United States of America, or its successor, as Trustee under the Indenture as provided in the Indenture.

“United States Government Obligations” means:

(1) direct obligations of the United States of America (including obligations issued or held in book-entry form on the books of the Department of the Treasury of the United States of America, and “CATS” and “TIGRS”) or obligations the payment of principal of and interest on which are unconditionally guaranteed by the United States of America; and

(2) senior debt obligations of other agencies of the United States of America approved in writing by the Office.

INDENTURE

General

The Indenture sets forth the terms of the Bonds, the application of the Bond proceeds, the nature and extent of the security, various rights of the Bondholders, rights, duties and immunities of the Trustee and the rights and obligations of the Authority. Certain provisions of the Indenture are summarized below. Other provisions are summarized in this Official Statement under the captions “THE BONDS” and “SECURITY AND SOURCE OF PAYMENT FOR THE BONDS.” These summaries do not purport to be complete or definitive and are qualified in their entireties by reference to the full terms of the Indenture.

Pledge and Assignment

Pursuant to the provisions of the Indenture, the Authority transfers in trust, grants a security interest in and assigns to the Trustee, for the benefit of the Holders from time to time of the Bonds, all of

the Revenues and other assets pledged in the Indenture and all of the right, title and interest of the Authority in the Loan Agreement (except for (i) the right to receive any Additional Payments or Administrative Fees and Expenses to the extent payable to the Authority, (ii) any rights of the Authority to be indemnified, held harmless and defended and rights to inspection and to receive notices, certificates and opinions, (iii) express rights of the Authority to give approvals, consents or waivers and (iv) the obligation of the Corporation to make deposits pursuant to the Tax Agreement), the Deed of Trust, the Contract of Insurance and the Regulatory Agreement. The Trustee shall be entitled to and shall collect and receive all of the Revenues, and any Revenues collected or received by the Authority shall be deemed to be held, and to have been collected or received, by the Authority as the agent of the Trustee and shall forthwith be paid by the Authority to the Trustee. The Trustee shall also be entitled to, and subject to the provisions of the Indenture, shall take all steps, actions and proceedings reasonably necessary in its judgment to enforce, either jointly with the Authority or separately, any or all rights of the Authority (other than those specifically retained by the Authority) and all of the obligations of the Corporation under the Indenture, the Loan Agreement, the Deed of Trust, the Contract of Insurance and the Regulatory Agreement.

Establishment of Funds and Accounts

The Indenture creates the Revenue Fund, including the Interest Account, the Principal Account and the Bond Reserve Account, each established within the Revenue Fund, the Insurance and Condemnation Proceeds Fund, the Costs of Issuance Fund and the Rebate Fund. All of such funds and accounts shall be established, maintained and held in trust by the Trustee and applied in accordance with the provisions set forth in the Indenture.

Costs of Issuance Fund. The Trustee shall establish, maintain and hold in trust a separate fund designated as the “Costs of Issuance Fund.” The moneys in the Costs of Issuance Fund shall be used and withdrawn by the Trustee to pay the Costs of Issuance upon receipt by the Trustee of (i) a Requisition of the Corporation, and (ii) an executed form of the Office stating that such disbursements are authorized and the amounts so authorized. Amounts, if any, remaining in the Costs of Issuance Fund shall be transferred to the Revenue Fund and the Costs of Issuance Fund shall be closed.

Revenue Fund. All Revenues shall be promptly deposited by the Trustee upon receipt thereof in a special fund designated as the “Revenue Fund,” which the Trustee shall establish, maintain and hold in trust, except as otherwise provided in the Indenture and except that (i) all moneys received by the Trustee and required by the Regulatory Agreement to be deposited in the Insurance and Condemnation Proceeds Fund or the Redemption Fund shall be promptly deposited in such Fund and (ii) all moneys received by the Trustee and required to be deposited in the Bond Reserve Account shall be promptly deposited in such Account. All Revenues deposited with the Trustee shall be held, disbursed, allocated and applied by the Trustee only as provided in the Indenture.

Interest Account. All amounts in the Interest Account shall be used and withdrawn by the Trustee solely for the purpose of paying interest on the Bonds as it shall become due and payable (including accrued interest on any Bonds purchased or redeemed prior to maturity pursuant to the Indenture).

Principal Account. All amounts in the Principal Account shall be used and withdrawn by the Trustee solely for the purpose of paying the principal of the Bonds when due and payable as provided in the Indenture.

Insurance and Condemnation Proceeds Fund. The Trustee shall establish, maintain and hold in trust when deposits thereto are required under the Regulatory Agreement a separate fund designated as

the “Insurance and Condemnation Proceeds Fund,” and shall administer said fund in accordance with the Regulatory Agreement.

Redemption Fund. The Trustee shall establish and maintain a fund designated as the “Redemption Fund.” The Trustee shall accept all moneys deposited for redemption (other than for sinking account redemption) and shall deposit such moneys into the Redemption Fund. All amounts deposited in the Redemption Fund shall be accepted and used and withdrawn by the Trustee solely for the purpose of redeeming Bonds, in the manner and upon the terms and conditions specified in the Indenture, at the next succeeding date of redemption for which notice has not been given and at the Redemption Prices then applicable to redemptions from the Redemption Fund; provided that, at any time prior to selection of Bonds for redemption, the Trustee shall, upon direction of the Corporation, apply such amounts to the purchase of Bonds at public or private sale, as and when and at such prices (including brokerage and other charges, but excluding accrued interest, which is payable from the Interest Account) as the Corporation may direct, except that the purchase price (exclusive of accrued interest) may not exceed the Redemption Price then applicable to such Bonds (or, if such Bonds are not then subject to redemption, the par value of such Bonds); and provided further that in the case of optional redemption of Bonds pursuant to the Indenture in lieu of optional redemption at such next succeeding date of redemption, or in combination therewith, amounts on deposit in the Redemption Fund for such optional redemption may, upon written direction of the Corporation, be transferred to the Principal Account and credited against Loan Repayments in order of their due date as set forth in a Request of the Corporation.

All Term Bonds purchased or redeemed from the Redemption Fund shall be allocated to the Mandatory Sinking Account Payments for such Term Bonds specified by the Corporation (in accordance with the Tax Agreement) in writing delivered to the Trustee, provided, however, if the Corporation fails to deliver such specification, in inverse order of the Mandatory Sinking Fund Payments.

Bond Reserve Account. All amounts in the Bond Reserve Account shall be used and withdrawn by the Trustee solely for the purpose of making up any deficiency in the Interest Account or Principal Account (but, in each case, only with the consent of the Office as provided in the Regulatory Agreement) or (together with any other moneys available therefor) for the payment or redemption of all Bonds then Outstanding.

All Investment Securities in the Bond Reserve Account shall be valued by the Trustee semi-annually on June 30 and December 31, commencing December 31, 2017 (or more frequently if requested in writing by the Corporation, but not more frequently than quarterly), and such valuation shall be reported, in the event the amount on deposit therein is less than the Bond Reserve Account Requirement and, in all other cases, shall be reported in the regular monthly statement of the Trustee sent to the Corporation. On the fifth day of the calendar month following the month in which a valuation is made pursuant to the Indenture, any amount in the Bond Reserve Account in excess of the Bond Reserve Account Requirement shall be transferred to the Revenue Fund. To the extent that amounts in the Bond Reserve Account are less than 100% of the Bond Reserve Account Requirement, the Corporation shall within 30 days after receiving notice of such valuation pay to the Trustee an amount sufficient to increase the balance in the Bond Reserve Account to the Bond Reserve Account Requirement.

Rebate Fund. The Trustee shall establish and maintain a fund separate from any other fund established and maintained under the Indenture designated as the Rebate Fund. Within the Rebate Fund, the Trustee shall, upon the direction of the Authority or the Corporation, maintain such accounts as shall be necessary to comply with the terms and conditions of the Tax Agreement. Subject to the transfer provisions provided in the Indenture, all money at any time deposited in the Rebate Fund shall be held by the Trustee in trust, to the extent required to satisfy the Rebate Requirement (as defined, computed and provided to the Trustee in accordance with the Tax Agreement), for payment to the federal government of

the United States of America. Neither the Authority, the Corporation, the Office nor the Holder of any Bonds shall have any rights in or claim to such money. All amounts deposited into or on deposit in the Rebate Fund shall be governed by the Indenture and by the Tax Agreement.

Allocation of Revenues

On or before the 10th day of each month, the Trustee shall transfer from the Revenue Fund and deposit into the following respective accounts (each of which the Trustee shall establish and maintain within the Revenue Fund) and then to the Rebate Fund, the following amounts, in the following order of priority, the requirements of each such account or fund (including the making up of any deficiencies in any such account resulting from lack of Revenues sufficient to make any earlier required deposit) at the time of deposit to be satisfied before any transfer is made to any account or fund subsequent in priority:

First: to the Interest Account, one-sixth of the aggregate amount of interest becoming due and payable on all Bonds then Outstanding on the next Interest Payment Date; provided that from the date of delivery of the Bonds until the first Interest Payment Date with respect to the Bonds (if less than six months), transfers to the Interest Account shall be sufficient, on a monthly pro rata basis, to pay the interest becoming due and payable on the Bonds on said Interest Payment Date;

Second: to the Principal Account, one-twelfth of the aggregate amount of principal and Mandatory Sinking Account Payments becoming due and payable on the Outstanding Bonds on the next Interest Payment Date, until the balance in said Principal Account is equal to said aggregate amount of such principal and Mandatory Sinking Account Payments; provided that from the date of delivery of the Bonds until the first principal payment date with respect to the Bonds (if less than twelve months), transfers to the Principal Account shall be sufficient on a monthly pro rata basis to pay the principal and Mandatory Sinking Account Payments becoming due and payable on such principal payment date; and

Third: to the Bond Reserve Account, (i) one-twelfth of the aggregate amount of each prior withdrawal from the Bond Reserve Account for the purpose of making up a deficiency in the Interest Account or Principal Account (until deposits on account of such withdrawal are sufficient to fully restore the amount withdrawn), provided that no deposit need be made into the Bond Reserve Account if the balance in said account is at least equal to the Bond Reserve Account Requirement, and (ii) in the event the balance in said account shall be less than the Bond Reserve Account Requirement due to valuation of the Investment Securities deposited therein in accordance with the Indenture, the amount necessary to increase the balance in said account to an amount at least equal to the Bond Reserve Account Requirement (until deposits on account of such valuation deficiency are sufficient to increase the balance in said account to said amount); and

Fourth: upon direction of the Authority or the Corporation, to the Rebate Fund, such amounts as are required to be deposited therein by the Indenture (including the Tax Agreement).

Any moneys remaining in the Revenue Fund after the foregoing transfers shall be transferred first to the Office to the extent necessary to repay insurance advances made by the Office (as directed by the Office to the Trustee in writing), including interest thereon as specified in the Regulatory Agreement, and thereafter to the Corporation.

Investment of Moneys in Funds and Accounts

All moneys in any of the funds and accounts established pursuant to the Indenture shall be invested by the Trustee, upon the written direction of the Corporation two Business Days in advance of the making of such investment, solely in the Investment Securities specified by the Corporation. The Trustee shall acquire such Investment Securities upon the written direction of the Corporation at such prices and on such terms as directed by the Corporation. In the absence of written directions from the Corporation, the Trustee shall hold all moneys uninvested. All Investment Securities shall be acquired subject to the limitations set forth in the Indenture, the limitations as to maturities described under this caption and such additional limitations or requirements consistent with the foregoing as may be established by Request of the Corporation.

Moneys in all funds and accounts (other than the Bond Reserve Account) shall be invested in Investment Securities maturing not later than the date on which it is estimated that such moneys will be required for the purposes specified in the Indenture. Moneys in the Bond Reserve Account shall be invested in Investment Securities maturing prior to the final maturity of the Bonds but in no event longer than five years from the date of investment therein; provided, however, moneys in the Bond Reserve Account may be invested in Investment Securities with a nominal maturity date which is greater than five years as long as said Investment Securities by their terms allow the Trustee to obtain (at any time the Trustee is required to draw on the Bond Reserve Account under the Indenture) the corpus thereof at no less than the purchase price thereof without any loss in value, as determined by the Corporation. Investment Securities purchased under a repurchase agreement may be deemed to mature on the date or dates on which the Trustee may deliver such Investment Securities for repurchase under such agreement.

Notwithstanding any other provision in the Indenture, the Authority shall not enter into or direct the Trustee to enter into any agreement, including, without limitation, any investment or sale agreement involving the sale of future interest income or forward delivery agreement or forward purchase contract or forward purchase supply contract, which provides for an upfront payment to the Corporation, in connection with the investment of any of the funds or accounts established under the Indenture and held by the Trustee.

All interest, profits and other income received from the investment of moneys in the Rebate Fund shall be deposited when received in the Rebate Fund. All interest, profits and other income received from the investment of moneys in the Insurance and Condemnation Proceeds Fund shall be deposited when received in such Insurance and Condemnation Proceeds Fund. All interest, profits and other income received from the investment of moneys in any other fund or account established pursuant to the Indenture, shall be transferred when received (a) first, to the Bond Reserve Account to the extent necessary to increase the balance therein to the Bond Reserve Account Requirement, (b) second, to the Principal Account to the extent necessary to increase the balance therein to the aggregate amount of principal of the Bonds coming due during the next ensuing twelve months, and (c) third, to the Revenue Fund. Notwithstanding anything to the contrary contained in this paragraph, an amount of interest received with respect to any Investment Security equal to the amount of accrued interest, if any, paid as part of the purchase price of such Investment Security shall be credited to the fund or account for the credit of which such Investment Security was acquired.

Certain Covenants

Against Encumbrances. The Authority shall not create, or permit the creation of, any pledge, lien, charge or other encumbrance upon the Revenues and other assets pledged or assigned under the Indenture while any of the Bonds are Outstanding, except the pledge and assignment created by the Indenture. Subject to this limitation, the Authority expressly reserves the right to enter into one or more

other indentures for any of its corporate purposes, including other programs under the Act, and reserves the right to issue other obligations for such purposes.

Enforcement of Loan Agreement and Other Covenants. The Trustee shall collect all amounts due from the Corporation pursuant to the Loan Agreement, and subject to the provisions of the Indenture, shall exercise all rights assigned to it pursuant to the Loan Agreement and shall enforce, and take all steps, actions and proceedings reasonably necessary for the enforcement of all of the rights of the Authority except as is otherwise provided in the Indenture and all of the obligations of the Corporation, including, without limitation, such steps, actions and proceedings as shall be directed by the Authority.

The Authority shall not amend, modify or terminate any of the terms of the Loan Agreement, or consent to any such amendment, modification or termination, without the written consent of the Office. The Authority shall not amend, modify or terminate the Loan Agreement or any of the Office Documents in any manner adverse to the interests of the Trustee without the written consent of the Trustee.

The Trustee, subject to the provisions of the Indenture, shall take all actions required by the terms of the Contract of Insurance, and shall enforce the Contract of Insurance by appropriate legal action, for the benefit of the Bondholders.

If (1) a Loan Default Event has occurred and is continuing under the Loan Agreement or (2) debentures have been issued by the Treasurer of the State of California in satisfaction of the Office's obligations under the Contract of Insurance, the Trustee shall, within three Business Days of receipt of a Request of the Office, transfer to the Office all of the Trustee's right, title and interest in the Loan Agreement and the Regulatory Agreement and Deed of Trust other than the right of the Trustee to receive payments under the Loan Agreement.

Events of Default under the Indenture and Remedies

Events of Default. The following events shall be Events of Default:

(a) default in the due and punctual payment of the principal or Redemption Price of any Bond when and as the same shall become due and payable, whether at maturity as therein expressed, by proceedings for redemption, by declaration or otherwise, or default in the redemption of any Bonds from Mandatory Sinking Account Payments in the amounts and at the times provided therefor;

(b) default in the due and punctual payment of any installment of interest on any Bond when and as such interest installment shall become due and payable;

(c) default by the Authority in the observance of any of the other covenants, agreements or conditions on its part in the Indenture or in the Bonds contained, if such default shall have continued for a period of 60 days after written notice thereof, specifying such default and requiring the same to be remedied, shall have been given to the Authority and the Corporation by the Trustee, or to the Authority, the Corporation and the Trustee by the Holders of not less than 25% in aggregate principal amount of the Bonds at the time Outstanding; or

(d) a Loan Default Event.

Acceleration of Maturities. If an Event of Default shall occur, then, and in each and every such case during the continuance of such Event of Default, the Trustee may and, upon receipt of instructions from the Holders of not less than a majority in aggregate principal amount of the Bonds at the time Outstanding, or the Office shall, upon notice in writing to the Authority, the Office and the Corporation,

declare the principal of all of the Bonds then Outstanding, and the interest accrued thereon, to be due and payable immediately, and upon any such declaration the same shall become and shall be immediately due and payable, anything in the Indenture or in the Bonds contained to the contrary notwithstanding; provided, however, that no such declaration may be made if the Contract of Insurance is in effect and the Office is not in default thereunder unless (i) the Trustee is required to make such declaration pursuant to the provisions of the Indenture described below under the caption “—Collection Upon Insurance” or (ii) the Office consents to such acceleration and agrees to pay an amount equal to the full principal amount of Bonds then Outstanding and interest thereon at the stated interest rates on the Bonds to the date of acceleration.

Any such declaration, however, is subject to the condition that if, at any time after such declaration and before any judgment or decree for the payment of the moneys due shall have been obtained or entered, the Authority, the Office or the Corporation shall deposit with the Trustee a sum sufficient to pay all the principal or Mandatory Sinking Account Payments or Redemption Price of and installments of interest on the Bonds payment of which is overdue, with interest on such overdue principal at the rate borne by the respective Bonds, and the reasonable fees, charges and expenses of the Authority and the Trustee, including without limitation those of their respective attorneys, and any and all other defaults actually known to the Trustee (other than in the payment of principal of and interest on the Bonds due and payable solely by reason of such declaration) shall have been made good or cured to the satisfaction of the Trustee or provision deemed by the Trustee to be adequate shall have been made therefor, then, and in every such case, the Trustee may, if such declaration was made by the Trustee without instruction from the Holders, and the Trustee shall, upon receipt of written notice by the Holders of not less than a majority in aggregate principal amount of the Bonds then Outstanding, which written notice shall also be delivered to the Authority, the Office and the Corporation, on behalf of the Holders of all of the Bonds, rescind and annul such declaration and its consequences and waive such default; but no such rescission and annulment shall extend to or shall affect any subsequent default, or shall impair or exhaust any right or power consequent thereon. Notwithstanding the foregoing, the Trustee shall waive any Event of Default which is caused solely by a default under the Regulatory Agreement if the Office waives such default in writing.

Collection Upon Insurance. Upon the occurrence and continuance of an Event of Default, the Trustee shall proceed to take such steps as are necessary, in the reasonable judgment of the Trustee, to collect upon the insurance provided by the Insurance Law. If the Office and the Treasurer of the State of California have notified the Trustee in writing that they elect to pay such insurance by means of debentures of the Office’s Health Facility Construction Loan Insurance Fund, the Trustee shall as soon as practicable provide notice to each Bondholder of the exchange of such debentures for the Bonds then Outstanding in the same manner as for notice of redemption pursuant to the Indenture, and shall deliver to each Bondholder, as soon as practicable after surrender of such Bondholder’s Bonds, debentures in a principal amount equal to the principal amount of such Bonds plus accrued interest thereon and having maturities the same as such Bonds, bearing interest at such rate or rates equal to the rates on the respective Bonds.

Application of Revenues and Other Funds After Default. If an Event of Default shall occur and be continuing, all Revenues and any other funds then held or thereafter received by the Trustee under any of the provisions of the Indenture shall be applied by the Trustee as follows and in the following order:

(1) To the payment of any expenses necessary in the opinion of the Trustee to protect the interests of the Holders of the Bonds and payment of reasonable fees, charges and expenses of the Trustee (including reasonable fees and disbursements of its counsel, agents and advisors) incurred, subject to the

provisions described below under the caption “—Trustee to Represent Bondholders,” in and about the performance of its powers and duties under the Indenture;

(2) To the payment of the principal or Redemption Price of and interest then due on the Bonds (upon presentation of the Bonds to be paid, and stamping thereon of the payment if only partially paid, or surrender thereof if fully paid) subject to the provisions of the Indenture, as follows:

(i) Unless the principal of all of the Bonds shall have become or have been declared due and payable,

First: To the payment to the persons entitled thereto of all installments of interest then due in the order of the maturity of such installments, and, if the amount available shall not be sufficient to pay in full any installment or installments maturing on the same date, then to the payment thereof ratably, according to the amounts due thereon, to the persons entitled thereto, without any discrimination or preference;

Second: To the payment to the Persons entitled thereto of the unpaid principal (including Mandatory Sinking Account Payments) or Redemption Price of any Bonds which shall have become due, whether at maturity or by call for redemption, in the order of their due dates, with interest on the overdue principal at the rate borne by the respective Bonds, and, if the amount available shall not be sufficient to pay in full all the Bonds due on any date, together with such interest, then to the payment thereof ratably, according to the amounts of principal or Redemption Price due on such date to the persons entitled thereto, without any discrimination or preference.

(ii) If the principal of all of the Bonds shall have become or have been declared due and payable, to the payment of the principal or Redemption Price and interest then due and unpaid upon the Bonds, with interest on the overdue principal at the rate borne by the respective Bonds, and, if the amount available shall not be sufficient to pay in full the whole amount so due and unpaid, then to the payment thereof ratably, without preference or priority of principal over interest or Redemption Price, or of interest over principal or Redemption Price, or of Redemption Price over principal or interest, or of any installment of interest over any other installment of interest, or of any Bond over any other Bond, according to the amounts due respectively for principal, Redemption Price, and interest, to the persons entitled thereto without any discrimination or preference;

(3) To the Office to the extent necessary to repay insurance advances (including interest thereon calculated in accordance with the Regulatory Agreement) made by the Office; and

(4) To the payment of the reasonable fees, charges and expenses of the Authority and the payment of any amounts owed under the expense and indemnification provisions of the Loan Agreement.

Notwithstanding the foregoing or any other provision of the Indenture to the contrary, in the event that the Office shall no longer be obligated under the Contract of Insurance for any reason while any of the Bonds remain Outstanding, if an Event of Default shall occur and be continuing, all Revenues and any other funds then held or thereafter received by the Trustee under any of the provisions of the Indenture (other than funds held for the payment of particular Bonds pursuant to the provisions of the Indenture) shall be applied by the Trustee first to the payment of any expenses necessary in the opinion of the Trustee to protect the interests of the Holders of the Bonds and payment of reasonable fees, charges and expenses of the Trustee (including reasonable fees and disbursements of its counsel) incurred, subject to the provisions of the Indenture described below under the caption “—Trustee to Represent Bondholders,”

in and about the performance of its powers and duties under the Indenture and then in accordance with the order described above under this caption.

Trustee to Represent Bondholders. Pursuant to the Indenture, the Trustee is irrevocably appointed (and the successive respective Holders of the Bonds by taking and holding the same, shall be conclusively deemed to have so appointed the Trustee) as trustee and true and lawful attorney in fact of the Holders of the Bonds for the purpose of exercising and prosecuting on their behalf such rights and remedies as may be available to such Holders under the provisions of the Bonds, the Indenture, the Loan Agreement, the Regulatory Agreement, the Contract of Insurance, the Deed of Trust, the Act and applicable provisions of any other law. Upon the occurrence and continuance of an Event of Default or other occasion giving rise to a right in the Trustee to represent the Bondholders, the Trustee in its discretion may, and upon the written request of the Office or the Holders of not less than 25% in aggregate principal amount of the Bonds then Outstanding (provided, however, that if more than one such request is received by the Trustee from the Holders, the Trustee shall follow the request executed by the Holders of the greater percentage of Bonds then Outstanding in excess of 25%), and upon being indemnified to its satisfaction therefor, shall, with the written consent of the Office (so long as the Contract of Insurance is in effect and the Office is not in default thereunder,) proceed to protect or enforce its rights or the rights of such Holders by such appropriate action, suit, mandamus or other proceedings as it shall deem most effectual to protect and enforce any such right, at law or in equity, either for the specific performance of any covenant or agreement contained in the Indenture, or in aid of the execution of any power granted under the Indenture, or for the enforcement of any other appropriate legal or equitable right or remedy vested in the Trustee or in such Holders under the Indenture, the Loan Agreement, the Regulatory Agreement, the Contract of Insurance, the Deed of Trust, the Act or any other law; and upon instituting such proceeding, the Trustee shall be entitled, as a matter of right, to the appointment of a receiver of the Revenues and other assets pledged under the Indenture, pending such proceedings. All rights of action under the Indenture or the Bonds or otherwise may be prosecuted and enforced by the Trustee without the possession of any of the Bonds or the production thereof in any proceeding relating thereto, and any such suit, action or proceeding instituted by the Trustee shall be brought in the name of the Trustee for the benefit and protection of all the Holders of such Bonds, subject to the provisions of the Indenture.

Notwithstanding anything to the contrary in the Indenture, the Authority shall have no obligation to and instead the Trustee may, without further direction from the Authority, take any and all steps, actions and proceedings, to enforce any or all rights of the Authority (other than those specifically retained by the Authority pursuant to the Indenture) under the Indenture and the Loan Agreement, including, without limitation, the rights to enforce the remedies upon the occurrence and continuation of an Event of Default and the obligations of the Corporation under the Loan Agreement.

Office and Bondholders' Direction of Proceedings. Anything in the Indenture to the contrary notwithstanding, the Office (so long as the Contract of Insurance is in effect and the Office is not in default thereunder) and/or the Holders of a majority in aggregate principal amount of the Bonds then Outstanding, in each case where the Holders seek to direct proceedings with the written consent of the Office (so long as the Contract of Insurance is in effect and the Office is not in default thereunder), shall have the right, by an instrument or concurrent instruments in writing executed and delivered to the Trustee, to direct the method of conducting all remedial proceedings taken by the Trustee under the Indenture, provided that such direction shall not be otherwise than in accordance with law and the provisions of the Indenture, and that, unless the Office is the Holder of all Bonds or has caused all Bonds to be paid in full, the Trustee shall have the right to decline to follow any such direction which in the opinion of the Trustee might involve the Trustee in personal liability or would be unjustly prejudicial to Bondholders not parties to such direction; provided, further, that the Trustee shall have no duty to ascertain whether or not such actions or forbearances are unduly prejudicial to such Bondholders.

Anything in the Indenture to the contrary notwithstanding, in the event that any of the following has occurred and is continuing:

(a) the Corporation files a petition in voluntary bankruptcy, for the composition of its affairs or for its corporate reorganization under any state or federal bankruptcy or insolvency law, or makes an assignment for the benefit of creditors, or admits in writing to its insolvency or inability to pay debts as they mature, or consents in writing to the appointment of a trustee or receiver for itself or for the whole or any substantial part of the Facilities;

(b) a court of competent jurisdiction shall enter an order, judgment or decree declaring the Corporation an insolvent, or adjudging it bankrupt, or appointing a trustee or receiver of the Corporation or of the whole or any substantial part of the Facilities, or approving a petition filed against the Corporation seeking reorganization of the Corporation under any applicable law or statute of the United States of America or any state thereof, and such order, judgment or decree shall not be vacated or set aside or stayed within 60 days from the date of the entry thereof; or

(c) under the provisions of any other law for the relief or aid of debtors any court of competent jurisdiction shall assume custody or control of the Corporation or of the whole or any substantial part of the Facilities, and such custody or control shall not be terminated within 60 days from the date of assumption of such custody or control;

then, so long as the Contract of Insurance is in effect and the Office is not in default thereunder, the Office shall have the right to vote in the place and stead of all Holders with respect to any plan of reorganization, on any agreement for composition of creditors, and on any assignment for the benefit of creditors and the Office shall represent Bondholders in all bankruptcy proceedings and may take such action or consent to any agreement on behalf of Bondholders, provided that any such action or consent shall in no way impair the rights and benefits due Bondholders under the Contract of Insurance.

Limitation on Bondholders' Right to Sue. No Holder of any Bond shall have the right to institute any suit, action or proceeding at law or in equity, for the protection or enforcement of any right or remedy under the Indenture, the Loan Agreement, the Regulatory Agreement, the Contract of Insurance, the Deed of Trust, the Act or any other applicable law with respect to such Bond, unless: (1) such Holder shall have given to the Trustee written notice of the occurrence of an Event of Default; (2) the Holders of not less than 25% in aggregate principal amount of the Bonds then Outstanding (or if more than one such request is received, the written request executed by the Holders of the greatest percentage of Bonds then Outstanding in excess of 25%) shall have made written request upon the Trustee to exercise the powers granted by the Indenture or to institute such suit, action or proceeding in its own name; (3) such Holder or said Holders shall have tendered to the Trustee reasonable indemnity against the costs, expenses and liabilities to be incurred in compliance with such request; (4) the Trustee shall have refused or omitted to comply with such request for a period of 60 days after such written request shall have been received by, and said tender of indemnity shall have been made to, the Trustee; and (5) the Office consents in writing to the action specified in such request (provided that such consent shall be required only so long as the Contract of Insurance is in effect and the Office is not in default thereunder).

Such notification, request, tender of indemnity and refusal or omission are declared, in every case, to be conditions precedent to the exercise by any Holder of Bonds of any remedy under the Indenture or under law; it being understood and intended that no one or more Holders of Bonds shall have any right in any manner whatever by his or their action to affect, disturb or prejudice the security of the Indenture or the rights of any other Holders of Bonds, or to enforce any right under the Indenture, the Loan Agreement, the Regulatory Agreement, the Contract of Insurance, the Deed of Trust, the Act or

other applicable law with respect to the Bonds, except in the manner provided in the Indenture, and that all proceedings at law or in equity to enforce any such right shall be instituted, had and maintained in the manner provided in the Indenture and for the benefit and protection of all Holders of the Outstanding Bonds, subject to the provisions of the Indenture.

Control Rights of the Office. Notwithstanding anything in the Indenture to the contrary, so long as the Insurance is in effect and the Office is not in default under the Contract of Insurance: (a) the Office shall be deemed to be the Holder of all of the Bonds for purposes of (i) exercising all remedies and directing the Trustee to take actions or for any other purposes following an Event of Default, and (ii) granting any consent, direction or approval or taking any action permitted by or required under the Indenture or the Loan Agreement, as the case may be, to be granted or taken by the Holders of such Bonds; (b) anything in the Indenture or the Loan Agreement to the contrary notwithstanding, upon the occurrence and continuance of an Event of Default, the Office shall be entitled to control and direct the enforcement of all rights and remedies granted to the Holders or the Trustee for the benefit of the Holders; and (c) the rights granted to the Office under the Indenture and/or the Loan Agreement to request, consent to or direct any action are rights granted to the Office in consideration of its issuance of its insurance for the Bonds. Any exercise by the Office of such rights is merely an exercise of the Office's contractual rights and shall not be construed or deemed to be taken for the benefit, or on behalf, of the Holders and such action does not evidence any position of the Office, affirmative or negative, as to whether the consent of the Holders or any other person is required in addition to the consent of the Office.

Amendment of Indenture

The Indenture and the rights and obligations of the Authority and of the Holders of the Bonds and of the Trustee may be modified or amended from time to time and at any time by an indenture or indentures supplemental thereto, which the Authority and the Trustee may enter into when the written consent of the Office and the Holders of a majority in aggregate principal amount of the Bonds then Outstanding shall have been filed with the Trustee; provided that if such modification or amendment will, by its terms, not take effect so long as any Bonds of any particular maturity remain Outstanding, the consent of the Holders of such Bonds shall not be required and such Bonds shall not be deemed to be Outstanding for the purpose of any calculation of Bonds Outstanding under the Indenture. No such modification or amendment shall (1) extend the fixed maturity of any Bond, extend the time of payment for the payment of any Bond, reduce the amount of any Mandatory Sinking Account Payment or principal thereof or reduce the rate of interest thereon, or extend the time of payment of interest thereon, without the consent of the Holder of each Bond so affected, or (2) reduce the aforesaid percentage of Bonds the consent of the Holders of which is required to effect any such modification or amendment, or permit the creation of any lien on the Revenues and other assets pledged under the Indenture prior to or on a parity with the lien created by the Indenture, or deprive the Holders of the Bonds of the lien created by the Indenture on such Revenues and other assets (except as expressly provided in the Indenture and the Loan Agreement), without the consent of the Holders of all of the Bonds then Outstanding. It shall not be necessary for the consent of the Bondholders to approve the particular form of any Supplemental Indenture, but it shall be sufficient if such consent shall approve the substance thereof. Promptly after the execution by the Authority and the Trustee of any Supplemental Indenture pursuant to the Indenture, the Trustee shall mail a notice, setting forth in general terms the substance of such Supplemental Indenture, to the Bondholders at the addresses shown on the bond registration books maintained by the Trustee. Any failure to give such notice, or any defect therein, shall not, however, in any way impair or affect the validity of any such Supplemental Indenture.

The Indenture and the rights and obligations of the Authority, of the Trustee and of the Holders of the Bonds may also be modified or amended from time to time and at any time by an indenture or indentures supplemental thereto, which the Authority and the Trustee may enter into without the consent

of any Bondholders, but only with the consent of the Corporation and the Office, if the Trustee has been furnished an Opinion of Counsel, that the provisions of such Supplemental Indenture shall not materially adversely affect the interests of the Holders, including, without limitation, for any one or more of the following purposes:

(1) to add to the covenants and agreements of the Authority in the Indenture contained other covenants and agreements thereafter to be observed, to pledge or assign additional security for the Bonds (or any portion thereof), or to surrender any right or power reserved to or conferred upon the Authority, provided that no such covenant, agreement, pledge, assignment or surrender shall materially and adversely affect the interests of the Holders of the Bonds;

(2) to make such provisions for the purpose of curing any ambiguity, inconsistency or omission, or of curing or correcting any defective provision, contained in the Indenture, or in regard to matters or questions arising under the Indenture, as the Authority may deem necessary or desirable and not inconsistent with the Indenture, and which shall not materially and adversely affect the interests of the Holders of the Bonds;

(3) to modify, amend or supplement the Indenture in such manner as to permit the qualification thereof under the Trust Indenture Act of 1939, as amended, or any similar federal statute in effect, and to add such other terms, conditions and provisions as may be permitted by said act or similar federal statute, and which shall not materially and adversely affect the interests of the Holders of the Bonds;

(4) to make such provisions for the purpose of preserving the exclusion from gross income for federal income tax purposes of interest on the Bonds as the Authority may deem necessary or desirable and not inconsistent with the Indenture; or

(5) to modify, amend or supplement the Indenture in any other respect that does not materially adversely affect the interests of the Holders of the Bonds.

Defeasance

Discharge of Indenture. Bonds may be paid by the Authority in any of the following ways; provided that the Authority also pays or causes to be paid any other sums payable under the Indenture by the Authority and related to the Bonds: (a) by paying or causing to be paid the principal or Redemption Price of and interest on all Bonds then Outstanding, as and when the same become due and payable; (b) by depositing with the Trustee, in trust, or with an escrow agent in irrevocable escrow, at or before maturity, moneys or securities in the necessary amount (as provided in the Indenture) to pay or redeem all Bonds then Outstanding; or (c) by delivering to the Trustee, for cancellation by it, all Bonds then Outstanding.

If the Authority shall pay all Bonds then Outstanding and shall also pay or cause to be paid all other sums payable under the Indenture by the Authority, then and in that case, at the election of the Authority, and notwithstanding that any Bonds shall not have been surrendered for payment, the Indenture and the pledge of Revenues and other assets made under the Indenture and all covenants, agreements and other obligations of the Authority under the Indenture shall cease, terminate, become void and be completely discharged and satisfied, except only as provided pursuant to the provisions of the Indenture described below under the caption “—Discharge of Liability on Bonds.”

Discharge of Liability on Bonds. Upon the deposit with the Trustee, in trust, at or before maturity, of money or securities in the necessary amount (as provided in the Indenture) to pay or redeem any Outstanding Bond (whether upon or prior to its maturity or the redemption date of such Bond), provided that, if such Bond is to be redeemed prior to maturity, notice of such redemption shall have been given as provided in the Indenture or provision satisfactory to the Trustee shall have been made for the giving of such notice, then all liability of the Authority in respect of such Bond shall cease, terminate and be completely discharged, except only that thereafter the Holder thereof shall be entitled to payment of the principal of and interest on such Bond by the Authority and the Authority shall remain liable for such payment, but only out of such money or securities deposited with the Trustee as aforesaid for their payment, provided further, however, that the provisions of the Indenture shall apply in all events.

Deposit of Money or Securities with Trustee. Whenever in the Indenture it is provided or permitted that there be deposited with or held in trust by the Trustee money or securities in the necessary amount to pay or redeem any Bonds, the money or securities to be deposited or held may include money or securities held by the Trustee in the funds and accounts established pursuant to the Indenture (exclusive of the Rebate Fund) and shall be:

(a) lawful money of the United States of America in an amount equal to the principal amount of such Bonds and all unpaid interest thereon to maturity, except that, in the case of Bonds which are to be redeemed prior to maturity and in respect of which notice of such redemption shall have been given as provided in the Indenture or provision satisfactory to the Trustee shall have been made for the giving of such notice, the amount to be deposited or held shall be the principal amount or Redemption Price of such Bonds and all unpaid interest thereon to the redemption date; or

(b) Investment Securities described in clause (A) of the definition thereof in “DEFINITIONS OF CERTAIN TERMS” above (not callable by the issuer thereof prior to maturity) the principal of and interest on which when due will provide money sufficient in the opinion of an Accountant to pay the principal or Redemption Price of and all unpaid interest to maturity, or to the redemption date, as the case may be, on the Bonds to be paid or redeemed, as such principal or Redemption Price and interest become due, provided that, in the case of Bonds which are to be redeemed prior to the maturity thereof, notice of such redemption shall have been given as provided in the Indenture or provision satisfactory to the Trustee shall have been made for the giving of such notice;

provided, in each case, that the Trustee shall have been irrevocably instructed to apply such money to the payment of such principal or Redemption Price and interest with respect to such Bonds.

LOAN AGREEMENT

General

The Loan Agreement is an agreement between the Authority and the Corporation whereby the Authority agrees to lend the proceeds of the Bonds to the Corporation and the Corporation agrees to make payments to the Trustee sufficient to pay debt service on the Bonds. Certain of the provisions of the Loan Agreement are summarized below. This summary does not purport to be complete or definitive and is qualified in its entirety by reference to the full terms of the Loan Agreement.

Loan of Proceeds; Loan Repayments

The Authority lends and advances to the Corporation, and the Corporation borrows and accepts from the Authority (solely from the proceeds of the sale of the Bonds), the net proceeds received from the sale of the Bonds, such proceeds to be applied under the terms and conditions of the Loan Agreement and

the Indenture. In consideration of the loan of such proceeds to the Corporation, the Corporation agrees that, on or before the 15th day of each month and as long as any of the Bonds remain Outstanding, it shall pay to the Trustee for deposit in the Revenue Fund such amount as is required by the Trustee to make the transfers and deposits required on or before the 10th day of the following month pursuant to the Indenture (each such payment being referred to as a "Loan Repayment"). Notwithstanding the foregoing, if five Business Days prior to any interest or principal payment date with respect to the Bonds, the aggregate amount in the Revenue Fund (other than the Bond Reserve Account) is for any reason insufficient or unavailable to make the required payments of principal, Mandatory Sinking Account Payments or Redemption Price of or interest on the Bonds then becoming due (whether by maturity, redemption or acceleration), the Corporation shall forthwith pay the amount of any such deficiency to the Trustee. In addition, the Corporation shall pay (or cause to be paid) to the Trustee for deposit in the Bond Reserve Account in accordance with the Indenture such amount as is required to be deposited in such month to replenish any prior withdrawal from the Bond Reserve Account and shall pay (or cause to be paid) to the Trustee such amount as shall be necessary to increase the Bond Reserve Account to the Reserve Account Requirement in accordance with the Indenture in the event that a valuation of the Bond Reserve Account indicates that the amount on deposit in the Bond Reserve Account on the date of valuation is less than 100% of the Bond Reserve Account Requirement.

Except as otherwise expressly provided in the Loan Agreement, all amounts payable by the Corporation to the Authority under the Loan Agreement shall be paid to the Trustee, as assignee of the Authority, and the Loan Agreement and all right, title and interest of the Authority in any such payments shall be assigned and pledged to the Trustee so long as any Bonds remain Outstanding.

Additional Payments

In addition to the Loan Repayments, the Corporation shall also pay to the Authority or to the Trustee, as the case may be, "Additional Payments," as provided in the Loan Agreement. Such Additional Payments may be discharged in whole or in part by payment actually received from amounts in the Costs of Issuance Fund or may be billed to the Corporation by the Authority or the Trustee from time to time, together with a statement certifying the amount billed has been incurred or paid for one or more of the below items. After such a demand, amounts so billed shall be paid by the Corporation within 30 days after receipt of the bill by the Corporation. The obligations of the Corporation under the Loan Agreement shall survive the resignation and removal of the Trustee, payment of the Bonds and discharge of the Indenture.

The Additional Payments to the Authority are:

(a) All taxes and assessments of any type or character charged to the Authority or to the Trustee affecting the amount available to the Authority or the Trustee from payments to be received under the Loan Agreement or in any way arising due to the transactions contemplated by the Loan Agreement (including taxes and assessments assessed or levied by any public agency or governmental authority of whatsoever character having power to levy taxes or assessments) but excluding franchise taxes based upon the capital and/or income of the Trustee and taxes based upon or measured by the net income of the Trustee; provided, however, that the Corporation shall have the right to protest any such taxes or assessments and to require the Authority or the Trustee, at the Corporation's expense, to protest and contest any such taxes or assessments levied upon them and that the Corporation shall have the right to withhold payment of any such taxes or assessments pending disposition of any such protest or contest unless such withholding, protest or contest would adversely affect the rights or interests of the Authority or the Trustee;

(b) All reasonable and documented fees, costs and charges of the Authority identified in the Loan Agreement, including reasonable fees and expenses of attorneys, accountants, consultants and other experts, incurred in good faith and arising out of or in connection with the Financing Documents (as defined below), the Bonds or the Indenture;

(c) The reasonable fees and expenses of such accountants, consultants, attorneys and other experts as may be engaged by the Authority to prepare audits, financial statements, reports, opinions or provide such other services required under the Loan Agreement, the Office Documents, the Tax Agreement and the Continuing Disclosure Agreement (collectively, the “Financing Documents”) or the Indenture;

(d) The issuance fee and annual fee of the Authority and the reasonable and documented fees and expenses of the Authority or any agent or attorney selected by the Authority to act on its behalf in connection with the Financing Documents, the Bonds or the Indenture, including, without limitation, any and all reasonable expenses incurred in connection with the authorization, issuance, sale and delivery of any such Bonds or in connection with any litigation, investigation or other proceeding which may at any time be instituted involving the Loan Agreement, the Financing Documents, the Bonds or the Indenture or any of the other documents contemplated thereby, or in connection with the reasonable supervision or inspection of the Corporation, its properties, assets or operations or otherwise in connection with the administration of the Financing Documents;

(e) Any amounts due and payable by the Corporation as arbitrage rebate under Section 148 of the Code, pursuant to the Corporation’s covenants and agreements with respect thereto in the Financing Documents; and

(f) All other reasonable and necessary fees and expenses attributable to the Bonds, the Loan Agreement, or related documents, including without limitation all payments required pursuant to the Tax Agreement.

The Additional Payments to the Trustee are:

(a) All taxes and assessments of any type or character charged to the Trustee affecting the amount available to the Trustee from payments to be received under the Loan Agreement or in any way arising due to the transactions contemplated thereby (including taxes and assessments assessed or levied by any public agency or governmental authority of whatsoever character having power to levy taxes or assessments); provided, however, that the Corporation shall have the right to protest any such taxes or assessments and to require the Trustee, at the Corporation’s expense, to protest and contest any such taxes or assessments levied upon them and that the Corporation shall have the right to withhold payment of any such taxes or assessments pending disposition of any such protest or contest unless such withholding, protest or contest would adversely affect the rights or interests of the Trustee and the Corporation has provided the Trustee with security and indemnification reasonably deemed adequate by the Trustee in respect of such affected rights or interests;

(b) All reasonable fees and expenses of accountants, consultants, attorneys and other experts as may be engaged by the Trustee to prepare audits, financial statements, reports, opinions or provide such other services required under the Loan Agreement or the Indenture;

(c) All reasonable fees, costs and charges of the Trustee identified in the Loan Agreement, including reasonable fees and expenses of attorneys, accountants, consultants and other experts, incurred in good faith and without negligence and arising out of or in connection with the Financing Documents, the Bonds or the Indenture; and

(d) All other reasonable and necessary fees and expenses attributable to the Bonds, the Loan Agreement, or related documents, including without limitation all payments required pursuant to the Tax Agreement.

Security For Corporation's Obligations

In consideration of the issuance of the Bonds by the Authority and the loan of the proceeds thereof to the Corporation and to secure the payment of Loan Repayments and Additional Payments and the performance of the other obligations of the Corporation under the Loan Agreement, the Corporation pledges and grants a security interest (subject to Permitted Encumbrances) to the Trustee and the Office, as their interests may appear, in the Facilities. The Corporation will enter into the Deed of Trust to further secure the Corporation's obligations under the Loan Agreement. The Corporation agrees to execute and cause to be filed and to deliver such other documents (including, but not limited to, deposit account control agreements) as the Authority, the Office or the Trustee may reasonably require in order to perfect or maintain as perfected such security interest or give public notice thereof. The Deed of Trust, pursuant to its terms, may be amended and property released therefrom upon written notice to the Trustee with the consent of the Office without the necessity of obtaining the consent of the Authority, the Trustee or the Bondholders.

Obligations of the Corporation Unconditional

The obligations of the Corporation under the Loan Agreement are absolute and unconditional, notwithstanding any other provision of the Loan Agreement or the Indenture. Until the Loan Agreement is terminated and all payments under the Loan Agreement are made, the Corporation: (i) will pay all amounts required under the Loan Agreement without abatement, deduction or setoff except as otherwise expressly provided in the Loan Agreement; (ii) will not suspend or discontinue any payments due under the Loan Agreement for any reason whatsoever, including, without limitation, any right of setoff or counterclaim; (iii) will perform and observe all its other agreements contained in the Loan Agreement; and, (iv) except as provided in the Loan Agreement, will not terminate the Loan Agreement for any cause including, without limiting the generality of the foregoing, damage, destruction or condemnation of the Facilities or any part thereof, commercial frustration of purpose, any change in the tax or other laws of the United States of America or of the State, or any political subdivision of either thereof or any failure of the Authority or the Trustee to perform and observe any agreement, whether express or implied, or any duty, liability or obligation arising out of or connected with the Loan Agreement.

Prepayment

The Corporation shall have the right, so long as all amounts that have theretofore become due under the Loan Agreement have been paid, at any time or from time to time to prepay all or any part of the Loan Repayments, and the Authority agrees that the Trustee shall accept such prepayments when the same are tendered. All such prepayments shall be deposited upon receipt in the Redemption Fund established under the Indenture and used for the redemption or purchase of Outstanding Bonds in the manner and subject to the terms and conditions set forth in the Indenture.

Limitation on Indebtedness

The Corporation shall not incur any indebtedness or financial obligations, including without limitation, by borrowing money, by assuming or guaranteeing the obligations of others, and by entering into installment purchase contracts or leases required to be capitalized in accordance with generally accepted accounting principles, provided, however, that notwithstanding the foregoing provision, the Corporation may incur the following: (i) obligations and liabilities under the Loan Agreement, the

Regulatory Agreement or the Indenture, including any supplements or amendments thereto; (ii) obligations and liabilities permitted under the Regulatory Agreement; and (iii) any other indebtedness or obligations of the Corporation approved in writing by the Office.

Tax Covenant

The Corporation covenants and agrees that it will at all times do and perform all acts and things permitted by law and the Loan Agreement which are necessary in order to assure that interest paid on the Bonds will be excluded from gross income for federal income tax purposes and will take no action that would result in such interest not being so excluded. Without limiting the generality of the foregoing, the Corporation agrees that it will comply with the provisions of the Tax Agreement.

Continuing Disclosure

In the Loan Agreement, the Corporation covenants and agrees to comply with and carry out all of the provisions of the Continuing Disclosure Agreement. Notwithstanding any other provision of the Loan Agreement, failure of the Corporation to comply with the Continuing Disclosure Agreement shall not be considered a Loan Default Event; however, the Trustee, at the written request of any Participating Underwriter or the Holders of at least 25% aggregate principal amount of Bonds Outstanding, shall, but only to the extent the Trustee is indemnified to its satisfaction from and against any cost, liability or expense related thereto, including, without limitation, reasonable fees and expenses of its attorneys and advisors and its additional fees and expenses, or any Holder or Beneficial Owner of the Bonds may, take such actions as may be necessary and appropriate, including seeking mandate or specific performance by court order, to cause the Corporation to comply with its obligations under the provisions of the Loan Agreement described herein.

Loan Default Events

The following events shall be “Loan Default Events:”

(a) If the Corporation shall fail to pay any Loan Repayments on or before the day such Loan Repayments are due and payable;

(b) If any representation or warranty made by the Corporation in the Loan Agreement or in any document, instrument or certificate furnished to the Trustee or the Authority in connection with the issuance of the Bonds shall at any time prove to have been incorrect in any material respect as of the time made;

(c) If the Corporation shall fail to observe or perform any covenant, condition, agreement or provision in the Loan Agreement or the Regulatory Agreement on its part to be observed or performed, other than as referred to in subsection (a) of this section, or shall breach any warranty by the Corporation contained in the Loan Agreement, for a period of 60 days after written notice, specifying such failure or breach and requesting that it be remedied, has been given to the Corporation by the Authority, the Trustee or the Office; except that, if such failure or breach can be remedied but not within such 60-day period and if the Corporation has taken all action reasonably possible to remedy such failure or breach within such 60-day period, such failure or breach shall not become a Loan Default Event for so long as the Corporation shall diligently proceed to remedy the same in accordance with and subject to any directions or limitations of time established by the Trustee or the Office;

(d) If the Corporation shall abandon the Facilities, or any substantial part thereof, and such abandonment shall continue for a period of 60 days after written notice thereof shall have been given to the Corporation by the Authority, the Trustee or the Office;

(e) If any default shall exist under any agreement respecting Long-Term Indebtedness (other than Parity Debt) and if, as a result thereof, Long-Term Indebtedness in an aggregate principal amount in excess of 10% of the Corporation's Adjusted Annual Operating Revenues shall be declared immediately due and payable or a proceeding is brought for enforcement thereof; provided, however, that a Loan Default Event shall not exist under this clause (e) if the Corporation establishes reserves or obtains a surety bond acceptable to the Office for the payment of such Long-Term Indebtedness which, in the reasonable opinion of the Office, are adequate or (ii) sets aside 100% of the payments then due on such Long-Term Indebtedness in a separate fund or with an escrow agent until any dispute as to the amount due has been resolved;

(f) If any default shall exist under any instrument pursuant to which Parity Debt was issued and is Outstanding, and such default shall continue after the applicable grace period;

(g) If the Corporation files a petition in voluntary bankruptcy, for the composition of its affairs or for its corporate reorganization under any state or federal bankruptcy or insolvency law, or makes an assignment for the benefit of creditors, or admits in writing to its insolvency or inability to pay debts as they mature, or consents in writing to the appointment of a trustee or receiver for itself or for the whole or any substantial part of the Facilities;

(h) If a court of competent jurisdiction shall enter an order, judgment or decree declaring the Corporation an insolvent, or adjudging it bankrupt, or appointing a trustee or receiver of the Corporation or of the whole or any substantial part of the Facilities, or approving a petition filed against the Corporation seeking reorganization of the Corporation under any applicable law or statute of the United States of America or any state thereof, and such order, judgment or decree shall not be vacated or set aside or stayed within 60 days from the date of the entry thereof;

(i) If, under the provisions of any other law for the relief or aid of debtors, any court of competent jurisdiction shall assume custody or control of the Corporation or of the whole or any substantial part of the Facilities, and such custody or control shall not be terminated within 60 days from the date of assumption of such custody or control; or

(j) If any Event of Default under the Indenture shall occur.

Remedies on Default

If a Loan Default Event shall occur, then, and in each and every such case during the continuance of such Loan Default Event, the Trustee on behalf of the Authority, subject to the limitations in the Indenture as to the enforcement of remedies and subject to the Trustee's rights and protections under the Indenture, may, with the consent of the Office (so long as the Contract of Insurance is in full force and effect and the Office is not in default thereunder) take any one or more of the following remedial steps subject to applicable law:

(a) The Trustee may, upon notice in writing to the Corporation, declare all installments of Loan Repayments and Additional Payments payable for the remainder of the term of the Loan Agreement to be immediately due and payable, whereupon the same shall be immediately due and payable, anything in the Loan Agreement to the contrary notwithstanding; "all installments" as used in this paragraph (a) shall mean an amount equal to the entire principal amount of the then Outstanding

Bonds, together with any applicable redemption premiums and all interest accrued or to accrue on and prior to the next succeeding redemption date or dates on which the Bonds can be redeemed after giving notice to the Holders thereof as required by the Indenture (less moneys available for such purposes then held by the Trustee) plus any other payments due or to become due under the Loan Agreement, including, without limitation, any unpaid fees and expenses of the Trustee which are then due or will become due prior to the time that the Bonds are paid in full and the trust established by the Indenture is terminated.

(b) The Trustee may take whatever action, at law or in equity, as may appear necessary or desirable to collect the Loan Repayments, Additional Payments and any other payments then due and thereafter to become due under the Loan Agreement or to enforce the performance and observance of any obligation, covenant, agreement or provision contained in the Loan Agreement to be observed or performed by the Corporation.

(c) The Authority or the Trustee shall have all the rights and remedies of a secured party or creditor under the Uniform Commercial Code of the State of California, and the general laws of the State of California, with respect to the enforcement of the security interests granted or reserved under the Loan Agreement, including without limitation to the extent permitted by law the right to require that all or a portion of the Gross Revenues be assembled and delivered to the Trustee and the Trustee may, to the extent permitted by law, impound books and records evidencing the Corporation's accounts, accounts receivable and other similar claims for the payment of money and take possession of all notes and other documents which evidence such accounts, accounts receivable and claims for money and give notice to obligors thereunder of its interest in Gross Revenues and make direct collections on such accounts, accounts receivable and claims for money.

(d) The Authority or the Trustee may take whatever legal action may appear necessary or desirable to enforce their rights and the rights of the Holders of the Bonds under the Deed of Trust.

(e) With regard to the Deed of Trust, the exercise of any remedies are subject to the provisions of the Indenture described above under the caption "INDENTURE—Events of Default under the Indenture and Remedies—Control Rights of the Office."

Loan Agreement Represents Complete Agreement; Amendments

The Loan Agreement represents the entire contract between the parties. The Loan Agreement may not be effectively amended, changed, modified, altered or terminated except by the written agreement of the Corporation and the Authority, with the concurring written consent of the Trustee and the Office, given in accordance with the provisions of the Indenture.

REGULATORY AGREEMENT

General

The Regulatory Agreement is an agreement among the Office, the Authority and the Corporation to establish the requirements of the Office with respect to certain details of the financing transaction. The Regulatory Agreement also sets out certain business covenants of the Corporation, including maintenance, operation and management of the Facilities and limitations on encumbrances, assignment and transfer of any part of the Facilities and other matters. The Regulatory Agreement also provides for the rights and obligations of the parties in the event of a default and provides for the manner in which the benefits of the insurance are to be paid. Although certain provisions of the Regulatory Agreement are

summarized below, this summary does not purport to be complete or definitive and is qualified in its entirety by reference to the full terms of the Regulatory Agreement.

Security of Gross Revenues Pledged and Deed of Trust

The performance of the obligations of the Corporation to the Office under the Regulatory Agreement and the Contract of Insurance is secured by, among other things, the Gross Revenues pledged by the Corporation under the Regulatory Agreement, and by the lien on the Facilities created by the Deed of Trust and the Insurance Law. The Corporation covenants and agrees that the lien of the Deed of Trust shall be subject only to liens, conditions, covenants and restrictions, easements, taxes and assessments of record approved by the Office as exceptions to the ALTA title insurance policy identified in the Regulatory Agreement, and Permitted Encumbrances.

Use of Proceeds of Bonds

The proceeds of the Bonds, together with other available funds, shall be used exclusively by the Corporation for the following purposes: (1) to finance the Project; (2) to fund a Bond Reserve Account and (3) to pay the insurance premium and other expenses related to the execution, delivery and issuance of the Bonds.

Negative Covenants

The Corporation covenants not to, without the prior written consent of the Office, among other things: (a) alter the Facilities (except in the ordinary course of business); (b) pay officers or directors other than in their capacities as employees, contractors or suppliers of the Corporation or for reimbursement of ordinary out-of-pocket expenses; (c) amend the Corporation's articles of incorporation or bylaws in any material respect, except as required by applicable law; (d) subject to the limited exceptions set forth in the Regulatory Agreement, establish, maintain or affiliate with a Person in conjunction with which the Corporation will carry on its activities, transfer control of any of the Facilities, or assume the management or control of any other Person; or (e) cease to operate the Facilities as a "health facility" as defined in the Insurance Law, except to the extent permitted by the Insurance Law.

Maintenance of the Facilities

The Corporation shall maintain the Facilities in good and substantial repair and condition; provided that, in the event all or any of the Facilities shall be destroyed or damaged by fire or other casualty, the money derived from any insurance on the property shall be applied in accordance with the terms of the Regulatory Agreement and the Indenture.

Bankruptcy; Insolvency; Receiver

The Corporation shall not file any petition in bankruptcy or in insolvency, or for a receiver or reorganization or composition; or make any assignment for the benefit of creditors or to a trustee for creditors; or permit an adjudication in bankruptcy, the taking possession of the Facilities or any part thereof by a receiver, or the seizure and sale of the Facilities or any part thereof under judicial process or pursuant to any power of sale (except as provided in the Deed of Trust) and fail to have such adverse actions set aside within 45 days.

The Corporation immediately shall give notice to the Office of the filing of any petition, or commencement of any proceedings, in bankruptcy, or for a receiver or insolvency or for reorganization or

composition, or any assignment for the benefit of creditors to a trustee for the benefit of creditors, relating to the Corporation or the Facilities.

If the Corporation, or its creditors, file a petition alleging insolvency, requesting reorganization or a composition of creditors, or for an assignment for the benefit of creditors, in any court, the Office shall have the right to participate in, or vote on, any plan or reorganization, agreement for a composition of creditors and on any assignment for the benefit of creditors. If there is a proceeding to effect a receivership for the Corporation, the Office shall have the right to select the receiver.

So long as the Contract of Insurance is in full force and effect and the Office is not in default thereunder, the Office shall represent the Owners in all bankruptcy proceedings and may take such action or consent to any agreement on behalf of Owners, provided that any such action or consent shall in no way impair the rights and benefits due Owners under the Contract of Insurance.

Maintenance of Existence; Affiliation, Merger, Consolidation Sale or Transfer Under Certain Conditions

The Corporation shall maintain its existence as a nonprofit public benefit corporation of the State, operating a health facility and meeting the requirements of Section 501(c)(3) of the Code, and shall not dissolve, sell or otherwise dispose of all or substantially all of its assets or affiliate with, consolidate with or merge into another Person or permit one or more other Persons to affiliate with, consolidate with or merge into it; provided, that the Corporation may, without violating the covenants contained in the Regulatory Agreement, affiliate with, consolidate with or merge into another Person, or permit one or more other Persons to affiliate with, consolidate with or merge into it, or sell or otherwise transfer to another Person such assets, if:

(1) The Corporation obtains the written consent of the Office to such transaction and a Statement of the Office to the effect that the Contract of Insurance remains in full force and effect after such transaction;

(2) The Office, the Authority and the Trustee shall have received an Opinion of Bond Counsel to the effect that such affiliation, merger, consolidation, sale or other transfer will not cause the interest on the Bonds to be included in gross income for federal income tax purposes under Section 103 of the Code;

(3) The surviving, resulting or transferee Person: (a) assumes in writing, if such Person is not the Corporation, all of the obligations of the Corporation under the Regulatory Agreement, the Loan Agreement and the Contract of Insurance, and agrees to fulfill and comply with the terms, covenants and conditions thereof; and further consents to the terms of the Indenture; (b) is not, after such transaction, otherwise in default under any provision of the Regulatory Agreement, the Loan Agreement or the Indenture; (c) is an organization meeting the requirements of section 501(c)(3) of the Code or a corresponding provision of the federal income tax laws then in effect; and (d) shall have net assets at least equal to the net assets of the Corporation prior to such transaction;

(4) The Trustee and the Office shall have received the report of a Management Consultant to the effect that Net Income Available for Debt Service of the surviving, resulting or transferee Person (after giving effect to such merger, consolidation, sale or other transfer) for each of the first two full Fiscal Years following such merger, consolidation, sale or other transfer is forecasted to be not less than the greater of Net Income Available for Debt Service of the Corporation for each of the two most recent Fiscal Years for which audited financial statements are available, as certified by an Accountant;

(5) The Trustee and the Office shall have received a report of an Accountant to the effect that the net worth of the surviving, resulting or transferee Person, after giving effect to such merger, consolidation, sale or other transfer, is at least equal to 100% of the net worth of the Corporation immediately prior to such merger, consolidation, sale or other transfer; and

(6) The Trustee, the Authority and the Office shall have received an Opinion of Counsel to the effect that the Loan Agreement, the Contract of Insurance and the Regulatory Agreement constitute the legal, valid and binding obligations of the surviving, resulting or transferee Person, as the case may be, enforceable against such Person in accordance with their respective terms.

Notwithstanding the foregoing, the Corporation may, without complying with the provisions described above in this section, transfer substantially all of its assets to an Affiliate provided that:

(1) The Corporation obtains the written consent of the Office to such transaction and a statement of the Office confirming that the Contract of Insurance remains in full force and effect after such transaction;

(2) The Office, the Authority and the Trustee shall have received an Opinion of Bond Counsel to the effect that such proposed transfer(s) will not cause the interest on the Bonds to be included in the gross income for federal income tax purposes under Section 103 of the Code;

(3) Such Affiliate agrees to become a co-obligor and jointly and severally liable with the Corporation under the Regulatory Agreement, the Contract of Insurance and the Loan Agreement; and

(4) After such transaction, the Corporation and the Affiliate are in compliance with the provisions of the Regulatory Agreement and the Loan Agreement.

In the event of such a transfer to an Affiliate, references in the Regulatory Agreement to indebtedness of the Corporation shall apply to the combined indebtedness of the Corporation and the Affiliate, and references to the financial condition or forecasted results of operations of the Corporation shall apply to the consolidated financial condition or results of operations of the Corporation and the Affiliate.

If an affiliation, merger, consolidation, sale or other transfer is effected, as described under this caption, the provisions described under this caption shall continue in full force and effect, and no further affiliation, merger, consolidation, sale or transfer shall be effected except in accordance with such provisions.

Rates and Charges; Debt Coverage; Current Ratio; Days Cash on Hand

(A) The Corporation shall operate the Facilities as revenue producing continuing care retirement community. The Corporation shall fix, charge and collect, or cause to be fixed, charged and collected, subject to applicable requirements or restrictions imposed by law, such rates, fees and charges which, together with all other receipts and revenues of the Corporation and any other funds available therefor, are reasonably projected to be sufficient in each Fiscal Year to produce a Debt Service Coverage Ratio of at least 1.25 for such Fiscal Year, commencing with the Fiscal Year ending February 28, 2018 and each Fiscal Year thereafter.

(B) The Corporation shall maintain, as of the end of each Fiscal Year, beginning with the Fiscal Year ending February 28, 2018, a Current Ratio of at least 1.50:1.0.

(C) The Corporation shall maintain, as of the end of each Fiscal Year, beginning with the Fiscal Year ending February 28, 2018, at least one hundred twenty (120) Days Cash on Hand, as shown on the Corporation's audited financial statements for such Fiscal Year.

(D) Within 120 days after the end of each Fiscal Year, the Corporation shall compute (1) the Debt Service Coverage Ratio, (2) the Current Ratio and (3) the Days Cash on Hand for such Fiscal Year and promptly furnish to the Authority, the Trustee and the Office a Statement setting forth the results of such computation.

The Corporation further covenants and agrees that if at the end of such Fiscal Year, it has failed to maintain (i) the Debt Service Coverage Ratio, (ii) the Current Ratio, or (iii) the Days Cash on Hand, in the amounts required in subsections (A) through (C) above, the Corporation will promptly employ a Management Consultant to make recommendations as to a revision of the rates, fees and charges of the Corporation or the methods of operation of the Corporation which will result in producing (x) a Debt Service Coverage Ratio, (y) a Current Ratio; and (z) Days Cash on Hand, as required by the provisions of the Regulatory Agreement by the end of the current Fiscal Year; provided, however, the Corporation need not so employ a Management Consultant if the Office consents, in writing, to a waiver of said covenant to employ a Management Consultant. Copies of the recommendations of the Management Consultant shall be filed with the Authority, the Trustee and the Office. The Corporation shall, to the extent feasible, promptly upon its receipt of such recommendations, subject to applicable requirements or restrictions imposed by law, revise its rates, fees and charges or its methods of operation or collections and shall take such other action as shall be in conformity with such recommendations; provided, however, the Corporation need not make such revisions or take such actions in conformity with such recommendations if (1) the Board makes a good faith determination that such recommendations, in whole or in part, are not in the best interests of the Corporation, and (2) the Office gives its written consent to the effect that the Corporation need not comply, in whole or in part, with such recommendations. In the event that the Corporation fails to comply with the recommendations of the Management Consultant, the Office may replace existing management with new management, which shall be chosen unilaterally by the Office.

If the Corporation complies in all material respects with the reasonable recommendations of the Management Consultant in respect to said rates, fees, charges and methods of operation or collection, the Corporation will be deemed to have complied with the covenants set forth in the Regulatory Agreement and described herein for such Fiscal Year, notwithstanding that the Debt Service Coverage Ratio, the Current Ratio or the Days Cash on Hand shall be less than the amount required under subsections (A), (B) or (C) above; provided, that (1) this sentence shall not be construed as in any way excusing the Corporation from taking any action or performing any duty required under the Regulatory Agreement or be construed as constituting a waiver of any other event of default under the Regulatory Agreement and (2) Debt Service Coverage Ratio shall be at least equal to 1.0 for such Fiscal Year.

(E) Notwithstanding the foregoing, the Corporation may permit the rendering of service at, or the use of, the Facilities without charge or at reduced charges, at the discretion of the Board, to the extent necessary for maintaining its tax-exempt status or to establish or maintain its eligibility for grants, loans, subsidies or payments from the United States of America, any instrumentality thereof, or the State or any political subdivision or instrumentality thereof, or in compliance with any recommendation for free services that may be made by the Management Consultant.

Limitation on Encumbrances

The Corporation shall not create, assume or suffer to exist and shall immediately satisfy or release any mortgage, deed of trust, pledge, security interest, encumbrance, lien, attachment or charge of any kind (including the charge upon property purchased under conditional sales or other title retention agreements)

upon the Facilities or the Gross Revenues; provided, however, that notwithstanding the foregoing provision, the Corporation may create, assume or suffer to exist Permitted Encumbrances.

Limitation on Indebtedness

The Corporation shall not incur any Indebtedness or financial obligations, including without limitation, by borrowing money, by assuming or guaranteeing the obligations of others, and by entering into installment purchase contracts or leases required to be capitalized in accordance with generally accepted accounting principles, except the Corporation may incur the following:

1. Obligations and liabilities under the Regulatory Agreement, the Loan Agreement or the Indenture, including any supplements or amendments thereto or thereto in connection with the issuance of any additional series of Bonds;

2. Contractual liabilities (other than liabilities for borrowed money or liabilities which would otherwise be considered indebtedness under generally accepted accounting principles) incurred in the ordinary course of business for which moneys are available;

3. Short-Term Indebtedness with the prior written consent of the Office and provided that no amount of Short-Term Indebtedness shall be outstanding for a period of 30 consecutive days during each Fiscal Year. The aggregate amount incurred by the Corporation under the provisions of the Regulatory Agreement described in this subsection shall not exceed at the time of incurrence 10% of the Corporation's Adjusted Annual Operating Revenues for the most recent Fiscal Year for which audited financial statements are available;

4. Liabilities for contributions to self-insurance programs;

5. Long-Term Indebtedness (which may be Parity Debt) incurred for the purpose of refinancing outstanding Long-Term Indebtedness provided that (a) the Office has consented in writing to the incurring of such indebtedness, and (b) the issuance of such Long-Term Indebtedness does not increase Maximum Aggregate Annual Debt Service by more than 10%, as certified by a written report of an Accountant which shall be filed with the Authority, the Trustee and the Office prior to such transaction;

6. Long-Term Indebtedness (which may be Parity Debt), provided that:

- (a) the Office has consented in writing to the incurring of such indebtedness; and

- (b) (1) Net Income Available for Debt Service, as certified by a written report of an Accountant which shall be filed with the Authority, the Trustee and the Office for the most recent Fiscal Year for which audited financial statements are available immediately preceding the date of incurrence of such Long-Term Indebtedness, was at least equal to 1.25 times Maximum Aggregate Annual Debt Service on all outstanding Long-Term Indebtedness and the Long-Term Indebtedness proposed to be incurred, or (2) (a) Net Income Available for Debt Service, as certified by a written report of an Accountant which shall be filed with the Trustee and the Office prior to such transaction, for the most recent Fiscal Year for which audited financial statements are available immediately preceding the date of incurrence of such Long-Term Indebtedness, was at least equal to 1.25 times Maximum Aggregate Annual Debt Service on all Long-Term Indebtedness then outstanding; and (b) Net Income Available for Debt Service, as shown in a written feasibility report prepared by a Management Consultant and filed with the Authority, the Trustee and the Office prior to such transaction, for each of the first two Fiscal Years

following the incurrence of such Long-Term Indebtedness (or, if such Long-Term Indebtedness is incurred to finance additional facilities, in each of the first three Fiscal Years following the Fiscal Year when it is proposed that such Facilities will be completed and placed in service) is forecasted to be at least 1.25 times Maximum Aggregate Annual Debt Service on all Long-Term Indebtedness proposed to be outstanding at the end of each such Fiscal Year;

7. Long-Term Indebtedness (which may be Parity Debt), incurred to complete a project, provided that (a) the Office has consented in writing to the incurring of such indebtedness; and (b) the aggregate principal amount of such indebtedness does not exceed 10% of the principal amount of Long-Term Indebtedness incurred to finance such project;

8. Long-Term Indebtedness (excluding Parity Debt), provided that (a) the Office has consented in writing to the incurring of such indebtedness; and (b) the aggregate amount incurred by the Corporation under the provisions of the Regulatory Agreement described in this subsection, subsection 3 and subsection 9 and outstanding shall not exceed at the time of incurrence 10% of the Corporation's Adjusted Annual Operating Revenues for the most recent Fiscal Year for which audited financial statements are available;

9. Liabilities under capitalized lease agreements for the lease of, or indebtedness for money borrowed or liabilities under instruments evidencing deferred payment arrangements for the purchase of, equipment, tangible personal property or real property; provided that the aggregate amount incurred by the Corporation under the provisions of the Regulatory Agreement described in this subsection, subsection 3 and subsection 8 above and outstanding shall not exceed at the time of incurrence 10% of the Corporation's Adjusted Annual Operating Revenues for the latest Fiscal Year for which audited financial statements are available;

10. Non-recourse Indebtedness, provided that the Office has approved in writing the incurrence of such indebtedness and such indebtedness does not encumber the Facilities;

11. Repayment obligations under reimbursement or similar agreements with banks or insurance companies relating to letters or lines of credit or other credit facilities used to secure Long-Term Indebtedness;

12. Indebtedness, not for borrowed money, incurred in the ordinary course of business; and

13. Any indebtedness or obligations of the Corporation consented to in writing by the Office.

Limitations on Disposition of Property

Disposition of Cash. The Corporation shall not dispose of any cash or cash equivalents unless the disposition is made in the ordinary course of business, and: (1) the Corporation receives an asset or service of reasonably equivalent value for such cash or cash equivalents; or (2) prior to such disposition, there is filed with the Authority, the Office and the Trustee a Statement of the Corporation, which Statement is satisfactory to the Office, to the effect that, either (a) the Debt Service Coverage Ratio for the most recent Fiscal Year for which audited financial statements are available next preceding such disposition would not be reduced or, if reduced, would not be reduced below a ratio of 2.0:1.0 (such calculation to be made assuming such disposition had occurred at the beginning of such Fiscal Year), or (b) the average Debt Service Coverage Ratio, as forecasted in such Statement of the Corporation for the

two Fiscal Years immediately following such disposition, will be not less than a ratio of 2.0:1.0; and (c) such disposition has been consented to by the Office.

Disposition of Real Property. The Corporation shall not sell, lease (other than to residents), sublease, assign, transfer, encumber or otherwise dispose of all or any part or parts of the real property described in the Regulatory Agreement, including the buildings and structures thereon and fixtures and improvements of such real property, without the prior written consent of the Office.

Disposition of Personal Property. The Corporation shall not sell, lease, sublease, assign, transfer, encumber or otherwise dispose of all or any part or parts of the Facilities not included in the preceding paragraphs, other than in the “ordinary course of business,” unless the Office gives its prior written consent to such disposition. “Ordinary course of business” shall be defined during the term of the Regulatory Agreement by the Office in the exercise of its sound and reasonable discretion, by the Office giving written notice thereof to the Corporation, which determination will become effective on receipt of such notice by the Corporation.

Except as provided pursuant to the Regulatory Agreement concerning a disposition of substantially all of the Corporation’s assets, in no event shall the Corporation dispose of any part or parts of its Facilities in any Fiscal Year aggregating in excess of 2-1/2% of the Corporation’s net property, plant and equipment (as shown on the Corporation’s most recent audited financial statements), unless the Office gives its prior written consent to such disposition.

Execution of Releases. In connection with a disposal of property, including cash, as described under the caption, upon receipt of such consent by the Office or Statement of the Corporation required by the Regulatory Agreement, the Office, the Authority and the Trustee shall execute and deliver releases from security interests or other documents reasonably requested by the Corporation.

Limitation on Acquisition of Property, Plant and Equipment

The Corporation shall not acquire additional property, plant and equipment (except (1) in the ordinary course of business, (2) with the proceeds of indebtedness permitted by the Regulatory Agreement, (3) as part of a merger or consolidation permitted by the Regulatory Agreement or (4) by gift (other than gifts of cash or personal property or gifts of real property if either (i) its use is residential or (ii) it is subject of a phase I report indicating no contaminants), purchase, construction, merger or consolidation, unless the Office gives its prior written consent to such acquisition.

Parity Debt

The Corporation may incur Parity Debt, subject, however to compliance with the provisions of the Regulatory Agreement described above under the caption “—Limitation on Indebtedness,” and subject to the following conditions: (1) the Trustee shall act as trustee for the Parity Debt; (2) the agreement under which Parity Debt is issued shall require that: (a) a Loan Default Event shall constitute an event of default under such agreement and the Regulatory Agreement; (b) rights and obligations of the holders of Parity Debt shall be substantially the same as the rights and obligations of the Owners of Bonds under the Indenture, except that if the Parity Debt is not covered under the Contract of Insurance, the holders of Parity Debt shall have no rights under the Contract of Insurance or to payments made with respect thereto; and (c) remedies upon an event of default shall be substantially the same as the remedies provided in the Indenture, the Regulatory Agreement and the Loan Agreement, and, prior to exercising any such remedies, the holders of such Parity Debt (or a trustee representing their interest) shall be required to cooperate with the Trustee to the end that the interests of such holders and the Bondowners shall be equally protected; (3) any collateral given or to be given to secure Parity Debt shall also secure the Bonds on a pari passu basis; provided that the Bond Reserve Account shall only secure the Bonds, and

the Corporation may, but need not, establish similar reserve accounts for debt service of Parity Debt; (4) the Parity Debt shall be prepayable in accordance with such terms substantially in the form of and under the conditions prescribed in the Indenture or otherwise agreed to by the Office; (5) any Parity Debt shall be insured by the Office under the Insurance Law, or if the Parity Debt can be issued as such without being insured under the Insurance Law, with the consent of the Office; and (6) in the case of any Parity Debt that will not be insured by the Office, the Corporation shall pay any associated legal document review costs incurred by the Office, including fees for outside counsel.

Insurance

The Corporation shall keep the Facilities and its operations adequately insured at all times, and, shall carry and maintain, or cause to be carried and maintained, and will pay, or cause to be paid, in timely fashion the premiums for, at least the coverages specified in the Regulatory Agreement. The coverages and limits may be varied only with the prior written consent of the Office.

The Corporation shall employ a Risk Management Consultant to review the insurance requirements of the Corporation from time to time (but not less frequently than once every 24 months). If the Risk Management Consultant makes recommendations for the increase of any of the coverage required by the Regulatory Agreement, the Corporation shall increase such coverage in accordance with such recommendations, subject to a good faith determination of the Board that such recommendations, in whole or in part, are in the best interests of the Corporation. The Corporation shall have the right, without giving rise to an event of default under the Regulatory Agreement solely on such account; (1) with the prior written consent of the Office, to maintain insurance coverage below that required by the Regulatory Agreement, provided further that the Corporation shall furnish to the Trustee and the Office a Statement of the Risk Management Consultant or other evidence, satisfactory to the Office, that the insurance so provided affords the greatest amount of coverage available for the risk being insured against at rates which in the judgment of the Risk Management Consultant are reasonable in connection with reasonable and appropriate risk management, or (2) with the prior written consent of the Office, to adopt alternative risk management programs which the Board determines to be reasonable and which shall not have a material adverse impact on the Corporation's reimbursement from third-party payers, including, without limitation, to self-insure in whole or in part, to participate in programs of captive insurance companies, to participate with other health care institutions in mutual or other cooperative insurance or other risk management programs, to participate in state or federal insurance programs, to take advantage of state or federal laws now or hereafter in existence limiting medical and malpractice liability or to establish or participate in other alternative risk management programs; all as may be approved in writing as reasonable and appropriate risk management by the Risk Management Consultant.

The Corporation shall obtain such insurance coverage as is required by the Regulatory Agreement only from insurers admitted to do business in the State of California by the Department of Insurance of the State of California, unless the Office gives its prior written consent.

Title Insurance

The Corporation shall obtain, at its own cost and expense, an ALTA Lender's policy of title insurance, with such endorsements as may be required by the Office, at the time of and dated as of the date of delivery of the Bonds or Parity Debt, in an aggregate amount not less than the aggregate principal amount of the Bonds and Parity Debt to be outstanding after the issuance of such Bonds or Parity Debt, payable to the Office, the Trustee and the Authority, insuring the title of the Corporation to the site of the Facilities, subject only to Permitted Encumbrances, issued by a title insurance company admitted to do business in the State by the Department of Insurance of the State, and which is acceptable to the Office.

Disposition of Insurance and Condemnation Proceeds

The proceeds of property and builders risk insurance maintained by the Corporation pursuant to the Regulatory Agreement, the proceeds of any title insurance, and the proceeds of any condemnation awards with respect to the Facilities, shall be paid immediately upon receipt by the Corporation or other named insured parties to the Trustee, as assignee of the Authority, for deposit in a special fund which the Trustee shall establish and maintain and hold in trust, to be known as the "Insurance and Condemnation Proceeds Fund." In the event the Corporation elects to repair or replace the property damaged, destroyed or taken, it shall furnish to the Office plans of the contemplated repair or replacement, accompanied by a Statement of an architect or other qualified expert satisfactory to the Office estimating the reasonable cost of such repair or replacement and a Statement of the Corporation stating that amounts in the Insurance and Condemnation Proceeds Fund, together with investment income reasonably expected to be received with respect thereto and any other funds available or reasonably expected to become available therefor (and which the Corporation shall agree to deposit in said fund when so available), shall be sufficient to repair or replace the property damaged, destroyed or taken in accordance with said plans. After deducting therefrom the reasonable charges and expenses of the Trustee in connection with the collection and disbursement of such moneys, moneys in the Insurance and Condemnation Proceeds Fund shall be disbursed by the Trustee, as directed in writing by the Corporation, for the purpose of repairing or replacing the property damaged, destroyed or taken in the manner and subject to the conditions set forth in the Indenture. In the event that the proceeds of any loss or damage to or condemnation of the Facilities shall be less than 1-1/2% of the Corporation's Adjusted Annual Operating Revenues (as shown on the Corporation's most recent audited financial statements), and so long as an event of default under the Regulatory Agreement has not occurred and is not then continuing, the Trustee shall pay over such proceeds to the Corporation, as directed in writing by the Corporation, without requiring any of the documents referred to in the Regulatory Agreement described under this caption and without any formality whatsoever.

In the event the Corporation, with the consent of the Office, shall elect not to repair or replace the property damaged, destroyed or taken, as provided in the provisions of the Regulatory Agreement described in the paragraph above, the Trustee shall transfer all amounts in the Insurance and Condemnation Proceeds Fund, at the written direction of the Corporation, on account of such damage, destruction or condemnation to the Redemption Fund in order to prepay the Loan Repayments and redeem the Bonds in accordance with the Indenture; provided that if any Parity Debt is then outstanding, any such transfer from the Insurance and Condemnation Proceeds Fund shall be deposited in part in the Redemption Fund and in part in such other fund or account as may be appropriate (and used for the retirement of such Parity Debt) in the same proportion which the aggregate principal amount of Outstanding Bonds then bears to the aggregate unpaid principal amount of such Parity Debt.

If all amounts in the Insurance and Condemnation Proceeds Fund and any special redemption fund for the retirement of Parity Debt exceed 1-1/2% of the Corporation's Adjusted Annual Operating Revenues (as shown on the Corporation's most recent audited financial statements) but are not sufficient to retire all Bonds and Parity Debt then outstanding, the Trustee, shall not transfer said amounts to the Redemption Fund unless the Corporation shall file with the Trustee a report of a Management Consultant showing that projected Net Income Available for Debt Service will be sufficient to pay Aggregate Debt Service for the three full Fiscal Years immediately following such transfer after giving effect to the retirement of such Bonds and Parity Debt. In the event such report of a Management Consultant shows that projected Net Income Available for Debt Service will not be sufficient to pay Aggregate Debt Service for the three full Fiscal Years immediately following such transfer after giving effect to the retirement of such Bonds and Parity Debt, the Corporation shall apply all amounts in the Insurance and Condemnation Proceeds Fund to the repair or replacement of the property damaged, destroyed or taken, as provided in the first paragraph under this caption, unless the Corporation shall file a further report of a Management

Consultant showing that even after making such repair and replacement, projected Net Income Available for Debt Service will not be sufficient to pay Aggregate Debt Service for the three Fiscal Years immediately following such repair and replacement, in which event the Trustee shall transfer all moneys in the Insurance and Condemnation Proceeds Fund to the Redemption Fund and/or such other trust account for the retirement of Bonds and Parity Debt, as provided in the second paragraph under this caption.

Certain Covenants Relating to Operations

Indebtedness on Loan Default Event. During the continuance of a default under the Regulatory Agreement, a Loan Default Event under the Loan Agreement or an Event of Default under the Indenture, the Corporation shall not incur any additional Indebtedness or make any additional capital acquisition without the prior written consent of the Office.

Lien on Future Acquired Real Property. If the Corporation acquires any real property to be used or usable in connection with the operation of the Corporation while the Regulatory Agreement is in effect, such acquired real property ("Acquired Property") shall be deemed to fall within the definition of Facilities and therefore shall be subject to the Regulatory Agreement. The Corporation shall convey a security interest (which need not give the Office a first lien position) in the Acquired Property for the benefit of the Office under the Deed of Trust, unless such requirement is waived in writing by the Office.

Default; Remedies Upon Default

Notice and Declaration of a Default. Upon a violation of any of the provisions of the Regulatory Agreement by the Corporation, the Office may give written notice thereof to the Corporation by registered or certified mail, addressed to the address stated in the Regulatory Agreement, or such other address as may subsequently, upon appropriate written notice thereof to the Office, be designated by the Corporation as its legal business address. If such violation is not corrected to the satisfaction of the Office within 30 days, or in the event the default is the result of the failure of the Corporation to make a payment required to be made to the Trustee or the result of the loss or threatened loss of the license of the Corporation, then five days, after the date such notice is mailed, or within such further time as the Office determines, in the Office's sole discretion, is necessary to correct the violation, without further notice the Office may declare a default under the Regulatory Agreement effective on the date of such declaration of default.

Office Directives to the Corporation. Upon an event of default under the Regulatory Agreement, the Deed of Trust, the Indenture or the Loan Agreement, the Office shall have the remedies provided by California Health and Safety Code section 129173, as well as the following: The Office may conduct an evaluation of, and direct the Corporation with respect to, the management and operation of the Facilities and the expenses of the Office or any consultants associated with such evaluation and direction shall be reimbursed by the Corporation. The Corporation shall follow all such directives, which may at the option of the Office include immediately terminating and replacing any existing Management Agent with a new Management Agent selected by the Office at the expense of the Corporation. In the event of any such termination, the Management Agent shall not be entitled to compensation for more than 30 days from the date of such termination. The Office may retain attorneys and consultants to assist in such evaluation and the Corporation shall pay the reasonable and documented fees and expenses of such attorneys and consultants and any other expenses incurred by the Office in that connection. These remedies are in addition to those provided under Insurance Law Section 129173. The Office reserves its rights to exercise all its remedies under Insurance Law Section 129173, including, but not limited to, subsection (b) wherein the Office may remove and appoint members of the governing body of the Corporation sufficient such that the new members constitute a voting majority of the governing body.

Payment from the Health Facility Construction Loan Insurance Fund. (1) In any case in which an Event of Default under the Indenture shall have occurred and the Trustee shall have given notice to the Office at least 30 days prior to an interest payment date, or a principal payment date that: (a) available moneys in the Principal and Interest Accounts held by the Trustee pursuant to the Indenture will be insufficient to pay in full the next succeeding payment of interest and/or principal when due to the Owners under the Indenture, and (b) the amount by which the obligation to make such payment exceeds the amount available (the “Shortfall”), the Office shall cause an amount equal to the Shortfall to be deposited into the Principal Account and/or Interest Account at least three Business Days prior to the date on which said payment is due, as provided pursuant to the Indenture described in the following paragraphs (2) and (3).

(2) Said deposit shall be made by the Office directing the Trustee to transfer an amount equal to the Shortfall out of the Bond Reserve Account into the Principal Account and/or Interest Account. (However, if there are funds in the Bond Reserve Account at the time the Office receives such notice of the Shortfall from the Trustee, nothing contained in the Regulatory Agreement shall prevent the Office from then determining pursuant to Insurance Law Section 129145 that the lender and borrower have exhausted all reasonable means of curing the Event of Default and that it would be in the best interest of the State, the borrower and the lender to pay a portion or all of the Shortfall from the Health Facility Construction Loan Insurance Fund instead of the Bond Reserve Account, and from paying such amount from the Health Facility Construction Loan Insurance Fund.)

(3) If the Office, pursuant to Insurance Law Section 129145, determines, in the event the funds in the Bond Reserve Account are insufficient to meet the Shortfall as provided in paragraph (2) above, that (a) the lender and the borrower will have exhausted all reasonable means of curing the Event of Default, and (b) a payment or payments from the Health Facility Construction Loan Insurance Fund to cure the Event of Default is now and will be at the time of the Event of Default in the best interest of the State, the lender and the borrower, then the Office may pay such amount required to meet the Shortfall from the Health Facility Construction Loan Insurance Fund to the Principal Account and/or Interest Account for the benefit of the lender within the time as provided in paragraph (1) above.

(4) Any payment made by the Office from the Health Facility Construction Loan Insurance Fund (“Fund”) shall be secured pursuant to Insurance Law Section 129145 by a pro rata share of the security held by the Trustee through the Deed of Trust and all applicable UCC-1s, and, upon such payment, the Corporation shall become liable for repayment of the amount thereof to the Office upon demand and shall be liable for interest on the unpaid balance thereof at the rate of 10% per annum.

(5) If the principal of all Bonds at the time Outstanding, and the interest accrued thereon have been declared immediately due and payable pursuant to the terms of the Indenture, the Office may make payment from the Fund, or, if the Fund is insufficient to make such payment, or if the Office determines it to be in the best interest of the State, the Corporation and the Authority, the Office shall request issuance of debentures as provided below under the caption “—Issuance of Debentures.”

Issuance of Debentures. (1) In any case in which (a) the Trustee shall have directed the foreclosure and taking possession of the Facilities under the Deed of Trust and under applicable statutes, (b) the Trustee, with the consent of the Office, shall have otherwise acquired the Facilities from the Corporation after default, (c) the Trustee, with the consent of the Office, shall have assigned to the Office the security interest created by the Deed of Trust, (d) the Trustee shall have tendered to the Office a satisfactory conveyance of title and transfer of possession of the Facilities directly from the Corporation, or other appropriate grantor, or (e) it has been determined that debentures should be issued as described in the paragraph above under the caption entitled “—Payment from the Health Facility Construction Loan Insurance Fund,” the Trustee shall be entitled to receive the benefit of the insurance as provided in Insurance Law Sections 129125 through 129160, upon (i) the prompt conveyance to the Office of title to

the Facilities or, with the consent of the Office, the security interest created by the Deed of Trust, (ii) the assignment to the Office of all claims of the Trustee against the Corporation or others arising out of the sale of the Bonds, the loan transaction or the foreclosure proceedings, except such claims as may have been released with the consent of the Office, and (iii) surrender to the Office of each Bond which has been surrendered to the Trustee.

(2) Upon such conveyance, assignment and surrender, the Office shall request the State Treasurer to issue to the Trustee for the benefit of the Owners so surrendered, a debenture or debentures having a total face value of and bearing interest at the rate on the respective surrendered Bonds which they replace and additional debentures equal to all additional amounts due under the Indenture as provided by Insurance Law Sections 129125 through 129160.

Additional Remedies Available to the Office. Notwithstanding any other provision in the Regulatory Agreement or provision of law relating to the acquisition, management or disposal of real property by the State, the Office shall have the power to do any or all of the following: (a) possess, operate, complete, lease, rent, renovate, modernize, insure, or sell for cash or credit, in its sole discretion, any properties conveyed to it in exchange for debentures as provided in the Insurance Law; (b) pursue to final collection by way of compromise or otherwise all claims against the Corporation assigned by the Trustee to the Office; or (c) convey and execute in the name of the Office deeds of conveyance, deeds of release, assignments and satisfactions of the Deed of Trust, and any other written instrument relating to real or personal property or any interest therein acquired by the Office.

Remedies Not Exclusive; No Waiver of Rights. No remedy conferred in the Regulatory Agreement upon or reserved to the Office is intended to be exclusive of any other available remedy or remedies, but each and every such remedy, to the extent permitted by law, shall be cumulative and shall be in addition to every other remedy given under the Regulatory Agreement, Loan Agreement and the Deed of Trust, or now or hereafter existing at law. In order to entitle the Office to exercise any remedy, to the extent permitted by law, reserved to it in the Regulatory Agreement, it shall not be necessary to give any notice, unless such notice is expressly required in the Regulatory Agreement.

Capital Replacement

The Corporation shall maintain the Facilities in good and substantial repair and condition. The Corporation shall prepare a long-term capital replacement budget, as required by the Regulatory Agreement, for capital improvements, major remodeling, and for new and replacement items necessary and appropriate to maintain the Facilities for the purposes for which they are or may reasonably be expected to be used. Capital replacement costs may include, but are not limited to, carpet, flooring, roofing, windows, painting exterior and interior, major appliances, cabinets, bathrooms, walkways, fencing, stairways, exterior siding, drainage, sewage, security and alarm systems, HVAC systems, elevators, and fire sprinkler systems for the Facilities. The Corporation shall deposit the required annual budget amount for long-term capital replacement into a reserve account to be used solely for capital replacement costs as they are incurred.

Upon demand of the Office, the Corporation shall perform or cause to be performed a formal inspection of its Facilities resulting in a written report by a qualified professional recommending replacement and repairs necessary to maintain the Facilities in good and substantial repair and condition. The long-term capital replacement budget shall be revised to reflect the recommended replacement and repairs included in the inspection report. The Corporation shall deliver a copy of its Board approved revised long-term capital replacement budget and the inspection report to the Office. The Corporation shall deposit the revised required annual budget amount for long-term capital replacement into a reserve account to be used solely for capital replacement costs as they are incurred.

Debt Service Coverage Ratio Reporting

Within 45 days after each May 31, August 31, November 30 and February 28 (each three-month period ending on each such date being referred to herein as a “Fiscal Quarter”), commencing with the Fiscal Quarter ending May 31, 2017, the Corporation shall compute the Debt Service Coverage Ratio for such Fiscal Quarter and for the twelve-month period ending on the last day of such Fiscal Quarter (“Running Twelve-Month Period”) and promptly furnish to the Office a Statement setting forth the results of such computation. If at the end of such Fiscal Quarter the Debt Service Coverage Ratio shall have been less than 1.25 for such Running Twelve-Month Period, the Corporation shall, upon the request of the Office, employ a Management Consultant to make recommendations as to a revision of the rates, fees and charges of the Facilities or the methods of operation of the Facilities which will result in producing a Debt Service Coverage Ratio equal to at least 1.25 for such Fiscal Quarter. Copies of the recommendations of the Management Consultant shall be provided to the Office. The Office also may retain attorneys and consultants to assist in an evaluation of the operation and management of the Facilities and the Corporation shall pay the reasonable fees and expenses of such attorneys and consultants and any expenses incurred by the Office in that connection.

DEED OF TRUST

The obligations of the Corporation pursuant to the Loan Agreement, the Regulatory Agreement and the Contract of Insurance are secured by the lien of a Deed of Trust upon the Facilities. With the written consent of the Office and the Corporation, the Deed of Trust may be amended or terminated at any time, without the necessity of obtaining the consent of the Trustee, the Authority or the holders of the Bonds or of Parity Debt. To the extent permitted under the Regulatory Agreement, certain Property may be removed from the lien and security interest of the Deed of Trust upon written request by the Office.

Upon the failure of the Corporation to perform its obligations as required under the Deed of Trust, the trustee under the Deed of Trust, the Trustee (as assignee of the Authority) and the Office, as beneficiaries under the Deed of Trust, may elect to do any or all of the following: (1) make any such payment or do any such act in such manner and to the extent necessary to protect the security of the Deed of Trust; (2) pay, purchase, contest or compromise any claim, debt, lien, charge or encumbrance which may affect or appear to affect the security of the Deed of Trust or the interest of the beneficiary or the rights, powers or duties of the Deed Trustee or the beneficiary; (3) take possession of, and manage, operate or lease, the Property; and (4) declare all sums secured by the Deed of Trust to be immediately due and payable and sell the Facilities to satisfy the lien of the Deed of Trust. If the beneficiary elects to foreclose and sell the Facilities, there are certain applicable statutory time periods which must expire before such proceedings will be effective.

The Regulatory Agreement and the Deed of Trust confer certain powers and rights upon the Office which may limit the discretion of the trustee under the Deed of Trust. So long as the Office is obligated under the Contract of Insurance, all rights of beneficiaries under the Deed of Trust shall be exercised solely by the Office for the equal and ratable benefit of the Office and the Trustee. All rights and proceeds inuring to the benefit of the Trustee under the Deed of Trust are for the benefit of the holders of the Bonds and Parity Debt. Before the benefits of the insurance are to be paid, the Office may require such trustee to (1) foreclose on the Deed of Trust and convey title to the Facilities to the Office; or (2) assign all security interests of the Bondholders under the Deed of Trust to the Office.

APPENDIX E

FORM OF CONTRACT OF INSURANCE

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FORM OF CONTRACT OF INSURANCE

LOAN NO. 1041

STATE OF CALIFORNIA
OFFICE OF STATEWIDE HEALTH PLANNING AND DEVELOPMENT

This CONTRACT OF INSURANCE, dated as of April 1, 2017, and effective as of April 18, 2017, is by and among Channing House, a California nonprofit public benefit corporation (the “Corporation”), the Office of Statewide Health Planning and Development of the State of California (the “Office”), and the California Municipal Finance Authority, a joint exercise of powers authority organized and existing under the laws of the State of California (the “Authority”).

WHEREAS, the Office is authorized to enter into this Contract of Insurance pursuant to California Health and Safety Code Sections 127045 and 129105;

WHEREAS, the Director of the Office is authorized to enter into this Contract of Insurance on behalf of the Office pursuant to California Health and Safety Code Section 127010 and California Government Code Section 11150, *et seq.*;

WHEREAS, the undersigned Deputy Director of the Office was appointed by the Director of the Office to act on the Director’s behalf pursuant to Delegation Order 16-03, effective April 25, 2016, and is so authorized by California Health and Safety Code Section 7 and California Government Code Sections 11947 and 18572;

WHEREAS, the Authority is authorized to enter into this Contract of Insurance pursuant to a resolution adopted by the Authority on March 17, 2017;

WHEREAS, the Corporation is authorized to enter into this Contract of Insurance pursuant to a resolution adopted by the Corporation’s Board of Directors on March 16, 2017;

WHEREAS, the Authority desires to issue its Insured Revenue Refunding Bonds (Channing House Project), Series 2017A in the principal amount of \$54,045,000 (the “Bonds”) pursuant to an indenture, dated as of April 1, 2017 (the “Indenture”), by and between the Authority and The Bank of New York Mellon Trust Company, N.A., as trustee (the “Trustee”), and to lend the proceeds of the Bonds to the Corporation pursuant to a loan agreement, dated as of April 1, 2017 (the “Loan Agreement”), between the Authority and the Corporation, which shall be secured by a Deed of Trust with Fixture Filing, Security Agreement and Assignment Agreement (the “Deed of Trust”) on certain of the Corporation’s property and a pledge of the Corporation’s Gross Revenues;

WHEREAS, the Corporation desires to obtain the Health Facility Construction Loan Insurance (the “Insurance”) insuring the payment of the Bonds, and the Office is willing to extend the Insurance;

WHEREAS, the Office has reviewed the final form of the Bonds, the Indenture, the Loan Agreement, the Deed of Trust, and the American Land Title Association title insurance policy issued by Commonwealth Land Title Insurance Company insuring the Corporation’s title to that property which is subject to the Deed of Trust and naming the Trustee and the Office as beneficiaries, as their respective interests may appear;

WHEREAS, the Office has approved the Corporation’s application for insurance of the Bonds; and

WHEREAS, in consideration of the Insurance and in order to comply with the requirements of Chapter 1, Part 6, Division 107 of the Health and Safety Code of the State of California, cited as the “California Health Facility Construction Loan Insurance Law,” as now in effect and as it may from time to time hereafter be amended or supplemented (the “Insurance Law”), the Corporation, the Office and the Authority have entered into a regulatory agreement, dated as of April 1, 2017, and effective as of April 17, 2017 (the “Regulatory Agreement”), regulating the terms and conditions of the Insurance of the Bonds;

NOW, THEREFORE, in consideration of these presents and for other good and valuable consideration, the receipt of which is hereby acknowledged, the parties hereto mutually agree, and agree for the benefit of the Holders of the Bonds from time to time and the Trustee, as follows:

1. Definitions. Unless the context clearly otherwise requires, all capitalized terms used herein shall have the meanings assigned to such terms in the Regulatory Agreement or, if not defined therein, in the Indenture.

2. Insurance. The Office hereby declares and agrees that the Bonds are eligible for the Insurance under the Insurance Law and that the payment to the Trustee of the principal of and the accrued and unpaid interest on the insured principal of the Bonds and such other costs and expenses required by the Insurance Law, are insured. However, payments from the Trustee to the Bondholders are not insured.

3. Incontestability. Pursuant to Insurance Law Section 129110, such Insurance shall be incontestable from the date of the execution of this Contract of Insurance, except in case of fraud or misrepresentation on the part of the lender (as defined in Insurance Law Section 129010(j)).

4. Approval of Documents. The Office approves the execution and delivery of the Loan Agreement, the Indenture and the Deed of Trust.

5. Completion of the Project. The Corporation shall accomplish the Project with all practical dispatch and in an economical manner.

6. Disbursement of Proceeds. Prior to each disbursement of funds to the Corporation pursuant to the provisions of the Indenture, the Corporation shall apply to the Office by submission of the Office's Form OSH-CM-134 and supporting documentation, for an authorization of the disbursement of funds to the Corporation pursuant to the Indenture, pursuant to Insurance Law Section 129030. Certification by the Office of the Form OSH-CM-134 submitted to the Office by the Corporation shall constitute the Office's authorization and consent to the disbursement of funds to the Corporation.

7. Compliance with Law and Documents. The Authority and the Corporation shall, to the extent they are respectively obligated thereunder, comply with the Insurance Law and the terms, conditions and covenants of the Bonds, the Loan Agreement, the Indenture, the Deed of Trust, the Regulatory Agreement and this Contract of Insurance.

8. Premium Payment. The Corporation has paid all premiums required for the Insurance on the effective date hereof. Insurance of the Bonds shall not be cancelled or terminated for any reason, including any failure by the Corporation to comply with the provisions of the Regulatory Agreement or any other agreement or failure by the Trustee to enforce such compliance, except as provided in Section 9 hereof.

9. Termination of Insurance. The Insurance provided herein may be terminated by the Office only upon the occurrence of any of the following:

(a) Payment of Insurance by the Office. Upon the payment in full by the Office of the Insurance of the Bonds pursuant to the Insurance Law.

(b) Payment of Bonds; Defeasance. Upon the payment in full of the principal of and the accrued and unpaid interest on the Bonds (including defeasance of the Bonds) so that all principal and interest components of the Bonds that have or may come due to the Bondholders and the Trustee under the Indenture are paid.

(c) Joint Request. Upon the joint written request of the Authority, the Corporation and all the Bondholders as provided in Insurance Law Section 129185.

(d) Foreclosure or Conveyance; Surrender of Bonds. If the Deed of Trust is judicially foreclosed as to such property, or the Authority, the Trustee or the Bondholders non-judicially foreclose or otherwise acquire such property after a Loan Default Event and the Authority and the Trustee do not execute and deliver to the Office a grant deed, trustee deed or quitclaim deed covering such property within sixty (60) days of such foreclosure or other acquisition; or if any Bonds are surrendered to the Trustee to be exchanged for debentures and such Bonds are not surrendered to the Office within sixty (60) days of receipt by the Trustee; provided that, if the required conveyance or surrender is restrained, enjoined, or otherwise prevented by any court or governmental body or agency, then the Authority and the Trustee shall have sixty (60) days to make the conveyance or surrender from the date such restraint or injunction is vacated, dismissed or discharged.

10. Successors Bound. This Contract of Insurance shall bind, and the benefits shall inure to, the respective parties hereto, their legal representatives, successors in office or interest, and assigns, and shall be directly enforceable by the Trustee. The Office hereby consents to the Authority's assignment of its rights under this Contract of Insurance to the Trustee.

11. Severability of Invalid Provisions. The invalidity of any clause, part, or provision of this Contract of Insurance shall not affect the validity of the remaining portions hereof so long as the Insurance remains in effect.

12. Agreement Represents Complete Agreement; Amendments. Except as otherwise provided herein, this Contract of Insurance represents the entire contract among the parties. This Contract of Insurance may be amended, changed or modified by the written agreement of the Office, the Authority, and the Corporation, provided that such amendment, change or modification shall not materially adversely affect the Holders.

13. Headings and References. The headings or titles of the several sections, subsections and subdivisions hereof shall be solely for convenience of reference and shall not affect the meaning, construction or effect of this Contract of Insurance. All references herein to "sections," "subsections" and other subdivisions are to the corresponding sections, subsections or subdivisions of this Contract of Insurance. The words "herein," "hereof," "hereby," "hereunder" and other words of similar import refer to this Contract of Insurance as a whole and not to any particular section, subsection or subdivision hereof. Words of the masculine gender shall mean and include words of the feminine and neuter genders.

14. Governing Law; Venue. The laws of the State of California shall govern this Contract of Insurance, the interpretation thereof and any right or liability arising hereunder. Any action or proceeding to enforce or interpret any provision of this Contract of Insurance shall be brought, commenced or prosecuted in Sacramento County Superior Court, Sacramento, California.

15. Attorneys' Fees. In the event of any action at law or in equity between the parties hereto to interpret or enforce any of the provisions of this Contract of Insurance, the non-prevailing party or parties to such litigation shall pay to the prevailing party or parties all costs and expenses, including reasonable fees of the Trustee for Bondholders, and actual and documented attorneys' fees, incurred therein by such prevailing party or parties; and if such prevailing party or parties shall recover judgment in any such action or proceeding, such costs, expenses and attorneys' fees may be included in and as part of such judgment. The prevailing party shall be the party who is entitled to recover its costs of suit, whether or not the suit proceeds to final judgment. A party not entitled to recover its costs of suit shall not recover attorneys' fees.

16. Execution in Counterparts. This Contract of Insurance may be executed in any number of counterparts, each of which shall be deemed for all purposes to be an original and all of which shall together constitute but one and the same instrument.

IN WITNESS WHEREOF, the parties hereto have duly executed this Contract of Insurance as of the day and year first above written.

CHANNING HOUSE

By: _____
Melvin Matsumoto
Executive Director

**OFFICE OF STATEWIDE HEALTH
PLANNING AND DEVELOPMENT OF THE
STATE OF CALIFORNIA**

By: Robert P. David, Director

By: _____
Jeremy P. Marion
Deputy Director

**CALIFORNIA MUNICIPAL FINANCE
AUTHORITY**

By: _____
Authorized Signatory

Signature Page to Contract of Insurance –
California Municipal Finance Authority Insured Revenue Refunding Bonds
(Channing House Project), Series 2017A

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APPENDIX F

FORM OF CONTINUING DISCLOSURE AGREEMENT

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CONTINUING DISCLOSURE AGREEMENT

This Continuing Disclosure Agreement (the “*Disclosure Agreement*”) is executed and delivered by Channing House, a nonprofit public benefit corporation incorporated under the laws of the State of California (the “*Borrower*”), as of April 18, 2017. The Borrower covenants and agrees as follows:

Section 1. Definitions. Any capitalized terms used herein but not defined herein shall have the meanings assigned to them in the hereinafter described Regulatory Agreement, and the following capitalized terms shall have the following meanings:

“*Annual Budget*” shall mean the operating budget of the Borrower in the form required by Section XXIII of the Regulatory Agreement.

“*Annual Report*” shall mean any Annual Report provided by the Borrower pursuant to, and as described in, Sections 3 and 4 of this Disclosure Agreement.

“*Authority*” shall mean the California Municipal Finance Authority, a public instrumentality of the State of California.

“*Bondholders*” shall mean the owners and beneficial owners from time to time of the Series 2017 Bonds.

“*Borrower*” shall mean Channing House, a nonprofit public benefit corporation incorporated under the laws of the State of California.

“*Current Ratio*” shall have the meaning set forth in the Regulatory Agreement.

“*Days Cash on Hand*” shall have the meaning set forth in the Regulatory Agreement.

“*Debt Service Coverage Ratio*” shall have the meaning set forth in the Regulatory Agreement.

“*Disclosure Agreement*” shall mean this agreement.

“*Dissemination Agent*” shall mean the Borrower or any Dissemination Agent designated in writing by the Borrower and which has filed with the Borrower a written acceptance of such designation.

“*EMMA*” shall mean the Electronic Municipal Market Access system of the MSRB accessible at <http://emma.msrb.org> or such other information repository as may be determined by the SEC from time to time.

“*Indenture*” shall mean the Indenture dated as of April 1, 2017, between the Authority and the Trustee, pursuant to which the Series 2017 Bonds are issued.

“Listed Events” shall mean any of the events listed in Section 5(a) of this Disclosure Agreement.

“Loan Agreement” shall mean the Loan Agreement dated as of April 1, 2017, between the Borrower and the Authority relating to the Series 2017 Bonds.

“MSRB” shall mean the Municipal Securities Rulemaking Board or any successor entity as described in the Rule.

“Obligated Person” shall have the meaning set forth in the Rule.

“Offering Document” shall mean the Official Statement dated April 4, 2017 describing the Series 2017 Bonds.

“Office” means the Office of Statewide Health Planning and Development of the State of California.

“Quarterly Report” shall mean any quarterly report provided by the Borrower pursuant to Sections 3 and 4 of this Disclosure Agreement.

“Regulatory Agreement” shall mean the Regulatory Agreement, dated as of April 1, 2017, among the Borrower, the Authority and the Office.

“Rule” shall mean Rule 15c2-12(b)(5) adopted by the SEC under the Securities Exchange Act of 1934, as the same may be amended from time to time.

“SEC” shall mean the United States Securities and Exchange Commission.

“Series 2017 Bonds” means the Authority’s Insured Revenue Refunding Bonds (Channing House Project), Series 2017A.

“Trustee” shall mean The Bank of New York Mellon Trust Company, N.A., as trustee.

“Underwriter” shall mean B.C. Ziegler and Company, or any additional purchaser of the Series 2017 Bonds required to comply with the Rule in connection with an offering of the Series 2017 Bonds.

Section 2. Purpose of the Disclosure Agreement. The purpose of this Disclosure Agreement is to assist the Underwriter in complying with the Rule in connection with the Series 2017 Bonds. The Borrower represents that the Borrower is the only Obligated Person with respect to the Series 2017 Bonds at the time the Series 2017 Bonds are delivered to the Underwriter.

Section 3. Provision of Annual Reports, Annual Budgets and Quarterly Reports.
(a) The Borrower shall, or shall cause the Dissemination Agent to, not later than 120 days after the completion of each fiscal year of the Borrower (beginning with the fiscal year ending

February 28, 2017), provide or cause to be provided to the MSRB (in an electronic format by transmission to EMMA and accompanied by identifying information as prescribed by the MSRB) an Annual Report that is consistent with the requirements of Section 4(a) of this Disclosure Agreement.

(b) The Borrower shall, or shall cause the Dissemination Agent to, not later than 45 days after the completion of each fiscal quarter of the Borrower (beginning with the fiscal quarter ending May 31, 2017), provide or cause to be provided to the MSRB (in an electronic format by transmission to EMMA and accompanied by identifying information as prescribed by the MSRB) a Quarterly Report that is consistent with the requirements of Section 4(b) of this Disclosure Agreement.

(c) The Borrower shall, or shall cause the Dissemination Agent to, not later than 30 days after the approval of the Annual Budget for the ensuing fiscal year by the governing board of the Borrower, provide or cause to be provided to the MSRB (in an electronic format by transmission to EMMA and accompanied by identifying information as prescribed by the MSRB), a copy of the Annual Budget for the ensuing fiscal year.

(d) In each case the Annual Report and the Quarterly Report may be submitted as a single document or as a package comprising separate documents. Any or all of the items constituting the Annual Report or the Quarterly Report may be incorporated by reference from other documents that have been submitted to the MSRB or the SEC. If the document incorporated by reference is a final official statement, it must be available from the MSRB. The Borrower shall clearly identify each such other document so incorporated by reference.

(e) The Dissemination Agent shall (if the Dissemination Agent is other than the Borrower) file a report with the Borrower certifying that the Annual Report, the Quarterly Report or the Annual Budget, as applicable, has been provided pursuant to this Disclosure Agreement, stating the date it was provided to the MSRB.

(f) With respect to each Annual Report, Quarterly Report or Annual Budget required to be submitted to the MSRB in this Section 3, the Borrower agrees to deliver such information or, alternatively, a notice of the Borrower's intent to act as its own Dissemination Agent with respect to such information, to the Dissemination Agent at least five (5) Business Days prior to the date required for dissemination to the MSRB. If the Dissemination Agent does not receive an Annual Report, Quarterly Report or Annual Budget or a notice of the Borrower's intent to act as Dissemination Agent with respect to such information on or before such required dissemination date, then the Dissemination Agent shall file with the MSRB a Notice of Failure to file. If the Borrower is unable to provide to the MSRB an Annual Report, Quarterly Report or Annual Budget by the dates required in this Section 3 and the Dissemination Agent has not filed with the MSRB a related Notice of Failure to file, the Borrower shall send or cause to be sent a notice of such fact to the MSRB (in an electronic format by transmission to EMMA and accompanied by identifying information as prescribed by the MSRB).

Section 4. Content of Annual Reports and Quarterly Reports. (a) The Annual Report to be delivered under Section 3(a) shall provide the following financial and operating data:

(1) Audited financial statements of the Borrower for the fiscal year immediately preceding the due date of the Annual Report. Such financial statements shall be prepared in accordance with generally accepted accounting principles and shall be audited by an independent certified public accountant, and shall include a statement of financial position as of the end of such fiscal year, and a statement of changes in net assets (deficit), a statement of operations, and a statement of cash flows for such fiscal year, showing in each case in comparative form the financial figures for the preceding fiscal year, prepared in accordance with generally accepted accounting principles; *provided, however*, that if such audited financial statements are not available by the deadline for filing the Annual Report, they shall be provided when and if available, and unaudited financial statements shall be included in the Annual Report.

(2) To the extent not otherwise provided, an update of the financial and operating data included in the tables and charts under the headings “THE COMMUNITY AND SERVICES – Resident Entrance Fees and Monthly Service Fees,” “THE COMMUNITY AND SERVICES - Occupancy and Turnover,” “FINANCIAL INFORMATION - Statement of Financial Position,” “FINANCIAL INFORMATION - Statement of Activities,” “FINANCIAL INFORMATION - Sources of Revenue,” “FINANCIAL INFORMATION - Debt Service Coverage,” and “FINANCIAL INFORMATION - Days Cash on Hand” contained in APPENDIX A to the Official Statement.

(3) (A) Borrower’s calculations of the Borrower’s Debt Service Coverage Ratio for such fiscal year, of the Borrower’s Current Ratio as of the last day of such fiscal year and of the Borrower’s Days Cash on Hand as of the last day of such fiscal year and (B) a statement from the independent certified public accountant that audited the financial statements described in subparagraph (1) above that such independent certified public accountant has no knowledge of any default under the Regulatory Agreement or the Loan Agreement, insofar as such default relates to accounting matters, or if such independent certified public accountant shall have obtained knowledge of any such default or defaults, they shall disclose in such statement the default or defaults and the nature thereof, insofar as such default or defaults relate to accounting matters.

(b) The Quarterly Report to be delivered under Section 3(b) shall contain the following financial and operating data:

(1) Management-prepared financial statements, including a statement of operations and statement of cash flows of the Borrower during such period and a statement of financial position as of the end of each such fiscal quarter, all prepared in reasonable detail and certified, subject to year-end adjustment, by an officer of the Borrower.

(2) A calculation of the Days Cash on Hand, for the second and last fiscal quarters of each year, and a calculation of the Debt Service Coverage Ratio for each fiscal quarter.

(3) Information with respect to the occupancy levels of all of the facilities operated by the Borrower by level of care as of the end of each fiscal quarter.

(4) An Officer's Certificate of the Borrower stating that the Borrower is in compliance with all of the terms, provisions and conditions of the Regulatory Agreement and the Loan Agreement or, if not, specifying all such defaults and the nature thereof.

Section 5. Reporting of Listed Events. (a) This Section 5 shall govern the giving of notices of the occurrence of any of the following events with respect to the Series 2017 Bonds:

- (1) principal and interest payment delinquencies;
- (2) non-payment related defaults, if material;
- (3) unscheduled draws on debt service reserves reflecting financial difficulties;
- (4) unscheduled draws on credit enhancements reflecting financial difficulties;
- (5) substitution of credit or liquidity providers, or their failure to perform;
- (6) adverse tax opinions, the issuance by the Internal Revenue Service of proposed or final determinations of taxability, Notices of Proposed Issue (IRS Form 5701-TEB) or other material notices or determinations with respect to the tax status of the Series 2017 Bonds, or other material events affecting the tax status of the Series 2017 Bonds;
- (7) modifications to rights of security holders, if material;
- (8) bond calls, if material, and tender offers (except for mandatory scheduled redemptions not otherwise contingent upon the occurrence of an event);
- (9) defeasances;
- (10) release, substitution, or sale of property securing repayment of the Series 2017 Bonds, if material;
- (11) rating changes;
- (12) bankruptcy, insolvency, receivership or similar event of the Borrower;

(13) the consummation of a merger, consolidation, or acquisition involving the Borrower or the sale of all or substantially all of the assets of the Borrower, other than in the ordinary course of business, the entry into a definitive agreement to undertake such an action or the termination of a definitive agreement relating to any such actions, other than pursuant to its terms, if material; and

(14) appointment of a successor or additional trustee or the change of name of a trustee, if material.

(b) In the occurrence of a Listed Event, the Borrower shall, or shall cause the Dissemination Agent to, promptly file a notice of such occurrence with the MSRB (in an electronic format by transmission to EMMA and accompanied by identifying information as prescribed by the MSRB). Such notice shall be filed within 10 Business Days after the occurrence of the Listed Event. If the Borrower determines that it failed to give notice as required by this Section, it shall promptly file a notice of such occurrence in the same manner.

Section 6. Termination of Reporting Obligation. The Borrower's obligations under this Disclosure Agreement with respect to the Series 2017 Bonds shall terminate upon the defeasance, prior redemption or payment in full of all the Series 2017 Bonds or if the Rule shall be revoked or rescinded by the SEC or declared invalid by a final decision of a court of competent jurisdiction.

Section 7. Dissemination Agent. From time to time, the Borrower may appoint or engage a Dissemination Agent to assist the Borrower in carrying out its obligations under this Disclosure Agreement, and may discharge any such agent, with or without appointing a successor Dissemination Agent. If at any time there is not any other designated Dissemination Agent, the Borrower shall be the Dissemination Agent.

Section 8. Amendment; Waiver; Modification. The Borrower may amend or waive any provision of this Disclosure Agreement, if such amendment or waiver is supported by an opinion of counsel expert in federal securities laws, to the effect that such amendment or waiver would not, in and of itself, cause the undertakings herein to violate the Rule if such amendment or waiver had been effective on the date hereof but taking into account any subsequent change in or official interpretation of the Rule or adjudication of the Rule by a final decision of a court of competent jurisdiction. The Borrower may modify from time to time the specific types of information provided in an Annual Report or Quarterly Report to the extent necessary as a result of a change in legal requirements, change in law or change in the nature of the Borrower or its businesses, *provided* that any such modification will be done in a manner consistent with the Rule and will not, in the opinion of Bond Counsel or another party unaffiliated with the Authority or the Borrower, materially impair the interests of the Bondholders.

Section 9. Additional Information. The Borrower may from time to time choose to disseminate other information, using the means of dissemination set forth in this Disclosure Agreement or any other means of communication, or include other information in any Annual Report, Quarterly Report, or notice of occurrence of a Listed Event, in addition to that which is

required by this Disclosure Agreement. If the Borrower chooses to include any information in any Annual Report, Quarterly Report, or notice of occurrence of a Listed Event in addition to that which is specifically required by this Disclosure Agreement, such Member shall have no obligation under this Disclosure Agreement to update such information or include it in any future Annual Report, Quarterly Report or notice of occurrence of a Listed Event.

Section 10. Default. A default under this Disclosure Agreement shall not be deemed an Event of Default under the Indenture, the Regulatory Agreement or the Loan Agreement, and the sole remedy of Bondholders under this Disclosure Agreement in the event of any failure of the Borrower to comply with this Disclosure Agreement shall be an action to compel performance.

Section 11. Beneficiaries. This Disclosure Agreement shall inure solely to the benefit of the Borrower, the Underwriter and the Bondholders, and shall create no rights in any other person or entity.

Section 12. Responsible Officer. The Borrower's Chief Financial Officer shall be the officer, agency, or agent of the Borrower responsible for providing Annual Reports and Quarterly Reports and giving notice of Listed Events, to the extent required hereunder, and any inquiries regarding this Disclosure Agreement should be directed to the Borrower, to the attention of its Chief Financial Officer.

[Signature appears on the following page]

IN WITNESS WHEREOF, the Borrower caused this Disclosure Agreement to be executed by its duly authorized officer as of the date first set forth above.

CHANNING HOUSE

By: _____
Its: _____

APPENDIX G

FORM OF OPINION OF BOND COUNSEL

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April ___, 2017

California Municipal Finance Authority
Carlsbad, California

\$54,045,000
California Municipal Finance Authority
Insured Revenue Refunding Bonds
(Channing House Project), Series 2017A
(Final Opinion)

Ladies and Gentlemen:

We have acted as bond counsel to the California Municipal Finance Authority (the “Issuer”) in connection with issuance of \$54,045,000 aggregate principal amount of California Municipal Finance Authority Insured Revenue Refunding Bonds (Channing House Project), Series 2017A (the “Bonds”), issued pursuant to an Indenture, dated as of April 1, 2017 (the “Indenture”), between the Issuer and The Bank of New York Mellon Trust Company, N.A., as trustee (the “Trustee”). The Indenture provides that the Bonds are issued for the stated purpose of making a loan of the proceeds thereof to Channing House, a California nonprofit public benefit corporation (the “Borrower”), pursuant to a Loan Agreement, dated as of April 1, 2017 (the “Loan Agreement”), between the Issuer and the Borrower. Capitalized terms not otherwise defined herein shall have the meanings ascribed thereto in the Indenture.

In such connection, we have reviewed the Indenture, the Loan Agreement, the Tax Agreement, opinions of counsel to the Issuer, the Trustee and the Borrower, certificates of the Issuer, the Trustee, the Borrower and others, and such other documents, opinions and matters to the extent we deemed necessary to render the opinions set forth herein.

We have relied on the opinion of Hanson Bridgett LLP, counsel to the Borrower, regarding, among other matters, the current qualification of the Borrower as an organization described in Section 501(c)(3) of the Internal Revenue Code of 1986 (the “Code”) and the use of the facilities financed or refinanced with the proceeds of the Bonds in activities that are not considered unrelated trade or business activities of the Borrower within the meaning of Section 513 of the Code. We note that such opinion is subject to a number of qualifications and limitations. Failure of the Borrower to be organized and operated in accordance with the Internal Revenue Service’s requirements for the maintenance of its status as an organization described in Section 501(c)(3) of the Code, or use of the bond-financed or refinanced facilities in activities that are considered unrelated trade or business activities of the Borrower within the meaning of Section 513 of the Code, may result in interest on the Bonds being included in gross income for federal income tax purposes, possibly from the date of issuance of the Bonds.

The opinions expressed herein are based on an analysis of existing laws, regulations, rulings and court decisions and cover certain matters not directly addressed by such authorities. Such opinions may be affected by actions taken or omitted or events occurring after the date hereof. We have not undertaken to determine, or to inform any person, whether any such actions are taken or omitted or events do occur or any other matters come to our attention after the date hereof. Accordingly, this letter speaks only as of its date and is not intended to, and may not, be relied upon or otherwise used in connection with any such actions, events or matters. Our engagement with respect to the Bonds has concluded with their issuance, and we disclaim any obligation to update this letter. We have assumed the genuineness of all documents and signatures presented to us (whether as originals or as copies) and the due and legal execution and delivery thereof by, and validity against, any parties other than the Issuer. We have assumed, without undertaking to verify, the accuracy of the factual matters represented, warranted or certified in the documents and of the legal conclusions contained in the opinions, referred to in the second and third paragraphs hereof. Furthermore, we have assumed compliance with all covenants and agreements contained in the Indenture, the Loan Agreement and the Tax Certificate, including (without limitation) covenants and agreements compliance with which is necessary to assure that future actions, omissions or events will not cause interest on the Bonds to be included in gross income for federal income tax purposes. We call attention to the fact that the rights and obligations under the Bonds, the Indenture, the Loan Agreement and the Tax Certificate and their enforceability may be subject to bankruptcy, insolvency, receivership, reorganization, arrangement, fraudulent conveyance, moratorium and other laws relating to or affecting creditors' rights, to the application of equitable principles, to the exercise of judicial discretion in appropriate cases and to the limitations on legal remedies against joint exercise of powers authorities in the State of California. We express no opinion with respect to any indemnification, contribution, liquidated damages, penalty (including any remedy deemed to constitute a penalty), right of set-off, arbitration, judicial reference, choice of law, choice of forum, choice of venue, non-exclusivity of remedies, waiver or severability provisions contained in the foregoing documents, nor do we express any opinion with respect to the state or quality of title to or interest in any of the real or personal property described in or as subject to the lien of the Indenture or the Loan Agreement or the accuracy or sufficiency of the description contained therein of, or the remedies available to enforce liens on, any such property. Our services did not include financial or other non-legal advice. Finally, we undertake no responsibility for the accuracy, completeness or fairness of the Official Statement or other offering material relating to the Bonds and express no opinion with respect thereto.

Based on and subject to the foregoing, and in reliance thereon, as of the date hereof, we are of the following opinions:

1. The Bonds constitute the valid and binding limited obligations of the Issuer.

2. The Indenture has been duly executed and delivered by, and constitutes the valid and binding obligation of, the Issuer. The Indenture creates a valid pledge, to secure the payment of the principal of and interest on the Bonds, of the Revenues and any other amounts held by the Trustee in any fund or account established pursuant to the Indenture, except the Rebate Fund, subject to the provisions of the Indenture permitting the application thereof for the purposes and on the terms and conditions set forth in the Indenture.

3. The Loan Agreement has been duly executed and delivered by, and constitutes a valid and binding agreement of, the Issuer.

4. Interest on the Bonds is excluded from gross income for federal income tax purposes under Section 103 of the Code and is exempt from State of California personal income taxes. Interest on the Bonds is not a specific preference item for purposes of the federal individual or corporate alternative minimum taxes, although we observe that it is included in adjusted current earnings when calculating corporate alternative minimum taxable income. We express no opinion regarding other tax consequences related to the ownership or disposition of, or the amount, accrual or receipt of interest on, the Bonds.

Faithfully yours,

ORRICK, HERRINGTON & SUTCLIFFE LLP

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APPENDIX H

BOOK-ENTRY SYSTEM

DTC will act as securities depository for the Bonds. The Bonds will be issued as fully-registered bonds registered in the name of Cede & Co. (DTC's partnership nominee) or such other name as may be requested by an authorized representative of DTC. The ownership of one fully-registered Bond for each maturity, each in the aggregate principal amount of such maturity, will be registered in the name of Cede & Co.

DTC, the world's largest securities depository, is a limited-purpose trust company organized under the New York Banking Law, a "banking organization" within the meaning of the New York Banking Law, a member of the Federal Reserve System, a "clearing corporation" within the meaning of the New York Uniform Commercial Code, and a "clearing agency" registered pursuant to the provisions of Section 17A of the Securities Exchange Act of 1934. DTC holds and provides asset servicing for over 3.5 million issues of U.S. and non-U.S. equity issues, corporate and municipal debt issues, and money market instruments from over 100 countries that DTC's participants ("*Direct Participants*") deposit with DTC. DTC also facilitates the post-trade settlement among Direct Participants of sales and other securities transactions in deposited securities, through electronic computerized book-entry transfers and pledges between Direct Participants' accounts. This eliminates the need for physical movement of securities certificates. Direct Participants include both U.S. and non-U.S. securities brokers and dealers, banks, trust companies, clearing corporations, and certain other organizations. DTC is a wholly-owned subsidiary of The Depository Trust & Clearing Corporation ("*DTCC*"). DTCC is the holding company for DTC, National Securities Clearing Corporation and Fixed Income Clearing Corporation, all of which are registered clearing agencies. DTCC is owned by the users of its regulated subsidiaries. Access to the DTC system is also available to others such as both U.S. and non-U.S. securities brokers and dealers, banks, trust companies, and clearing corporations that clear through or maintain a custodial relationship with a Direct Participant, either directly or indirectly ("*Indirect Participants*"). DTC has a Standard & Poor's rating of AA+. The DTC Rules applicable to its Participants are on file with the Securities and Exchange Commission. More information about DTC can be found at www.dtcc.com and www.dtc.org.

Purchases of the Bonds under the DTC system must be made by or through Direct Participants, which will receive a credit for the Bonds on DTC's records. The ownership interest of each actual purchaser of each Bond ("*Beneficial Owner*") is in turn to be recorded on the Direct and Indirect Participants' records. Beneficial Owners will not receive written confirmation from DTC of their purchase. Beneficial Owners are, however, expected to receive written confirmations providing details of the transaction, as well as periodic statements of their holdings, from the Direct or Indirect Participant through which the Beneficial Owner entered into the transaction. Transfers of ownership interests in the Bonds are to be accomplished by entries made on the books of Direct and Indirect Participants acting on behalf of Beneficial Owners. Beneficial Owners will not receive certificates representing their ownership interests in the Bonds, except in the event that use of the book-entry system for the Bonds is discontinued.

To facilitate subsequent transfers, all Bonds deposited by Direct Participants with DTC are registered in the name of DTC's partnership nominee, Cede & Co., or such other name as may be requested by an authorized representative of DTC. The deposit of Bonds with DTC and their registration in the name of Cede & Co. or such other DTC nominee do not affect any change in beneficial ownership. DTC has no knowledge of the actual Beneficial Owners of the Bonds; DTC's records reflect only the identity of the Direct Participants to whose accounts such Bonds are credited, which may or may not be the Beneficial Owners. The Direct and Indirect Participants will remain responsible for keeping account of their holdings on behalf of their customers.

Conveyance of notices and other communications by DTC to Direct Participants, by Direct Participants to Indirect Participants, and by Direct Participants and Indirect Participants to Beneficial Owners will be governed by arrangements among them, subject to any statutory or regulatory requirements as may be in effect from time to time. Beneficial Owners of Bonds may wish to take certain steps to augment the transmission to them of notices of significant events with respect to the Bonds, such as redemptions, tenders, defaults, and proposed amendments to bond documents. For example, Beneficial Owners of Bonds may wish to ascertain that the nominee holding the Bonds for their benefit has agreed to obtain and transmit notices to Beneficial Owners. In the alternative, Beneficial Owners may wish to provide their names and addresses to the registrar and request that copies of notices be provided directly to them. Redemption notices shall be sent to DTC. If less than all of the Bonds are being redeemed, DTC's practice is to determine by lot the amount of the interest of each Direct Participant to be redeemed.

Neither DTC nor Cede & Co. (nor any other DTC nominee) will consent or vote with respect to the Bonds unless authorized by a Direct Participant in accordance with DTC's Procedures. Under its usual procedures, DTC mails an "Omnibus Proxy" to the Authority as soon as possible after the Record Date. The "Omnibus Proxy" assigns Cede & Co.'s consenting or voting rights to those Direct Participants to whose accounts the Bonds are credited on the Record Date (identified in a listing attached to the "*Omnibus Proxy*").

Principal and interest payments on the Bonds will be made to Cede & Co., or such other nominee as may be requested by an authorized representative of DTC. DTC's practice is to credit Direct Participants' accounts upon DTC's receipt of funds and corresponding detail information from the Trustee or the Authority, on payable date in accordance with their respective holdings shown on DTC's records. Payments by Participants to Beneficial Owners will be governed by standing instructions and customary practices, as in the case with securities held for the accounts of customers in bearer form or registered in "street name," and will be the responsibility of such Participant and not of DTC, the Trustee or the Authority, subject to any statutory or regulatory requirements as may be in effect from time to time. Payment of principal and interest to Cede & Co. (or such other nominee as may be requested by an authorized representative of DTC) is the responsibility of the Trustee or the Authority. Disbursement of such payments to Direct Participants will be the responsibility of DTC, and disbursement of such payments to the Beneficial Owners will be the responsibility of Direct and Indirect Participants.

DTC may discontinue providing its services as depository with respect to the Bonds at any time by giving reasonable notice to the Authority and the Trustee. Under such circumstances, in the event that a successor securities depository is not obtained, Bond certificates are required to be printed and delivered.

THE INFORMATION PROVIDED ABOVE HAS BEEN PROVIDED BY DTC. NO REPRESENTATION IS MADE BY THE AUTHORITY, THE CORPORATION OR THE UNDERWRITER AS TO THE ACCURACY OR ADEQUACY OF SUCH INFORMATION PROVIDED BY DTC OR AS TO THE ABSENCE OF MATERIAL ADVERSE CHANGES IN SUCH INFORMATION SUBSEQUENT TO THE DATE HEREOF.

For so long as the Bonds are registered in the name of DTC or its nominee, Cede & Co., the Authority and the Trustee will recognize only DTC or its nominee, Cede & Co., as the registered owner of the Bonds for all purposes, including payments, notices and voting.

Under the Indenture, payments made by the Trustee to DTC or its nominee will satisfy the Authority's obligations under the Indenture and the Corporation's obligations under the Loan Agreement, to the extent of the payments so made.

None of the Authority, the Underwriter, the Corporation or the Trustee will have any responsibility or obligation with respect to (i) the accuracy of the records of DTC, its nominee or any Direct Participant or Indirect Participant with respect to any beneficial ownership interest in any Bond, (ii) the delivery to any Direct Participant or Indirect Participant or any other Person, other than an owner, as shown in the Bond Register, of any notice with respect to any Bond including, without limitation, any notice of redemption, tender, purchase or any event which would or could give rise to a tender or purchase right or option with respect to any Bond, (iii) the payment of any Direct Participant or Indirect Participant or any other Person, other than an owner, as shown in the Bond Register, of any amount with respect to the principal of, premium, if any, or interest on, or the purchase price of, any Bond or (iv) any consent given by DTC as registered owner.

Prior to any discontinuation of the book-entry only system described above, the Authority and the Trustee may treat DTC as, and deem DTC to be, the absolute owner of the Bonds for all purposes whatsoever, including, without limitation, (i) the payment of principal of, premium, if any, and interest on the Bonds, (ii) giving notices of redemption and other matters with respect to the Bonds, (iii) registering transfers with respect to the Bonds and (iv) the selection of Bonds for redemption.

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